Engineered for a New Era

From precision engineering to mission-critical systems.
From India to the world.



SIGMA ADVANCED SYSTEMS | ANNUAL REPORT 2025-26

Forward-looking statement

Certain statements in the Annual Report of Sigma Advanced Systems Limited for FY 25-26 constitute 'forward-looking statements', which involve known and unknown risks and opportunities, other uncertainties, and important factors that could turn out to be materially different following the publication of actual results. These forward-looking statements speak only as of the date of this document. The company undertakes no obligation to update publicly, or release any revisions, to these forward-looking statements, to reflect events or circumstances after the date of this document, or to reflect the occurrence of anticipated events. We have tried, wherever possible, to identify such statements by using words such as 'estimates', 'expects', 'projects', 'intends', 'plans', 'believes' and words of similar substance in connection with any discussion of future performance. We cannot guarantee that these forward-looking statements will be realized, although we believe we have been prudent in our assumptions.

Contents

CORPORATE OVERVIEW

Corporate Snapshot	04
Our Subsidiaries	08
Our Comprehensive Product Portfolio	10
Our Value Chain	13
How We Grew Our Business in FY 25-26	15
Our CEO's Message	16
'Supercycle': The Structural Forces Reshaping Aerospace & Defence	24
'Platform': The Word That Explains How Sigma Participates	26
'Mission-critical': The Two Words That Define Our Customer Relationships	28
'Integrated': The Operative Word At Our Company	32
Business Enablers	34
Strategic Priorities	40

STATUTORY REPORTS

Director's Report	42
Corporate Governance Report	66
Management Discussion and Analysis	83

FINANCIAL STATEMENTS

Standalone Financial Statements	97
Consolidated Financial Statements	149
Notice	202

Introduction to this Annual Report

Aerospace and Defence industry is entering an unprecedented period when prospective needs and trends are being reshaped by several global and domestic forces – all at once.

For India, this is an opportunity to become an important manufacturing and engineering centre for a world seeking trusted alternatives, deeper capacity and resilient supply chains.

The company has arrived at this moment with a uniquely relevant combination of capabilities.

Sigma is not attempting to build every capability from scratch. It has assembled technology, manufacturing, customer relationships and market access where they can reinforce one another.

The possibility: Moving from isolated capabilities to a connected platform - and from participating in programmes to increasing its share of them.

Sigma Advanced Systems Limited.

One of the most differentiated companies at the frontiers of complex aerospace and defence programmes.



Helping customers move from requirement to reality - with engineering that is built for the mission, not merely the specification.

Making complex aerospace and defence programmes more dependable through precision, qualification and disciplined execution.

Bringing more of the world's critical manufacturing capability to India - without compromising global standards.

Turning decades of engineering experience into technologies and systems that help marquee customers solve harder problems.

Strengthening supply-chain resilience by giving global programmes a capable, scalable manufacturing partner across two countries.

Building capabilities that serve not only today's platforms, but the next generation of aerospace and defence.

Engineered for a New Era.

Corporate **snapshot**

What makes Sigma Advanced Systems Limited distinctive is its positioning.

The company is an intersection of engineering depth, mission-critical technology, and a rapidly expanding global aerospace and defence opportunity.

Sigma is a Tier-1 player in products, sub-systems and components, bringing together research and development, precision manufacturing and system-level capabilities across India and the UK. Its three decade-plus defence experience is combined with a growing presence in global aerospace programmes.

More than 90% of the company's order book is international, with contracts extending up to eight years and a dual India–UK manufacturing footprint.



Our Values

- Uncompromising quality
- Relentless innovation
- Absolute integrity
- Continuous advancement
- Global reach, local expertise

Our Mission

solutions that set new benchmarks for the industry worldwide.

Our pedigree

Three decades of engineering experience

Founded in Hyderabad in 1994 by Mr. Cheemarla Damodar Reddy, Whole Time Director, India Operations, and Mr. Sanjay Pukalay, President, Defense Division, Sigma brings more than 30 years of experience across aerospace and defence. Today, its experience spans aerospace, with precision manufacturing capabilities for complex aerospace components and structures, alongside expertise in avionics, UAVs, radar and electronic systems, missiles, naval applications, counter-drone systems and electronic warfare.





Our footprint

Two countries. Eight locations. One global operating footprint.

Sigma operates across India and the UK, with more than 300,000 sq. ft. of manufacturing infrastructure and over 700 FTEs. Its India operations in Hyderabad, Bengaluru and Sri City provide capabilities across precision machining, fabrication, assemblies and specialised aerospace and defence manufacturing. Across six UK locations, Sigma provides precision machining, complex fabrication, welding, metal treatments and assembly capabilities for demanding aerospace and defence programmes.

Our capabilities

From design to delivery. Built around what customers need.

Sigma combines Build-to-Spec and Build-to-Print capabilities to deliver tailored solutions aligned with specific customer requirements. Its R&D capabilities span software and hardware design, supported by experience across developmental programmes and the ability to create customised solutions for evolving industry needs. Its manufacturing capabilities support production requirements under Build-to-Print engagements, enabling the company to deliver high-quality products with consistency and efficiency.



Our market presence

Listed in India. Building for the world.

Sigma's equity shares are listed on the Bombay Stock Exchange and the National Stock Exchange.





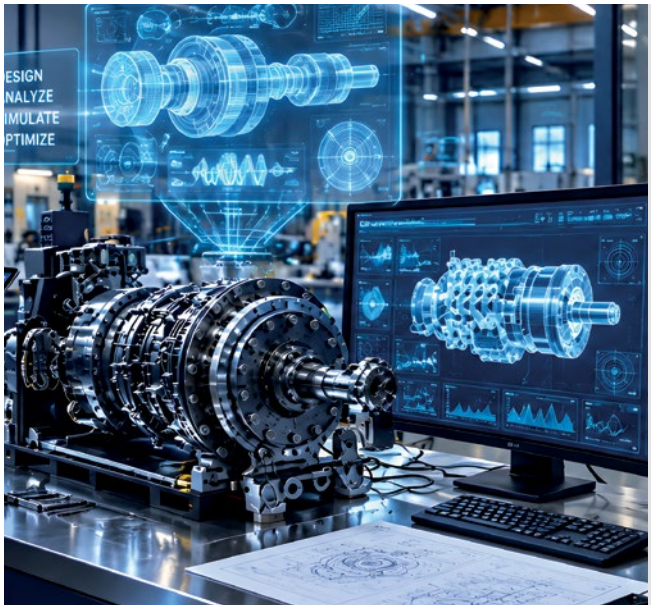
Our talent

Experience that compounds. Expertise that moves us forward.

Across Sigma, our people bring together highly specialised capabilities built over decades of working on some of the most demanding aerospace and defence programmes. From complex precision machining, fabrication and aero-engine components to advanced defence electronics, embedded systems, avionics and systems engineering, the Group combines deep manufacturing expertise with differentiated engineering and technology capabilities.

This expertise is underpinned by an exceptionally experienced workforce. As of FY 25–26, high proportion employees had been with the organisation for 20 years or more, providing a depth of institutional knowledge, technical know-how and programme experience that is difficult to replicate. The combination of long-tenured specialists and the next generation of engineering talent enables Sigma and Nasmyth to solve complex manufacturing and technology challenges, maintain the exacting quality standards required by global aerospace and defence customers, and continually move into higher-value products and programmes.

As of March 31, 2026, Sigma's total employee strength stood at 700+.



Our creditworthiness

A strong foundation for the next phase.

Sigma's long-term issuer rating was maintained at IND BBB by India Ratings and Research, with Rating Watch with Developing Implications.



Our subsidiaries

Our subsidiaries extend Sigma's capabilities, reach and customer access across key aerospace and defence markets.

Subsidiaries allow Sigma to build a platform wider than any single company could create. Each brings a distinct advantage - market access, specialist engineering, customer relationships, approvals or manufacturing depth.

Nasmyth Group

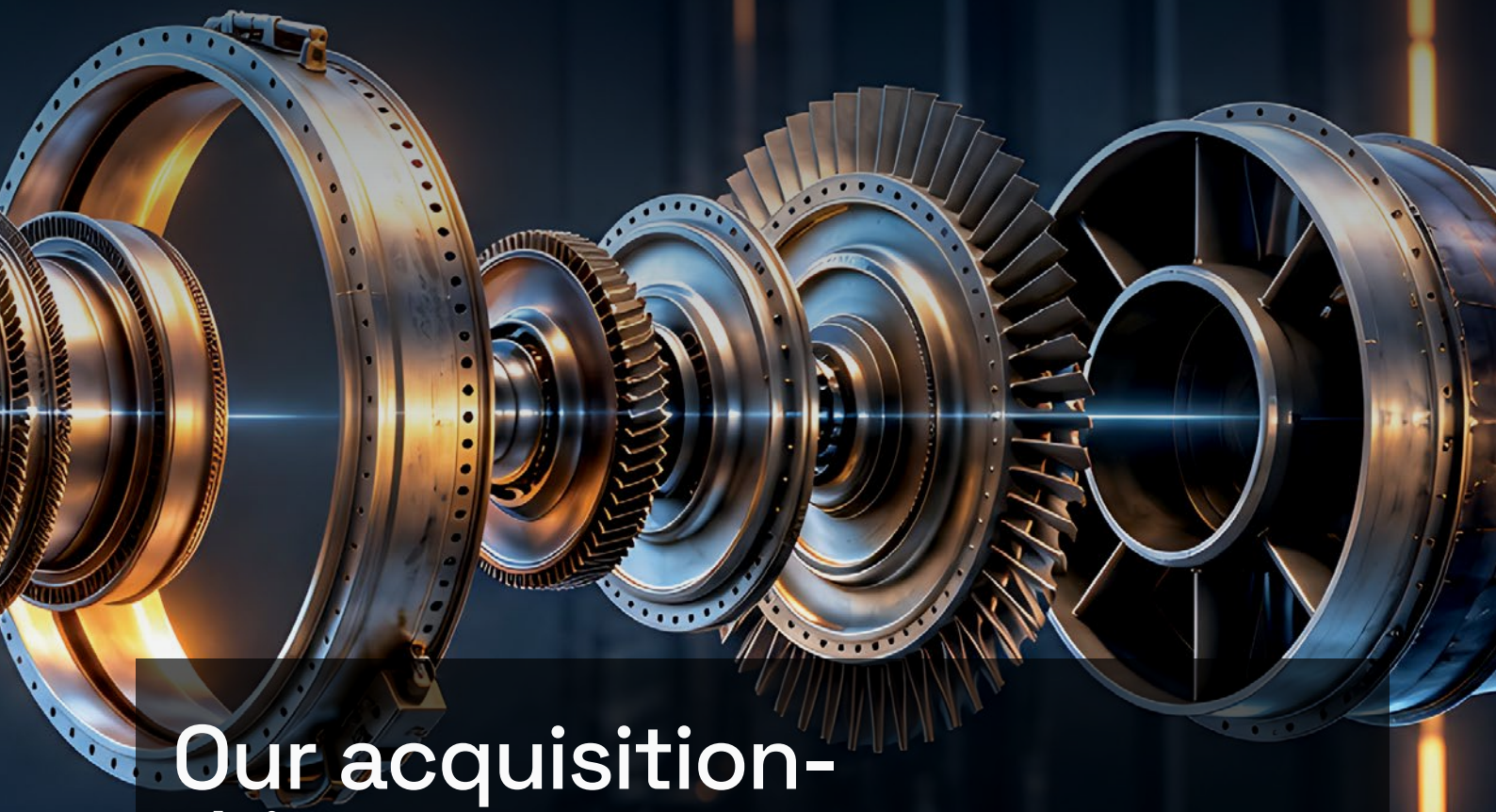
Sigma's wholly owned UK-based subsidiary, a Tier-1 precision engineering partner to global aerospace and defence OEMs, with complex machining, fabrication and metal treatment capabilities across multiple UK locations.

AS Strategic Private Limited

Sigma's majority-owned subsidiary based in Delhi, engaged in strategic supply-chain partnerships with major European aerospace and defence OEMs. Through established joint ventures with leading European defence companies, the entity provides direct access to European, UK and NATO defence programmes.

Bromford Precision Solutions Limited

Sigma's wholly owned UK-based subsidiary, a specialist manufacturer of complex aero-engine rings and precision-machined engine structures, with approvals from leading global OEMs.



Our acquisition-driven competences

UK-based Nasmyth, 2025	▪ Enabled Sigma Advanced to enter the components and sub-assembly value chain	▪ Strengthened our access to the UK and European markets.
AS Strategic, 2026	▪ Strengthened the company's presence in large European	and North American markets
UK-based Bromford, 2026	▪ Consolidated our position in the global aerospace ecosystem	▪ Strengthened our participation in the Rolls-Royce supply chain.

Acquired proven capabilities	+	Customer relationships	+	Certifications	+	Engineering knowledge	+	Market access	=	Common integrated platform

Our comprehensive product portfolio

Sigma's portfolio is not simply broad; it is positioned where the consequences of failure are the highest and the requirements for engineering depth are the most demanding.

Across aerospace and defence, the company participates in some of the most consequential and rapidly developing segments of the industry - autonomous and counter-drone systems, missiles, radar and electronic warfare, avionics, naval systems, aero-engines and aero-structures. These are markets being reshaped by modern warfare, platform complexity, technological change and the global search for resilient supply chains.

That breadth matters because it gives Sigma multiple points of entry into long-duration programmes. A component can become an assembly; an assembly can become a sub-system; manufacturing can lead to engineering responsibility; and engineering can create a pathway to proprietary technology.

The portfolio therefore represents more than a collection of products. It is a platform from which Sigma can deepen its participation in the aerospace and defence value chain.

#1 Aerospace

Precision engineering for the world's most demanding programmes.



Aero-engine solutions: Class I fabrications, components and sub-assemblies, with capabilities focused on critical hot-section applications.

Aero-structures: Critical airframe structures and components across wings and fuselage, supported by precision machining, fabrication, welding, metal treatment and assembly capabilities.

Military Aircraft : Critical aero engine and aero structure assemblies for global military aircrafts

#2 Defence

Mission-critical systems. Built for the toughest environments.



Drones & counter-drone solutions: A range of counter-UAS solutions for infrastructure, urban, military, border and maritime applications, and focused surveillance UAVs and loitering munitions, supported by proprietary technologies.

Missile systems: Critical subsystems including guidance systems, rear servo systems, amplifiers and end-game packages for key missile platforms.

Land-based systems and ammunition: Tank and other combat vehicle assemblies; Artillery shell bodies, fuzes, and other critical assemblies for ammunition

Avionics & naval systems: A broad suite of mission-critical systems including flight data recorders, displays, controller units, actuation control systems, and power distribution systems.

Why our product portfolio breadth matters

1 | Enter programmes:
Start with a single component or specialised capability and enter new spaces thereafter.

2 | Expand workshare:
A broader portfolio creates opportunities to support multiple systems within the same programme.



4 | Deepen customer relationships:
Qualification, proven performance and high switching costs create stronger customer stickiness, strengthening multi-year revenues.

3 | Diversify growth:
Exposure across drones, missiles, radar, avionics, aero-engines and aero-structures reduces dependence on any single platform or programme cycle.

Our value chain

Components | Sub-assemblies | Sub-systems | Products | Solutions

Global customer access • Deep domain expertise (30+ years) • Cutting-edge R&D • Institutionalised processes & certifications • Enduring customer relationships

Sub-assemblies • Products & IP • Margin capture through UK-to-India work transfer

Surface treatment • Complex fabrication • Aero-engine components • Aero-structure components • Defence electronics & sub-systems

Precision engineering •



Sigma Advanced's competitiveness

A conventional manufacturer asks: How much more can we produce? A strategic aerospace and defence enterprise like Sigma asks: Which capabilities will our customers need five, ten or twenty years from now - and can we become indispensable to them before they need them?

This is how we have evolved, transformed and strengthened

From a defence manufacturer in Hyderabad to an integrated aerospace and defence platform spanning two continents - this is our story of capability compounding on capability.

1994

The foundation: Sigma began in Hyderabad with a focused mandate: design, develop and manufacture defence systems for India's armed forces. That early discipline - engineering to exacting, mission-critical standards - became the foundation everything else was built on.

2012–14

A new growth phase: Investment by iLabs gave Sigma the capital to think beyond its original scope. It was the first step from being a defence manufacturer to building a broader vision - one that would expand what Sigma could design, and who it could serve.

2019

Deepening engineering capabilities: Growth needed substance behind it. Sigma invested in hardware and software development, including FPGA and SoC capabilities - strengthening its build-to-spec offering and giving it the engineering depth to take on more advanced, complex defence programmes.

2021–22

Expanding the platform: With deeper engineering capability in place, Sigma pushed into naval and avionics systems, broadening its addressable market across critical defence applications. What had been a single-domain manufacturer was becoming a multi-system platform.

2023

Entering the autonomous era: As the platform grew, so did its ambitions. A strategic investment in Indrajaal Drone Defence India Pvt Ltd moved Sigma into the fast-growing autonomous and counter-drone market - not as an outside supplier, but as a manufacturing partner embedded in one of defence's most important emerging categories.

2023–25

Going global: Domestic platform strength became the springboard for international reach. The acquisition of UK-based Nasmyth brought precision components and sub-assemblies into Sigma's capabilities and opened direct access to UK and European aerospace markets - while, in parallel, Sri City came online to give Sigma the manufacturing capacity to eventually bring that global work home.

2025–26

Building a global aerospace platform: Global access became a global position. A 51% stake in AS Strategic, acquired in April 2026, opened routes into European and North American defence markets through strategic partnerships and joint ventures. The subsequent acquisition of Bromford deepened Sigma's place in the aerospace ecosystem and the Rolls-Royce supply chain. Sigma was no longer just present internationally - it was becoming structurally embedded in global programmes.

2026

Scaling the platform: Every prior step - engineering depth, platform breadth, global acquisitions, manufacturing capacity - now converges. With an integrated India–UK footprint and growing access to global OEMs, Sigma's focus turns to scale: broadening its value-chain presence and building a larger, more durable global aerospace and defence business.

How we grew our business in FY 25-26

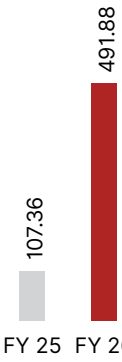
The performance of our company proved strategically transformational in FY 26-27.

It comprised the Megasoft merger, Nasmyth acquisition, and the AS Strategic stake that helped build the company's integrated aerospace-defense platform.

The combination of concurrent strategic events was evident in the financials: revenues grew 4x, while profit touched Rs. 268 Crore (~Rs. 260 Crore came from one-off gains comprising property sale and the Extrovis divestment). This validated the management's commitment to growing the core business.

The company's core margins compressed, debt doubled but the company's platform emerged stronger for the current financial year.

Revenue from operations (₹ Crore)



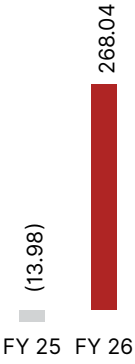
EBITDA (₹ Crore)



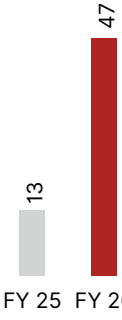
Debt-to-equity ratio (x)



Profit after tax (₹ Crore)



ROCE (%)



Interest coverage ratio (x)



Post-Balance Sheet development (Our financial performance, Q1 FY 26–27)

- Revenue from operations grew 16% QoQ, from Rs. 323 Crore to Rs. 374 Crore, while Operational EBITDA increased 11%, from Rs. 55 Crore to Rs. 61 Crore.
- Operational EBITDA margin moderated from 17% to 16%, consistent with FY 26 trends as the acquired, lower-margin Nasmyth/ UK business scaled within the Group; COGS as a share of revenue increased marginally.
- The ~16% Operational EBITDA margin provided the first clear benchmark for the management's Sri City-led margin expansion target of 200-400 basis points by FY 26-27-end, followed by a further 400-600 basis points through FY 27-28.



A team poised for success

Strategic overview

Engineered for a **New Era**

Building the aerospace and defence enterprise for a new world

Overview

There are moments in history when an industry does not merely grow; it is structurally repositioned by forces outside its control. Aerospace and defence are entering such a moment.

Commercial aerospace is undergoing a comparable transformation. Global air travel has moved decisively past pre-pandemic levels, and airlines - having absorbed years of deferred fleet renewal - now face record demand at precisely the moment supply chains appear constrained. Nearly five billion passengers took to the skies in 2025, with global air travel demand rising 5.7% year-on-year. The result is not a cyclical upswing in orders but a structural mismatch between what airlines need and what the industry can produce - one that independent analysts do not expect to normalise before the early 2030s. (Source: IATA, IATA Annual Review 2025)

The scale of that mismatch is difficult to ignore. Airbus ended 2025 with a record order backlog of 8,754 aircraft, while Boeing's backlog stood at 6,713 aircraft - together, a combined order book of more than 15,000 aircraft waiting to be built. Looking further out, Airbus estimates that approximately 43,400 new passenger and freighter aircraft will be required over the next 20 years, with passenger traffic projected to grow at around 3.6% annually, while Boeing expects the global commercial fleet to nearly double over the same period as airlines add capacity and replace ageing aircraft. (Source: Airbus, Boeing)

The Defence sector, too, is undergoing a comparable reordering. The world is passing through an unusually complex period of geopolitical contestation. The Russia-Ukraine conflict, continuing tensions across Europe and the Middle East, instability in several strategic theatres and the growing contest for technological and military superiority have altered the way nations now perceive security. Defence is no longer being treated simply as a budgetary line item. It is increasingly being viewed as a strategic capability, an industrial capability and, in many countries, a question of national resilience.

The numbers make the change equally difficult to ignore. Global military expenditure reached an unprecedented US$2.718 Trillion in 2024, rising 9.4% in real terms - the sharpest annual increase recorded by SIPRI since the Cold War. Military expenditure has now risen for ten consecutive years. Europe alone increased its spending by 17% in 2024 to US$693 Billion. (Source: SIPRI)

The direction of travel spending has become even clearer. At the NATO Summit in The Hague in 2025, member countries committed to raising defence and defence-related expenditure to 5% of GDP annually by 2035, comprising at least 3.5% for core defence requirements and up to 1.5% for broader defence- and security-related expenditure. NATO has subsequently reported that European Allies and Canada increased defence expenditure by nearly 20% in real terms in 2025 over 2024. (Source: NATO)

This is not simply a story about governments spending more or airlines ordering more aircraft. It is a story about the global aerospace and defence industrial base being rebuilt. When an industrial base is rebuilt these transpire: supply chains are reassessed, production is relocated, suppliers are qualified, manufacturing capacity is expanded and new strategic partnerships are created. For companies that possess the right capabilities, this creates an opportunity that may occur only once in a generation.

We believe Sigma Advanced is positioned precisely at this inflection point.

Approximately 75% of the company's order book of around Rs. 8,000 Crore as of April 2026 is linked to aerospace. Approximately two-thirds of the aerospace order book was associated with the complex aero-engine segment.

The new definition of a global aerospace and defence company

The aerospace and defence company of the future will need to possess a different set of competencies.

It will need to be sufficiently broad to provide a customer with multiple capabilities, but sufficiently specialised to be trusted with mission-critical applications. It will need to understand engineering at a deep level while remaining commercially competitive. It will need relationships in the markets where the world's leading OEMs are headquartered, while possessing manufacturing depth in locations where products can be produced efficiently and competitively.

Most importantly, it will need to become hard to substitute. This is the strategic rationale behind Sigma Advanced's transformation over the past two years.

The objective has not been to create a larger version of the existing company. It has been to create a fundamentally different company: an Indian-origin, globally connected, pure-play aerospace and defence enterprise with the breadth to address multiple layers of the value chain and the depth to participate in some of the industry's most demanding programmes.

That distinction matters. A business can grow by adding capacity. A strategic enterprise grows by adding capabilities.

Pure-play creates strategic clarity

There is another distinction that we believe is increasingly valuable: Sigma Advanced is a pure-play aerospace and defence company.

In a sector where customer trust, engineering credentials, certifications, programme continuity and confidentiality matter enormously, specialisation carries weight.

The customer is not dealing with a diversified industrial conglomerate for whom aerospace and defence may represent one business among several. The customer is dealing with a specialist whose organisational attention, engineering resources and strategic ambition are concentrated on the sector.

That creates a different relationship. The company seeks to be viewed not merely as a vendor but as a problem-solving partner - one that can participate earlier in the engineering cycle, understand the customer's requirements and contribute to the development and production of complex systems.

This positioning is already reflected in the character of Sigma Advanced's order book.

Approximately 75% of the company's order book of around Rs. 8,000 Crore as of April 2026 was linked to aerospace. Approximately two-thirds of the aerospace order book is associated with the complex aero-engine segment. That is significant because aero-engine manufacturing is among the most demanding areas of aerospace engineering. Within this segment, Sigma Advanced has been entrusted with programmes in the challenging combustion space, including Class I fabrications, sub-assemblies and components focused on combustion chambers - capabilities possessed by a relatively limited group of specialised global suppliers.

In aero-structures, the company possesses capabilities spanning critical airframe structures across wings, fuselage and empennage. In military aviation, it provides critical aero-engine and aero-structure assemblies for global military aircraft.

The portfolio extends into defence products as well, including missile systems, avionics and naval products, land-based systems, ammunition, counter-drone solutions and UAVs.

This breadth is important.

A sector with long visibility

Our opportunity also extends beyond defence.

Commercial aerospace is entering a sustained long-term growth cycle, with the aircraft-demand and fleet-expansion figures set out earlier running in parallel with the defence build-out described above.

Boeing similarly expects passenger traffic to more than double over the next two decades, with the global commercial fleet nearly doubling as airlines add capacity and replace ageing aircraft. (Source: Boeing)

For suppliers positioned within the aerospace ecosystem, this creates an unusually long runway. The combination of commercial aerospace growth, military modernisation, inventory replenishment, supply chain diversification and increasing outsourcing by OEMs provides multiple demand engines. The strategic question is therefore no longer whether the market will grow. It is whether Sigma Advanced can capture a disproportionate share of that growth.

***Post-Balance Sheet development:** In August 2026, Sigma's UK subsidiary Bromford Precision Solutions secured a further long-term agreement with Rolls-Royce worth approximately £125 Million (~Rs. 1,600 Crore), building on the Group's existing Rs. 3,800 Crore Rolls-Royce agreement - underscoring the pace at which Sigma's aerospace relationships are deepening.

From a defence cycle to a structural opportunity

The first important distinction is between a temporary increase in defence spending and a structural increase in defence manufacturing. The current environment points towards the latter.

Years of relatively restrained defence expenditure in several Western economies, followed by heightened security requirements, have placed a pressure on inventories, production capacity and replenishment cycles. At the same time, the requirements of modern warfare have evolved. Governments increasingly require precision systems, advanced electronics, unmanned platforms, missiles, propulsion technologies, sophisticated structures and mission-critical components - often in larger quantities and with greater speed of delivery.

The consequence is a fundamental change in the relationship between OEMs and their suppliers. Large aerospace and defence companies are being asked to produce more, faster and at a more competitive cost. Yet they cannot necessarily build every capability internally and nor can they rely indefinitely on concentrated supply chains in a world where strategic autonomy, geographical diversification and supply security have acquired a new importance.

The winning supply-chain partners of the next decade, therefore, are unlikely to be companies that simply manufacture a component to specification. They will need to be companies that understand the application, the technology, the programme, the customer and the lifecycle of the product. This is where the opportunity becomes particularly relevant for India.

India combines a large engineering talent pool, a deep manufacturing base, competitive production economics and an increasingly supportive policy environment - with defence production and exports rising sharply.

The opportunity, therefore, is not simply to make in India for India. It is to make in India for the world.

Climbing the value chain

The deeper strategic advantage lies in the combination of breadth and specialisation.

The strategic ambition is not to remain confined to components. The value proposition is to extend progressively from Components to Sub-Assemblies, Sub-Systems and Products & Solutions, supported by global market access.

This creates multiple benefits.

First, it allows Sigma Advanced to participate in a larger share of the customer's value chain.

Second, it provides greater opportunities for cross-selling and programme expansion.

Third, it creates a natural pathway for the company to move from manufacturing to increasingly complex engineering and solution capabilities.

Fourth, it makes the business more resilient to market cycles.

A company operating in only one layer of the value chain can be affected by changes in product architecture, sourcing strategies or technology. A company operating across multiple interconnected layers possesses a greater scope to redeploy engineering capabilities and manufacturing capacity as programmes evolve.

This is particularly important in aerospace and defence, where product lifecycles can extend for decades but individual technologies can become obsolete faster. The ability to evolve with the customer is therefore not an optional capability; it is a competitive necessity.

The most valuable asset: Being difficult to replace

The deepest customer relationships in aerospace and defence are rarely transactional.

They are built through qualifications, engineering validations, certifications, programme execution and years of demonstrated reliability.

Once a supplier becomes deeply integrated into a mission-critical programme, changing that supplier is not merely a commercial decision. It can involve requalification, redesign, testing, documentation, certification and programme risk.

Sigma Advanced's relationships with leading global and Indian customers have developed through decades of co-development and programme engagement.

In several programmes, the company enjoys a single-source or dominant position, creating significant switching costs for customers. In some cases, the resulting platforms can remain operational for nearly two decades.

This creates an important business model characteristic: revenue visibility. Long-term contracted relationships, including aerospace contracts extending beyond seven years, provide a degree of forward visibility that is unusual in conventional manufacturing.

The goal, then, is not simply the next order - it is becoming a part of the customer's next generation of products.

From vendor to strategic partner

This is perhaps the most consequential transition in Sigma Advanced's evolution.

The company increasingly finds itself operating directly with some of the world's leading engineering and aerospace brands, rather than through layers of intermediaries.

That direct relationship changes the nature of engagement.

A company that is invited into discussions around engine configuration, combustion requirements, engineering capability or manufacturing feasibility before a product reaches design stage is no longer simply supplying a part. It is participating in the architecture of the programme. That is where decades of subject-matter expertise become a genuine competitive advantage.

In a sector where mistakes can have consequences far beyond cost, customers place a premium on partners who understand the application, anticipate problems and consistently deliver to exacting standards. The relationship becomes one of trust; trust, once established in aerospace and defence, compounds.

Global front-end. Indian back-end.

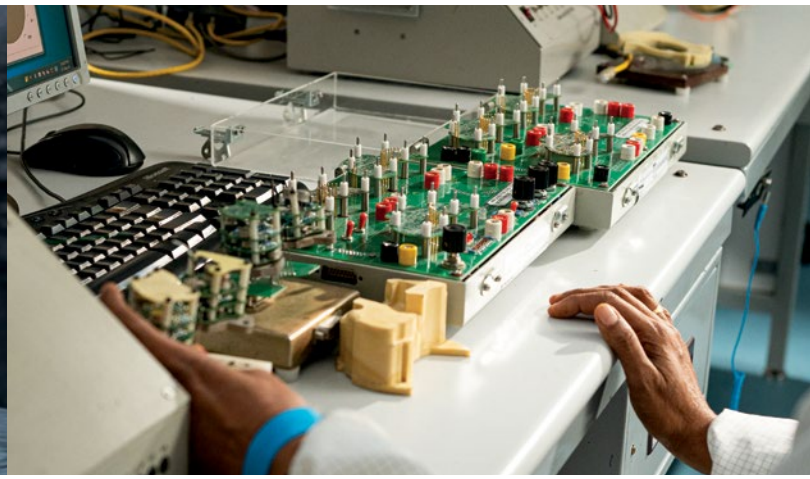
One of the most distinctive aspects of the emerging Sigma Advanced model is the combination of global market access and Indian manufacturing competitiveness.

The company is principally a global-facing organisation under Indian management, supported by manufacturing and programme capabilities across the UK and India.

The UK remains strategically important for programmes where geography, customer proximity and established supply-chain relationships matter. India provides another powerful dimension: the ability to manufacture competitively while meeting demanding international standards.

The aim is to make the two geographies work together, not choose between them. The developed world contributes decades of customer intimacy,





engineering knowledge, programme understanding and proximity to global OEMs. India contributes manufacturing depth, engineering talent, cost competitiveness and an expanding ecosystem of aerospace and defence capabilities. This is the essence of what we see as a new form of Make in India for the World.

The new production facility at Sri City is an important part of this strategy, providing a platform to progressively transfer suitable work to India and expand the company's manufacturing footprint.

The opportunity is substantial because the world does not merely need more aerospace and defence production. It needs that production to be more resilient and more cost-efficient. The Sigma Advanced model seeks to provide both.

India's manufacturing moment

The timing is favourable from an Indian perspective.

India's defence manufacturing ecosystem is undergoing a structural transition. Defence exports have risen from Rs. 686 Crore in FY 13-14 to Rs. 23,622 Crore in FY 24-25 - a more than thirty-fold increase - before reaching Rs. 38,424 Crore in FY 25-26, a 62.66% increase over the previous year, alongside defence production of approximately Rs. 1.54 Lakh Crore in FY 24-25. (Source: Press Information Bureau)

This is not an isolated improvement. It reflects a broader movement towards indigenous manufacturing, private-sector participation and an integration with global supply chains.

India's proposition is becoming increasingly compelling: high-quality engineering, an expanding industrial base, competitive costs and a large pool of technical talent.

For Sigma Advanced, the strategic objective is to connect this Indian capability with the most demanding global aerospace and defence markets.

That is a different proposition - not of an India-focused defence company that happens to export, but of a global aerospace and defence company leveraging India as a strategic manufacturing hub.

The early financial evidence

The transformation is still at an early stage; its full benefits are yet to be reflected in the financial statements. However, the direction is visible. Consolidated revenue increased from Rs. 107.36 Crore in FY 24-25 to Rs. 491.88 Crore in FY 25-26 and further to Rs. 374 Crore in the first quarter of FY 26-27.

These numbers are important, but they should be viewed as the beginning rather than the conclusion of the story. The more meaningful indicator is the revenue visibility embedded in the order book.

At the end of the first quarter of the current financial year, the company had an aerospace order book of about Rs. 6,300 Crore, to be executed over approximately 7 years, supported by a defence export order book of about Rs. 1,400 Crore and a defence electronics order book of about Rs. 250 Crore.

This provides the foundation for the company's first major revenue milestone: Rs. 5,000 Crore of revenue across the foreseeable future.

The opportunity beyond that milestone could be considerably larger if the company successfully converts its expanded capabilities, customer relationships and global market access into new programmes.





A different kind of Indian multinational

There is a larger strategic idea behind Sigma Advanced.

India has created globally recognised companies in information technology, pharmaceuticals, automotive components, engineering and other industrial sectors in the last three decades.

The next generation of Indian multinationals could emerge from aerospace and defence even though they may not necessarily be built in the conventional manner.

They may be global from inception, acquire capabilities across geographies, serve customers headquartered in developed markets and increasingly use India as the manufacturing and engineering backbone of their international operations.

Sigma Advanced aspires to be one such enterprise. The company's competitive advantage is therefore not one individual factory, acquisition or product; it is the architecture of the organisation itself.

Global customer access. Domain expertise. Precision engineering. Surface treatment.

Complex fabrication. Aero-engine capability. Aero-structure capability. Defence systems.

Electronics. Sub-assemblies. Product and solution capabilities. And, increasingly, the ability to connect these capabilities to India's manufacturing advantage.

This combination will be difficult to replicate in a compressed period of time.

The strategic imperative

The next phase of our growth will warrant a deeper discipline.

The company must integrate acquisitions without diluting the specialist cultures and technical expertise that made those businesses valuable. It must maintain the quality and certification standards demanded by global aerospace and defence customers. It must continue investing in engineering and technology. It must transfer work to India where it is commercially and strategically appropriate without compromising customer confidence. And it must remain financially disciplined even as it scales.

The opportunity however justifies the ambition. The global aerospace and defence industry is moving from an era of optimisation to an era of capacity creation, resilience and strategic preparedness. Customers need more production. They need diversified supply chains. They need lower costs. They need partners who understand complex technologies. And they need those partners to be capable of supporting programmes over decades.

Sigma Advanced believes it can occupy that intersection.

The next chapter

We are not building Sigma Advanced simply to participate in the growth of aerospace and defence sectors. We are building it to become structurally relevant to that growth.

The distinction is important. A conventional manufacturer asks: How much more can we produce? A strategic aerospace and defence enterprise asks: Which capabilities will our customers need five, ten or twenty years from now - and can we become indispensable to them before they need them?

That is the question guiding our transformation. The acquisitions of Nasmyth, AS Strategic and Bromford were therefore not isolated corporate transactions. They were steps in a larger architecture - one designed to bring together customer relationships, engineering capabilities, manufacturing expertise and global market access.

The objective is to create a company that can stand at the intersection of two powerful forces: the world's growing need for aerospace and defence capacity and India's growing ability to manufacture for the world.

We believe that this intersection represents a rare opportunity. The world is entering a new defence cycle. Global aerospace is preparing for decades of fleet expansion and renewal.

NATO countries are rebuilding industrial capacity. India is becoming more confident in its ability to design, manufacture and export sophisticated defence products. Global OEMs are looking for partners who can simultaneously deliver quality, scale, resilience and cost competitiveness.

Sigma Advanced intends to emerge as one of those partners. Our ambition is straightforward, even if the journey is not: to build an Indian-origin, globally integrated aerospace and defence enterprise whose capabilities are deep enough to earn trust, broad enough to capture a larger share of the value chain and competitive enough to make India an increasingly important manufacturing destination for the world's most demanding customers.

The time to build this enterprise starts now.

Mr. Sunil Kumar Kalidindi

Group CEO



Our order book

8,000
Rs. Crore, as on April 2026

~75
% of the company's order book linked to aerospace

~66
% of the aerospace order book associated with the complex aero-engine segment

‘Supercycle’: The structural forces reshaping aerospace & defence

Overview

Aerospace and defence are entering a period of structural demand expansion.

Commercial aerospace is being supported by rising air travel, fleet renewal and increasing aircraft production. Defence demand is being driven by geopolitical uncertainty, autonomous warfare, surveillance, precision strike and the need for resilient supply chains.

India sits at the intersection of these trends. Defence modernisation, rising domestic production, localisation and greater private-sector participation are expanding the opportunity for Indian aerospace & defence companies.

At the same time, global OEMs are increasingly looking to India as a qualified, cost-competitive and diversified manufacturing base.

What is structurally driving the opportunity



Scale: India is one of the world’s largest defence spenders, creating a large and growing domestic demand base.

Private participation: The growing role of private industry is broadening opportunities for companies across the aerospace & defence value chain.

Self-reliance: India’s historically high dependence on defence imports creates a significant opportunity for localisation and import substitution.

Investment: Rising defence capital expenditure is expanding procurement opportunities across platforms, systems and components.

Indigenisation: Government policy increasingly favours Indian-made defence solutions, driving a structural shift towards domestic capability.

Key catalysts

Domestic procurement: A growing share of defence procurement is shifting towards Indian companies, expanding the addressable market for domestic industry.

Import substitution and exports: India is replacing imported defence products while building capabilities for international programmes.

Defence modernisation: Modernisation across the armed forces is sustaining demand for advanced platforms, systems and components.

Counter-drone demand: The proliferation of unmanned systems is creating new requirements for indigenous detection, electronic warfare and counter-drone capabilities.

Technology transfer and localisation: Global aerospace & defence companies are increasingly seeking Indian manufacturing, engineering and supply-chain capacity.

Where the opportunity lies

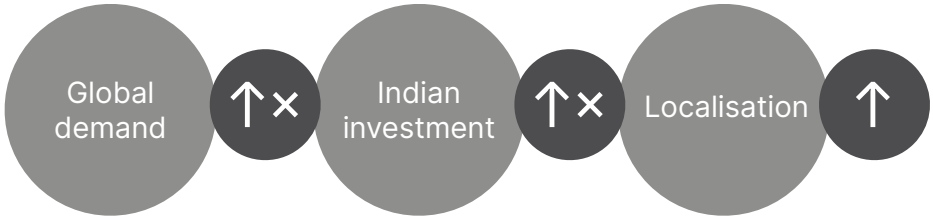
Aerospace: Rising air travel, fleet renewal and aircraft production are supporting demand across aerostructures, engine components, MRO and mission systems.

Guided systems & sensors: Precision-strike requirements are supporting demand across missiles, radar, electronic warfare and related systems.

Avionics & mission systems: Increasing platform complexity is expanding demand for sophisticated avionics, electronics and embedded systems.

Supply-chain sovereignty: OEMs are seeking reliable, qualified and scalable suppliers capable of supporting resilient global supply chains.

The opportunity



India is not simply increasing defence spending - it is building a domestic aerospace & defence industry.

The global aerospace & defence opportunity

1+
USD Trillion, combined annual revenue of the top 100 global aerospace & defence companies in 2025.

846
USD Billion, projected global aerospace market by 2035.

+46%
Industry operating profit growth in 2025.

+50%
Growth in global defence backlogs across three years.

30.7
USD Billion, India's aerospace & defence market size.

1.78
Rs. Lakh Crore, India's defence production in FY 25–26.

The implication for Sigma

A larger, more technology-intensive and increasingly local market is creating demand for companies that can combine engineering, qualification, manufacturing and programme execution.

‘Platform’: The word that explains how Sigma participates

Sigma Advanced Systems is positioned across technology, manufacturing and global programme access

Overview

Sigma has assembled capabilities across the aerospace & defence value chain, spanning defence engineering, proprietary technology, precision manufacturing, qualification and global market access.

Its engineering and systems capabilities support mission-critical solutions, while manufacturing operations across India and the UK provide qualified production capacity. The UK operations bring established aerospace relationships, certifications, delegatory approvals and programme credentials; India provides competitive manufacturing economics and access to a growing domestic defence market. AS Strategic extends access to European defence markets and international programme opportunities.

Together, these capabilities allow Sigma to address customer requirements across components, sub-assemblies, systems and products, rather than remaining limited to individual build-to-print activities.

A global platform, rooted in India

India

India provides Sigma with scale, a deep engineering talent pool, competitive manufacturing economics and access to a growing domestic defence market.

UK & Europe

The UK and Europe provide customer proximity, established aerospace relationships, recognised certifications and valuable programme credentials.

US

The US provides a route into the world's largest aerospace and defence market.

International footprint

Sigma has an established international export footprint across the globe.

Global teaming agreements

Sigma's eight global teaming agreements create multiple pathways to new programmes and opportunities to increase workshare.

Sigma's strengths

1. Deep defence engineering heritage

- 30+ years of defence engineering experience since 1994
- Capabilities spanning UAVs, counter-drone systems, missile guidance, radar, electronic warfare, avionics and naval sub-systems
- In-house hardware and software engineering, including FPGA and SoC development since 2019

2. Proprietary technology and systems capability

- Proprietary technologies including SkyOS, WeaponFusion and HyperMind Computing
- In-house R&D spanning autonomous systems, weapons integration and AI-enabled mission planning
- Engineering capabilities supporting the development of mission-critical defence solutions

3. Scaled precision manufacturing

- 300,000+ sq. ft. of manufacturing infrastructure across eight locations in India and the UK
- Precision manufacturing capabilities serving aerospace and defence programmes
- Indian manufacturing footprint providing scalable and competitive production capacity

4. Tier-1 aerospace qualifications

- Certifications and approvals including Nadcap, AS9100, ISO 9001, ISO 45001, EASA, EASA Part 21G, JOSCAR and Cyber Essentials
- UK delegatory approvals supporting faster transfer of qualified work into India
- Established qualifications supporting participation in demanding aerospace programmes

5. Long-standing customer relationships

- Defence relationships spanning DRDO, HAL, Bharat Dynamics and the Indian Air Force
- Global aerospace relationships including Rolls-Royce, Airbus, Boeing, GE, Safran and Eaton
- Global defence relationships including BAE Systems, Lockheed Martin, MBDA, Rheinmetall and Siemens

6. International programme access

- Export footprint spanning multiple countries
- 8 global teaming agreements creating pathways to new programmes and customers
- Access to international aerospace and defence programmes, supporting opportunities to expand workshare over time

The positioning



→ A platform capable of supporting customers across more of the aerospace & defence value chain.



Strategy

‘Mission-critical’: The two words that define our customer relationships

Overview

In aerospace and defence, qualification is only the beginning of the customer relationship. Once a supplier is embedded in a mission-critical programme, it develops programme-specific knowledge, engineering expertise and a track record of quality and reliability that can be difficult to replicate.

These factors can create barriers to switching and support deeper, longer-term relationships.

As programmes evolve, trusted suppliers can take on greater technical responsibility and a broader share of the value chain.

For Sigma, this creates a pathway from individual components and build-to-print parts towards assemblies, sub-systems, systems and higher-value programme workshare. Existing qualifications and customer relationships can therefore support increasing participation over the programme lifecycle.

Our prestigious clientele

Sigma is trusted across India’s defence establishment and the world’s leading aerospace and defence majors. The company addresses a global customer base that reflects the reach of Sigma’s platform.

Our global aerospace customers

Rolls-Royce: British aero-engine manufacturer and one of the world’s leading suppliers of propulsion systems for commercial and defence aircraft.

Airbus: European multinational aerospace corporation and one of the two dominant global commercial aircraft manufacturers.

Boeing: American multinational aerospace corporation and a leading manufacturer of commercial jets, with a defence and space division as well.

General Electric: American multinational conglomerate whose aerospace division is a major global producer of jet engines.

Safran: French multinational aerospace company and a major supplier of aircraft engines, equipment, and interiors.

Eaton: American multinational power management company supplying electrical, hydraulic, and aerospace components to aircraft OEMs.

The value: *Tier-1 manufacturing credentials and delegated approvals via Nasmyth’s UK track record, paired with a lower-cost India base that qualified work can transfer into within months.*



Our Indian defence system customers

Defence Research and Development Organisation: India's premier state defence R&D organisation, developing military technology across missiles, aeronautics, and electronics for the Indian Armed Forces.

Hindustan Aeronautics Limited: India's largest state-owned aerospace and defence manufacturer, building aircraft, helicopters, and avionics for the Indian military.

Bharat Dynamics Limited: Indian defence PSU specialising in guided missile systems, underwater weapons, and allied defence equipment.

Indian Air Force: India's air arm of the armed forces and end-user of avionics, guidance, and platform sub-systems.

The value: *Indigenous, mission-critical engineering and proprietary intellectual property - positioning Sigma as a partner for import substitution and self-reliance, not a licensed assembler.*

Our global defence

BAE Systems: British multinational defence, security, and aerospace company, one of the world's largest defence contractors.

Lockheed Martin: American aerospace and defence corporation, a leading global manufacturer of military aircraft and weapons systems.

Rheinmetall BAE Systems Land: UK-based joint venture between Rheinmetall and BAE Systems focused on land defence vehicles and systems.

MBDA: European missile systems developer, a joint venture of Airbus, BAE Systems, and Leonardo.

Rheinmetall: German defence and automotive technology company, a major European supplier of military vehicles, weapons, and ammunition.

Siemens: German multinational technology conglomerate whose industrial and electronics capabilities also serve defence and infrastructure programmes.

The value: *Access to India's manufacturing scale, defence budget and offset obligations, plus European and NATO-linked programme entry via AS Strategic - a route to diversify supply chains and scale capacity cost-effectively.*

Why mission-critical relationships can compound in value

Qualification: Mission-critical applications require rigorous qualification, creating barriers to supplier replacement.

Integration: Embedded design, engineering and production create programme-specific knowledge that is difficult to replicate.

Reliability: For mission-critical applications, continuity and demonstrated reliability are important alongside price.

Longevity: Aerospace and defence platforms can operate for 15–20+ years, creating opportunities beyond the initial award.

Relationships: Long-standing relationships with organisations including DRDO, HAL, Bharat Dynamics, Rolls-Royce and Lockheed Martin provide programme-level credibility.

Expansion: Existing qualifications and relationships can create opportunities to progress from components to assemblies, sub-systems and higher-value content.

The compounding path to durable value creation

ENTER
Proprietary technology + qualified Tier-1 capabilities → Programme qualification

EXPAND
Deepen OEM and defence relationships → Greater workshare

UPGRADE
Engineering + advanced manufacturing → Higher-value content

SCALE
Global footprint + programme replication → More programmes

COMPOUND
Qualification + integration + reliability → Longer programme participation

Evidence of the model

90%+
International share of order book

Up to 8 years
Maximum stated contract duration

30+ years
Defence engineering heritage

Tier-1
Aerospace manufacturing credentials

4-6 months
Indicative qualified-work transfer timeline into India





Business **model**

‘Integrated’: The operative word at our company

We are building a vertically integrated aerospace & defence platform.

Overview

Integration is designed to shorten the distance between customer requirement and engineering solution, qualification and production, creating a connected route from opportunity to delivery.

The Group combines engineering, proprietary technology, aerospace qualification and precision manufacturing, connecting Sigma Advanced Systems’ defence expertise, Nasmyth’s UK aerospace credentials and AS Strategic’s European market access with India’s engineering talent and competitive manufacturing capacity.

The objective is not merely to own more companies. It is to build a stronger, more capable aerospace & defence platform.

Why vertical integration matters

Faster execution

Fewer organisational hand-offs between engineering, qualification and manufacturing.

Greater control

Closer coordination of quality, schedules and programme execution.

Deeper programme participation

Engineering capability can support movement beyond build-to-print activities.

Stronger economics

A greater proportion of the value chain can remain within the Group.

Three complementary businesses

The Sigma Group brings together three businesses with distinct but complementary roles across the aerospace & defence value chain.

Sigma Advanced Systems

Engineering, systems & proprietary technology

- Three decades of defence engineering experience
- Relationships with DRDO, HAL, Bharat Dynamics and the Armed Forces
- Capabilities spanning UAVs, counter-drone systems, missile guidance, radar, electronic warfare, avionics and naval sub-systems
- Proprietary technologies including SkyOS, WeaponFusion and HyperMind Computing

Nasmyth

Tier-1 aerospace manufacturing & qualification

- Established relationships with global aerospace OEMs
- UK manufacturing capability
- Aerospace certifications and delegatory approvals
- Pathway to transfer qualified work into India in approximately 4–6 months

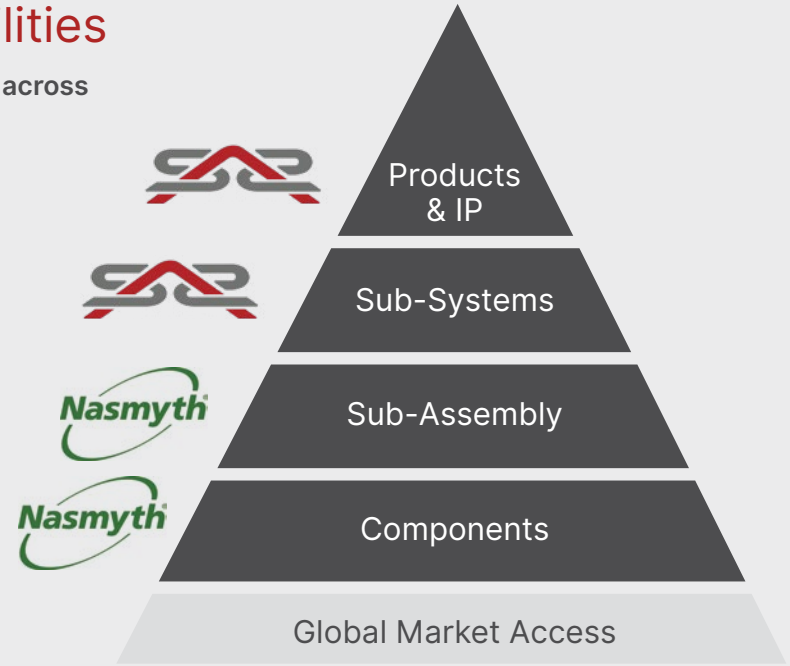
AS Strategic

European defence market access

- European defence partnerships and joint ventures
- Teaming agreements with global OEMs
- Access to European and NATO-linked programme opportunities

One platform, connected capabilities

Distinct capabilities connected across the programme lifecycle.



Sigma Advanced Systems	Nasmyth UK	India's manufacturing capacity	AS Strategic + global network
Proprietary technology enables differentiated solutions and new product opportunities.	Qualifications and customer credentials provide access to demanding aerospace & defence programmes.	Scalable and cost-competitive production capacity supports qualified work at scale.	European presence creates routes to additional customers and international programmes.



Business **enabler**

‘World-class’: The assurance for which customers keep coming back to Sigma

Overview

In aerospace and defence, customers do not come back simply because a supplier has capacity. They come back because the supplier has earned confidence.

That confidence is built through the unglamorous disciplines that sit behind every successful programme: precision that holds specification, processes that repeat, quality systems that leave nothing to chance, certifications that withstand scrutiny and people who understand that a small deviation can have consequences far beyond the factory floor.

Sigma is bringing these disciplines together across India and the UK. Its objective is not merely to manufacture more, but to create a globally credible manufacturing network in which specialist capabilities, customer proximity and India’s scale reinforce one another.

The result is a proposition that becomes stronger as the network grows: established aerospace credentials, a widening manufacturing footprint and the ability to deliver complex work with the consistency that mission-critical programmes demand.

Through Nasmyth, Sigma is already embedded in the global aerospace ecosystem, serving customers including GE Aerospace, Airbus, Boeing, Lockheed Martin, RBSL, BAE Systems, Rolls-Royce and Safran. More than 6,000 complex components and assemblies are manufactured across the network, with India becoming an increasingly important engine of future scale.

Manufacturing footprint

A globally dispersed manufacturing network is valuable not because it puts factories in more places, but because it puts the right capability in the right place.

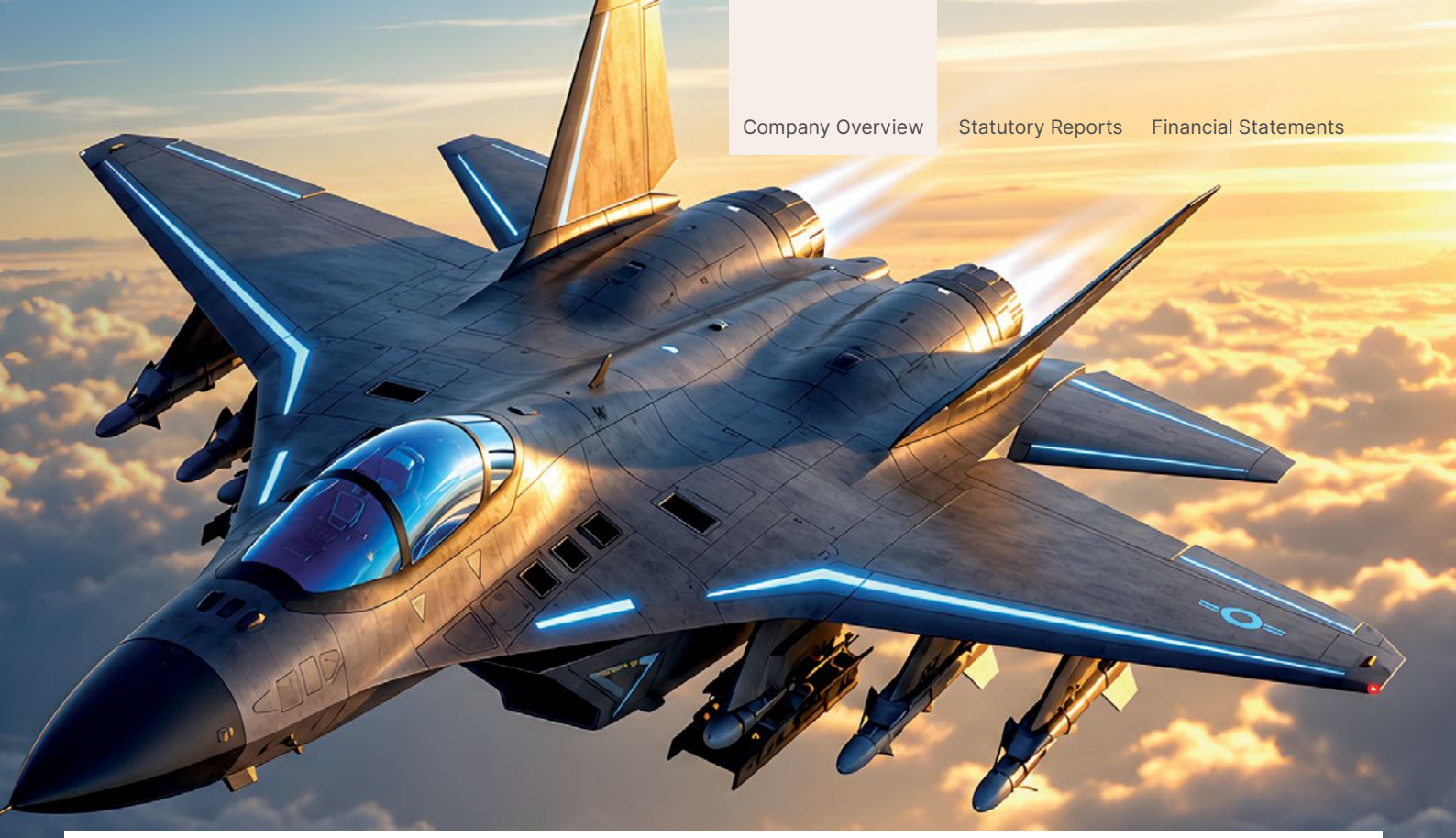
Aerospace programmes require a wide range of specialised processes - precision machining, complex fabrication, welding, surface treatment and assembly - as well as the ability to work with demanding materials and geometries. No single facility needs to do everything. A stronger network connects specialist facilities so that each can contribute its particular strength while the customer experiences one coordinated manufacturing partner.

That diversity also creates resilience. Capacity can be balanced, specialised processes can be shared and the Group can respond more flexibly as programmes evolve. The footprint is therefore not simply geographic expansion; it is an operating advantage.

Sigma’s manufacturing network is evolving across India and the UK, combining established aerospace capability and customer proximity with global certifications and the scale and economics of India.

Hyderabad: Sigma’s Hyderabad campus brings together defence R&D, engineering, manufacturing, testing, and quality, providing the foundation on which the Indian manufacturing base is being built.

Bangalore: Bangalore extends Sigma’s Indian manufacturing base,



adding precision machining capacity and access to one of India's strongest engineering talent pools.

Sri City: Sri City represents the next stage of Sigma's Indian expansion - a purpose-built aerospace facility designed to provide global-standard manufacturing at scale and support the transfer of qualified programmes from the UK.

Bulwell: Bulwell provides advanced machining for demanding aerospace materials and complex components, strengthening Sigma's depth in high-value precision manufacturing.

GEB: GEB adds specialised surface-treatment capabilities, allowing Sigma to control more stages of the aerospace production process within its own network.

Henton: Henton extends the network into larger and more demanding components, strengthening Sigma's ability to serve complex aerospace applications.

Coventry: Coventry adds precision fabrication capabilities across structural components and specialist materials, complementing the wider UK manufacturing network.

Ferndown: Ferndown brings together fabrication, welding, machining and assembly, enabling Sigma to take on increasingly integrated manufacturing requirements.

IEC: IEC adds downstream assembly and machining capability, allowing Sigma to participate further along the production chain - from individual components to completed sub-assemblies.

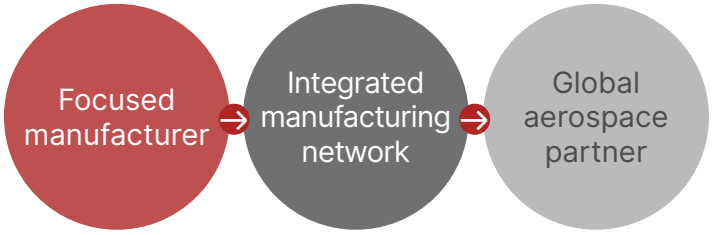
Outlook

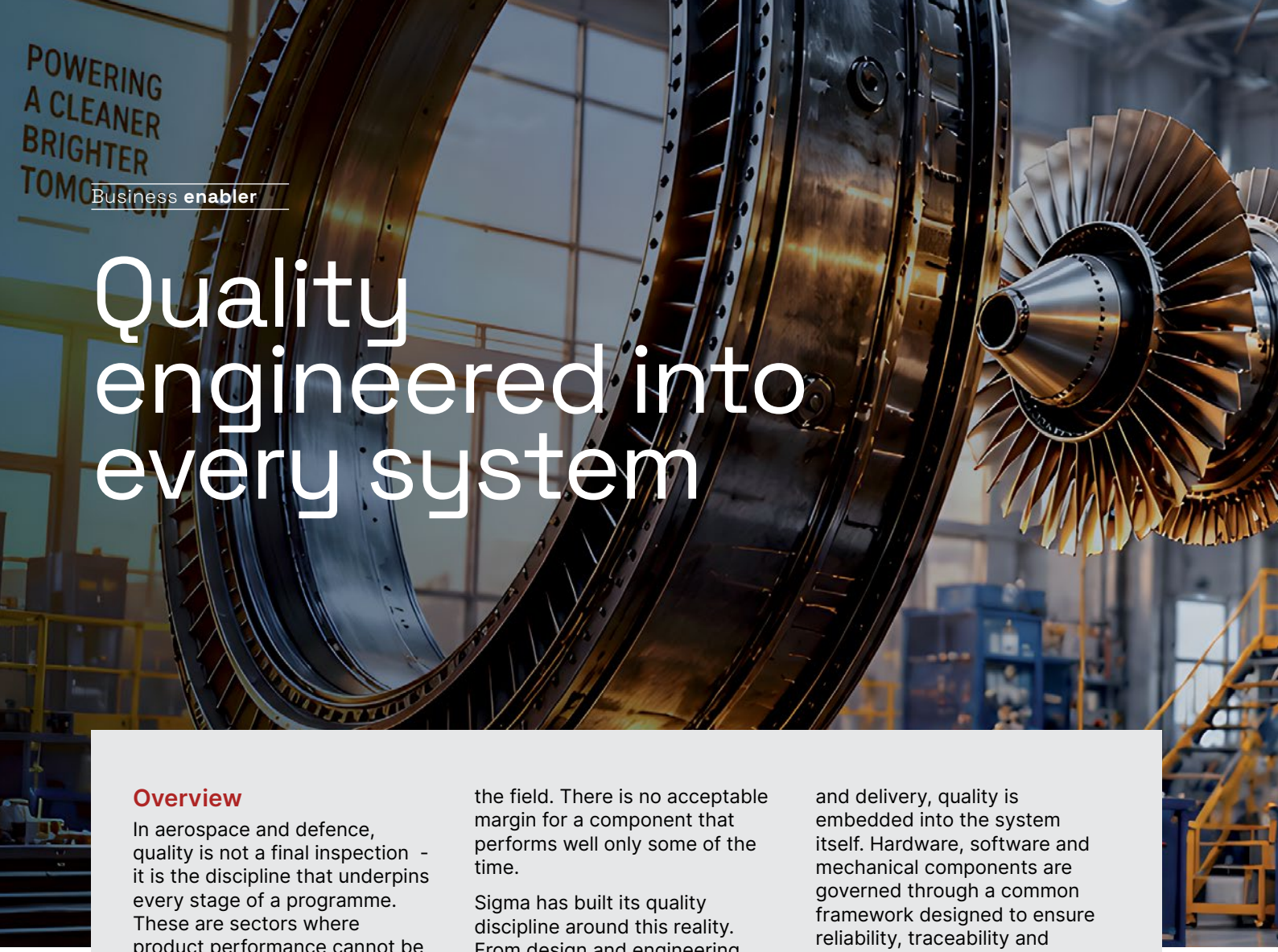
Sigma's manufacturing strategy is designed around a simple principle: build where the economics are strongest, stay close to the customer and continuously increase the value captured from each programme.

As Sri City comes online, qualified programmes can increasingly move from the established UK network to India, combining Nasmyth's aerospace pedigree with India's cost, talent and scale advantages.

With 90%+ of the current order book international and contracts extending up to eight years, Sigma is building more than manufacturing capacity. It is creating a network designed to grow with global aerospace customers, deepen workshare and increase its participation in programmes over time.

Sigma's evolution





Business **enabler**

Quality engineered into every system

Overview

In aerospace and defence, quality is not a final inspection - it is the discipline that underpins every stage of a programme. These are sectors where product performance cannot be assumed; it has to be proven repeatedly before it is trusted in the field. There is no acceptable margin for a component that performs well only some of the time.

Sigma has built its quality discipline around this reality. From design and engineering through validation, production and delivery, quality is embedded into the system itself. Hardware, software and mechanical components are governed through a common framework designed to ensure reliability, traceability and performance throughout a programme's life.

Why quality matters

Conditions

Combat, extreme environments and remote deployment leave no room for failure.

Irreplaceable

Failed systems cannot simply be recalled, patched or replaced.

Costs

Quality lapses go beyond rework and warranty claims.

Consequences

A failure can occur at the exact moment a system is needed

Certification

Quality issues can put an entire programme's certification at risk.

Trust

A single failure can damage customer relationships built over years.

Opportunity

In aerospace and defence, trust is the entry ticket to every new programme.

Quality

It must be designed into the process, not checked at the end.

Impact

By final inspection, the cost of a defect - in money, schedule and trust - has already been paid.



Our competitive advantages

Quality by design: Quality begins before manufacturing. Engineering analysis, reliability assessment, risk management and tailored quality plans are built into the design process, creating confidence before a product reaches production.

Prove before deployment: Sigma's in-house environmental testing infrastructure allows systems to be tested against the extremes they may encounter in service - including temperature, humidity, vibration and mechanical shock - before they are trusted in the field.

One system of control: Product safety, critical components, counterfeit-part prevention and risk management are governed across the complete product lifecycle, creating consistency from the first design decision to final delivery.

Global standards, one benchmark: AS9100D, ISO 9001 and UKAS-certified systems provide a common quality foundation across Sigma's aerospace and defence operations, reinforced by a broad set of international aerospace and defence credentials.

Trusted where the stakes are highest: Sigma's established relationships with DRDO laboratories and Defence PSUs, alongside CEMILAC certification experience and global aerospace approvals, demonstrate the ability to operate to the standards demanded by mission-critical programmes.

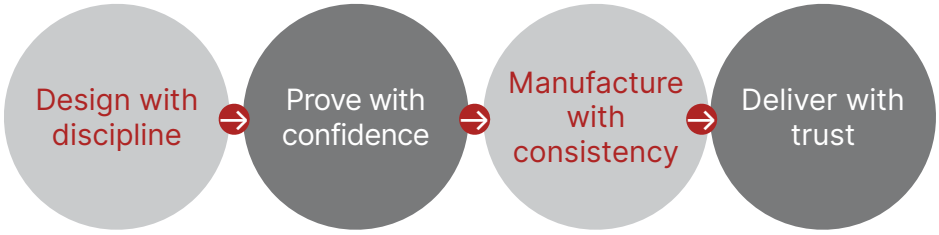
A culture of continuous improvement: Quality is sustained through disciplined processes, data-led decisions, employee ownership and continuous improvement - ensuring that standards rise as Sigma scales.

Outlook

As Sigma expands its aerospace and defence operations, a consistent quality standard becomes increasingly important.

The same discipline that governs a mission-critical product today will govern the next facility, the next programme and the next generation of systems. As qualified work moves from the UK to India and Sigma expands its manufacturing footprint, a common quality framework will allow the business to scale while maintaining the reliability and assurance customers expect.

Sigma's commitment to quality





Business **enabler**

Deepening our capability through Research & Development

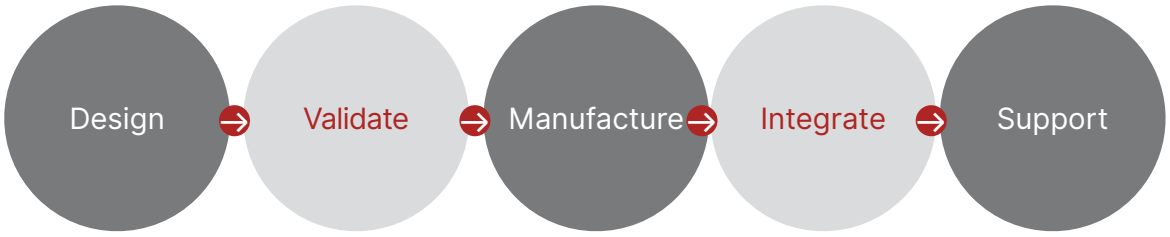
Overview

In aerospace and defence, no single component wins a programme - the ability to engineer the whole system does. Complex electronics, embedded software, mechanical design, testing and manufacturing all have to work together, and R&D is what makes that integration possible.

Sigma possesses that capability in-house. Its R&D organisation brings together defence electronics, embedded software, aerospace design, testing, fixture development and reverse engineering - allowing Sigma to take a customer requirement through design, validation, manufacture and lifecycle support rather than handing it off at each stage to a different partner.

This gives Sigma greater control over the product lifecycle, greater scope to solve engineering problems beyond build-to-print manufacturing and a route from being a manufacturing supplier to becoming a technology and systems partner.

From engineering capability to capability



The ambition is not to build only what the customer specifies, but to build the engineering capability that can meet what the requirement demands - today's and the future's.



R&D matters in defence

Defence and aerospace programmes reward depth, not scale alone. A few reasons R&D is the differentiator in this sector specifically:

Beyond build-to-print: R&D lets Sigma move from manufacturing to design, development and validation - taking on more of a programme's engineering scope, not just its production volume.

Fewer hand-offs, more control: With design, testing, fixture development and manufacturing sitting inside one organisation, ideas move to production without being re-interpreted at every handover - which matters when tolerances and requirements are unforgiving.

Validate before you manufacture: In-house testing catches problems at the design stage, when they are cheap to fix, rather than at the production stage, when they are not.

Technology agnostic by design: Experience spanning hardware, FPGA and embedded software lets Sigma work inside whatever architecture a customer's programme is built on, instead of being confined to one.

Extending programme life: Reverse engineering and lifecycle support let Sigma keep legacy and obsolete systems supportable long after original production has ended - a capability defence customers value as much as new development.

A route to proprietary IP: The same R&D foundation used to solve customer requirements can be turned toward Sigma-owned technologies and products, opening a path to higher-value, differentiated offerings over time.

Outlook

Sigma's R&D capability is becoming the connective tissue of its aerospace and defence platform - linking technology, engineering, manufacturing and lifecycle support.

As Sigma deepens its relationships with global customers and expands its manufacturing footprint, this integrated engineering base provides the foundation to take on greater responsibility, capture more value within each programme and develop proprietary systems of its own.

Building our foundations into the next phase of growth

Overview

Sigma has built the foundations. The next phase is about turning that foundation into momentum - scaling with discipline, investing for returns and building the capabilities to capture a greater share of the opportunity ahead.

With an established aerospace and defence presence, growing manufacturing capabilities and deeper relationships with global customers, Sigma is entering a phase where execution becomes as important as expansion. The focus is on converting the strengths already in place into greater scale, stronger competitiveness and deeper participation in customer programmes.

Strategic priorities

Scale India manufacturing:

Sri City is on track to commence operations in Q3 FY 27, followed by NDT capabilities in Q4 FY 27, accelerating the transfer of qualified programmes from the UK to India and creating a scalable manufacturing base.

Expand manufacturing economics

The transfer-of-work programme targets EBITDA improvement of 2–4% by the end of FY 26-27, with a further 4–6% through FY 27-28, supported by dual sourcing, delegatory approvals and backfilling UK capacity with defence programmes.

Deepen global aerospace relationships

A long-term agreement with Rolls-Royce valued at approximately Rs. 3,800 Crore, alongside the Bromford acquisition, strengthens Sigma's position within the global aerospace ecosystem and Rolls-Royce supply chain.

Modernise the UK base

Targeted investment in UK facilities, focused on automation and process optimisation, is designed to unlock efficiencies while supporting capacity and programme growth.

Expand global market access

Establishing a footprint in the US and strengthening Sigma's presence across the UK and Europe will deepen access to global aerospace OEMs and broaden the international customer base.

Broaden the value chain

Expanding into adjacent capabilities such as forgings and composites will increase Sigma's participation across the aerospace value chain and strengthen its position as an integrated manufacturing partner

Corporate Information

Board of Directors

Lt. Gen. Raju Somashekar Baggavalli,
Non-Executive, Independent Director

Amb.Dr.Venkata Nagendra Prasad Thatipamula,
Non-Executive Independent Director

Ms. Leona Ambuja,
Non-Executive Director

Mr. Kartheek Raju Chintalapati,
Non-Executive Director

Mr. Sunil Kumar Kalidindi,
Executive Director &
Chief Executive Officer

Mr. Cheemarla Damodar Reddy,
Whole-Time Director

Mr. Kalyan Vijay Sivalenka,
Non-Executive, Independent Director

Dr. Uma Garimella,
Non-Executive, Independent Director

Mr. Suryanarayana Raju Nandyala,
Non-Executive, Independent Director

Chief Financial Officer

Mr. Shridhar Thathachary

Company Secretary and Compliance Officer

Mr. Krishna Chaitanya Sadhu,
appointed w.e.f. 25 May 2026

Mr. Thakur Vishal Singh,
resignation w.e.f. 24 May 2026

Statutory Auditors

M/s. N. C. Rajagopal & Co.,
Chartered Accountants Office
No.22, Krishnaswamy Avenue
Mylapore Road, Opposite Mylapore Club
Chennai 600 004, Tamil Nadu, India

Secretarial Auditor

M Damodaran
M/s. M Damodaran & Associates LLP MDA Towers,
New No.6, Old No.12, Appavoo Gramani
1st Street, Mandaveli, Chennai-600028

Bankers

ICICI Bank Limited

Registered Office

No.43/1(#129 to #140), Prestige Palladium,
8th Floor, Greams Road, Nungambakkam,
Chennai – 600006, Tamil Nadu, India.

Corporate Office

Survey No 1/1 Plot No 24/A Hardware Park
Srisailam Road Kancha Imarat, Raviryala Village
Maheswaram Mandal, Hyderabad - 501510,
Telangana, India

Registrars and Share Transfer Agents

Cameo Corporate Services Limited,
Subramanian Building, No. 1 Club House
Road Chennai- 600002, Tamil Nadu, India

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Director's Report

To,
The Members,

Your Directors have pleasure to present their Report of your Company on the business and operations for the year ended 31 March 2026.

FINANCIAL HIGHLIGHTS:

(₹ in lakhs)

Particulars	Standalone		Consolidated	
	For the year ended 31 March 2026	For the year ended 31 March 2025	For the year ended 31 March 2026	For the year ended 31 March 2025
Revenues from operations	15,764.16	10,735.60	49,187.74	10,735.60
Other Income	22,943.58	4,157.03	29,580.43	4,222.79
Expenditure	13,907.03	9,184.08	44,400.15	9,252.56
Finance cost	990.14	1,985.90	1,971.93	1,985.95
Depreciation	411.93	486.85	1,449.17	486.85
Operating profit/ (loss)	455.06	(921.23)	1,366.49	(989.76)
Profit before Exceptional items and Tax	**23,398.64**	**3,235.81**	**30,946.92**	**3,233.03**
Exceptional Items	0.00	0.00	(1,050.17)	0.00
Profit before tax	23,398.64	3,235.81	29,896.75	3,233.03
Less: Taxes	3,335.73	706.13	3,338.35	706.13
Profit after tax	20,062.91	2,529.67	26,558.40	2,526.90
Share of Profit /(Loss) of Associate	-	-	245.92	(3,925.36)
Profit/(Loss) for the period	**20,062.91**	**2,529.67**	**26,804.31**	**(1,398.46)**
Other Comprehensive Income/ (Loss)	13.29	5.68	54.02	5.68
Total Comprehensive Income	20,076.20	2,535.35	26,858.33	(1,392.78)
Share of Other Comprehensive Income from Associate	-	-	5.10	(702.36)
Total Comprehensive Income (includes Associates Comprehensive income)	**20,076.20**	**2,535.35**	**26,863.43**	**(2,095.14)**
Earnings per share				
(equity shares, par value Rs. 10 each)				
Basic (Rs.)	11.38	1.44	15.21	(0.79)
Diluted (Rs.)	11.38	1.44	15.21	(0.79)

OVERVIEW:

During the financial year ended 31 March 2026, your company recorded Standalone Profit of Rs. 20,062.91 lakhs as compared to Rs. 2,529.67 lakhs for the financial year ended 31 March 2025. The consolidated profit was Rs. 26,804.31 lakhs during the current year as compared to Rs. (1,398.46) lakhs Loss in the previous year.

During the year under review, your Company has completed a transformational phase pursuant to the Scheme of Amalgamation ("Scheme") sanctioned by the Hon'ble National Company Law Tribunal, Chennai Bench dated 16 December 2025, Sigma Advanced Systems Private Limited was amalgamated with Megasoft Limited. Consequent to the Scheme the appointed date is 01 April 2024 and the Scheme becoming effective from 31 December 2025

This strategic integration has established a unified aerospace and defence enterprise with end-to-end capabilities spanning design, engineering, precision manufacturing, systems integration and lifecycle support for mission-critical defence and aerospace applications. Your Company continues to strengthen its position as a trusted partner to defence forces, defence public sector undertakings, global original equipment manufacturers (OEMs) and international customers. With a diversified portfolio encompassing aerospace structures, precision engineering, avionics, naval systems, defence electronics, radar systems, communication systems and advanced manufacturing solutions, the Company remains focused on delivering high-quality, technology-driven products that support national security and global defence requirements.

The following are the significant changes with effect of Scheme:

- **Change of Name of the Company from Megasoft Limited to Sigma Advanced Systems Limited with effect from 12 January 2026**
- **Change in Authorised Share Capital of the Company from** Rs. 2,00,00,00,000 (Rupees Two Hundred Crore only) comprising 20,00,00,000 (Twenty Crore) Equity Shares of Rs. 10/- (Rupees Ten) each to Rs. 2,50,00,00,000 (Rupees Two Hundred and Fifty Crore only) comprising 25,00,00,000 (Twenty Five Crore) Equity Shares of Rs. 10/- (Rupees Ten) each.
- Indrajaal Drone Defence India Private Limited has become an Associate Company and Indorus Systems Private Limited has become the Subsidiary Company

CHANGE IN NATURE OF BUSINESS, IF ANY:

During the year under review, your Company undertook significant strategic initiatives to strengthen its global presence, expand manufacturing capabilities and enhance its product portfolio, thereby reinforcing its long-term competitiveness and creating sustainable value for all stakeholders.

Accordingly, the principal business of the Company now comprises the design, development, engineering, precision manufacturing, systems integration and lifecycle support of aerospace and defence products and solutions.

TRANSFER TO RESERVES IN TERMS OF SECTION 134(3) (J) OF THE COMPANIES ACT, 2013

For the financial year ended on 31 March 2026 the Company transferred Rs. 26,804.31 lakhs (Consolidated) to Reserves & Surplus.

DIVIDEND

In view of the Company growth plans, the Board of Directors of the Company do not recommend any dividend.

TRANSFER OF UNCLAIMED DIVIDEND TO INVESTOR EDUCATION AND PROTECTION FUND:

The provisions of Section 125(2) of the Companies Act, 2013 do not apply as there was no dividend declared and paid last year.

SHARE CAPITAL:

a. Authorised Share Capital

During the year under review the Authorized Equity Capital of the Company was increased pursuant to Scheme of Amalgamation, **from** Rs. 2,00,00,00,000 (Rupees Two Hundred Crore only) comprising 20,00,00,000 (Twenty Crore) Equity Shares of Rs. 10/- (Rupees Ten) each to Rs. 2,50,00,00,000 (Rupees Two Hundred and Fifty Crore only) comprising 25,00,00,000 (Twenty Five Crore) Equity Shares of Rs. 10/- (Rupees Ten) each.

b. Paid-up Share Capital:

During the year under review the paid-up equity capital of the Company was increased pursuant to Scheme of Amalgamation **from** Rs. 73,77,00,410 (Rupees Seventy Three Crores Seventy Seven lakhs Four Hundred Ten only) comprising of 7,37,70,041(Seven Crores Thirty Seven Lakhs Seventy Thousand and Forty one only) no. of fully paid Equity shares of face value of Rs. 10 (Rupees Ten only) each to Rs. 1,76,23,97,050 (Rupees One Hundred Seventy-Six Crores Twenty-Three Lakhs Ninety-Seven Thousand and Fifty only) comprising of 17,62,39,705 (Seventeen Crore Sixty-Two Lakhs Thirty-Nine Thousand Seven Hundred and Five Only) fully paid-up Equity Shares of face value of Rs. 10 (Rupees Ten only) each.

Your Company has not issued any shares with differential voting rights, sweat equity shares or bonus shares during the year under review and has not bought back any of its securities during the year.

DIRECTORS AND KEY MANAGERIAL PERSONNEL:

Your Company has received declarations from all the independent directors of the company confirming that they meet the criteria of independence as prescribed under section 149(6) of the Companies Act, 2013 and Schedule IV of the Companies Act, 2013 and Regulation

16(1)(b) of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015.

During the financial year under review, the composition of the Board of Directors was in compliance with the provisions of the Companies Act, 2013 and the SEBI Listing Regulations. During the year, the following changes took place in the composition of the Board:

1. **Mr. Cheemarla Damodar Reddy (DIN: 01643638)** was appointed as Non-Executive, Non-Independent Director with effect from **22 December 2025** and was subsequently re-designated as **Whole-time Director (Executive, Promoter Category)** with effect from **14 February 2026** and subsequently received the shareholders' approval on 20 March 2026
2. **Lt. Gen. Raju Somashekar Baggavalli** (DIN: 11482140) was appointed as Non-Executive, Independent Director with effect from **16 January 2026** and subsequently received the shareholders' approval on 15 April 2026
3. **Mr. Kartheek Raju Chintalapati** (DIN: 02921819) was appointed as Non-Executive, Non-Independent Director with effect from **16 March 2026** and subsequently received the shareholders' approval on 15 April 2026
4. **Amb. Dr. Venkata Nagendra Prasad Thatipamula (DIN: 11499183)** was appointed as Additional Director (Non-Executive, Independent) **w.e.f. 16 March 2026** subsequently received the shareholders' approval on 15 April 2026

BOARD MEETINGS:

The Board of Directors met **Twelve (12)** times during the financial year. Also, a separate meeting of Independent Directors as prescribed under Schedule IV of the Act, was held during the year under review. For details of the meetings of the Board and its Committees, please refer to the Corporate Governance Report forming part of this Report. The provisions of Companies Act, 2013 and Regulation 17(2) of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, Secretarial Standard - 1 issued by The Institute of Company Secretaries of India were adhered to in respect of meeting of Board of Directors of the company.

COMPLIANCE WITH SECRETARIAL STANDARDS:

During the year under review, the provisions of Secretarial Standard – 1 (Board Meetings) and 2 (General Meetings) issued by the Institute of Company Secretaries of India (ICSI) were adhered to while conducting the respective Meetings.

NOMINATION & REMUNERATION POLICY:

The Board had, on the recommendation of the Nomination & Remuneration Committee, framed a policy for selection and appointment of Directors, Senior Management and their remuneration. The Remuneration Policy is available on the website of the company at https://sigmaadvsys.com/investors-services/corporate-governance/ and the terms of reference are given separately in the Corporate Governance Report, which forms an integral part of this Annual Report.

BOARD EVALUATION:

The Board, in accordance with the applicable provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, carried out an annual evaluation of its performance, the performance of individual Directors and the effectiveness of its committees. The evaluation process, including the criteria and methodology adopted, is described in the Corporate Governance Report, which forms an integral part of this Annual Report.

PERFORMANCE EVALUATION CRITERIA FOR INDEPENDENT DIRECTORS:

The Nomination and Remuneration Committee has laid down the criteria for evaluating the performance of the Independent Directors in accordance with the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The evaluation was based on various parameters, including participation and contribution in Board and Committee deliberations, commitment and attendance, application of knowledge, skills and expertise, integrity, experience and proficiency, exercise of independent judgment, safeguarding of confidentiality, adherence to ethical standards, and overall contribution towards effective corporate governance.

DIRECTORS' RESPONSIBILITY STATEMENT:

To the best of their knowledge and belief and according to the information and explanations obtained by them, your Directors make the following statements in terms of section 134(3)(c) of the Companies Act, 2013:

i. in the preparation of the annual financial statements for the year ended 31 March 2026, the applicable accounting standards had been followed along with proper explanations relating to material departures, if any;

ii. the Directors selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company as at the end of the financial year and of the profit/loss of the company for the year;

iii. the Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company

and for preventing and detecting fraud and other irregularities;

iv. the Directors had prepared the annual accounts on a "going concern basis";

v. the Directors, had laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively; and

vi. the Directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

SIGNIFICANT CORPORATE DEVELOPMENTS:

During the financial year under review, the following were the significant Corporate Developments:

- Setting up of a Wholly Owned Subsidiary ("WoS") in the United Kingdom (UK). Pursuant thereto, the Company successfully incorporated its WoS under the name **Sigma Advanced Systems UK Ltd** on 18 July 2025
- Sigma Advanced Systems UK LTD, had signed a Share Purchase Agreement for acquisition of 100% Stake (Shareholding) in Nasmyth Group Limited, UK on 27 October 2025 and the said acquisition was completed on 31 October 2025
- The corporate office and the place of keeping the books of accounts and other relevant papers of the company was changed from "8th Floor, Unit No. 801 B, Jain Sadguru Image's Capital Park, Plot No. 1, 28 & 29, 98/4/1 to 13, Image Gardens Rd, Madhapur, Hyderabad, Telangana 500081 Telangana, India" to "Survey No 1/1, Plot No 24/A, Hardware Park, Srisailam Road, Kancha Imarat, Raviryala Village, Maheswaram Mandal, Hyderabad, 501510 Telangana, India w.e.f. 16 January 2026.
- The Registered Office of the Company was changed from "No. 85, Kutchery Road, Mylapore, Chennai, Tamil Nadu, India, 600 004" to "No. 43/1 (#129 to #140), Prestige Palladium, 8th Floor, Greams Road, Nungambakkam, Chennai, 600 006, Tamil Nadu, India" within the local limits of the city, w.e.f. 16 January 2026
- The Share Subscription and Purchase Agreement for Investment / Acquisition of AS Strategic Private Limited was executed on 10 February 2026 and the same was completed after the end of Financial Year.

OUTLOOK:

A detailed discussion on the performance of the company, industry outlook, opportunities, risks and concerns, future outlook and strategy is given separately in the Management's Discussion and Analysis section, which forms a part of this annual report.

ENERGY CONSERVATION, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO:

Pursuant to the provisions of Section 134(3)(m) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Accounts) Rules, 2014, the particulars relating to conservation of energy, technology absorption and foreign exchange earnings and outgo are furnished below:

a) Conservation of Energy

The Company continues to focus on the efficient utilization of energy and natural resources across its operations. During the year under review, the Company undertook various initiatives to improve energy efficiency, optimize resource consumption and promote environmentally sustainable practices.

The key measures undertaken include:

- Continuous monitoring and optimization of energy consumption across operational facilities.
- Use of energy-efficient lighting systems, electrical equipment and utility infrastructure.
- Preventive maintenance of plant, machinery and utilities to enhance operational efficiency and reduce energy losses.
- Encouraging responsible energy consumption through operational controls and employee awareness initiatives.

The Company remains committed to adopting sustainable practices and continuously exploring opportunities for improving energy efficiency across its operations.

b) Technology Absorption

The Company continues to strengthen its technological capabilities through continuous innovation, adoption of advanced engineering practices and enhancement of its manufacturing processes. During the year, emphasis was placed on improving product quality, operational efficiency and engineering excellence through the adoption of modern technologies and process improvements.

The Company also continued to invest in employee training and skill development to facilitate effective utilization of new technologies and strengthen its research, design, engineering and manufacturing capabilities.

c) Foreign Exchange Earnings and Outgo

The details of foreign exchange earnings and outgo during the financial year under review are provided in Note No. 35 forming part of the Standalone Financial Statement

PARTICULARS OF CONTRACTS OR ARRANGEMENTS WITH RELATED PARTIES UNDER SECTION 188 OF THE COMPANIES ACT, 2013

All related party transactions entered into during the financial year under review were in the ordinary course of business and on an arm's length basis. The Company did not enter into any materially significant related party transaction with its Promoters, Directors, Key Managerial Personnel or other related parties that could have a potential conflict with the interests of the Company or its stakeholders.

All related party transactions are placed before the Audit Committee for its review and approval in accordance with the applicable provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Board has, on the recommendation of the Audit Committee, adopted a Policy on Related Party Transactions to regulate transactions between the Company and its related parties. The Policy is in compliance with the provisions of the Companies Act, 2013, the rules made thereunder and Regulation 23 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time. The said Policy is available on the Company's website https://sigmaadvsys.com/investors-services/corporate-governance/ .

The Details of related Party Transaction on arm's length basis has been annexed as **'Annexure-1'** appended hereto and which forms an integral part of this Annual Report

PARTICULARS OF LOANS, INVESTMENTS & GUARANTEE:

Your Company has passed a special resolution under Section 186 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder to make investments, give loans, guarantees and security up to a limit not exceeding Rs. 800 crores (Rupees Eight Hundred crores) over and above the aggregate of the paid-up capital and free reserves (that is to say, reserves, not set apart for any specific purpose) of the Company

Details of Loans, Investments and Guarantees covered under the provisions of Section 186 of the Companies Act, 2013 are given in Note no. 36 of the Notes forming part of the standalone financial statements of the company.

RISK MANAGEMENT:

The Company has established a comprehensive and proactive Risk Management Framework to identify, assess, monitor, and mitigate risks that may have an impact on its business operations, financial performance, or strategic objectives. The framework facilitates a systematic evaluation of risks based on their likelihood of occurrence and potential impact, thereby enabling the Company to prioritize risks and implement appropriate mitigation measures in a timely manner.

While risk mitigation has always been an integral part of the Company's business practices, the increasing complexity of the business environment and evolving regulatory landscape have necessitated a more structured, consistent, and well-documented approach to risk management.

The primary objective of the Risk Management Framework is to strengthen the Company's resilience, safeguard stakeholder interests, support sustainable business growth, and ensure preparedness to effectively respond to emerging risks and uncertainties.

The Audit, Risk Management and Compliance Committee, chaired by Mr. Kalyan Vijay Sivalenka, oversees the Company's risk management processes. The Committee periodically reviews the risk matrix, assesses the adequacy and effectiveness of mitigation measures, and provides relevant updates and recommendations to the Board of Directors.

The Company remains committed to fostering a strong risk-aware culture across the organisation by enhancing risk awareness, strengthening internal processes, and continuously improving its risk identification, assessment, monitoring, and mitigation mechanisms

INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY:

The Company has established a robust internal control framework comprising appropriate policies, processes, and procedures to safeguard its assets, ensure operational efficiency, maintain accuracy and reliability of financial reporting, and ensure compliance with applicable statutory, regulatory, contractual, and internal requirements.

The Audit Committee, in coordination with the Internal Auditor, periodically reviews the adequacy and effectiveness of the internal control systems. Identified gaps, if any, are appropriately evaluated and corrective measures are undertaken to strengthen the control environment.

INTERNAL FINANCIAL CONTROL WITH REFERENCE TO THE FINANCIAL STATEMENTS:

The Company has in place adequate internal financial controls with reference to financial statements. During

the year no material weakness in the design or operation was observed.

VIGIL MECHANISM/WHISTLE BLOWER POLICY:

The Company is committed to maintaining the highest standards of ethical conduct, integrity, transparency, and accountability across all levels of its operations. In furtherance of this commitment, the Company has

established a formal Vigil Mechanism, also referred to as the Whistle Blower Policy, to provide a structured and confidential channel for employees and other stakeholders to report any actual or suspected instances of unethical conduct, misconduct, violation of applicable laws or regulations, or other activities that may adversely affect the interests of the Company.

The Vigil Mechanism is intended to foster an environment of openness and responsible reporting, wherein individuals are encouraged to raise genuine concerns in good faith without fear of retaliation, victimisation, intimidation, or harassment. The mechanism facilitates the appropriate review and investigation of reported concerns and supports the Company in ensuring that its business activities and conduct remain consistent with the principles of honesty, fairness, integrity, and professional responsibility.

The Policy forms an integral part of the Company's overall corporate governance framework and demonstrates its commitment to preventing, identifying, and addressing unethical practices and misconduct, while promoting a culture of transparency, accountability, and responsible business conduct.

Details of the Vigil Mechanism and procedures for reporting concerns are outlined in the Corporate Governance Report, and the full policy is available on the Company's website at: https://sigmaadvsys.com/investors-services/corporate-governance/

ENHANCING SHAREHOLDER VALUE:

The Company remains focused on creating sustainable and long-term value for its shareholders through a balanced approach to growth, operational excellence, and prudent capital management. During the year, the Company continued to undertake strategic initiatives aimed at strengthening revenues, improving cost efficiencies, and deploying capital towards projects that offer sustainable and attractive returns.

The Company remains committed to maintaining financial discipline and evaluating appropriate measures for capital allocation, including dividends and share buybacks, as may be considered suitable. The Company has also continued to strengthen its governance framework and enhance transparency in its operations and disclosures, thereby fostering greater stakeholder confidence.

The Board will continue to closely monitor the Company's performance, financial position, and strategic priorities to ensure that business decisions remain aligned with the interests of shareholders and support sustained value creation over the long term.

SUBSIDIARIES, ASSOCIATES AND JOINT VENTURE COMPANIES:

The Company has following Subsidiaries & Associates as on year end

List of Subsidiaries:

1) Velapan Systems Private Limited
2) Indorus Systems Private Limited
3) Sigma Advanced Systems UK Limited

Subsidiaries of Sigma Advanced Systems UK Limited:

i. Nasmyth Group Ltd

Subsidiaries of Nasmyth Group Ltd

i. Nasmyth Bulwell Ltd
ii. Nasmyth Asia (IN) Private limited
iii. Nasmyth Technologies Ltd
iv. Nasmyth IEC Ltd
v. Nasmyth Doughty Ltd
vi. GEB Surface Treatments Ltd
vii. Nasmyth Coventry Ltd
viii. Nasmyth Enterprises Ltd
xi. Nasmyth Henton Ltd
x. Nasmyth Industries Ltd
xi. C&M 2016 Ltd
xii. Nasmyth Engineering Ltd
xiii. Nasmyth Composites Ltd
xiv. Nasmyth West Middlesex Plating Company Ltd
xv. Professional Welding Services Ltd

Subsidiaries of Nasmyth Bulwell Ltd:

i. L.M.D. Process Ltd
ii. Swift & Wass Ltd
iii. Excel Calibration & Test Ltd

List of Associate:

1. Indrajaal Drone Defence India Private Limited

PERFORMANCE AND FINANCIAL POSITION OF EACH OF THE SUBSIDIARIES, ASSOCIATES AND JOINT VENTURE COMPANIES INCLUDED IN THE CONSOLIDATED FINANCIAL STATEMENT:

The Consolidated Financial Statements relate to the Company's subsidiaries as stated above. The Financial Statements of the Subsidiaries covered in the Consolidation process are drawn up to the same reporting date as that of the Company i.e., 31 March 2026. The Financial Statements of the Company and its Subsidiaries have been combined on a line-by-line basis by adding together like-items of assets, liabilities, income and expenses, after eliminating intra-group balances, intra-group transactions and resulting unrealized profits or losses, unless cost cannot be recovered. The

statement pursuant to Section 129 of the Companies Act, 2013 in respect of subsidiaries and associates is annexed as '**Annexure-2'**, which forms an integral part of this Annual Report.

DEPOSITS:

The Company has neither raised nor renewed any Deposits as on 31 March 2026 or received any other monies construed to attract the provisions of Section 73 of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014 as amended from time to time.

ANNUAL RETURN:

The Annual Return pursuant to the provisions of Section 92(3) of Companies Act, 2013 read with Rule 12 of the Companies (Management and administration) Rules, 2014 can be accessed at https://sigmaadvsys.com/investors-services/financials-reports/

AUDITORS:

STATUTORY AUDITORS:

M/s. N.C. Rajagopal & Co., Chartered Accountants (Firm Registration No. 003398S), were appointed as the Statutory Auditors of the Company at the 22nd Annual General Meeting to hold office until the conclusion of the 27th Annual General Meeting of the Company.

The Statutory Auditors have confirmed their eligibility under Sections 139 and 141 of the Companies Act, 2013 and that they satisfy the criteria relating to independence prescribed under the Companies Act, 2013 and the Code of Ethics issued by the Institute of Chartered Accountants of India. The Statutory Auditors also continue to hold a valid Peer Review Certificate issued by the Peer Review Board of the ICAI

INTERNAL AUDITOR:

Mr. Vijay Parthasarathy of M/s. Vijay R & Co (FCA-235012), Chartered Accountants, performed the duties of Internal Auditors of the Company and their reports are reviewed by the audit committee from time to time.

SECRETARIAL AUDITOR:

M/s. M. Damodaran & Associates LLP, (COP-5081/FCS-5837), were appointed as the Secretarial Auditors of the Company at the 25th Annual General Meeting to hold office until the conclusion of the 30th Annual General Meeting of the Company.

The Secretarial Auditors' Report, in the prescribed format, for the year ended 31 March 2026 is annexed as '**Annexure-3',** which forms an integral part of this Annual Report.

ANNUAL SECRETARIAL COMPLIANCE REPORT:

Pursuant to the provisions of Regulation 24A of the SEBI (LODR) Regulations, 2015 the Board of Directors of the Company have appointed M/s. M. Damodaran & Associates LLP, (COP-5081/FCS-5837), Practicing Company Secretary to undertake the Audit of Annual Secretarial Compliance of the Company for the year ended 31 March 2026. The Annual Secretarial Compliance Report is annexed as **'Annexure- 4',** which forms an integral part of this Annual Report.

CORPORATE GOVERNANCE:

A report on Corporate Governance as per Schedule V of SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, is annexed as **'Annexure-5,** which forms an integral part of this Annual Report.

MANAGEMENT DISCUSSION AND ANALYSIS:

A detailed report relating to the Management Discussion and Analysis has been annexed herewith as **'Annexure -6',** which forms an integral part of this Annual Report.

DETAILS IN RESPECT OF FRAUDS REPORTED BY AUDITORS OTHER THAN THOSE WHICH ARE REPORTABLE TO THE CENTRAL GOVERNMENT:

During the year under review, the Statutory Auditors of the Company have not reported any frauds to the Audit Committee or to the Board of Directors as prescribed under Section 143(12) of the Companies Act, 2013 and rules made thereunder.

DETAILS OF SIGNIFICANT & MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNAL IMPACTING THE GOING CONCERN STATUS AND COMPANY'S OPERATIONS IN FUTURE:

GST:

The company has filed a Writ Petition in 2023 before the Hon'ble High Court of Telangana challenging notifications relating to taxation of Joint Development transactions under which the Central GST authorities made a claim / demand. The company has also filed Writ Petition in October 2024 in the matter of order from the State GST relating to the same subject matter. The matter is sub-judice. Further, the above case has no impact on the going concern status and company's operations in future.

Income Tax:

(a) The Income Tax Department has gone on appeal against the order of the ITAT dated 21.09.2022 in ITA No.733/CHNY/2017 which was in favour of the Company. (b) The company has filed an appeal before CIT(A) in respect of order dated 21.03.2024 in respect of issue of disallowances of Capital Losses. (c) The company has filed an appeal before CIT(A) in respect of order dated 03.03.2025 in respect of penalty demand on Refund (d) The company has filed an appeal before CIT(A) in respect of order dated 27.03.2026 in respect of issue of disallowances of Business Expenses (e) The company has filed an appeal before CIT(A) in respect of order dated 06.05.2026 in respect of issue of disallowances of Business Expenses

Further, the above case has no impact on the going concern status and company's operations in future.

MATERIAL CHANGES FROM END OF FINANCIAL YEAR TO DATE OF THIS REPORT:

- **Preferential Issue:**

  Your Company undertook fund raising activity through preferential issue of equity shares to eligible investors to the tune of about Rs. 460 crores and added 1,32,56,760 equity shares to the paid up equity capital. Further, 4,32,777 equity shares were issued for consideration other than cash. These allotments were made in accordance with the provisions of the Companies Act, 2013, the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 and other applicable laws.

  Consequent to the above allotment of equity shares, the paid-up equity share-capital of the Company increased to 1,89,92,89,520 (Rupees One Hundred Eighty-Nine Crore Ninety-Two Lakh Eighty-Nine Thousand Five Hundred Twenty Only) comprising of 18,99,28,952 (Eighteen Crore Ninety-Nine Lakh Twenty-Eight Thousand Nine Hundred Fifty-Two Only) equity shares of Rs. 10 each

- **Acquisitions:**
  - Your Company has acquired 76% equity stake in AS Strategic Private Limited as below:
    - Tranche 1 - 51% stake on 20 April 2026
    - Tranche 2 - 25% stake on 04 August 2026
  - Your Company has acquired 100% Stake (Shareholding) in Bromford Precision Solutions Limited in the United Kingdom on 22 July 2026

Except as disclosed elsewhere in this report, there have been no other material changes and commitments, that has occurred between the end of the financial year of the Company and date of this report which can affect the financial position of the Company.

HUMAN RESOURCES:

The Company considers its employees as one of its most valuable assets and remains committed to fostering a professional, inclusive and supportive work environment, with focus on employee engagement, skill development, training and career growth.

Pursuant to the Scheme all employees of Sigma Advanced Systems Private Limited in employment as on the Effective Date have become employees of the Company, without any break or interruption in service and with continuity of service, on terms and conditions not less favourable than those applicable to them prior to the Effective Date.

The Company has also recognised the uninterrupted past services of such employees for the purpose of computation and payment of compensation, gratuity and other terminal benefits, as and when payable.

The Company's human resource practices are designed to encourage merit-based performance, employee engagement, accountability and continuous capability development, while ensuring compliance with applicable labour laws and organisational policies. The Company also strives to provide a safe, inclusive and supportive workplace that promotes employee well-being and professional development.

As on 31 March 2026, the industrial relations remained cordial and harmonious

PARTICULARS OF EMPLOYEES:

There are no employees falling within the provisions of section 134(3)(q) of the Companies Act, 2013 read with Rule 5(2) and 5(3) of The Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

EMPLOYEE STOCK OPTION SCHEME:

The company has not issued any employee stock option during the year under review.

DISCLOSURE AS PER SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013:

Your company has in place an Anti-Sexual Harassment Policy in line with the requirements of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The Internal Complaints Committee ("ICC") has been set up to redress the complaints received regarding sexual harassment. All employees are covered under this policy.

(a) number of complaints of sexual harassment received in the year: **Nil**

(b) number of complaints disposed off during the year: **Nil**

(c) number of cases pending for more than ninety days: **Nil**

(d) during the year under review the ICC has not received any complaints.

STATEMENT BY THE COMPANY WITH RESPECT TO THE COMPLIANCE WITH THE MATERNITY BENEFIT ACT, 1961:

The Company has complied with the provisions of the Maternity Benefit Act, 1961 and the rules made thereunder, as amended from time to time. Appropriate policies and procedures are in place to ensure that eligible women employees are provided maternity benefits and other statutory entitlements in accordance with the applicable legal requirements. The Company remains committed to fostering a safe, inclusive and equitable workplace for all its employees.

AUDITORS CERTIFICATE ON CORPORATE GOVERNANCE:

Your Company has obtained a certificate relating to compliance of conditions of Corporate Governance for the year ended 31 March 2026, as stipulated in terms of Regulation 34(3) and Schedule V of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015. from N.C. Rajagopal & Co. Statutory Auditors, is annexed herewith as 'Annexure -7', which forms an integral part of this Annual Report

CORPORATE SOCIAL RESPONSIBILITY:

The provisions for corporate social responsibility ("CSR") under the Companies Act, 2013, are applicable to the company for the current financial year. The Company had incurred CSR expenditure of Rs. 18,06,697 during the financial year 2025-26. The Annual Report on CSR activities is annexed herewith as **'Annexure-8',** which forms an integral part of this Annual Report.

The Chief Financial Officer of the Company has furnished the certificate under Rule 4 of the Companies (CSR) Rules, 2014.

THE DETAILS OF APPLICATION MADE OR ANY PROCEEDING PENDING UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016 DURING THE YEAR ALONG WITH THEIR STATUS AS AT THE END OF THE FINANCIAL YEAR:

During the financial year, no application was made by or against the Company or any proceeding is pending under the Insolvency and Bankruptcy Code, 2016 (31 of 2016).

DISCLOSURE ABOUT THE DIFFERENCE BETWEEN THE AMOUNT OF THE VALUATION EXECUTED AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE AVAILING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS ALONG WITH THE REASONS THEREOF:

During the year ended under the review, no such settlements and valuation were undertaken and no loans were availed from the Banks or Financial Institutions.

LISTING OF EQUITY SHARES:

The Company's equity shares are listed on the following Stock Exchanges:

BSE Limited (BSE),	**National Stock Exchange of India Limited (NSE),**
BSE Scrip Code [532408]	NSE [SIGMAADV]
Address: Phiroze JeeJeebhoy Towers, Dalal Street, Mumbai – 400 001, Maharashtra, India.	Address: Exchange Plaza, Floor 5, Plot No. C/1, G Block, Bandra – Kurla Complex, Bandra (East), Mumbai – 400 051, Maharashtra, India.

The Company has paid the annual listing fees to the said stock exchanges for the financial year 2026-27.

MAINTENANCE OF COST RECORDS SPECIFIED BY THE CENTRAL GOVERNMENT UNDER SECTION 148 OF THE COMPANIES ACT, 2013:

The Central Government has not prescribed the maintenance of cost records under sub section (1) of section 148 of the Companies Act, 2013 for the products/services of the company.

ACKNOWLEDGMENTS:

The Board of Directors places on record its sincere appreciation and gratitude to the shareholders, customers, bankers, investors, regulatory authorities, Central and State Governments, statutory and secretarial auditors, Registrar and Share Transfer Agent, vendors, technology partners and all other stakeholders for their continued trust, guidance and support extended to the Company during the year.

The Board also acknowledges the commitment, dedication and valuable contribution of the employees across all levels, whose collective efforts have been instrumental in driving the Company's growth, operational excellence and sustained progress.

The Board looks forward to the continued support, confidence and cooperation of all stakeholders as the Company continues its journey of growth, innovation and value creation in the years ahead.

For and on behalf of Board of Directors of
Sigma Advanced Systems Limited
(Formerly Megasoft Limited)

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Sd/-
Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Place: Hyderabad
Date: 08 September 2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

"Annexure-1"

Form No. AOC-2

(Pursuant to clause (h) of sub-section (3)of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the company with relat- ed parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arms length transactions under third proviso thereto

1. Details of contracts or arrangements or transactions not at arm's length basis: **Not Applicable**
   a) Name(s) of the related party and nature of relationship
   b) Nature of contracts/arrangements/transactions
   c) Duration of the contracts / arrangements/transactions
   d) Salient terms of the contracts or arrangements or transactions including the value, if any
   e) Justification for entering into such contracts or arrangements or transactions
   f) date(s) of approval by the Board
   g) Amount paid as advances, if any:
   h) Date on which the special resolution was passed in general meeting as required under first proviso to section 188
2. Details of material contracts or arrangement or transactions at arm's length basis: **During the year, none of the transactions were material in nature.**
   a) Name(s) of the related party and nature of relationship
   b) Nature of contracts/arrangements/transactions
   c) Duration of the contracts / arrangements/transactions
   d) Salient terms of the contracts or arrangements or transactions including the value, if any:
   e) Date(s) of approval by the Board, if any:
   f) Amount paid as advances, if any:

For and on behalf of Board of Directors of
Sigma Advanced Systems Limited
(Formerly Megasoft Limited)

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Sd/-
Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Place: Hyderabad
Date: 25 May 2026

"Annexure-2"

Form AOC-1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of subsidiaries or associate companies or Joint ventures

Part A Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs.)

1. S. No. **1**
2. Name of the subsidiary – **Sigma Advanced Systems UK Limited**
3. The date since when subsidiary was acquired / Incorporated – **18 July 2025**
4. Reporting period for the subsidiary concerned, if different from the holding company's reporting period. - **Yes**
5. Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries. - **GBP**
6. Share capital – **Rs. 0.12 Lakh**
7. Reserves and surplus - **Rs. (553.52 Lakhs)**
8. Total assets – **Rs. 72,486.17 Lakhs**
9. Total Liabilities - **Rs. 73,039.58 Lakhs**
10. Investments-**0**
11. Turnover – **33,422.58 Lakhs**
12. Profit before taxation – **Rs. (104.96 Lakhs)**
13. Provision for taxation – **0**
14. Profit after taxation– **Rs. (107.56 Lakhs)**
15. Proposed Dividend - **0**
16. Extent of shareholding (in percentage) – **100%**

Notes: The following information shall be furnished at the end of the statement:

1. Names of subsidiaries which are yet to commence operations - **NA**
2. Names of subsidiaries which have been liquidated or sold during the year. - **NA**

Part A Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs.)

1. S. No. **2**
2. Name of the subsidiary - **Velapan Systems Private Limited**
3. The date since when subsidiary was acquired / Incorporated – **10 March 2022**
4. Reporting period for the subsidiary concerned, if different from the holding company's reporting period. - **No**
5. Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries. - **NA**
6. Share capital – **Rs. 66.00 Lakhs**
7. Reserves and surplus - **Rs. (202.87 Lakhs)**
8. Total assets – **Rs. 28.80 Lakhs**
9. Total Liabilities - **Rs. 165.67 Lakhs**
10. Investments- **0**
11. Turnover - **0**
12. Profit before taxation – **Rs. (191.81 Lakhs)**
13. Provision for taxation – **0**
14. Profit after taxation– **Rs. (191.81 Lakhs)**
15. Proposed Dividend - **0**
16. Extent of shareholding (in percentage) – **100%**

Notes: The following information shall be furnished at the end of the statement:

1. Names of subsidiaries which are yet to commence operations - **NA**
2. Names of subsidiaries which have been liquidated or sold during the year. - **NA**

Part A Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs.)

1. S. No. **3**
2. Name of the subsidiary – **Indorus Systems Private Limited**
3. The date since when subsidiary was acquired / Incorporated – **26 March 2025**
4. Reporting period for the subsidiary concerned, if different from the holding company's reporting period. - **No**
5. Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries. - **NA**
6. Share capital – **Rs. 1.00 Lakh**
7. Reserves and surplus - **Rs. (0.85 Lakhs)**
8. Total assets – **Rs. 0.51 Lakhs**
9. Total Liabilities - **Rs. 0.37 Lakhs**
10. Investments- **0**
11. Turnover – **1 Lakhs**
12. Profit before taxation – **Rs. 0.07 Lakhs**
13. Provision for taxation – **0**
14. Profit after taxation – **Rs. 0.04 Lakhs**
15. Proposed Dividend - **0**
16. Extent of shareholding (in percentage) – **51%**

Notes: The following information shall be furnished at the end of the statement:

1. Names of subsidiaries which are yet to commence operations - **NA**
2. Names of subsidiaries which have been liquidated or sold during the year. - **NA**

Part B Associates and Joint Ventures

Statement pursuant to Section 129 (3) of the Companies Act, 2013
related to Associate Companies and Joint Ventures

	Name of Associates or Joint Ventures	Details Indrajaal Drone Defence India Private Limited
1.	**Latest Balance Sheet Date**	March, 2026
2.	**Date on which the Associate or Joint Venture was associated or acquired**	31 December 2024
3.	**Shares of Associate or Joint Ventures held by the company on the year end**	37.81%
	Number of Shares	2,43,480
	Amount of Investment in Associates or Joint Venture	Rs. 835 Lakhs
	Extent of Holding (in percentage)	37.81%
4.	**Description of how there is significant influence**	Not Applicable
5.	**Reason why the associate/Joint venture Is not consolidated.**	Consolidated as an Associate
6.	**Net worth attributable to shareholding as per latest audited Balance Sheet**	Rs. 2503.93 Lakhs
7.	**Profit or Loss for the year**	Rs. 650.40 Lakhs
	i) Considered in Consolidation (In proportion to the Company's Shareholding)	Rs. 245.92 Lakhs
	ii) Not Considered in Consolidation	Not Applicable

1. Names of associates or joint ventures which are yet to commence operations. - NA
2. Names of associates or joint ventures which have been liquidated or sold during the year. - Extrovis AG

As per our Report of even date attached

For and on behalf of Board of Directors of
Sigma Advanced Systems Limited
(Formerly known as Megasoft Limited)

for N.C.Rajagopal & Co.
Chartered Accountants
Firm Registration No: 003398S

Sd/-
Arjun S.
Membership No: 230448
Place: Hyderabad
Date: 25 May 2026

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Sd/-
Shridhar Thathachary
Chief Financial Officer

Sd/-
Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Sd/-
Krishna Chaitanya Sadhu
Company Secretary &
Compliance Officer

"Annexure-3"

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31 MARCH 2026

(Pursuant to section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 and Regulation 24A (1) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members,
SIGMA ADVANCED SYSTEMS LIMITED
(Formerly known as Megasoft Limited)
CIN: L24100TN1999PLC042730
Registered Office:
No. 43/1 (# 129 to # 140), Prestige Palladium,
8th Floor, Greams Road, Nungambakkam,
Chennai - 600006, Tamil Nadu, India.

We, M Damodaran & Associates LLP, Practicing Company Secretaries, Chennai have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **SIGMA ADVANCED SYSTEMS LIMITED** (Formerly known as Megasoft Limited) (hereinafter called 'the Company'). The Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on **31 March 2026** ('Audit Period'), complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31 March 2026 according to the provisions of:

(i) The Companies Act, 2013 (the Act) and the rules made thereunder;

(ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;

(iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed there under;

(iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;

(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') wherever applicable; including amendment/ re-enactment made thereto:

a) Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;

b) Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;

c) Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;

d) Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act, dealing with client;

e) Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018;

f) Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR');

(vi) Other laws, as may be applicable specifically to the company – NIL.

We have also examined compliance with the applicable Clauses of the following:

i. The Listing Agreements entered into by the Company with the National Stock Exchange of India Limited ('NSE') and BSE Limited ('BSE') under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and

ii. Secretarial Standard -1 (SS-1) for Board Meeting and Secretarial Standard -2 (SS-2) for General Meeting issued by The Institute of Company Secretaries of India (ICSI).

During the audit period under review, the Company has complied with the applicable provisions of the Acts, Rules, Regulations, Circulars, Notifications, Guidelines, Secretarial Standards, etc. mentioned above subject to the following:

a. During the quarters ended 30 September 2025 and 31 December 2025, the Company had 5 directors against the minimum requirement of 6 under Regulation 17(1)(c) of SEBI LODR, for which BSE and NSE levied fine of Rs. 4,60,000 (Base Fine) + GST @ 18% - Rs. 82,800, Total Rs. 5,42,800/- each separately and were duly paid, and subsequently the Company complied with the requirement by appointing Mr. Cheemarla Damodar Reddy (DIN: 01643638) as an Additional Director w.e.f. 22 December 2025

We further report that the Board of Directors of the Company is duly constituted with proper balance of Executive, Non-Executive and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice was given to all directors to schedule the Board and Committee Meetings. Agenda and detailed notes on agenda were sent at least seven days in advance for meetings other than those held at shorter notice with the consent of all the Directors, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting. As per the minutes of the meetings duly recorded and signed by the respective Chairman, the decisions of the Board were unanimous and no dissenting views have been recorded.

We further report that there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

We further report that during the audit period, **the board of directors** of the Company, inter alia, considered and approved;

i. at its meeting held on 01 July 2025, the sale of Sigma Advanced Systems Limited's (formerly Megasoft Limited's) 36.52% stake in Extrovis AG, Switzerland. The Company received the full sale consideration of USD 15 million (approximately Rs. 137.61 Crores) on 12 March 2026.

ii. at its meeting held on 16 July 2025, incorporation of a wholly owned subsidiary in the United Kingdom, and accordingly, Sigma Advanced Systems UK LTD was incorporated on 18 July 2025.

iii. at its meeting held on 18 October 2025, entering into a loan agreement with Sigma Advanced Systems UK LTD, a wholly owned subsidiary of the Company, for up to GBP 20 million (approximately Rs. 240 crores) in one or more tranches.

iv. at its meeting held on 24 October 2025,

a. acquisition of Nasmyth Group, UK by Sigma Advanced Systems UK LTD, a wholly owned subsidiary of the Company, for up to GBP 19 million (approximately Rs. 228 crores).

v. Pursuant to the Circular Resolution passed on 22 December 2025, Mr. Cheemarla Damodar Reddy (DIN: 01643638) was appointed as an Additional Director (Non-Executive, Non-Independent) of the Company, and was subsequently re-designated as Whole-Time Director (Executive, Promoter Category) for a term of five consecutive years with effect from 14 February 2026 .

vi. noted/approved, at its meeting held on 02 January 2026,

a. Pursuant to the NCLT, Chennai Bench order dated 16 December 2025 sanctioning the Scheme of Amalgamation between Sigma Advanced Systems Private Limited and Sigma Advanced Systems Limited (formerly Megasoft Limited), the Company noted the resulting change in group structure and, consequent thereto, approved the extension of corporate guarantees in favour of Secure Trust Bank PLC, Thyssenkrupp Materials (UK) Limited, and Blaenavon Forgings Limited on behalf of Nasmyth Group aggregating to the specified limits

vii. Approved/noted, at its meeting held on 16 January 2026,

a. appointment of Mr. Raju Somashekar Baggavalli (DIN: 11482140) as Additional Director (Non-Executive, Independent) for five years w.e.f. 16 January 2026;

b. allotment of 10,24,69,664 fully paid equity shares of Rs. 10 each pursuant to the Scheme of Amalgamation;

c. shifting of the corporate office and books of accounts to a new address in Hyderabad w.e.f. 16 January 2026;

d. shifting of the registered office within Chennai w.e.f. 16 January 2026; and

e. change of the Company's name from Megasoft Limited to Sigma Advanced Systems Limited

w.e.f. 12 January 2026, along with consequential changes to statutory records and materials.

viii. considered and approved, at its meeting held on 31 January 2026, the acquisition of a 51% stake in AS Strategic Private Limited for Rs. 20 crores, and a Share Purchase Agreement was executed on 10 February 2026.

ix. considered and approved, through Circular Resolution passed on 16 March 2026,

a. the appointment of Amb. Dr. Venkata Nagendra Prasad Thatipamula (DIN: 11499183) as Additional Director (Non-Executive, Independent) for a period of 5years and Mr. Kartheek Raju Chintalapati (DIN: 02921819) as Additional Director (Non-Executive, Non-Independent) of the Company, both effective 16 March 2026

We further report that during the audit period the shareholders of the Company, inter alia, had;

i. passed a special resolution through postal ballot under applicable provisions of the Companies Act, 2013 and SEBI LODR Regulations, approving the sale/transfer of 100% shareholding in its associate company i.e., Extrovis AG, Switzerland to Refex Life Sciences Private Limited for an aggregate consideration of USD 15 million in one or more tranches.

ii. passed following resolutions through postal ballot on 02 September 2025;

a. passed special resolutions under Sections 180(1)(c), 180(1)(a), and 186 of the Companies Act, 2013, approving enhancement of borrowing limits, creation of charge on assets and authorization to make investments, give loans, guarantees, and security up to Rs. 800 crores over and above the aggregate of the paid-up capital and free reserves (that is to say, reserves, not set apart for any specific purpose) of the Company.

iii. passed ordinary resolution at the Annual General Meeting held on 27 September 2025, appointing M/s. M Damodaran & Associates LLP, Practising Company Secretaries, Chennai, as Secretarial Auditors of the Company for a term of five consecutive years from FY 2025–26 to FY 2029–30

iv. passed special resolution through postal ballot on 20 March 2026, approving the appointment and re-designation of Mr. Cheemarla Damodar Reddy (DIN: 01643638) as Whole-Time Director (Executive, Promoter Category), liable to retire by rotation, for a term of five consecutive years with effect from 14 February 2026.

Place: Chennai
Date: 4 September 2026

For **M DAMODARAN & ASSOCIATES LLP**

M. DAMODARAN
Managing Partner
Membership No.: 5837
COP. No.: 5081
FRN: L2019TN006000
PR 3847/2023
ICSI UDIN: F005837H001372466

(This report is to be read with our letter of even date which is annexed as **Annexure A** and forms an integral part of this report)

Annexure A

To,
The Members,
SIGMA ADVANCED SYSTEMS LIMITED
(Formerly known as Megasoft Limited)
CIN: L24100TN1999PLC042730
Registered Office:
No. 43/1 (# 129 to # 140), Prestige Palladium,
8th Floor, Greams Road, Nungambakkam,
Chennai - 600006, Tamil Nadu, India.

Our Secretarial Audit Report of even date is to be read along with this letter.

1. Maintenance of secretarial records is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on the audit conducted by us.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on a test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and books of accounts of the Company.
4. Wherever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on the test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: Chennai
Date: 04 September 2026

For **M DAMODARAN & ASSOCIATES LLP**

M. DAMODARAN
Managing Partner
FCS No.: 5837
COP. No.: 5081
FRN: L2019TN006000
PR 3847/2023
ICSI UDIN: F005837H001372466

"Annexure-4"

SECRETARIAL COMPLIANCE REPORT OF

SIGMA ADVANCED SYSTEMS LIMITED FOR THE FINANCIAL YEAR ENDED 31 MARCH 2026

(Pursuant to Regulation 24A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI Master Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated 30 January 2026)

We have conducted the review of the compliance of the applicable statutory provisions and the adherence to good corporate practices by **SIGMA ADVANCED SYSTEMS LIMITED** (Formerly known as Megasoft Limited) (hereinafter referred as "the listed entity"), having its Registered Office at No. 43/1 (# 129 to # 140), Prestige Palladium, 8th Floor, Greams Road, Nungambakkam, Chennai – 600 006, Tamil Nadu, India. Secretarial Review was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and to provide our observations thereon.

Based on our verification of the Listed entity's books, papers, minutes books, forms and returns filed and other records maintained by the listed entity and also the information provided by the listed entity, its officers, agents and authorized representatives during the conduct of Secretarial Review, we hereby report that the listed entity has, during the review period covering the financial year ended on **31 March 2026** complied with the statutory provisions listed hereunder in the manner and subject to the reporting made hereinafter:

We, M Damodaran & Associates LLP Practicing Company Secretaries, Chennai have examined:

a) all the documents and records made available to us and explanation provided by the listed entity,

b) the filings/ submissions made by the listed entity to the stock exchanges,

c) website of the listed entity,

d) any other document/ filing, as may be relevant, which has been relied upon to make this certification,

for the year ended **31 March 2026** ("Review Period") in respect of compliance with the provisions of:

i. the Securities and Exchange Board of India Act, 1992 ("SEBI Act") and the regulations, circulars, guidelines issued thereunder; and

ii. the Securities Contracts (Regulation) Act, 1956 ("SCRA"), rules made there under and the regulations, circulars, guidelines issued thereunder by the Securities and Exchange Board of India ("SEBI");

The specific Regulations prescribed under the SEBI Act whose provisions and the circulars/guidelines issued thereunder, (wherever applicable), have been examined, include:-

a) Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI LODR')

b) Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018.

c) Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.

d) Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015.

e) Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 2025 regarding the Companies Act and dealing with client.

f) Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018.

g) Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021- Not applicable during the review period.

h) Securities and Exchange Board of India (Buyback of Securities) Regulation, 2018 – Not applicable during the review period.

i) Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021 – Not applicable during the review period.

and based on the above examination, we hereby report that, during the review period:

a. The listed entity has complied with the provisions of the above regulations and circulars/ guidelines issued thereunder, except in respect of matters specified in **Annexure – A.**

b. The listed entity was not required to take any actions as there were no observations made by the Secretarial Auditor in previous year report.

c. The listed entity has taken sufficient steps to address the concerns raised/ observations made by the Secretarial Auditor in the reports pertaining to the periods prior to the previous years.

d. We hereby report that, during the review period the compliance status of the listed entity with the following requirements:

Sr. No.	Particulars	Compliance Status (Yes/ No/NA)	Observations/ Remarks by PCS
1.	**Secretarial Standards:** The compliances of the listed entity are in accordance with the applicable Secretarial Standards (SS) issued by the Institute of Company Secretaries India (ICSI).	Yes	-
2.	**Adoption and timely updation of the Policies:** ▪ All applicable policies under SEBI Regulations are adopted with the approval of board of directors of the listed entity ▪ All the policies are in conformity with SEBI Regulations and has been reviewed & timely updated, as per the regulations/ circulars/ guidelines issued by SEBI.	Yes	-
3.	**Maintenance and disclosures on Website:** ▪ The listed entity is maintaining a functional website. ▪ Timely dissemination of the documents/ information under a separate section on the website. ▪ Web-links provided in annual corporate governance reports under Regulation 27(2) are accurate and specific which re-directs to the relevant document(s)/ section of the website.	Yes Yes Yes	- - -
4.	**Disqualification of Director:** None of the Director(s) of the listed entity are disqualified under Section 164 of Companies Act, 2013 as confirmed by the listed entity.	Yes	-
5.	**Details related to Subsidiaries of the listed entity have been examined w.r.t.:** Identification of material subsidiary companies. Requirements with respect to disclosure of material as well as other subsidiaries.	Not Applicable Yes	The Listed entity does not have any material subsidiary. -
6.	**Preservation of Documents:** The listed entity is preserving and maintaining records as prescribed under SEBI Regulations and disposal of records as per Policy of Preservation of Documents and Archival policy prescribed under SEBI LODR Regulations, 2015.	Yes	-
7.	**Performance Evaluation:** The listed entity has conducted performance evaluation of the Board, Independent Directors and the Committees at the start of every financial year as prescribed in SEBI Regulations.	Yes	-

Sr. No.	Particulars	Compliance Status (Yes/ No/NA)	Observations/ Remarks by PCS
8.	**Related Party Transactions:** The listed entity has obtained prior approval of Audit Committee for all related party transactions; In case no prior approval obtained, the listed entity shall provide detailed reasons along with confirmation whether the transactions were subsequently approved/ratified/rejected by the Audit Committee.	Yes Not Applicable	- All transactions with related parties were entered after obtaining prior approval of Audit Committee
9.	**Disclosure of events or information:** The listed entity has provided all the required disclosure(s) under Regulation 30 along with Schedule III of SEBI LODR Regulations, 2015 within the time limits prescribed thereunder.	Yes	-
10.	**Prohibition of Insider Trading:** The listed entity is in compliance with Regulation 3(5) & 3(6) of SEBI (Prohibition of Insider Trading) Regulations, 2015.	Yes	-
11.	**Actions taken by SEBI or Stock Exchange(s), if any:** Actions taken against the listed entity/ its promoters/ directors/ subsidiaries either by SEBI or by Stock Exchanges (including under the Standard Operating Procedures issued by SEBI through various circulars) under SEBI Regulations and circulars/ guidelines issued thereunder.	Yes	As per Annexure – A
12.	**Resignation of statutory auditors from the listed entity or its material subsidiaries:** In case of resignation of statutory auditor from the listed entity or any of its material subsidiaries during the financial year, the listed entity and / or its material subsidiary(ies) has / have complied with paragraph 6.1 and 6.2 of section V-D of chapter V of the SEBI Master Circular No. HO/49/14/14(7)2025-CFD POD2/I/3762/2026 dated 30 January 2026 on compliance with the provisions of the LODR Regulations by listed entities.	Not Applicable	No resignation of statutory auditor during the review period
13.	**Disclosure of Employee Benefit Scheme Documents:** The listed entity has complied with the requirements for disclosure of Employee Benefit Scheme Documents in terms of regulation 46(2)(za) of the SEBI LODR as mentioned in Clause 11 of Section VI-L of SEBI Master Circular No. HO/49/14/14(7)2025-CFD- POD2/I/3762/2026 dated 30 January 2026.	Not Applicable	The listed entity does not have any Employee Benefit Schemes
14.	**No additional non-compliances observed:** No additional non-compliance observed under any of the SEBI regulations/circulars/guidance notes etc. except as reported above.	Yes	-

Assumptions & Limitation of scope and Review:

1. Compliance of the applicable laws and ensuring the authenticity of documents and information furnished, are the responsibilities of the management of the listed entity.
2. Our responsibility is to report based upon our examination of relevant documents and information. This is neither an audit nor an expression of opinion.
3. We have not verified the correctness and appropriateness of financial Records and Books of Accounts of the listed entity.
4. This report is solely for the intended purpose of compliance in terms of Regulation 24A (2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and is neither an assurance as to the future viability of the listed entity nor of the efficacy or effectiveness with which the management has conducted the affairs of the listed entity.

Place: Chennai
Date: May 28 2026

For **M DAMODARAN & ASSOCIATES LLP**

M. DAMODARAN
Managing Partner
Membership No.: FCS 5837
COP. No.: 5081
FRN: L2019TN006000
PR 3847/2023
ICSI UDIN: F005837H000518789

Annexure - A

The listed entity has complied with the provisions of the above regulations and circulars/ guidelines issued thereunder, except in respect of matters specified below;

Sr. No.	Compliance Requirement (Regulations/ circulars / guidelines including specific clause)	Regulation/ Circular No.	Deviations	Action Taken by	Type of Action (Advisory/ Clarification/ Fine/Show Cause Notice/ Warning, etc.)	Details of Violation	Fine Amount	Observations/Remarks of the Practicing Company Secretary	Management Response	Remarks
1	As per Regulation 17(1)(c) of SEBI LODR, the board of directors of the top 2000 listed entities shall comprise of **not less than six directors.**	Regulation 17(1)(c) of SEBI LODR	The Board of Directors of the listed entity, during the quarter ended 30.09.2025, comprises of 5 Directors as against the minimum requirement of 6 Directors as per Regulation 17(1)(c) of SEBI LODR.	BSE Limited (BSE) & National Stock Exchange of India Limited (NSE)	Fine	The Board of Directors of the listed entity, during the quarter ended 30.09.2025, comprises of 5 Directors as against the minimum requirement of 6 Directors as per Regulation 17(1)(c) of SEBI LODR.	BSE – Rs. 5,42,800/- (including GST) NSE – Rs. 5,42,800/- (including GST)	The Board of Directors of the listed entity, during the quarter ended 30.09.2025, comprises of 5 Directors as against the minimum requirement of 6 Directors as per Regulation 17(1)(c) of SEBI LODR. BSE & NSE vide its e-mail communication dated November 28, 2025 had levied a fine of Rs. 4,60,000 (Base Fine) + GST @ 18% - Rs. 82,800, Total Rs. 5,42,800/- each separately for violation of Regulation 17(1)(c) of SEBI LODR. Such fine amount has been paid by the listed entity to both the stock exchanges on December 08, 2025.	Subsequently, the listed entity had appointed one Additional Director w.e.f. December 22, 2025 and complied with the requirement of provisions u/r 17 (1) (c) of SEBI LODR.	Nil

Sr. No.	Compliance Requirement (Regulations/ circulars / guidelines including specific clause)	Regulation/ Circular No.	Deviations	Action Taken by	Type of Action (Advisory/ Clarification/ Fine/Show Cause Notice/ Warning, etc.)	Details of Violation	Fine Amount	Observations/Remarks of the Practicing Company Secretary	Management Response	Remarks
2	As per Regulation 17(1)(c) of SEBI LODR, the board of directors of the top 2000 listed entities shall comprise of not less than six directors.	Regulation 17(1)(c) of SEBI LODR	The Board of Directors of the listed entity, during the quarter ended 31.12.2025 from 01.10.2025 to 21.12.2025, comprises of 5 Directors as against the minimum requirement of 6 Directors as per Regulation 17(1)(c) of SEBI LODR.	BSE & NSE	Fine	The Board of Directors of the listed entity, during the quarter ended 31.12.2025 from 01.10.2025 to 21.12.2025, comprises of 5 Directors as against the minimum requirement of 6 Directors as per Regulation 17(1)(c) of SEBI LODR.	BSE – Rs. 4,83,800/- (including GST) NSE – Rs. 4,83,800/- (including GST)	The Board of Directors of the listed entity, during the quarter ended 31.12.2025 from 01.10.2025 to 21.12.2025, comprises of 5 Directors as against the minimum requirement of 6 Directors as per Regulation 17(1)(c) of SEBI LODR. BSE & NSE vide its e-mail communication dated February 27, 2026 had levied a fine of Rs. 4,10,000 (Base Fine) + GST @ 18% - Rs. 73,800, Total Rs. 4,83,800 /- each separately for violation of Regulation 17(1)(c) of SEBI LODR. Such fine amount has been paid by the listed entity to both the stock exchanges on March 02, 2026.	Subsequently, the listed entity had appointed one Additional Director w.e.f. December 22, 2025 and complied with the requirement of provisions u/r 17 (1)(c) of SEBI LODR.	Nil

"Annexure 5"

Corporate Governance Report

The SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 have incorporated the principles for Corporate Governance in line with the Organisation for Economic Co-operation and Development (OECD) principles and provides board principles for periodic disclosures by listed entities in line with the International Organization of Securities Commissions (IOSCO) principles.

1. COMPANY'S PHILOSOPHY ON CODE OF GOVERNANCE:

Sigma Advanced Systems Limited is committed to the highest standards of Corporate Governance. The Company's governance framework rests on transparency, accountability, and ethical conduct in all its operations. The Company believes that good governance is essential not only for regulatory compliance but also for sustainable growth and long-term value creation for all stakeholders, including shareholders, employees, customers, suppliers, and the community at large. The Company's governance principles are aligned with its business objective of building a world-class Aerospace and Defence enterprise through disciplined capital allocation, strategic acquisitions, and operational excellence.

2. BOARD OF DIRECTORS:

The composition and category of the Directors on the Board of the Company are given below:

Name of Director	Category of director	DIN No./ Date of Appointment	Committee memberships (excluding in the company)#		Name of other Listed Entity(ies) along with Designation held	No of Directorship(s) held in Indian Public Limited Companies (excluding in the Company)	No of shares held in the company		Whether last AGM attended (Y/N/NA)
			Member	Chairman					
Mr. Sunil Kumar Kalidindi	Executive Director & CEO	02344343 10/12/2021	-	-	-	-	-	-	Y
Mr. Kalyan Vijay Sivalenka	Independent Non-Executive	06404449 29/09/2020	-	-	-	-	-	-	Y
Mr. Suryanarayana Raju Nandyala	Independent Non-Executive	01581731 24/12/2021	-	-	-	-	-	-	Y
Ms. Leona Ambuja	Non-Independent Non-Executive	07138817 31/03/2015	3	1	ABS Marine Services Limited-Independent Non-Executive Director	1	-	-	Y
Dr. Uma Garimella	Non-Executive, Independent-Director, Woman	02847624 20/12/2024	-	-	-	-	-	-	Y
Mr. Cheemarla Damodar Reddy ##	Whole-Time Director (Executive, Promoter Category)	01643638 14/02/2026	-	-	-	-	-	-	NA

Name of Director	Category of director	DIN No./ Date of Appointment	Committee memberships (excluding in the company)#		Name of other Listed Entity(ies) along with Designation held	No of Directorship(s) held in Indian Public Limited Companies (excluding in the Company)	No of shares held in the company		Whether last AGM attended (Y/N/NA)
			Member	Chairman					
Lt. Gen. Raju Somashekar Baggavalli ###	Non-Executive Independent Director	11482140 16/01/2026	-	-	-	-	-	-	NA
Amb. Dr. Venkata Nagendra Prasad Thatipamula###	Non-Executive Independent Director	11499183 16/03/2026	-	-	-	-	-	-	NA
Mr. Kartheek Raju Chintalapati ###	Non-ExecutiveNon-Independent Director	02921819 16/03/2026	-	-	-	-	-	-	NA

Excludes directorships held in Private Limited Companies, Foreign Companies and Section 8 Companies.

Disclosure of Chairmanship & Membership includes only two committees viz. Audit Committee and Stakeholders' Relationship Committee.

Mr. Cheemarla Damodar Reddy has been appointed as Whole-Time Director (Executive, Promoter Category) w.e.f., 14 February 2026

Lt. Gen. Raju Somashekar Baggavalli has been appointed as Non-Executive, Independent-Director, Amb. Dr. Venkata Nagendra Prasad Thatipamula & Mr. Kartheek Raju Chintalapati has been appointed as Non-Executive, Independent-Director w.e.f., 16 March 2026.

The Board of Directors of the company met Twelve (12) times during the financial year 2025-26:

Director	Board meetings held on											
	29.05. 2025	01.07. 2025	16.07. 2025	08.08. 2025	02.09. 2025	18.10. 2025	24.10. 2025	08.11. 2025	02.01. 2026	16.01. 2026	31.01. 2026	14.02. 2026
Mr. Sunil Kumar Kalidindi	√	√	√	√	LOA	√	√	√	√	√	√	√
Mr. Kalyan Vijay Sivalenka	√	√	√	√	√	√	√	√	√	√	√	√
Ms. Leona Ambuja	√	√	√	√	√	√	√	√	√	√	√	√
Mr. Suryanarayana Raju Nandyala	√	√	√	√	√	√	√	√	√	√	LOA	√
Dr. Uma Garimella	√	√	√	LOA	√	√	√	√	√	√	√	√
Mr. Cheemarla Damodar Reddy	NA	NA	NA	NA	NA	NA	NA	NA	√	√	√	√
Lt. Gen. Raju Somashekar Baggavalli	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	√	√
Amb. Dr. Venkata Nagendra Prasad Thatipamula	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Mr. Kartheek Raju Chintalapati	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA

The Board periodically reviews the items required to be placed before it in terms of the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (LODR), in particular reviews and approves quarterly/ half yearly unaudited financial statements and the audited annual accounts, corporate strategies, business plans, annual budgets, projects and capital expenditure. It monitors overall operating performance, progress of major projects and reviews such other items which require Board's attention. It directs and guides the activities of the Management towards the set goals and seeks accountability. It also sets standards of corporate behaviors, ensures transparency in corporate dealings and compliance with laws and regulations. The Agenda for the Board Meeting covers items prescribed under the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 to the extent these are relevant and applicable. All agenda items are supported by relevant information, documents and presentations to enable the Board to take informed decisions.

Board Training and Induction

At the time of appointing a director, a formal letter of appointment is given to him/ her, which, inter alia, explains the role, function, duties and responsibilities expected of him / her as a director of the company. The Director is also explained in detail the compliances required from him / her under the Companies Act, 2013, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other relevant regulations and his / her affirmation taken with respect to the same.

Independent Directors' Meeting

During the financial year under review, the Independent Directors met on 29 May 2025 to discuss:

- Review the performance of the Directors.
- Review the performance of the Executive Directors of the company.
- Assess the quality, quantity and timeliness of flow of information between the Management and the Board that is necessary for the Board to effectively and reasonably perform their duties. All the Independent Directors were present at the meeting.

AUDIT/ RISK & COMPLIANCE COMMITTEE:

The primary objective of the Committee is to monitor and provide effective supervision of the management's financial reporting process with a view to ensuring accurate, timely and proper disclosure and transparency, integrity and quality of financial reporting. The Committee adheres to the Regulation 18 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 in terms of quorum for its meetings, functioning, role and powers as also those set out in the Companies Act, 2013.

The roles and responsibilities of the Committee shall include the following:

1. oversight of the listed entity's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
2. recommendation for appointment, remuneration and terms of appointment of auditors of the listed entity;
3. approval of payment to statutory auditors for any other services rendered by the statutory auditors;
4. reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
    a. matters required to be included in the director's responsibility statement to be included in the board's report in terms of clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013;
    b. changes, if any, in accounting policies and practices and reasons for the same;
    c. major accounting entries involving estimates based on the exercise of judgment by management;
    d. significant adjustments made in the financial statements arising out of audit findings;
    e. compliance with listing and other legal requirements relating to financial statements;
    f. disclosure of any related party transactions;
    g. modified opinion(s) in the draft audit report.
5. reviewing, with the management, the quarterly financial statements before submission to the board for approval;
6. reviewing, with the management, the statement of uses / application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or rights issue, and making appropriate recommendations to the board to take up steps in this matter;
7. reviewing and monitoring the auditor's independence and performance, and effectiveness of audit process;

8. approval or any subsequent modification of transactions of the listed entity with related parties;
9. scrutiny of inter-corporate loans and investments;
10. valuation of undertakings or assets of the listed entity, wherever it is necessary;
11. evaluation of internal financial controls and risk management systems;
12. reviewing, with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
13. reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
14. discussion with internal auditors of any significant findings and follow up there on;
15. reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board;
16. discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
17. to look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
18. to review the functioning of the whistle blower mechanism;
19. approval of appointment of chief financial officer after assessing the qualifications, experience and background, etc. of the candidate;
20. reviewing the utilization of loans and/ or advances from/investment by the holding company in the subsidiary exceeding rupees 100 crore or 10% of the asset size of the subsidiary, whichever is lower including existing loans / advances / investments existing as on the date of coming into force of this provision.
21. consider and comment on rationale, cost-benefits and impact of schemes involving merger, demerger, amalgamation etc., on the listed entity and its shareholders.
22. On an annual basis, review the financial statements of the Company's materially significant subsidiaries
23. carrying out additional functions as contained in any other regulatory requirements applicable to the Company or in the terms of reference of the Audit Committee;
24. undertake other specific duties and responsibilities as the Board prescribes from time-to-time.

The Committee consists of qualified and Independent, Non-Independent & Non-Executive Directors. All the Members on the Committee have the requisite qualification for appointment on the Committee and possess sound knowledge of finance, accounting practices and internal controls.

The Committee members met Ten times during the financial year 2025-26:

The Company Secretary is the Secretary of the Audit/ Risk & Compliance Committee. The CEO and Executive Directors of the company as well as the Internal and Statutory Auditors of the company, attend Committee meetings to brief the Members. The Committee also invites Business and Departmental Heads, to discuss matters concerning their business / departments, as and when it deems necessary.

Members	Audit/ Risk & Compliance Committee Meetings held on									
	29.05. 2025	01.07. 2025	16.07. 2025	08.08. 2025	02.09. 2025	18.10. 2025	24.10. 2025	08.11. 2025	31.01. 2026	14.02. 2026
Mr. Kalyan Vijay Sivalenka-Chairperson	√	√	√	√		√	√	√	√	√
Ms. Leona Ambuja	√	√	√	√	√	√	√	√	√	√
Dr. Uma Garimella	√	√	√	LOA	√	√	√	√	√	√
Mr. Suryanarayana Raju Nandyala	√	√	√	√	√	√	√	√	LOA	√

NOMINATION & REMUNERATION COMMITTEE:

The Nomination and Remuneration committee is governed by a Charter duly approved by the Board of Directors of the company and in compliance with Section 178 of Companies Act, 2013, and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The remuneration policy as adopted by the company envisages payment of remuneration according to qualification, experience and performance at different levels of the organization. The software engineers as well as those rendering clerical, administrative and professional services are suitably remunerated according to the industry norms.

The roles and responsibilities of the Committee shall include the following:

1. Formulation of the criteria for determining qualifications, positive attributes and independence of a Director and recommend to the Board of Directors a policy relating to, the remuneration of the Directors, Key Managerial Personnel and other employees;
2. Formulation of criteria for evaluation of performance of Independent Directors and the Board of Directors;
3. Evaluate the balance of skills, knowledge and experience on the Board at the time of recommending the appointment of Independent Director and on the basis of such evaluation, prepare a description of the role and capabilities required of an Independent Director;
4. Devising a policy on diversity of Board of Directors;
5. Identifying persons who are qualified to become Directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the Board of Directors their appointment and removal;
6. The committee shall consider and recommend the appointment of the Chief Financial Officer ("CFO") and Company Secretary ("CS") to the Board;
7. Whether to extend or continue the term of appointment of the Independent Director, on the basis of the report of performance evaluation of independent directors;
8. recommend to the board, all remuneration, in whatever form, payable to senior management;
9. carrying out additional functions as contained in any other regulatory requirements applicable to the Company or in the terms of reference of the Nomination and Remuneration Committee; and undertake other specific duties and responsibilities as the Board prescribes from time-to-time.

The Committee members met Three times during the financial year 2025-26:

Director	Nomination & Remuneration Committee Meetings held on		
	02.09.2025	16.01.2026	14.02.2026
Dr. Uma Garimella-Chairperson	√	√	√
Ms. Leona Ambuja	√	√	√
Mr. Kalyan Vijay Sivalenka	√	√	√
Mr. Suryanarayana Raju Nandyala	√	√	√

The company pays sitting fees of Rs 25,000 per meeting to its non-executive directors for attending the board and committee meetings. The company also reimburses the out-of-pocket expenses incurred by the directors for attending meetings.

The members at the 12th Annual General Meeting held on 29 June 2012 had approved payment of commission to the Non-Executive Directors (NED) within the ceiling of 1% of the net profits of the company as computed under the applicable provisions of the Companies Act, 1956. The said commission subject to the available profits as computed in terms of the Act, is decided each year by the Board of Directors and distributed amongst the NEDs based on their contribution at Board and Committee meetings, as well as the time spent on operational matters other than at meetings.

The details of remuneration paid to directors of the company during the year are given below: Rs. in Lakhs

Director	Salary / perquisites	Commission	Sitting fees	Total
Mr. Sunil Kumar Kalidindi	72.66	--	--	72.66
Mr. Kalyan Vijay Sivalenka	-	-	6.50	6.50
Ms. Leona Ambuja	-	-	6.50	6.50
Mr. Suryanarayana Raju Nandyala	-	-	5.75	5.75
Dr. Uma Garimella	-	-	6.50	6.50
Mr. Cheemarla Damodar Reddy	93.67	--	--	93.67
Lt. Gen. Raju Somashekar Baggavalli	-	-	0.50	0.50
Amb. Dr. Venkata Nagendra Prasad Thatipamula	-	-	-	-
Mr. Kartheek Raju Chintalapati	-	-	-	-

The remuneration paid to executive directors exclude contribution to gratuity fund and provision for leave encashment on retirement payable to them since the same is provided on actuarial basis (non-funded) for the company as a whole.

The severance payment to executive directors is in terms of the provisions of Section 202 of the Companies Act, 2013. Notice period of executive directors is as per the company's rules.

STAKEHOLDERS RELATIONSHIP COMMITTEE:

The Stakeholders Relationship Committee of the company is in compliance with Section 178 of the Companies Act, 2013 and the SEBI (Listing Obligations and disclosure Requirements) Regulations, 2015 to deal with various matters relating to:

1. Resolving the grievances of the security holders of the listed entity including complaints related to transfer/transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/duplicate certificates, general meetings etc.
2. Review of measures taken for effective exercise of voting rights by shareholders.
3. Review of adherence to the service standards adopted by the listed entity in respect of various services being rendered by the Registrar & Share Transfer Agent
4. Review of the various measures and initiatives taken by the listed entity for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants/annual reports/statutory notices by the shareholders of the company

The process of share transfer is assigned to Cameo Corporate Services Limited, the Registrar & Share Transfer Agent of the company, for taking care of share transfer formalities on an on-going basis.

There were no pending complaints at the beginning or end of the year. There were no transfers pending at the end of the year. All the investor grievances have been resolved to the satisfaction of the investors.

1. No. of Shareholders Complaints received during the year-0
2. Solved to the satisfaction of the shareholders-0
3. Number of pending complaints- Nil

The Committee met One time during the financial year 2025-26

Members	Stakeholders' Relationship Committee Meetings held on 29.05.2025
Mr. Kalyan Vijay Sivalenka- Chairperson	√
Mr. Sunil Kumar Kalidindi	√
Ms. Leona Ambuja	√
Dr. Uma Garimella	√

Mr. Thakur Vishal Singh, Company Secretary acts as the Compliance Officer and resigned with effect from 24 May 2026

Mr. Krishna Chaitanya Sadhu was appointed as Company Secretary & Compliance Officer with effect from 25 May 2026

CERTIFICATION FROM COMPANY SECRETARY IN PRACTICE:

M Damodaran & Associates LLP, Practicing Company Secretaries, has issued a certificate as required under the Listing Regulations, confirming that none of the directors on the Board of the Company has been debarred or disqualified from being appointed or continuing as director of companies by the SEBI/ Ministry of Corporate Affairs or any such statutory authority. The certificate is enclosed with this section as **"Annexure A1"**

KEY BOARD QUALIFICATIONS, EXPERTISE AND ATTRIBUTES:

The Company's Board comprises qualified members who bring in the required skills, competence and expertise that allow them to make effective contributions to the Board and its committees. The Board members are committed to ensuring that the Company's Board is in compliance with the highest standards of corporate governance.

The table below summarizes the key qualifications, skills, and attributes which are taken into consideration while nominating candidates to serve on the Board.

Definition of Directors Qualifications	
Financial	Leadership of a financial firm or management of the finance function of an enterprise, resulting in proficiency in complex financial management, capital allocation, and financial reporting processes, or experience in actively supervising a principal financial officer, principal accounting officer, controller, public accountant, auditor or person performing similar functions
Gender, ethnic, national, or other diversity	Representation of gender, ethnic, geographic, cultural, or other perspectives that expand the Board's understanding of the needs and viewpoints of our customers, partners, employees, governments, and other stakeholders worldwide
Global business	Experience in driving business success in markets around the world, with an understanding of diverse business environments, economic conditions, cultures, and regulatory frameworks, and a broad perspective on global market opportunities
Leadership	Extended leadership experience for a significant enterprise, resulting in a practical understanding of organizations, processes, strategic planning, and risk management. Demonstrated strengths in developing talent, planning succession, and driving change and long-term growth
Technology	A significant background in technology, resulting in knowledge of how to anticipate technological trends, generate disruptive innovation, and extend or create new business models
Board service and governance	Service on a public company board to develop insights about maintaining board and management accountability, protecting shareholder interests, and observing appropriate governance practices
Sales and marketing	Experience in developing strategies to grow sales and market share, build brand awareness and equity, and enhance enterprise reputation

In the table below, the specific areas of focus or expertise of individual Board members have been highlighted. However, the absence of a mark against a member's name does not necessarily mean the member does not possess the corresponding qualification or skill.

Director	Area of Expertise						
	Financial	Diversity	Global business	Leadership	Technology	Board service and governance	Sales and marketing
Mr. Sunil Kumar Kalidindi	√	√	√	√	√	√	√
Mr. Kalyan Vijay Sivalenka	√	√	√	√	×	√	√
Ms. Leona Ambuja	√	√	√	√	×	√	√
Mr. Suryanarayana Raju Nandyala	√	√	√	√	×	√	√
Dr. Uma Garimella	√	√	√	√	×	√	√
Mr. Cheemarla Damodar Reddy	√	√	√	√	√	√	√
Lt. Gen. Raju Somashekar Baggavalli	√	√	√	√	√	√	√
Amb. Dr. Venkata Nagendra Prasad Thatipamula	√	√	√	√	√	√	√
Mr. Kartheek Raju Chintalapati	√	√	√	√	√	√	√

GENERAL BODY MEETINGS:

Annual General Meetings (AGM)

Year	AGM	Location	Date	Time	Special Resolutions passed
2025	25th	AGM through VC/OAVM	27 September 2025	10.00 AM	Nil
2024	24th	AGM through VC/OAVM	27 September 2024	10.00 AM	1
2023	23rd	AGM through VC/OAVM	22 September 2023	10.03 AM	Nil

The resolutions at the last AGM were passed by e-voting and e-voting at the AGM ballot as prescribed under the Companies Act, 2013.

Extra-ordinary General Meetings (EGM)

During the year, no extra-ordinary general meeting was held.

Postal Ballot

The Company successfully completed the process of obtaining approval of its Members on the following resolutions through Postal Ballot process during the year 2025-26:

Item No.1	Particulars	Resolution type	% Votes in Favour	% Votes in Against
1.	To consider and approve sale/ transfer or otherwise disposal of the whole or substantially the whole of an undertaking of the Company	Special	99.87	0.13
2.	a. To consider and approve enhancement in overall Borrowing Limits of the Company	Special	98.65	1.35
	b. To consider and approve Creation of security on assets of the Company	Special	98.65	1.35
		Special	98.59	1.41
	c. To consider and approve granting Loans / Investments / Corporate Guarantees	Special	98.59	1.41

Item No.1	Particulars	Resolution type	% Votes in Favour	% Votes in Against
3.	To approve the appointment and re-designation of Mr. Cheemarla Damodar Reddy (DIN: 01643638) as Whole-Time Director (Executive, Promoter Category) of the Company for a term of five consecutive years w.e.f. 14 February 2026 and fix remuneration thereof	Special	99.84	0.16
4.	a. To approve the Appointment of Lt Gen Raju Somashekar Baggavalli (DIN: 11482140) as an Independent Director (Non-Executive) of the Company for a term of five consecutive years w.e.f. 16 January 2026.	Special	99.99	0.01
	b. To approve the Appointment of Amb. Dr. Venkata Nagendra Prasad Thatipamula (DIN: 11499183) as an Independent Director (Non-Executive, Independent) of the Company for a term of five consecutive years w.e.f. 16 March 2026.	Special Ordinary	99.99 99.99	0.01 0.01
	c. To approve the Appointment of Mr. Kartheek Raju Chintalapati (DIN: 02921819) as Director (NonExecutive, Non-Independent) of the Company w.e.f. 16 March 2026.	Ordinary	99.99	0.01

Procedure for Postal Ballot: The postal ballot was carried out as per the provisions of Sections 108 and 110 and other applicable provisions of the Act, read with the Rules framed thereunder and read with the Circular No. 14/2020 dated 08 April 2020, Circular No. 17/2020 dated 13 April 2020 read with Circular No.22/2020 dated 15 June 2020, Circular No. 33/2020 dated 28 September 2020, Circular No. 39/2020 dated 31 December 2020 and Circular No. 10/2021 dated 23 June 2021 and Circular No. 20/2021 dated 08 December 2021 and Circular No. 9/2024 dated 19 September 2024 (collectively as "MCA Circulars").

The resolutions put through the postal ballot were carried out by requisite majority.

PERFORMANCE EVALUATION:

Pursuant to the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board has carried out the annual performance evaluation of its own performance, the Directors individually as well as the evaluation of the working of the Board Committees. A structured performance evaluation was done after taking into consideration inputs received from the Directors, covering various aspects of the Board's functioning such as adequacy of the composition of the Board and its Committees, Board culture, execution and performance of specific duties, obligations and governance.

A separate exercise was carried out to evaluate the performance of individual Directors, who were evaluated on parameters such as level of engagement and contribution, independence of judgement, safeguarding the interest of the company and its minority shareholders etc. The performance evaluation of the Independent Directors was carried out by the entire Board. The performance evaluation of the Non-Independent Directors was carried out by the Independent Directors who also reviewed the performance of the Secretarial Department. The Directors expressed their satisfaction with the evaluation process.

SUBSIDIARY COMPANIES:

The Company has the following list of Subsidiaries/ Associates Companies:

List of Subsidiaries:

a) Velapan Systems Private Limited

b) Indorus Systems Private Limited

c) Sigma Advanced Systems UK Limited

Subsidiaries of Sigma Advanced Systems UK Limited:

a) Nasmyth Group Ltd

Subsidiaries of Nasmyth Group Ltd

a) Nasmyth Asia (IN) Private limited

b) Nasmyth Technologies Ltd

c) Nasmyth IEC Ltd

d) Nasmyth Doughty Ltd

e) GEB Surface Treatments Ltd

f) Nasmyth Coventry Ltd

g) Nasmyth Enterprises Ltd

h) Nasmyth Henton Ltd

i) Nasmyth Industries Ltd

j) C&M 2016 Ltd

k) Nasmyth Engineering Ltd

l) Nasmyth Composites Ltd

m) Nasmyth West Middlesex Plating Company Ltd

n) Professional Welding Services Ltd

o) Nasmyth Bulwell Ltd

Subsidiaries of Nasmyth Bulwell Ltd

a) L.M.D. Process Ltd

b) Swift & Wass Ltd

c) Excel Calibration & Test Ltd

List of Associate

a) Indrajaal Drone Defence India Private Limited

The financial statements of the subsidiary company were placed before and reviewed by the Audit/Risk & Compliance Committee.

DETAILS OF TOTAL FEES PAID TO STATUTORY AUDITORS:

The details of total fees for all services paid by the Company and its subsidiaries, on a consolidated basis, to the statutory auditor and all entities in the network firm / network entity of which the statutory auditor is a part, are as follows:

(Rs. in Lakhs)

Type of Service	FY 2025-26	FY 2024-25
Audit Fee	216.39	17.05
Tax Fee	0.00	0.45
Others	0.00	0.00

CODE OF CONDUCT:

The Board of Directors has approved a Code of Business Conduct which is applicable to the Members of the Board and all employees of the company and its subsidiaries. The Code has been posted on the website of the company.

The Code lays down the standard of conduct which is expected to be followed by the Directors and the designated employees in their business dealings and in particular on matters relating to integrity in the workplace, in business practices and in dealing with stakeholders. The Code gives guidance through examples on the expected behaviors from an employee in a given situation and the reporting structure.

All the Board Members and the Senior Management personnel have confirmed compliance with the Code. All Management Staff were required to complete an e-learning module in this regard.

Code of Conduct for the Board of Directors and Senior Management Personnel:

The Board of Directors and Senior Management Personnel have affirmed compliance with the Code of Conduct for the Board of Directors and Senior Management Personnel.

DISCLOSURES:

There were no materially significant related party transactions, pecuniary transactions or relationships between the company and its directors during the year ended 31 March 2026 that may have a potential conflict with the interests of the company at large.

All details relating to financial and commercial transactions where directors may have a pecuniary interest are provided to the Board, and the interested directors neither participated in the discussion, nor voted on such matters.

Transactions with related parties, as per requirements of Accounting Standard 18, are disclosed elsewhere in this Annual Report and they are not in conflict with the interest of the company at large.

Business risk evaluation and managing such risks is an on-going process within the organisation. The Board is regularly briefed of risks assessed and the measures adopted by the company to mitigate the risks.

No strictures / penalties have been imposed on the company by the Stock Exchanges or SEBI or any statutory authority on any matters related to the capital market during the last three years.

The company's code of conduct has clearly laid down procedures for reporting unethical behaviors, actual or suspected fraud or violation of the ethics policies. No employee of the company is / was denied access to the Audit/Risk & Compliance Committee.

Adoption of non-mandatory requirements under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, is being reviewed by the Board from time to time.

Internal Controls

The company has a formal system of internal control testing which examines both the design effectiveness and operational effectiveness to ensure reliability of financial and operational information and all statutory / regulatory compliances. The company's business process has a strong monitoring and reporting process resulting in financial discipline and accountability.

CEO & CFO Certification

The certificate pursuant to the provisions of Regulation 17(8) and Regulation 34(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 certifying that the financial statements do not contain any untrue statement and these statements represent a true and fair view of the company's affairs is annexed as **"Annexure B1"** and forms part of the Annual Report.

Vigil Mechanism / Whistle Blower Policy

The company is committed to the high standards of Corporate Governance and stakeholder responsibility. The company has a whistle blower policy to deal with instances of fraud and mismanagement, if any. The said policy ensures that strict confidentiality is maintained whilst dealing with concerns and also that no discrimination will be meted out to any person for a genuinely raised concern. The said policy is posted on the website of the company.

MEANS OF COMMUNICATION:

The unaudited quarterly / half yearly financial results are announced within the stipulated time frame in terms of the Regulation 33(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 with the Stock Exchanges.

The audited annual financial results are announced within the stipulated time frame in terms of Regulation 33 (3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 with the Stock Exchanges. For the financial year ended 31 March 2026, the company announced the Audited annual financial results on 25 May 2026.

The above-mentioned results are being taken on record by the Board of Directors with due review by the Audit / Risk & Compliance Committee and communicated to the Stock Exchanges where the company's securities are listed. The Stock Exchanges are intimated about these results and published within 48 hours in English Business Standard / Financial Express and Tamil (Makkal Kural) daily newspapers.

The quarterly / half-yearly and the annual financial results are placed on the website of the company.

GENERAL SHAREHOLDER INFORMATION:

Annual General Meeting

Pursuant to the General Circular No. 14/2020 dated 08 April 2020, General Circular No. 17/2020 dated 13 April 2020 and General Circular No. 20/2020 dated 05 May 2020 and General Circular No. 20/2021 dated 08 December 2021 and General Circular No. 2/2022 dated 05 May 2022 and Circular No. 10/2022 and Circular No. 11/2022 dated 28 December 2022 (MCA Circulars) and Securities and Exchange Board of India (SEBI) vide Circular No. SEBI/HO/CFD/CMD1/CIR/P/2020/79 dated 12 May 2020 Circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated 09 December 2020, Circular No. SEBI/HO/CFD/CMD2/CIR/P/2021/11 dated 15 January 2021, Circular No. SEBI/HO/DDHS/DDHS_Div2/P/CIR/2022/079 dated 03 June 2022 and SEBI/HO/ CFD/PoD-2/P/CIR/2023/4 dated 5 January 2023 and General Circular No. 09/2023 dated 25 September 2023 and and Circular No. 09/2024 dated 19 September 2024 (Circular No. 03/2025 dated 22 September 2025 Further, SEBI Circular No. SEBI/HO/CFD/CFD PoD-2/P/CIR/2024/133 dated 03 October 2024) issued by the Ministry of Corporate Affairs and SEBI Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2023/167 dated 07 October 2023, the 26th Annual General Meeting (AGM) of the members of the Company for the year ended 31 March 2026 is scheduled to be held on 30 September 2026 at 10.00 AM IST through Video Conferencing/OAVM. The Members as on the cut-off date i.e. 23 September 2026 may attend the same through VC/OAVM or watch the live web-cast at www.evotingindia.com. Detailed instructions for participation are provided in the Notice of the 26th AGM.

Calendar for Financial Results 2026-27

April 1 to March 31

- Unaudited quarterly results- First quarter – July to first half of August 2026
- Unaudited quarterly results-Second quarter / half yearly – October to first half of November 2026
- Unaudited quarterly results-Third quarter – January to first half of February 2027
- Annual results for the year ending 31 March 2026 – April to May 2027

Annual General Meeting for the year ending 31 March 2027 – May to September, 2027

Listing on Stock Exchanges

The company's equity shares are listed in India:

BSE Limited	National Stock Exchange of India Limited
Phiroze JeeJee Bhoy Towers	Exchange Plaza
Dalal Street, Fort Mumbai 400001	Bandra-Kurla Complex, Bandra (E) Mumbai 400051

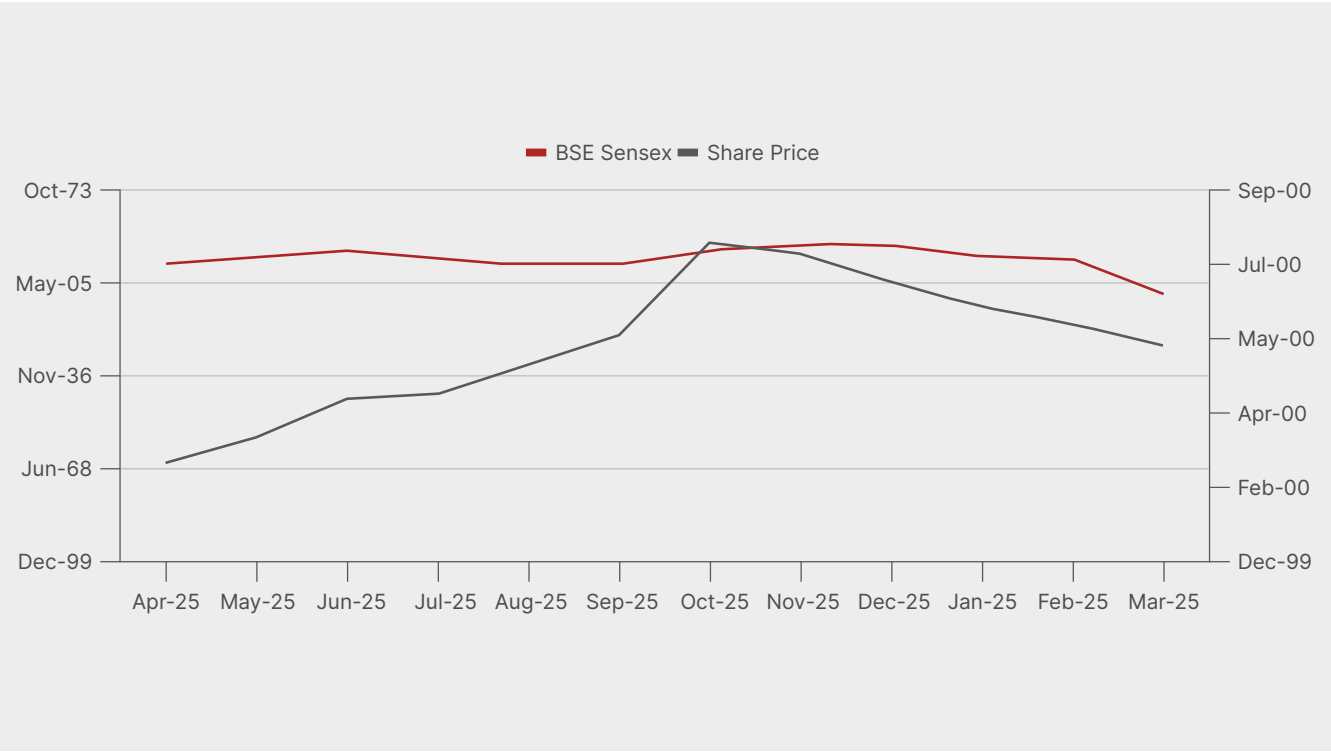
The company has paid the listing fees to the stock exchanges where its securities are listed.

Stock Code

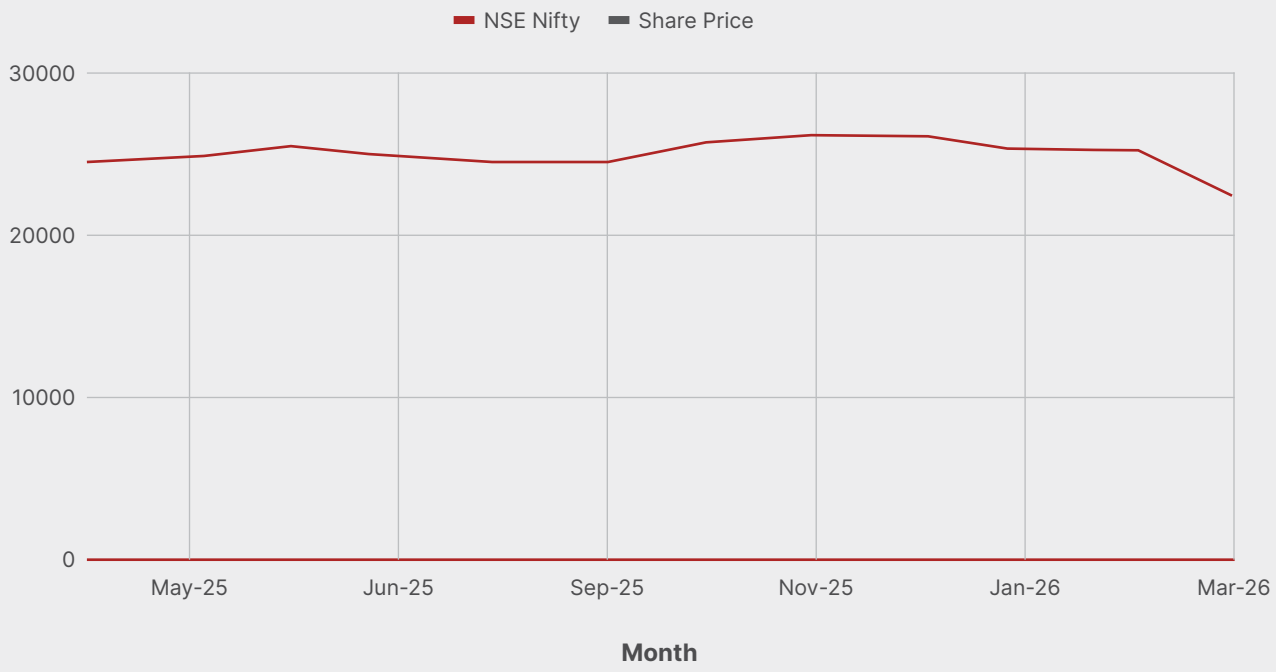
Stock Exchange	Code
BSE Limited	532408
National Stock Exchange of India Limited	SIGMAADV
ISIN number for equity shares	INE933B01012

Stock market data

Months	BSE				NSE			
	High	Low	Close	Volume (in lakhs)	High	Low	Close	Volume (in lakhs)
	Rs.	Rs.	Rs.	Nos	Rs.	Rs.	Rs.	Nos
April, 2025	74.63	50.89	65.84	8.22	74.08	50.01	64.15	14.93
May, 2025	87.5	60.53	84.18	4.91	87.44	61.00	83.91	26.45
June, 2025	110.47	79.54	110.28	13.80	109.46	79.50	109.46	41.56
July, 2025	113.55	96.1	113.55	7.72	113.64	95.53	113.64	16.89
August, 2025	153	108.55	132.95	15.41	146.32	108.75	133.40	40.10
September, 2025	173.9	126.35	153.1	9.97	174.00	126.73	153.10	65.45
October, 2025	214.7	144.8	214.3	11.91	214.00	144.94	211.34	75.38
November, 2025	234	169.95	207.5	7.66	231.00	166.10	207.74	40.45
December, 2025	214.95	170	188.2	2.14	214.40	170.00	188.06	21.47
January, 2026	217	165.2	171.85	2.87	214.80	162.50	170.27	24.23
February, 2026	198.4	153.85	159.75	3.97	197.00	153.00	159.86	27.97
March, 2026	175	139.3	145.5	5.28	178.00	140.10	147.52	30.27



NSE Nifty and Share Price



Distribution of shareholding as on 31 March 2026

Slab of Shareholding of Nominal Value of Rs.	No of Shareholders	% of Shareholders	No of Shares	% of Shareholding
10-5000	27935	80.8655	2859941	1.6228
5001-10000	2455	7.1067	1995753	1.1324
10001-20000	1477	4.2756	2275499	1.2911
20001-30000	653	1.8903	1704718	0.9673
30001-40000	339	0.9813	1210324	0.6867
40001-50000	363	1.0508	1725074	0.9788
50001-100000	589	1.7050	4441826	2.5203
100001 & Above	734	2.1248	160026570	90.8005
Total	**34545**	**100.0000**	**176239705**	**100.0000**

Dematerialisation of shares

The company's equity shares are tradable compulsorily in electronic form. The company has established connectivity with both the depositories, that is, National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) through Cameo Corporate Services Limited, Registrar and Share Transfer Agents. The International Securities Identification Number (ISIN) allotted to our shares under the Depository System is INE933B01012. Over 99.16% of outstanding equity shares of the company have been dematerialised as on 31 March 2026.

Category	Number of shareholders	Number of shares	% to total equity
Demat mode			
NSDL	13,773	4,41,19,331	25.03
CDSL	19,972	13,06,39,023	74.13
Physical mode	800	14,81,351	0.84
Total	**34,545**	**17,62,39,705**	**100**

Categories of shareholders

		No. of shareholders	Total No. of shares	% of shareholding
	Category of shareholder			
A	Shareholding of Promoter and Promoter Group			
	Indian Promoters	5	125,516,948	71.22
	Total Shareholding of Promoter Group	5	125,516,948	71.22
B	Public Shareholding			
1	Institutions			
	Mutual Funds / UTI	0	0	0.00
	Financial Institutions / Banks	1	12	0.00
	Venture Capital Funds	0	0	0.00
	Insurance Companies	0	0	0.00
	Foreign Institutional Investors	0	0	0.00
	Others-Foreign Portfolio Investors	9	131279	0.07
	Sub Total B(1)	10	131291	0.07
2	Non-institutions			
	Bodies Corporate	310	3011343	1.71
	Individuals			
	Individual shareholders holding nominal share capital up to Rs. 2 lakh	31756	18177201	10.31
	Individual shareholders holding nominal share capital in excess of Rs. 2 lakh	299	23762417	13.48
	Others:			
	HUF	717	2064548	1.17
	Trusts	3	729	0.00
	NRI	491	3348767	1.90
	Clearing Members	2	8	0.00
	LLP	30	226453	0.13
	Sub Total B(2)	33608	50591466	28.71
	Total Public Shareholding (B)=B(1)+B(2)	33618	50722757	28.78
	Total (A+B)	**33623**	**176,239,705**	**100.00%**

Shareholders holding more than 1% of the equity share capital

S No.	Name of the shareholder	No. of shares	% of shareholding
1.	Chintalapati Holdings Private Limited	8,16,17,788	46.31
2.	Ramanagaram Enterprises Private Limited	2,58,73,115	14.68
3.	Hillpark Event Management LLP	1,02,46,966	5.81
4.	Cheemarla Damodar Reddy	75,42,079	4.28

- **Registrar and Share Transfer Agents**

  Cameo Corporate Services Limited

  Subramanian Building, 1, Club House Road, Chennai 600002, India

  Tel: +91.44.28460390, Fax: +91.44.28460129, email: cameo@cameoindia.com

Share Transfer System and other related matters

1. **Share transfers**

   As the transfer of shares held in physical form has been barred by SEBI, the Company has not processed any share transfer requests and consequently there arose no necessity for entry in the memorandum of transfers and issue of share certificate(s) thereof during the said period.

2. **Nomination facility for shareholding**

   As per the provisions of the Companies Act 2013, facility for making nomination is available for shareholders in respect of shares held by them. Those shareholders who hold shares in physical form may obtain nomination forms from the company.

3. **Payment of dividend through Electronic Clearing Service**

   The Securities and Exchange Board of India (SEBI) has made it mandatory for all companies to use the bank account details furnished by the depositories for depositing dividends through Electronic Clearing Service (ECS) to the investors wherever ECS and Bank details are available. In the absence of ECS facility the company is required to print the Bank account details, if available, on payment instruments for distribution of dividend to the shareholders. The company is complying with SEBI's directive in this regard.

4. **Transfer to Investor Education and Protection Fund**

   The Company was not required to transfer any sums to the Investor Education and Protection Fund (IEPF) established by the Central Government during the financial year.

5. **Correspondence regarding Change of Address, etc.**

   Shareholders are requested to ensure that any correspondence for change of address, change in Bank Mandates, etc. should be signed by the first named shareholder. The company is now also requesting for supporting documents such as proof of residence and proof of identification whenever a letter requesting for change of address is received. This is being done in the interest of shareholders as there are cases in the corporate world where attempts are made to fraudulently change the registered address of shareholders by unscrupulous parties. Shareholders are requested to kindly co-operate and submit the necessary documents / evidence while sending the letters for change of address. Shareholders who hold shares in dematerialised form should correspond with the Depository Participant with whom they have opened Demat Account/s.

6. **Pending Investors' Grievances'**

   Any shareholder whose grievance has not been resolved to his / her satisfaction may kindly write to the Company Secretary at the Registered Office with a copy of the earlier correspondence.

- **Go Green initiative**

  In order to protect the environment and as a Go Green initiative, the company has taken an initiative of sending documents like Notice calling the Annual General Meeting, Directors' Report, Audited Financial Statements, Auditors' Report, dividend intimations(if any), etc. by e-mail. Physical copies shall be sent only to those shareholders whose e-mail addresses are not registered with the company. Shareholders are requested to register / update their e-mail id with RTA/ Depository to enable the company to send the documents in electronic form or inform the company in case they wish to receive the above documents in paper mode.

- **Plant locations**

  The Company operates one manufacturing facility situated at Survey No 1/1 Plot No 24/A Hardware Park

  Srisailam Road Kancha Imarat, Raviryala Village, Maheswaram Mandal, Hyderabad - 501510, Telangana, India

  Address for correspondence

  Company Secretary & Compliance Officer

  Sigma Advanced Systems Limited (Formerly Megasoft Limited)

  No.43/1 (# 129 to # 140), Prestige Palladium, 8th Floor, Greams Road, Nungambakkam, Chennai, 600006, Tamil Nadu, India

  Tel: +91 40 6965 2222, Mobile No: 8143238686, email: investors@sigmaadvsys.com

OTHER DISCLOSURE:

1. ***Disclosures on materially significant related party transactions that may have potential conflict with the interests of listed entity at large:***

   All related party transactions that were entered into during the financial year were on an arm's length basis, and were in compliance with the applicable provisions of the Companies Act, 2013 ('the Act') and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

   All related party transactions are placed before the Audit Committee and Board for approval. Omnibus approval for related party transactions

is granted by the Audit Committee subject to the conditions laid down in the Act and Regulation 23 of SEBI Listing Regulations for transactions which are repetitive in nature. A statement of all related party transactions is placed before the Audit Committee for its review on a quarterly basis, specifying the nature and value of the transactions. A comprehensive list of related party transactions as required by Ind AS 18, and as prescribed under the Act, forms part of Notes to the standalone financial statements in the Annual Report.

During the financial year ended 31 March 2026, there were no materially significant related party transactions, which had potential conflict with the interests of the Company at large.

The policy is available on website of the Company at https://sigmaadvsys.com/investors-services/corporate-governance/

2. ***Details of non-compliance by the listed entity, penalties, and strictures imposed on the listed entity by stock exchange(s) or the board or any statutory authority, on any matter related to capital markets, during the last three years:***

   Kindly refer the Secretarial Audit and Annual Secretarial Compliance Report attached as annexures to the Directors' Report.

3. ***Web link where policy for determining 'material' subsidiaries is disclosed:***

   The Company have One Wholly owned subsidiary company in terms of Section 2(87) of the Companies Act, 2013, read with underlying rules as on 31 March 2026.

   The policy is available on website of the Company at https://sigmaadvsys.com/investors-services/corporate-governance/

4. ***Instances of not accepting any recommendation of the Committee by the Board:***

   There is no such instance where the Board had not accepted any recommendation of any committee of the Board which is mandatorily required, in the relevant financial year.

5. ***Disclosures in relation to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:***

   The Company is committed to ensuring that all employees work in an environment that not only promotes diversity and equality but also mutual trust, equal opportunity and respect for human rights.

   The Company has formulated the Policy on Policy on Prevention of Sexual Harassment of Women at Workplace in accordance with the provisions of the The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the Rules made thereunder which is aimed at providing every woman at the workplace a safe, secure and dignified work environment.

   The composition of the internal committee of the Company as on 31 March 2026, is as under:

Name	Designation
Ms. Jyoshana Vemasani	Assistant Vice President
Ms. Aishwarya Rahul Joshi	Financial Controller
Mr. Thakur Vishal Singh	Company Secretary & Compliance Officer
Ms. Malineni Aruna Kumari	Founder & Secretary of Priyadarshini Seva Mandali

No meeting was held during the year as no complaints were received from any employee.

Website:

The Company is maintaining a functional website viz: https://sigmaadvsys.com. All the information as specified under Regulation 46 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 are uploaded on a regular basis under the investor's column of the website.

Management Discussion and Analysis:

A separate report on Management Discussion and Analysis is attached as part of the Annual Report.

By order of the Board of Directors
For SIGMA ADVANCED SYSTEMS LIMITED
(Formerly Megasoft Limited)

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN- 02344343

Sd/-
Kalyan Vijay Sivalenka
Independent Director
DIN- 06404449

Place: Hyderabad
Date: 8 September 2026

Declaration on Code Of Conduct

To,
The Members of
SIGMA ADVANCED SYSTEMS LIMITED
(Formerly Megasoft Limited)

As required under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, I hereby confirm that the Board has laid down the code of conduct for all Board members and senior management personnel and the same has been placed on the website of the Company. All the Board of Directors and Senior Management personnel have affirmed compliance with the Code of Conduct for the Financial Year ended 31 March 2026.

By order of the Board of Directors
For SIGMA ADVANCED SYSTEMS LIMITED
(Formerly Megasoft Limited)

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN- 02344343

Place: Hyderabad
Date: 8 September 2026

"Annexure 6"

Management Discussion and Analysis

Global economic overview

Global economic growth remained unchanged at 3.5% in both 2024 and 2025. The effects of the war in the Middle East were largely offset by stronger, demand-driven momentum in the global technology cycle, supported by rapid advances in artificial intelligence (AI) and its growing adoption.

The impact, however, differed significantly across countries. Energy exporters outside the conflict zone benefited from favourable terms of trade, while economies closely integrated into the global technology value chain experienced stronger economic activity, even when they were net energy importers. In contrast, energy-importing economies with limited exposure to the technology-led upturn - including many low-income countries recorded comparatively weaker growth.

Growth in advanced economies remained broadly stable at 1.9% in both 2024 and 2025. Emerging markets and developing economies also maintained a steady growth rate of 4.5% in 2025, unchanged from 2024.

Global inflation declined significantly in 2025, falling to an estimated 4.1% from 5.8% in 2024. This continued the broader trend of disinflation that had been underway since early 2024.

Given the difficulty of establishing stable, real-time assumptions for economic projections, the IMF World Economic Outlook Update assumes that the Strait of Hormuz will begin reopening in mid-September 2026, with conditions gradually returning to their pre-war state by March 2027. These assumptions are consistent with commodity price projections based on market pricing as of 10 June 2026.

Under this baseline scenario, global economic growth is projected to slow to 3.0% in 2026 before recovering to 3.4% in 2027. Global inflation is expected to increase to 4.7% in 2026 as the disinflation process that began in 2024 temporarily stalls, before easing to 3.9% in 2027.

(Source: IMF World Economic Outlook Update — July 2026, World Economic Forum, Federal Reserve, Bank of England, European Central Bank, Bank of Japan)

Indian economic overview

The Indian economy remained resilient, with real GDP growth accelerating to 7.7% in FY 2025-26 from 7.1% in FY 2024-25, driven by robust consumption and investment. Real GDP at constant prices increased to an estimated Rs. 323.12 lakh crore from Rs. 299.89 lakh crore.

Inflation remained subdued, with full-year CPI inflation estimated at 2.1%, creating room for cumulative interest-rate cuts of 125 basis points and supporting domestic demand. Despite favourable macroeconomic conditions, the Indian rupee depreciated 9.88% during the year to Rs. 94.83 against the US dollar, reflecting global capital flows, dollar strength, and geopolitical uncertainty.

Equity markets faced pressure amid the West Asia conflict and concerns over potential tariff measures under the Donald Trump administration. India's market capitalisation declined 7.2% to USD 4.5 trillion, while the BSE Sensex and Nifty 50 fell 7.0% and 5.05%, respectively.

Looking ahead, India is expected to remain the fastest-growing major economy, with the World Bank projecting growth of approximately 6.6% in FY 2026-27. Strong domestic demand, recovering investment, GST rationalisation, stable exports, favourable demographics, and structural reforms are expected to support growth. Key risks include elevated energy prices, fiscal pressures, and global demand uncertainty. Overall, India's strong macroeconomic fundamentals and expanding trade linkages continue to underpin its medium-term growth outlook.

(Source: Upstox, Economic Times, India Today, 5paisa, Livemint, The Logical Indian)

Global aerospace and defence sector overview

The global aerospace and defence (A&D) industry entered a new phase of scale in 2025, powered by record commercial aviation demand and an unprecedented defence backlog. For the first time, the top 100 A&D companies' collective annual revenue crossed the $1 trillion mark, while the commercial aircraft backlog also surpassed $1 trillion, reflecting years of production visibility already locked in. Industry-wide operating profit grew by 46% in 2025, driven by a major production recovery, strong aftermarket growth among leading engine manufacturers, and broad gains across the sector.

Growth is being driven by demand consistently outpacing capacity across both commercial and defence segments. The commercial aircraft backlog reached nearly 15,000 units in 2025 and continues to grow, with both major commercial OEMs targeting double-digit delivery increases in 2026, even as supply chain performance and workforce capacity remain the binding constraints on converting backlog into output. On the defence side, the backlog has grown more than 50% over three years with no signs of peaking, as sustained conflict in Ukraine and the Middle East pushed defence procurement to record

levels and drove strong revenue growth across both US and European defence primes.

This broad-based growth is reflected across the underlying product segments that make up the sector.

On the aerospace side, the aircraft engine components market — covering fabrications, sub-assemblies, and hot-section parts — was valued at $92.7 billion in 2026 and is projected to reach $203.3 billion by 2034 at a 9.1% CAGR, underpinned by rising commercial production rates and sustained aftermarket demand across engine platforms in service. The global aerostructures market, valued at $65.53 billion in 2025, is set to reach $135.63 billion by 2035 at a 7.6% CAGR, with commercial aircraft accounting for over half of platform demand and defence and military aircraft procurement providing an incremental growth layer.

A notable shift within the global aerospace sector is the increasing emphasis on supply chain sovereignty and industrial resilience. Companies are prioritising supplier diversification, digital supply-chain visibility tools, and expansion of the defence industrial base to reduce exposure to single-source dependencies and geopolitical disruption, even as parts of the supply base remain fragile under the pace of current demand.

The sector is also witnessing consolidation and strategic repositioning through M&A. Deal value reached $29 billion in 2025, concentrated around digital transformation, supply network security, and defence capability expansion — trends directly aligned with the counter-drone, radar, and component-manufacturing segments driving activity across the industry.

On the defence side, the global guided missile market was valued at $20.3 billion in 2025 and is projected to reach $35.5 billion by 2034 at a CAGR of 6.3%, driven by rising precision-strike procurement and next-generation guidance integration, while within it the missile guidance systems segment — covering end-game packages and servo/amplifier sub-systems — alone is set to grow from $1.04 billion in 2025 to $1.79 billion by 2034. The military radar market, valued at $15.38 billion in 2025, is expected to reach $26.92 billion by 2035 at a 5.9% CAGR, driven by rising UAV and stealth-platform adoption, while the adjacent electronic warfare market — covering spoofers and effector systems — is projected to grow from $32.35 billion in 2026 to $64.66 billion by 2031, as defence organisations prioritise spectrum superiority and adopt AI-enabled, software-defined EW technologies. Military aircraft avionics, covering flight data recorders, cockpit displays, and flight-critical guidance systems, was valued at $35.4 billion in 2025 and is forecast to reach $67 billion by 2035 at a 6.7% CAGR, with mission avionics the fastest-growing sub-segment as platforms become more networked. The unmanned systems space is expanding even faster: the global counter-drone (C-UAS) market alone is projected to grow from roughly $4 billion in 2026 to $20 billion by 2033, a 25% CAGR, as detection and mitigation technologies scale to meet rising UAV-based threats globally.

Given record backlogs, a proposed US defence budget set to reach a new all-time high, and OEMs targeting double-digit delivery growth, momentum in the global aerospace and defence sector is expected to continue through 2026 and beyond. Execution — not demand — is now the industry's defining challenge, with success increasingly dependent on hardening supply chains, scaling production capacity, and aligning workforce strategy to multi-year delivery commitments.

(Sources: PwC, Deloitte, Stratview Research, Fortune Business Insights, Global Markets and Markets, Global Market Insights, Coherent Market Insights, Stratistics MRC)

Indian aerospace and defence sector overview

India's aerospace and defence (A&D) industry is gaining significant momentum in FY2025-26, powered by record budgetary support, an accelerating indigenisation drive, and a policy architecture explicitly aimed at reducing import dependence. The Indian A&D market was valued at $30.72 billion in 2025 and is projected to grow at a 7.10% CAGR through 2035. For the first time, domestic defence production crossed Rs. 1.78 lakh crore in FY2025-26 — a 15.6% increase over the previous fiscal year — while defence exports reached a record Rs. 38,424 crore, a 62.66% rise, reflecting years of indigenisation investment now translating into production and export scale.

Growth is being driven by capital expenditure consistently expanding faster than existing production capacity. The Ministry of Defence's capital acquisition budget reached Rs. 2.19 lakh crore in FY2026-27, up nearly 22% year-on-year, with Rs. 1.39 lakh crore — around 75% of the capital acquisition budget — ring-fenced for domestic procurement under Aatmanirbhar Bharat. This is directly expanding order pipelines for platform manufacturers and their supporting sub-system and component suppliers, including public-sector anchors such as Hindustan Aeronautics Limited, whose order book has scaled sharply on the back of this capital acquisition push.

This broad-based growth is reflected across the underlying product segments that make up the sector.

On the aerospace side, India's engine component ecosystem is scaling alongside the broader aircraft components market, tracking its 6.12% CAGR through 2034. The India aerospace parts manufacturing market, valued at $13.6 billion in 2023, is projected to reach $21.48 billion by 2030 at a 6.8% CAGR, with the commercial aircraft segment holding the largest share — relevant to airframe structural work on platforms.

On the defence side, the India drones market was valued at $1,316.48 million in 2025 and is projected to reach $2,731.54 million by 2034 at a CAGR of 8.45%, while the counter-drone segment is growing even

faster, at approximately 28% annually through 2030 — among the fastest-growing globally — driven by border-security requirements and procurement rules that reward indigenous design. India's missile ecosystem, spanning DRDO, Bharat Dynamics Limited, and a growing base of private component suppliers, is entering a transformative growth phase through 2030, driven by defence modernisation across the Army, Navy, and Air Force and the Make in India push for indigenous guidance, navigation, and control (GNC) sub-systems, end-game packages, and servo/amplifier components. Radar and electronic warfare capability is expanding under the same indigenisation push, with the Ministry of Defence's Positive Indigenisation Lists covering thousands of radars, EW, and avionics sub-systems, and Bharat Electronics Limited positioned as a key supplier of radar seekers, RF systems, and electronic warfare components. Military avionics — flight data recorders, cockpit displays, and mission-critical guidance systems — sits within the India aircraft components market, valued at $17.3 billion in 2025 and projected to reach $31.3 billion by 2034 at a 6.12% CAGR, with avionics identified as the fastest-growing sub-segment.

A notable shift within the Indian aerospace and defence sector is the increasing emphasis on supply chain sovereignty and industrial resilience through the localisation of manufacturing. Customs duty exemptions on aircraft components and MRO raw materials, introduced in the Union Budget 2026-27, are expected to reduce exposure to single-source, single-geography dependencies and build a more resilient domestic industrial base.

The sector is also witnessing consolidation and strategic repositioning through joint ventures and inorganic growth, as Indian players seek direct access to global OEM programmes and defence primes. Private companies are increasingly entering joint ventures and strategic partnerships with European and global defence and aerospace OEMs, reflecting a broader trend of Indian suppliers moving up the value chain from components to sub-systems and integrated products, while widening access to European, UK, and NATO-aligned defence programmes.

Given the scale of budgetary commitment, growing order pipelines across public-sector anchors, and the pace of policy reform across every product segment, momentum in India's aerospace and defence sector is expected to continue well beyond FY2026-27. Execution — scaling indigenous manufacturing capacity and completing the transfer of Tier-1 and Tier-2 work into India — is increasingly the sector's defining challenge, with success dependent on hardening domestic supply chains and aligning capacity build-out with multi-year order books across missile, radar, avionics, and aerostructure segments.

(Sources: Expert Market Research, PIB, IMARC Group, Drone Intelligence, Markets and Markets, IMARC Group, Grand View Research)

Growth drivers

Policy-led domestic procurement mandate: Around 75% of India's Capital Acquisition budget has been reserved for domestic defence industries in FY 2026-27, with Rs. 1.39 lakh crore allocated for procurement from domestic defence industries. This structurally protects order pipelines for platform manufacturers and their sub-system and component suppliers rather than leaving them to compete for discretionary spending. Capital expenditure has risen to Rs. 2.19 lakh crore, a nearly 22% increase over the previous year, supporting fighter aircraft acquisitions, naval vessels and submarines, missile programmes, and unmanned platforms.

Twin engine of import substitution and export acceptance: Indigenous defence production hit an all-time high of Rs. 1.78 lakh crore in FY2025-26, while defence exports reached a record Rs. 38,424 crore, a 62.7% rise over the previous fiscal year, with the number of exporting firms growing to 145 from 128 and India now supplying to more than 80 countries. Notably, DPSU exports rose 151% year-on-year, reversing the usual pattern where private firms lead export growth, driven largely by increased orders for larger platforms such as helicopters and naval vessels. This dual scale-up in both domestic output and export acceptance signals growing global trust in Indian-made platforms, opening order books beyond the home market.

Modernisation cycle across missile, radar, EW and avionics: Army, Navy and Air Force modernisation, combined with the Ministry of Defence's Positive Indigenisation Lists spanning thousands of line items, is systematically redirecting procurement toward domestic guidance, navigation, control, radar and avionics suppliers, creating multi-year order visibility rather than one-off contracts.

Rising battlefield relevance of counter-drone systems: The global counter-drone market is expected to grow from USD 4 billion in 2026 to USD 20 billion by 2033, a 25% CAGR, driven by defense modernisation initiatives and homeland security investments. Escalating UAV-based threats and indigenous-design preference rules mean this demand accrues disproportionately to domestic players in India's own fast-growing C-UAS segment.

Faster, cheaper technology transfer from legacy aerospace hubs: Delegated approvals for a few select Tier-1 suppliers now allow work transfer from the UK to India within 6 to 9 months, reducing timelines by more than 70%, while new customs duty exemptions on aircraft components and MRO raw materials lower the landed cost of localising that work, which together makes India a more attractive destination for engine and airframe component manufacturing relocation.

Shift from component supply to integrated sub-systems via JVs: Indian private players are increasingly forming joint ventures with global OEMs, moving up the value chain from parts supply to co-developed sub-systems and integrated products, deepening revenue per programme while opening access to NATO-aligned and European defence programmes previously closed to component-only vendors.

Execution and capacity as the binding constraint: With order books already outstripping current production capacity across both global and Indian markets, credible capacity expansion, through new facilities, workforce scale-up, or supply chain hardening, converts more directly into revenue growth than having to first create demand.

(Source: Trade Brains, Press Information Bureau)

Company overview

Sigma Advanced Systems Limited is a Hyderabad-headquartered integrated aerospace and defence company with more than three decades of experience in designing, developing and manufacturing mission-critical systems, sub-systems and components. The Company has evolved from a focused defence manufacturer into a globally integrated aerospace and defence platform spanning defence technology, autonomous systems, aerospace manufacturing and resilient international supply chains, with an operating footprint across India and the United Kingdom and growing access to European and NATO-aligned markets.

Sigma's capabilities span the value chain from precision components and sub-assemblies to sub-systems, integrated products and intellectual property, with offerings across UAVs and counter-UAS, missile systems and guidance, radar and electronic warfare, avionics, naval systems and advanced ammunition, as well as aero-engine components, airframe structures and precision manufacturing. Through strategic partnerships and joint ventures, the Company is also expanding its participation in co-developed and integrated defence products, complementing its established Build-to-Spec engineering and manufacturing capabilities.

The Company has built deep, long-term relationships across the Indian defence ecosystem and global aerospace industry. Its customer base includes DRDO, HAL, Bharat Dynamics Limited and the Indian Air Force, alongside global names such as Rolls-Royce, BAE Systems, Airbus, Lockheed Martin, Safran, Boeing, MBDA and Rheinmetall. Many relationships are embedded in critical programmes, supported by high switching costs and long-life platforms.

Sigma has expanded its geographic, manufacturing and market-access footprint through targeted acquisitions and partnerships. The 100% acquisition of UK-based Nasmyth in 2025 added aerospace manufacturing capabilities in complex sub-assemblies, fabrications and precision-engineered components. The 51% acquisition of AS Strategic, completed in April 2026, strengthened access to European, UK and NATO-aligned defence programmes and to established joint ventures with European defence OEMs. In July 2026, Sigma further expanded its UK aerospace platform through the acquisition of Bromford Precision Solutions, adding complementary capabilities in complex aero-engine rings, casings, engine structures and advanced precision machining. These transactions support Sigma's stated strategy of building a globally embedded aerospace and defence platform rather than a location-specific manufacturing business.

As of FY2025-26, the Company had 700+ employees across eight facilities in India and the United Kingdom and served more than 10 international export markets. Its footprint has since expanded further through the Bromford acquisition and the commissioning of additional manufacturing capacity at Sri City. Sigma possesses a predominantly international order book, long-term programme visibility and a consolidated order book exceeding Rs. 8,000 crore by July 2026, supported by major aerospace and defence contract wins. With the recent Bromford acquisition it has also been able to increase its order book through a recently announced Rolls-Royce long-term agreement of Rs. 1,600 crore, taking the combined order book visibility to over Rs. 9,600 crore.

Sigma's growth strategy combines core programme growth, targeted capability and geographic expansion, and margin improvement through an integrated India-UK operating model. The Company is pursuing larger work packages by combining proximity, customer alignment and specialised manufacturing capability in the UK with scalable, cost-competitive production in India, including progressive work transfer to its Sri City facility. Its integrated R&D, engineering, manufacturing and lifecycle-support capabilities position Sigma to participate across the defence and aerospace value chains as demand for indigenisation, autonomy, advanced electronics and resilient global supply chains increases.

What makes Sigma unique

- **Integrated technology, engineering and manufacturing capabilities:** Sigma spans components, sub-assemblies, sub-systems and products/IP, combining hardware, software and mechanical engineering with manufacturing capabilities across the aerospace and defence value chain. This enables Sigma to participate at multiple levels of customer programmes and progressively capture a greater share of programme value.
- **Deep and enduring customer relationships:** Multi-decade relationships with Indian defence organisations and global aerospace OEMs, combined with exposure to critical programmes, high switching costs and long-life platforms, provide

a strong foundation for recurring business and customer stickiness.

- **Diversified, multi-geography platform:** Sigma has exposure to Indian defence, autonomous defence and counter-UAS, global aerospace and international exports. Its Indian manufacturing footprint, together with Nasmyth and Bromford's UK capabilities in complex sub-assemblies, fabrications, aero-engine structures and precision components, and AS Strategic's access to European, UK and NATO-aligned defence programmes and OEM relationships, creates a differentiated platform combining engineering expertise, manufacturing scale, market access and cost competitiveness.
- **Engineering, certification and quality capabilities:** Sigma has the engineering, quality systems and certifications required to participate in demanding aerospace and defence programmes, including DO-254, DO-178C, MIL-STD and AS 9102, alongside applicable aviation and regulatory certifications such as EASA and FAA approvals/certifications, where held by the relevant Sigma entities. These capabilities support qualification for safety- and mission-critical applications and create barriers to entry.
- **Lifecycle and aftermarket capabilities:** Maintenance, AOG response, overhaul, spare parts and reverse engineering enable Sigma to support customers beyond initial product delivery, deepen relationships, participate in recurring aftermarket opportunities and increase the lifetime value of customer programmes.
- **Increasing participation in higher-value activities:** Sigma is evolving from a component and sub-assembly supplier towards larger work packages, integrated systems and co-developed products, while building proprietary intellectual property and increasing its content and share of customer programmes.

What opportunities does this enable us to pursue?

- **Global aerospace growth:** Rising air travel, fleet modernisation and expanding aircraft production support sustained demand for aero-engine components, airframe structures, complex sub-assemblies and precision manufacturing. Sigma's expanded Indian and UK manufacturing platform positions it to participate in this growth across multiple programmes and geographies.
- **Indian defence indigenisation:** Rising domestic defence procurement, policy support and increased private-sector participation create a structural opportunity for Indian defence technology and manufacturing companies. Sigma's established relationships, engineering capabilities and expanding product portfolio provide a platform to capture a growing share of domestic defence value chains.
- **Counter-UAS and autonomous defence:** Rapid adoption of drones, counter-drone systems, AI and autonomous warfare creates opportunities across UAVs, C-UAS, radar, electronic warfare, embedded systems and mission-critical sub-systems. Sigma's strategic partnership with Indrajaal and subsequent counter-drone programme wins during 2026 provide commercial validation of this growth vertical and a platform for further expansion.
- **China+1, supply-chain resilience and dual-source manufacturing:** Global aerospace and defence OEMs seeking resilient, diversified and cost-competitive supply chains create opportunities for Sigma to expand India-based precision manufacturing and component sourcing. Its India–UK operating model enables dual-source manufacturing and the progressive transfer of appropriate work to India's cost-competitive manufacturing base, while its enlarged UK aerospace platform and European defence partnerships provide access to UK, European and NATO-aligned programmes.
- **Value-chain expansion and cross-selling:** Sigma's integrated engineering, manufacturing and product capabilities create opportunities to move beyond individual components and sub-assemblies into larger work packages, integrated systems and co-developed products. The enlarged platform also enables Sigma to introduce its technologies and manufacturing capabilities to new customers and expand the scope of work with existing customers across the group, increasing content per platform, programme share and intellectual-property ownership.
- **Lifecycle and aftermarket growth:** Sigma's maintenance, AOG, overhaul, spare-parts and reverse-engineering capabilities create opportunities to expand recurring revenue streams and increase the lifetime value of customer relationships across the product lifecycle.
- **Building an integrated global aerospace and defence platform:** The combination of technology, engineering, manufacturing, certification, customer relationships, programme exposure and international market access provides Sigma with an opportunity to build a more integrated aerospace and defence platform, capturing greater value across multiple stages of the supply chain and the lifecycle of customer programmes.

Financial overview

Profit and Loss analysis

Revenues: Total Revenue stood at Rs. 788 crore in FY2025-26, comprising Rs. 492 crore of revenue from operations and Rs. 296 crore of other income compared to a Total Revenue of Rs.150 Crore in FY2024-25, comprising Rs. 108 crore of revenue from operations and Rs. 42crore of other income. Revenue from operations

reflects Sigma's expanding aerospace and defence business, supported by its growing product portfolio and international operations.

Expenses: Total operating expenses amounted to Rs. 479 crore in FY2025-26, comprising COGS of Rs. 185 crore, other expenditure of Rs. 259 crore, depreciation of Rs. 15 crore and interest of Rs. 20 crore. The Company also reported an exceptional item of Rs. 11 crore and share of profit from associates of Rs. 2 crore. Compared to this, FY 2024-25 reported Total operating expenses amounted to Rs. 118 crore in FY2024-25, comprising COGS of Rs. 73 crore, other expenditure of Rs. 20 crore, depreciation of Rs. 5 crore and interest of Rs. 20 crore. The Company also reported share of Loss from associates of Rs. 40 crore

Balance Sheet analysis

Total assets: As on 31 March 2026, the Company's total assets stood at Rs. 1,059 crore, funded by equity of Rs. 468 crore, non-current liabilities of Rs. 136 crore and current liabilities of Rs. 455 crore. Compared to this, FY 2024-25 reported that the Company's total assets stood at Rs. 468 crore, funded by equity of Rs. 204 crore, non-current liabilities of Rs. 154 crore and current liabilities of Rs. 110 crore.

Applications of funds: Fixed assets stood at Rs. 334 crore as on 31 March 2026, while financial assets stood at Rs. 28 crore, other non-current assets at Rs. 52 crore and current assets at Rs. 645 crore. Compared to this, FY 2024-25 reported Fixed assets stood at Rs. 202 crore as on 31 March 2025, while financial assets stood at Rs. 96 crore, other non-current assets at Rs. 36 crore and current assets at Rs. 135 crore

Margins: Sigma reported PBT of Rs. 301 crore and net profit of Rs. 268 crore in FY2025-26. Based on the reported revenue, the PBT margin was approximately 38.2%, and the net profit margin was approximately 34.0%. Compared to this, FY 2024-25 reported PBT of Rs. (7) crore and net profit of Rs. (14) crore in FY2025-26.

Risks management framework

The Company has a risk and opportunity management framework integrated into its operating and governance processes. Given Sigma's exposure to defence, aerospace, international markets and complex manufacturing programmes, the key areas of risk include technology obsolescence, programme execution, customer concentration, acquisition integration, geopolitical developments, working-capital requirements and regulatory/export controls. The Company's quality and risk architecture also covers product safety, counterfeit-part prevention and critical-component oversight.

Risk management initiatives

Technology risk: Rapid advances in AI, autonomous systems, electronics and defence technologies could result in technology obsolescence, shorten technology cycles and require continued investment in R&D, product development and upgrades.

Mitigation: Sigma maintains strong hardware and software R&D capabilities and continues to develop new-generation FPGA, SoC and autonomous-system capabilities to remain aligned with evolving technology requirements.

Programme and execution risk: Aerospace and defence programmes involve long development, qualification and approval cycles and stringent delivery requirements, which can delay product development, customer approvals and revenue conversion, while simultaneous geographic expansion and capacity build-out can increase delivery, cost and programme-management complexity.

Mitigation: The Company operates with established quality systems and certifications, while its long-standing customer relationships and participation in critical programmes support continued engagement through development and qualification cycles. Sigma is also taking a phased approach to scaling its India, UK and European operations, supported by established management teams, programme oversight and process alignment.

Customer concentration risk: Sigma serves large defence and aerospace customers, and its participation in critical programmes creates exposure to changes in customer procurement priorities, programme delays or cancellations.

Mitigation: The Company continues to diversify across Indian defence, autonomous defence, global aerospace and international markets, while deepening relationships across multiple platforms and customers and leveraging its enlarged international platform to broaden its customer base.

Integration risk: The acquisitions of Nasmyth, Bromford and AS Strategic expand Sigma's geographic reach, capabilities and customer base, while introducing integration requirements across operations, systems, teams, quality frameworks and markets.

Mitigation: Sigma is taking a disciplined, phased approach to integration, leveraging existing management and leadership teams to ensure continuity and oversight. Cross-business workshops, training, best-practice sharing and process alignment support knowledge transfer and operational integration, while preserving customer relationships and capturing synergies. The enlarged platform also creates opportunities for cross-selling and progressive India–UK work transfer.

Geopolitical and export-control risk: Sigma's growing exposure across India, the UK and Europe, together with its international supply chains and defence programmes, increases sensitivity to geopolitical developments, trade restrictions and export-control requirements, which may affect market access and programme execution.

Mitigation: The Company is building a diversified global footprint and supply chain, with manufacturing capabilities across India and the UK and access to multiple international markets. Sigma also maintains relevant processes, certifications and approvals to support compliance with applicable export-control and market-access requirements.

Supply-chain disruption risk: Global aerospace and defence programmes remain vulnerable to disruptions in specialised components, materials and international logistics, which could affect production schedules, costs and programme execution.

Mitigation: Sigma's diversified manufacturing footprint across India and the UK and its expanding international supplier and customer network provide greater flexibility in sourcing and production. The Company's India–UK operating model also supports dual-source manufacturing and supply-chain diversification where appropriate.

Working-capital risk: Growth across aerospace and defence programmes can increase working-capital requirements and place pressure on cash generation, particularly during periods of rapid expansion, capacity commissioning or programme ramp-up.

Mitigation: The Company actively monitors working-capital requirements and cash conversion while leveraging long-term contracts and a diversified international orderbook to support business planning and capacity decisions.

Regulatory and certification risk: Aerospace and defence programmes are subject to stringent regulatory, certification, quality and compliance requirements, which can affect programme qualification, market access and execution.

Mitigation: Sigma maintains relevant aerospace and defence certifications and approvals, including AS9100D, ISO 9001 and DRDO certifications, supporting compliance across its operating markets and participation in demanding aerospace and defence programmes.

Human resources

Sigma views its people as a critical enabler of its technology, engineering and manufacturing capabilities. As of FY2025-26, the Company had 700+ full-time equivalent (FTE) across eight facilities in India and the United Kingdom, comprising highly trained talent supporting defence technology, embedded systems, aerospace manufacturing, engineering, quality and programme management.

The Company's talent base includes systems, embedded, AI, RF and mechanical engineers, aerospace manufacturing specialists, quality engineers and programme managers. Sigma's culture emphasises ownership, high standards and long-term thinking, reflecting the mission-critical nature and long operating life of its products.

The Company also supports skill development through its in-house skill development centre, particularly at its Sri City manufacturing facility, helping build the specialised capabilities required for precision aerospace and defence manufacturing.

Internal control systems and their adequacy

The Company has adequate internal control systems, which include internal financial controls, the efficacy of which is continuously monitored and updated when required internally. The Company's internal control system ensures that assets are safeguarded, established regulations are complied with and pending issues are addressed promptly. The internal auditors monitor the effectiveness of internal control procedures & compliance on quarterly basis and report to the Audit Committee of the Board of Directors of the Company. The Audit Committee reviews reports presented by the internal auditors on a routine basis. The committee makes notes of the audit observations and takes corrective actions, if necessary. It maintains constant dialogue with statutory and internal auditors to ensure that internal control systems are operating effectively

Cautionary statement

This statement made in this section describes the Company's objectives, projections, expectations and estimations which may be 'forward-looking statements within the meaning of applicable Securities Laws and Regulations. Forward-looking statements are based on certain assumptions and expectations of future events. The Company cannot guarantee that these assumptions and expectations are accurate or will be realised by the Company. Actual results could differ materially from those expressed in the statements or implied due to the influence of external factors which are beyond the control of the Company. The Company assumes no responsibility to publicly amend, modify or revise any forward-looking statements on the basis of any subsequent development, information or events.

"Annexure 7"

Auditors' Certificate on Corporate Governance

To,
The Members of
SIGMA ADVANCED SYSTEMS LIMITED
(Formerly Megasoft Limited)

We have examined the compliance of conditions of Corporate Governance by Sigma Advanced Systems Limited (formerly known as Megasoft Limited) for the year ended 31 March 2026, as stipulated in terms of Regulation 34(3) and Schedule V of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to the procedures and implementation thereof, adopted by the company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the company.

In our opinion and to the best of our information and according to the explanation given to us, we certify that the Company has complied in all material respect with conditions of Corporate Governance as stipulated in SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015.

We further state that such compliance in neither an assurance as to the future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

For N.C Rajagopal & Co
Chartered Accountants
Firm Regn No:003398S

Sd/-
Arjun S
(Partner)
Membership No: 230448
UDIN: 26230448RODUSG6441

Place: Chennai
Date: 25 May 2026

"Annexure 8"

Report on Corporate Social Responsibility

[Pursuant to clause (o) of sub-section (3) of section 134 of the Companies Act, 2013 and Rule 9 of the Companies (Corporate Social Responsibility) Rules, 2014]

1. A brief outline on CSR Policy of the Company: The Company is focused on Aerospace and Defense Electronics areas and is in the process of acquiring a few companies and intend to provide centralized corporate, technology, finance and leadership / management support services to such subsidiaries/associate companies. Sigma Advanced Systems Limited is a public listed company, listed with NSE & BSE.

   The Company's CSR Policy intends:

   - To enhance value creation to the society, through its services and conduct,
   - To promote sustainable growth to the society,
   - To fulfill its role as a Socially Responsible Corporate, with environmental concern.

2. The Composition of the CSR Committee:

Sl. No.	Name of Director	Designation/ Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
NA	NA	NA	NA	NA

3. Provide the web-link(s) where Composition of CSR Committee, CSR Policy and CSR Projects approved by the board are disclosed on the website of the Company : https://sigmaadvsys.com/corporate-governance/

4. Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable -

5. (a) Average net profit of the company as per sub-section (5) of section 135 - Rs. 9,03,34,828

   (b) Two percent of average net profit of the company as per sub-section (5) of section 135 – Rs. 18,06,697

   (c) Surplus arising out of the CSR Projects or programmes or activities of the previous financial years – NA

   (d) Amount required to be set-off for the financial year, if any - (e) Total CSR obligation for the financial year [(b)+(c)-(d)] -- NA

6. (a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project) - Rs. 18,06,697

   (b) Amount spent in Administrative Overheads - NA

   (c) Amount spent on Impact Assessment, if applicable - NA

   (d) Total amount spent for the Financial Year [(a)+(b)+(c)] – Rs. 18,06,697

   (e) CSR amount spent or unspent for the Financial Year: Rs. 18,06,697

Total Amount Spent for the Financial Year. (in Rs.)	Amount Unspent (in Rs.)				
	Total Amount transferred to Unspent CSR Account as per subsection (6) of section 135.		Amount transferred to any fund specified under Schedule VII as per second proviso to sub-section (5) of section 135.		
18,06,697	Amount.	Date of transfer.	Name of the Fund	Amount.	Date of transfer.
	-	-	-	-	-
	-	-	-	-	-

Sl No	Particulars of CSR Spent	Amount in Rs.
1.	United Social Welfare Association	10,00,000
2.	Signature Foundation Ek Badalti Soch	1,06,697
3.	Mahavir International Foundation Trust	1,00,000
4.	Nachiketa Tapovan	3,00,000
5.	Vandemataram Foundation	3,00,000

(f) Excess amount for set-off, if any:

Sl No.	Particular	Amount (in Rs.)
(1)	(2)	(3)
i.	Two percent of average net profit of the company as per sub-section (5) of section 135	18,06,697
ii.	Total amount spent for the Financial Year	18,06,697
iii.	Excess amount spent for the Financial Year [(ii)-(i)]	Nil
iv.	Surplus arising out of the CSR projects or programmes or activities of the previous Financial Years, if any	Nil
v.	Amount available for set off in succeeding Financial Years [(iii)-(iv)]	Nil

7. Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Year: NA

1	2	3	4	5	6		7	8
Sl No.	Preceding Financial Year(s)	Amount transferred to Unspent CSR Account under subsection (6) of section 135 (in Rs.)	Balance Amount in Unspent CSR Account under subsection (6) of section 135 (in Rs.)	Amount Spent in the Financial Year (in Rs)	Amount transferred to a Fund as specified under Schedule VII as per second proviso to subsection (5) of section 135, if any		Amount remaining to be spent in succeeding Financial Years (in Rs)	Deficiency, if any
					Amount (in Rs)	Date of Transfer		
1	FY-1	-	-	-	-	-	-	-
2	FY-2	-	-	-	-	-	-	-
2	FY-3	-	-	-	-	-	-	-

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year: No

If Yes, enter the number of Capital assets created/ acquired: NA

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year: NA

Sl No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pincode of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/ beneficiary of the registered owner		
1	2	3	4	5	6		
					CSR Registration Number, if applicable	Name	Registered address
-	-	-	-	-	-	-	-

(All the fields should be captured as appearing in the revenue record, flat no, house no, Municipal Office/Municipal Corporation/ Gram panchayat are to be specified and also the area of the immovable property as well as boundaries)

9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per subsection (5) of section 135 - NA

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN- 02344343

Sd/-
Kalyan Vijay Sivalenka
Independent Director
DIN- 06404449

Place: Hyderabad
Date: 8 September 2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

"Annexure-A1"

Certificate of Non-Disqualification of Directors

(Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members of
SIGMA ADVANCED SYSTEMS LIMITED
(Formerly known as Megasoft Limited),
(CIN-L24100TN1999PLC042730)
No. 43/1 (# 129 to # 140), Prestige Palladium,
8th Floor, Greams Road, Nungambakkam,
Chennai - 600006, Tamil Nadu, India.

We, M Damodaran & Associates LLP, Practicing Company Secretaries, Chennai have examined the relevant registers, records, forms, returns and disclosures received from the Directors of **SIGMA ADVANCED SYSTEMS LIMITED** (Formerly known as Megasoft Limited) having **CIN - L24100TN1999PLC042730** and having registered office at No. 43/1 (# 129 to # 140), Prestige Palladium, 8th Floor, Greams Road, Nungambakkam,

Chennai - 600006, Tamil Nadu, India (hereinafter referred to as 'the Company'), produced before us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications (including Directors Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to us by the Company & its officers, we hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on **31 March 2026** have been debarred or disqualified from being appointed or continuing as Directors of Companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other Statutory Authority.

S No.	Name of Director	DIN	Date of appointment in Company
1.	Mr. Sunil Kumar Kalidindi	02344343	10/12/2021
2.	Ms. Leona Ambuja	07138817	31/03/2015
3.	Mr. Sivalenka Kalyan Vijay	06404449	29/09/2020
4.	Mr. Suryanarayana Raju Nandyala	01581731	24/12/2021
5.	Dr. Uma Garimella	02847624	20/12/2024
6.	Mr. Cheemarla Damodar Reddy	01643638	22/12/2025
7.	Mr. Raju Somashekar Baggavalli	11482140	16/01/2026
8.	Dr. Venkata Nagendra Prasad Thatipamula	11499183	16/03/2026
9.	Mr. Kartheek Chintalapati Raju	02921819	16/03/2026

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

Place: Chennai
Date: 4 September 2026

For **M DAMODARAN & ASSOCIATES LLP**

M. DAMODARAN
Managing Partner
Membership No.: 5837
COP. No.: 5081
FRN: L2019TN006000
PR 3847/2023
ICSI UDIN: F005837H001372994

"Annexure- B1"

Chief Executive Officer (CEO) and Chief Financial Officer (CFO) Certificate

As stipulated under Regulation 17(8) and Part B of Schedule II of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby certify that:

We the undersigned, in our respective capacities as Chief Executive Officer (CEO) and Chief Financial Officer (CFO) of Sigma Advanced Systems Limited (Formerly Megasoft Limited) ("the Company"), to the best of our Knowledge and belief certify that:

1. We have reviewed the financial statements and the cash flow statement for the financial year ended 31 March 2026 and based on our knowledge and belief, we state that:
   i. These statements do not contain any materially untrue statements or omit any material fact or contain statements that might be misleading; and
   ii. These statements together present a true and fair view of Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
2. there are no transactions entered into by the company during the year which are fraudulent, illegal or violative of the Company's code of conduct;
3. we are responsible for establishing and maintaining internal controls and for evaluating the effectiveness of the same over the financial reporting of the company and have disclosed to the Auditors and the Audit Committee deficiencies in the design or operation of internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies;
4. we have indicated, based on our most recent evaluation, wherever applicable, to Auditors and Audit Committee:
   i. Significant changes, if any, in the internal control over financial reporting during the year;
   ii. Significant changes, if any, in the accounting policies made during the year and that the same has been disclosed in the notes to the financial statements; and
   iii. Instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having significant role in the company's internal control system over financial reporting.

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Sd/-
Shridhar Thathachary
Chief Financial Officer

Place: Hyderabad
Date: 25 May 2026

Declaration on Adherence with Company's Code of Conduct

[Pursuant to Regulation 34(3) and Schedule V of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015]

This is to confirm that the Company has adopted Code of Conduct for all the members of Board of Directors, Senior Management, Officers and Employees of the Company as stipulated under Regulation 17(5) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, and the members of Board of Directors, Senior Management, Officers and Employees of the Company have affirmed compliance with Code of Conduct for the financial year ended on 31 March 2026.

For and on behalf of Board of Directors of
Sigma Advanced Systems Limited
(Formerly Megasoft Limited)

Sd/-
Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Place: Hyderabad
Date: 25 May 2026

Independent Auditor's Report

To
The Members of
Sigma Advanced Systems Limited (Formerly known as Megasoft)

Report on the Audit of the Standalone Financial Statements

1. Opinion

We have audited the Standalone Financial Statements of SIGMA ADVANCED SYSTEMS LIMITED (Formerly known as Megasoft) ("the Company"), which comprise the Balance Sheet as at 31st March 2026, and the Statement of Profit and Loss, the Statement of Cash Flows, Notes to Standalone Financial Statements and the Statement of Changes in Equity for the year then ended, and a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2026, and its profit, changes in equity and its cash flows for the year ended on that date.

2. Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Ind AS Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Standalone Ind AS Financial Statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

3. Emphasis of Matter

a. We draw attention to Note No. 7 of the Standalone Financial Statements regarding the proceedings with the GST department and multiple Writ petitions filed by the company in that connection.

b. We draw attention to Note No. 38(xi) and Note No: 39(a) of the Standalone Financial Statements regarding the scheme of amalgamation of Sigma Advanced Systems Private Limited (Transferror company) with Megasoft Limited (Transferee company).

4. Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Ind AS Financial Statements of the current period. These matters were addressed in the context of our audit of the Standalone Ind AS Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report

Sl. No.	Key Audit Matter	How the Key Audit Matter was addressed in our audit
1.	**Evaluation of uncertain tax positions:**	
	The Company has uncertain tax and legal positions including matters under dispute which involves significant judgment to determine the possible outcome of these disputes.	With respect to Evaluation of uncertain tax positions, we have undertaken audit procedures, which include the following: ▪ We obtained the list of legal cases filed by and on the Company. ▪ We obtained details of completed tax assessments and demands for the year ended 31st March, 2026 from the management. ▪ We also reviewed the Company's correspondences and appeal documents.

Sl. No.	Key Audit Matter	How the Key Audit Matter was addressed in our audit
		▪ We obtained status reports from the existing counsels handling each case. ▪ We have reviewed the GST related correspondences and the written petitions filed by the company. ▪ Ascertained whether the chances of crystallization of liability are probable/ possible/ remote. ▪ Ensured appropriate disclosure under Notes on accounts.
2.	**Scheme of Arrangement:**	
	During the year ended March 31, 2026, the Scheme of Arrangement of Sigma Advanced Systems Private Limited (Transferor Company) with Megasoft Limited (Transferee Company, subsequently renamed as Sigma Advanced Systems Limited) and their respective shareholders and creditors under Sections 230 to 232 of the Companies Act, 2013, was sanctioned by the Hon'ble National Company Law Tribunal (NCLT), Chennai Bench, vide its Order dated December 16, 2025, and became effective on December 31, 2025. Due to the materiality of the transaction, complexity in valuation, share swap allotment, common control accounting treatment, and its pervasive impact on both the current and restated comparative financial statements, this transaction was identified as a Key Audit Matter.	With respect to Scheme of Arrangement, we have undertaken audit procedures, which include the following: ▪ We Reviewed the terms and conditions of the Scheme of Amalgamation, the certified true copy of the NCLT sanction order dated December 16, 2025, and verified statutory filings with the Registrar of Companies (ROC). ▪ We Verified the requisite corporate and regulatory approvals, including the Valuation Report issued by the Registered Valuer, Board and Shareholder resolutions, Stock Exchange approvals. ▪ We Audited and tested the amalgamation accounting entries, including the transfer and vesting of assets, liabilities, and reserves of the Transferor Company, and verified the restatement of comparative financial numbers from the Appointed Date (April 1, 2024). ▪ We Assessed the adequacy, completeness, and presentation of the related disclosures in the notes to the standalone financial statements in compliance with applicable Indian Accounting Standards (Ind AS) and Schedule III of the Companies Act, 2013

5. Other Matter

We did not audit the financial Statement pertaining to Sigma Advanced Systems Private Limited (Transferor Company), which has been merged with the Company pursuant to the Scheme of Amalgamation, for the year ended 31st March 2025, the financial effects of which have been included in the restated comparative figures presented in the accompanying Statement. These figures have been taken based on the annual audited financial statements for the year ended 31st March 2025, which were audited by another auditor who expressed an unmodified opinion thereon.

Accordingly, our Audit conclusion on the Statement, insofar as it relates to the restated comparative figures for the aforesaid periods pertaining to the Transferor Company, is based solely on such audited financial statements and we do not express any separate opinion on the financial statement of the Transferor Company for the said periods.

Our opinion is not modified with respect of above-mentioned matters.

6. Information Other than the Financial Statements and Auditor's Report thereon

The Company's Board of Directors is responsible for the other information. The other information comprises information included in the Annual Report to the Shareholders but does not include the

Standalone Financial Statements and our auditor's report thereon. The Other information is expected to be made available to us after the date of this Auditor's Report.

Our opinion on the Standalone Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above when it becomes available and in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained in the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

When we read the remaining other information, which we will obtain after the date of auditor's report and if we conclude that there is material misstatement therein, we are required to communicate the matter to those charged with governance.

7. Responsibilities of management and Those Charged with Governance for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation and presentation of these Standalone Ind AS Financial Statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Ind AS Financial Statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the Company's financial reporting process.

8. Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the Standalone Ind AS Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Standalone Ind AS Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Ind AS Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the Standalone Ind AS Financial Statements, including the disclosures, and whether the Standalone Ind AS Financial Statements represent the under-lying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Standalone Ind AS Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Ind AS Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Ind AS Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Ind AS Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

9. Report on Other Legal and Regulatory Requirements

i. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure-A a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

ii. As required by Section 143(3) of the Act, we report that:

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

(b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

(c) The Balance Sheet, the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Statement of Cash Flows, Notes to the Standalone Ind AS Financial Statements and the Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.

(d) In our opinion, the aforesaid Standalone Ind AS Financial Statements comply with the Indian Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended.

(e) On the basis of the written representations received from the Directors taken on record by the Board of Directors, none of the Directors is disqualified as on 31st March, 2026 from being appointed as a Director in terms of Section 164 (2) of the Act.

(f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B."

(g) With respect to the matter to be included in the Auditors' Report under Section 197(16) of the Act, in our opinion and according to

the information and explanations given to us, the remuneration paid by the Company to its Directors during the year is in accordance with the provisions of Section 197 of the Act.

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

(i) The Company has disclosed the impact of pending litigation on its financial position in its Standalone Ind AS Financial Statements – Refer Note No. 35(i) to the Financial Statements.

(ii) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

(iii) There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

(iv) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note No. 39(xii) to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(v) The management has represented, that, to the best of its knowledge and belief, as disclosed in the Note No. 39(xii) to the accounts, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(vi) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) of the Companies (Audit and Auditors) Rules, 2014 contain any material misstatement.

(vii) No dividend has been declared or paid during the year by the Company.

(viii) Based on our examination which included test checks, the company has used an accounting software for maintaining its books of accounts which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with and the audit trail has been preserved by the Company as per the statutory requirements for record retention.

For N.C. Rajagopal & Co.,
Chartered Accountants
(Firm Regn No.: 003398S)

Arjun S
Partner
(Membership No.: 230448)
UDIN: 26230448AFDIPQ3649

Place: Chennai
Date: 25-05-2026

Annexure - A to the Auditor's Report

[Referred to in Para 9(i) of our report of even date]

i) a) (A) The Company is maintaining proper records showing full particulars including quantitative details and situation of its property, plant, and equipment.

(B) The Company is maintaining proper records showing full particulars of intangible assets.

b) The Property, plant and equipment and right-of-use assets have been physically verified by the Management at reasonable intervals and no material discrepancies were noticed on such verification. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its property, plant and equipment.

c) The Company does not own any immovable property as at the reporting date and hence, reporting under Clause (i) (c) of the Companies (Auditor's Report) Order, 2020 does not arise.

d) According to the information given to us, the company has not revalued its Property, Plant and Equipment (including right of use assets) or intangible assets during the year.

e) According to the information and explanations given to us, there have been no proceedings initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.

ii) a) According to the information and explanations given to us, the inventories were physically verified by the management at reasonable intervals during the year and, in our opinion, the coverage and procedure of such verification by the management is appropriate, and no discrepancy of 10% or more in the aggregate of each class of inventory was noticed

b) Based on the information and explanations given to us, the Company has been sanctioned working capital limits from banks in excess of Rs. 5 crores in aggregate, on the basis of security of current assets during the year. The periodic statements filed by the Company wherever applicable with such banks are in agreement with the books of accounts

iii) Based on the information and explanations given to us, the company has not provided any security or advances in the nature of loans, secured or unsecured to companies, firms, Limited liability partnerships or any other parties. The Company has granted loans and made investments in companies.

a) Details as required under Clause A & B

As stated above, the company has provided loans to companies, the details of which are as under:

(Rs. in Lakhs)

Particulars	Guarantees	Security	Loans
Aggregate amount granted / provided during the year			
Subsidiary	6,126.47	Nil	40,137.59
Associate	Nil	Nil	Nil
Others	Nil	Nil	1,600.00
Balance Outstanding as at 31st March 2026 in respect of above.			
Subsidiary	6,159.16	Nil	27,721.79
Associate	Nil	Nil	Nil
Others	Nil	Nil	1,600.00

b) According to the information and explanations given to us, the investments made and the terms and conditions of the grant of all loans provided are not prejudicial to the company's interest.

c) In respect of loans granted by the Company, the schedule of repayment of principal and payment of interest has been stipulated, and the repayments of principal amounts and receipts of interest have been regular during the year in accordance with the terms of sanction, wherever applicable.

d) Based on the Verification of the records of the company, no amount of loan is overdue for more than 90Days.

e) Based on the information and explanations given to us, no loan granted which has fallen due during the year has been renewed, extended, or fresh loans granted to settle the over dues of existing loans.

f) The Company has not granted any loan or advance in the nature of loan either repayable on demand or without specifying any terms or period of repayment.

iv) According to the information and explanations given to us and based on our examination of the records of the Company, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013, in respect of loans, investments and guarantees, wherever applicable. The Company has not provided any security covered under Sections 185 and 186 of the Companies Act, 2013.

v) According to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits from the public within the meaning of Section 73 to 76 or any other relevant provisions of the Companies Act, 2013 and the rules framed there under or under the directives of the Reserve Bank of India. Hence, reporting under clause (v) of the Companies (Auditor's Report) Order, 2020 does not arise.

vi) According to the information and explanations given to us, the Central Government has not prescribed maintenance of cost record under Section 148(1) of the Companies Act, 2013 in respect of the company.

vii) a) According to the information and explanations given to us and as per our verification of the records of the Company, in our opinion, the company is regular in depositing undisputed statutory dues including Income Tax, Goods and Services Tax, Employees Provident Fund, Employees State Insurance, Customs Duty, Excise Duty and other statutory dues applicable to it and there are no statutory dues outstanding for a period of more than six months from the date they become payable as on the last day of the financial year.

b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, it did not have dues which have not been deposited as on March 31, 2026, on account of any disputes, except the following:

Name of the statute	Amount Rs. Crores	Period to which the amount relates	Forum where dispute is pending
Income Tax Act, 1961	Rs. 20.02	A.Y 2022-23	Commissioner of Income tax (Appeals)
Income Tax Act, 1961	Rs. 2.46	A.Y 2012-13	High Court, Madras
Income Tax Act, 1961	Rs. 0.57	A.Y 2021-22	High Court, Madras
Income Tax Act, 1961	Rs. 9.54	A.Y 2024-25	Commissioner of Income tax (Appeals)
Income Tax Act, 1961	Rs. 9.06	A.Y 2023-24	Commissioner of Income tax (Appeals)

viii) According to the information and explanations given to us and as per the records of the Company, there have been no transactions not recorded in the books of account which have been surrendered or disclosed as income during the year.

ix) a) Based on the records verified by us, the Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

b) The Company has not been declared as a wilful defaulter by any bank or financial institution or other lender.

c) Based on our verification of the books and records, the Company has applied the Term Loans for the purpose which they were obtained.

d) In our opinion and according to the information and explanations given to us, the funds raised on a short-term basis have not been utilised for long term purposes.

e) Based on our verification of the books of account, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary and associate and the Company does not have any joint ventures. Based on the audit procedures performed by us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary

or associate, and the Company does not have any joint ventures.

x) a) Based on the information and explanations given to us, the Company has not raised moneys by way of Further Public Offer or Initial Public Offer (including debt instruments) during the year.

b) According to the information and explanation given to us, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully, partially, or optionally convertible) during the year. Hence, reporting under clause (x) (b) of the Companies (Auditor's Report) Order, 2020 does not arise.

xi) a) According to the information and explanations given to us, no fraud on or by the company has been noticed or reported during the year.

b) No report under section 143 (12) of the Companies Act, 2013 has been filed by us in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

c) According to the information and explanation given to us, there have been no whistle blower complaints received by the Company during the year. Hence, reporting under clause (xi) (c) of the Companies (Auditor's Report) Order, 2020 does not arise.

xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Hence, reporting under clauses (xii) (a) to (c) of the Companies (Auditor's Report) Order, 2020 does not arise.

xiii) According to the information and explanations given to us and based on our examination of the records of the Company, transactions with related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements etc., as required by the applicable Indian Accounting Standards.

xiv) a) Based on the information and explanations given to us and in our opinion, the Company has an internal audit system commensurate with the size and nature of its business;

b) The reports of the Internal Auditor for the period under Audit were considered by us.

xv) According to the information and explanations given to us, the Company has not entered into any non-cash transactions with the directors or persons connected with them. Hence, reporting under Clause (xv) of the Companies (Auditor's Report) Order, 2020 does not arise.

xvi) a) According to the information and explanations given to us and in our opinion, the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934.

b) Based on the information and explanations given to us, the Company has not conducted any Non-Banking Financial or Housing Finance Activities without a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.

c) In our opinion, the Company is not a Core Investment Company (CIC) and hence, reporting under Clause (xvi) (c) of the Companies (Auditor's Report) Order, 2020 does not arise.

d) According to the information and explanations given to us, the Group does not have any CIC as part of the Group.

xvii) According to the information and explanations given to us and in our opinion, the company has not incurred any cash losses in the financial year or in the immediately preceding financial year.

xviii) Based on the information and explanations given to us, there has been no resignation of the statutory auditors during the year. Hence, reporting under Clause (xviii) of the Companies (Auditor's Report) Order, 2020 does not arise.

xix) In our opinion and according to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the Ind AS Financial Statements and also our knowledge of the plans of Board of Directors and of Management, we are of the opinion that no material uncertainty exists as on the date of the audit report and that the company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the Balance Sheet date, will get discharged by the Company as and when they fall due.

xx) (a) According to the information and explanations given to us, the Company has no unspent amount that needs to be transferred to a Fund specified in Schedule VII to the Act in compliance with second proviso to sub-section (5) of Section 135 of the Act.

(b) According to the information and explanations given to us, the Company has no unspent amount which needs to be transferred to a special account in compliance with sub-section (6) of Section 135 of the Act.

xxi) There have not been any qualifications or adverse remarks by the respective auditors in the Companies (Auditor's Report) Order, 2020 Reports of the Companies included in the consolidated financial statements of the Company. This reporting requirement has also been covered in our Independent Auditor's Report on the Consolidated Financial Statements of the Company.

For N.C. Rajagopal & Co.,
Chartered Accountants
(Firm Regn No.: 003398S)

Arjun S
Partner
(Membership No.: 230448)
UDIN: 26230448AFDIPQ3649

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Annexure - B to the Auditor's Report

Referred to Paragraph 9(li)(F) of Our Report of Even Date

We have audited the Internal Financial Controls over financial reporting of SIGMA ADVANCED SYSTEMS LIMITED (Formerly known as Megasoft Limited) ("the Company") as of March 31, 2026 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India". These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit conducted in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, to the extent applicable to an audit of internal financial controls, both issued by the Institute of Chartered Accountants of India. Those standards and the Guidance Note require that we comply the ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material aspects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial control system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting Included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Company's internal financial control system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A Company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial control over financial reporting includes these policies and procedures that:

(1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company;

(2) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directions of the company; and

(3) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over the financial reporting to future periods are subject to the risk that the internal financial control over the financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material aspects, an adequate internal financial controls system over the financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2026, based on the internal control over the financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over the Financial Reporting issued by the Institute of Chartered Accountants of India.

For N.C. Rajagopal & Co.,
Chartered Accountants
(Firm Regn No.: 003398S)

Arjun S
Partner
(Membership No.: 230448)
UDIN: 26230448AFDIPQ3649

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Standalone Balance Sheet as at 31 March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

Particulars	Note No.	As at 31 March 2026	As at 31 March 2025
Assets			
Non-Current assets			
Property,Plant and Equipment	2	2,817.72	20,175.35
Financial Assets			
- Investments	3	951.59	14,437.18
- Loans	4	29,321.79	1,500.00
- Other Financial Assets	5	-	608.41
Defered tax Asset (Net)	6	-	52.35
Other Non Current Assets	7	5,168.73	3,531.13
Current Assets			
Inventories	8	1,649.55	1,959.15
Financial Assets			
- Trade Receivables	9	14,260.47	5,903.56
- Cash And Cash Equivalents	10	1,174.31	947.23
- Bank Balances other than Cash & Cash Equivalents	11	366.16	37.59
Current Tax Assets (Net)	12	-	1,062.33
Other Current Assets	13	6,915.63	3,545.44
Total Assets		**62,625.95**	**53,759.73**
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	14	17,623.97	7,377.00
Other Equity	15	29,809.29	19,980.05
Total Equity		**47,433.26**	**27,357.05**
Non-Current Liabilities			
Financial Liabilities			
- Borrowings	16	4,396.72	12,873.52
- Lease Liabilities	17	328.04	97.67
- Other Financial Liabilities	18	-	2,235.47
Provisions	19	203.88	181.40
Current Liabilities			
Financial Liabilities			
- Borrowings	20	2,248.62	1,753.48
- Lease Liabilities	21	86.96	76.98
- Trade payables	22		
- Total Outstanding dues to Micro and Small Enterprises			
- Total Outstanding dues of Creditors other than Micro and Small Enterprises		5,327.17	1,961.67
- Other financial liabilities	23	53.32	92.90
Other current liabilities	24	1,414.48	7,066.16
Provisions	25	27.39	63.41
Current tax Liabilities-(net)	26	1,106.11	-
Total Equity and Liabilities		**62,625.95**	**53,759.73**

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached

For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

Standalone Statement of Profit & Loss for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

Particulars	Note No.	For the year ended 31 March 2026	For the year ended 31 March 2025
Revenue from operations	27	15,764.16	10,735.60
Other Income	28	22,943.58	4,157.03
Total Income		**38,707.74**	**14,892.63**
Expenses			
Cost of Materials consumed	29	10,544.27	6,707.63
Changes in Inventories of Finished goods and Work in progress	30	(58.52)	535.99
Employee benefits expense	31	1,268.64	935.63
Finance costs	32	990.14	1,985.90
Depreciation and amortisation expense	2	411.93	486.85
Other expenses	33	2,152.64	1,004.82
Total Expense		**15,309.10**	**11,656.82**
Profit/(Loss) Before Exceptional Items and Tax		23,398.64	3,235.81
Exceptional Items		-	
Profit/(Loss) Before Tax		**23,398.64**	**3,235.81**
Less: Tax expense			
Current tax		3,283.38	717.90
Deferred tax		52.35	(11.77)
Total tax expense		**3,335.73**	**706.13**
Profit/(Loss) for the year		**20,062.91**	**2,529.67**
Other Comprehensive Income/(Loss)			
A Items that will not be reclassified to profit or loss			
i) Remeasurements of post employement benefit obligations		13.29	5.68
ii) Changes in Revaluation Surplus			
B Items that will be reclassified to profit or loss			
i) Fair Value Changes in Equity Instruments through OCI			
Other Comprehensive Income for the year		**13.29**	**5.68**
Total Comprehensive Income for the year		**20,076.20**	**2,535.35**
Earnings per equity share			
Basic & Diluted	34	11.38	1.44
Significant Accounting Policies	1		
Notes to accounts form an integral part of the Financial Statements			

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

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Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Statement of Changes in Equity for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

A. Equity Share Capital

(i) Current Reporting Period

(Amounts in Lakhs)

Balance at the beginning of the current reporting period	Changes in Equity Share Capital due to prior period errors	Restated balance at the beginning of the current reporting period	Changes in equity share capital during the current year	Balance at the end of the current reporting period
7,377.00	-	7,377.00	10,246.97	17,623.97

(i) Previous Reporting Period

(Amounts in Lakhs)

Balance at the beginning of the current reporting period	Changes in Equity Share Capital due to prior period errors	Restated balance at the beginning of the current reporting period	Changes in equity share capital during the current year	Balance at the end of the current reporting period
7,377.00	-	7,377.00		7,377.00

B. Other Equity

(i) Current Reporting Period

(Amounts in Lakhs)

	Security premium	Capital Reserve	Business Reconstruction Reserve	General Reserve	Retained Earnings	Revaluation Surplus	Other items of Other Comprehensive Income	Shares Pending allotment	Total
Balance at the beginning of the current reporting period		(6,655.51)	21.38	2,546.75	11,022.33	2,773.73	24.40	10,246.97	19,980.05
Total Comprehensive Income for the current year					20,062.91		13.29		20,076.20
Transfer to General Reserve			(21.38)	2,795.11		(2,773.73)			-
Any other Change to be specified								(10,246.97)	(10,246.97)
Balance at the end of the current reporting period		**(6,655.51)**	**-**	**5,341.85**	**31,085.24**	**-**	**37.70**	**-**	**29,809.29**

Statement of Changes in Equity for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

(i) Previous Reporting Period

(Amounts in Lakhs)

Particulars	Securities premium	Capital Reserve	Business Reconstruction Reserve	General Reserve	Retained Earnings	Revaluation Surplus	Other items of Other Comprehensive Income	Shares Pending allotment	Total
Balance at the beginning of the current reporting period	250.66	5.59	21.38	2,546.75	8,492.66	2,773.73	18.72		14,109.49
Total Comprehensive Income for the current year					2,529.67		5.68		2,535.35
Bonus shares					-				-
Add: pursuant to the scheme	58,705.15	(65,616.90)							(6,911.76)
Less: Netted off pursuant to the scheme	(58,955.81)	58,955.81							-
Any other Change to be specified								10,246.97	10,246.97
Balance at the end of the current reporting period	-	(6,655.51)	21.38	2,546.75	11,022.33	2,773.73	24.40	10,246.97	19,980.05

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Standalone Cash Flow Statement for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
A. Cash flow from Operating Activities		
Net Profit Before Tax	23,398.64	3,241.49
Adjusted for:		
Depreciation	411.93	486.85
Interest Income	(1,664.43)	(333.39)
Interest & Bank Charges	990.14	1,985.90
Profit on sale of property, plant and equipment	(18,463.74)	
Operating Profit Before Working Capital Changes	**4,672.54**	**5,380.84**
Adjusted for:		
Other Non-Current Assets	(1,029.19)	(2,830.93)
Other Current Assets	(3,370.18)	(1,475.92)
Inventories	309.61	82.15
Bank Balances other than Cash & Cash Equivalents	(328.57)	106.75
Trade Receivables and Other Assets	(8,356.90)	(707.35)
Trade and other payables	3,325.92	1,197.39
Other non current liabilities	(5,574.63)	4,961.38
Lease Liabilities	240.34	(61.49)
Other Payables	(2,212.99)	(637.67)
Cash Generated from operations	**(12,324.05)**	**6,015.15**
Taxes paid :	(1,214.73)	(76.85)
Net Cash from / (Used in) Operating Activities [A]	**(13,538.79)**	**5,938.30**
B. Cash Flow from Investing activities		
Purchase of Property, Plant and Equipment	(4,749.08)	(1,741.46)
Transfer of Property, Plant and Equipment	40,158.52	
Investments	13,485.58	(0.51)
Loans Given	(27,821.79)	(500.00)
Loans Repaid		
Interest Income	1,664.43	333.39
(Creation of deposits)/Closure of deposits		
Net Movement in Inter Corporate Loans Given		
Sale of Property, Plant and Equipment		
Net Cash from / (Used in) Investing Activities [B]	**22,737.66**	**(1,908.58)**
Increase / (Decrease) on Borrowings	(7,981.66)	(3,065.32)
Interest & Bank Charges	(990.13)	(1,985.91)
Net Cash flow from/(Used in) Financing Activities [C]	**(8,971.80)**	**(5,051.23)**
Net Cash Flows during the year {A+B+C}	**227.08**	**(1,021.51)**
Cash & Cash Equivalents (Opening Balance)	**947.23**	**1,968.74**
Cash & Cash Equivalents (Closing Balance)	**1,174.31**	**947.23**

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 1A: Company information and Material accounting policies

a. Background

Sigma Advanced Systems Limited, a public limited company domiciled in India and incorporated under the provisions of the Companies Act, 1956, on 29 June 1999 and is registered office in Chennai. The company's shares are listed on BSE and NSE, in India.

b. Basis of Preparation

These Financial Statements have been prepared on accrual basis of accounting in accordance with Indian Accounting Standards (IND AS) as per the Companies (Indian Accounting Standards) Rules, 2015, as amended, notified under Section 133 of Companies Act, 2013, (the 'Act') and other relevant provisions of the Act.

Disclosures under IND AS are made only in respect of material items and in respect of the items that will be useful to the users of Financial Statements in making economic decisions.

c. Basis of Measurement

The Financial Statements have been prepared in Going concern basis and on an accrual method of accounting. Historical cost is used in preparation of Financial Statements except for the following items which are measured at Fair value:

i) Certain Financial assets and liabilities

ii) Net Defined benefit (Asset)/ Liability

d. Functional and Presentation currency

The Financial Statements are presented in Indian Rupees (INR), which is the Company's functional currency. All financial information presented in INR has been rounded to the nearest Lakhs, except as stated otherwise.

e. Use of estimates and management judgement

The preparation of Financial Statements in conformity with the accounting policies requires the management to make estimates and assumption considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year. The Management believes that the estimates used in preparation of the Financial Statements are prudent and reasonable. Future results could differ due to these estimates and the differences between the actual results and the estimates are recognised in the periods in which the results are known/materialize.

Note 1B: Material accounting policies

A Summary of significant accounting policies applied in the preparation of Financial Statements is given below. These accounting policies have been applied consistently to all the periods presented in the Financial Statements.

a. Revenue Recognition

Revenue from software development on time and material basis is recognized based on software developed

and billed to clients as per the terms of specific contracts. In the case of fixed-price contracts, revenue is

recognized based on the milestones achieved as specified in the contracts or on the percentage of completion basis. Provision for estimated losses on incomplete contract is recorded in the period in which such losses become probable based on the current estimates. Revenue from product licenses and related revenue are recognized as follows:

- License fees, on delivery and subsequent milestone schedule as per the terms of the contract with the end use
- Product maintenance revenues, over the period of the maintenance contract

Notes forming part of Financial Statements

for the year ended 31st March, 2026

b. Property, Plant and Equipment

i) Initial and Subsequent Recognition:

All items of Property, Plant and equipment (PPE) are measured at Historical cost, which includes capitalised

borrowing cost less accumulated depreciation and impairment loss, if any.

Items of spare parts, standby equipment and servicing equipment which meet the definition of property, plant and equipment are capitalised. Other spare parts are carried as inventory and recognised in the Statement of Profit and Loss on consumption.

Where the cost of depreciable assets has undergone a change during the year due to increase/ decrease in long term liabilities on account of exchange fluctuation price adjustment, change in duties or similar factors, and the unamortized balance of such asset is charged off prospectively over the remaining useful life determined following the applicable accounting policies relating to depreciation/ amortization.

On transition to IND AS, the company has elected to adopt the cost model i.e., cost less accumulated depreciation for all of its Property, Plant and Equipment as at 1st April, 2016. Except for land which has been revalued to reflect the fair value.

The Property, Plant and equipment of the Company are physically verified in a phased manner to cover all the items of PPE over a period of three years, which in the Management's opinion, is reasonable having regard to the size of the Company and the nature of its assets. Property, Plant and Equipment are capitalized when the assets are ready for their intended use and when occupancy certificate is received in respect of immovable properties.

ii) Depreciation

Depreciation is recognised in Statement of Profit and Loss on a straight – line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

Depreciation on additions to/ deductions from property, plant and equipment during the year is charged on pro – rata basis from/ up to the month in which the asset is available for use/ disposed.

iii) Goodwill and Other Intangible Assets:

On transition to IND AS, the Company has elected to continue with the carrying value of all its intangible assets recognised as at 1st April, 2016, measured at previous GAAP, and use that carrying value as the deemed cost of such intangible assets.

Software which is not an integral part of related hardware, is treated as intangible asset and amortised over a period five years or its license period, whichever is less.

On Transition to IND AS the company has elected to continue with the carrying value of all intangible assets recognised as at 1st April, 2016 measured as per the previous GAAP and use the carrying value as deemed cost.

iv) Capital work – in – progress:

The cost of self–constructed assets include the cost of materials and direct labour, and any other costs directly attributable to bringing the assets to the location and condition necessary for it to be capable of operating in the manner intended by management and borrowing costs.

Expenses directly attributable to construction of property, plant and equipment incurred till they are ready for their intended use are identified and allocated on a systematic basis of the cost of related assets.

Unsettled liabilities for price variation/exchange rate variation in case of contracts are accounted for on estimated basis as per terms of the contracts.

Notes forming part of Financial Statements

for the year ended 31st March, 2026

v) Leases:

The company's lease assets primarily comprise of buildings. The company assesses whether a contract contains a lease at the inception of the contract. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

i) the contract involves the use of an identified asset

ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and

iii) the Company has the right to direct the use of the asset.

Transition

Effective April 1, 2019, the Company adopted Ind AS 116 "Leases" and applied the standard to all lease contracts existing on April 1, 2019 are accounted for as per the provisions of the standard. Consequently, the Company recorded the lease liability at the present value of the lease payments discounted at the incremental borrowing rate. Right of Use (ROU) assets have been recognized by the Company at an amount equal to the lease liability, adjusted for previously recognized prepaid or accrued lease payments.

c. Cash Flow Statement

Cash flow statement is prepared in accordance with the indirect method prescribed in IND AS 7 "Cash Flow Statement".

d. Prior Period Errors

Material prior period errors are corrected retrospectively by restating the comparative amounts for the prior periods presented in which the error occurred. If the error occurred before the earliest period presented, the opening balances of assets, liabilities, and equity for the earliest period presented, are restated.

e. Income Tax

Income tax expense comprises Current and Deferred tax. Current Tax expense is recognised in Statement of Profit and Loss except to the extent that it relates to items recognised directly in Other Comprehensive Income (OCI) or Equity, in which case it is recognised in OCI or Equity.

Current tax is the amount of tax payable on the taxable income for the year as determined in accordance with the applicable tax rates and the provisions of the Income Tax Act, 1961 and other applicable tax laws.

Deferred tax is measured using the tax rates and the tax laws enacted or substantively enacted as at the reporting date. Deferred tax liabilities are recognized for all timing differences.

Deferred tax assets are recognized for all temporary differences and unused tax losses only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses. Deferred tax assets and liabilities are offset if such items relate to taxes on income levied by the same governing tax laws and the Company has a legally enforceable right for such set off. Deferred tax assets are reviewed at each balance sheet date for their reliability.

Deferred Tax expense is recognised in Statement of Profit and Loss except to the extent that it relates to items recognised directly in Other Comprehensive Income (OCI) or Equity, in which case it is recognised in OCI or Equity.

f. Employee Benefits

Defined contribution plans: Contributions to defined contribution plans are recognized as expenses when employees have rendered services entitling them to such benefits.

Defined benefit plans: For defined benefit plans, the cost of providing benefits using the projected Unit Credit Method, with actuarial valuations being carried out at each Balance sheet date. Actuarial gains and losses are recognised in full in the other Comprehensive income for the period in which they occur. Past service cost both vested and unvested is recognised as expenses at the earlier of (a) when the plan amendment or curtailment occurs: and (b) when the entity recognises related restructuring costs or termination benefits.

Notes forming part of Financial Statements

for the year ended 31st March, 2026

The retirement benefit obligations recognised in the Balance Sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any assets resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

g. Foreign currency translation

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that are closely approximate to the rate at the date of the transaction. Foreign currency monetary items of the Company, outstanding at the balance sheet date are restated at the year-end rates. Exchange differences arising on settlement / restatement of foreign currency monetary assets and liabilities of the Company are recognized as income or expense in the Statement of Profit and Loss except in cases of exchange differences on account of depreciable assets are adjusted in cost of depreciable asset and would be depreciated over the balance life of asset.

h. Borrowing Cost

Borrowing costs, allocated to and utilized for qualifying assets, pertaining to the period from commencement of activities relating to construction/development of the qualifying asset up to the date of capitalization of such asset is added to the cost of the assets. Borrowing costs include interest, amortization of ancillary costs incurred. Costs in connection with the borrowing of funds to the extent not directly related to the acquisition of qualifying assets are charged to the Statement of Profit and Loss over the tenure of the loan. Capitalization of borrowing costs is suspended and charged to the Statement of Profit and Loss during extended periods when active development activity on the qualifying assets is interrupted.

i. Impairment of Non–Financial Assets

The carrying amount of Company's Non – financial Assets are reviewed at each reported date to determine

whether there is an indication of impairment 'considering the provisions of IND AS 36 "Intangible Assets".

Impairment loss is recognised if the carrying amount of the assets or its Cash Generating Units (CGU) exceeds its estimated recoverable amount. Impairment losses are recognised in Profit and Loss. Impairment losses recognised in respect of CGUs are reduced from the carrying amounts of the assets of the CGU.

Non-Financial assets that suffered impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

An Impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

j. Earnings per share

Basic earnings per share are computed by dividing the net profit/loss after tax attributable to the equity shareholders of the company by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the net profit/loss after tax attributable to the equity shareholders of the company as adjusted for dividend, interest and other charges to expense or income relating to the dilutive potential equity shares, by the weighted average number of equity shares considered for deriving basic earnings per share and the weighted average number of equity shares which could have been issued on the conversion of all dilutive potential equity shares.

k. Provisions and Contingent Liabilities

A provision is recognized when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made. Provisions (excluding retirement benefits) are not discounted to their present values and are determined based on the best estimate required to settle the obligations at the Balance Sheet date. These are reviewed at each

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Balance Sheet date and adjusted to reflect the current best estimates. Contingent liabilities are not recognized in the Financial Statements and are disclosed in the Notes. A Contingent asset is neither recognized nor disclosed in the Financial Statements.

l. Business Combination

As part of the transition to IND AS, the company has decided to apply the IND AS 103, Business combinations, to only those business combinations that occurred on or after 1st April, 2015.

In respect of Business combinations, prior to 1st April, 2015, goodwill represents the amount recognised under the company's previous accounting framework under Indian GAAP and the same is tested annually for impairment.

m. Financial Instruments

All Financial Assets and Liabilities are recognised and measured initially at fair value adjusted by transaction cost, except for those carried at fair value through Profit or Loss which are measured initially at fair value. For the purpose of subsequent measurement, Financial Assets are classified into following categories upon initial recognition:

Amortised cost

Financial assets at fair value through profit or loss (FVTPL)

Financial assets at fair value through Other Comprehensive Income (FVOCI)

Financial assets Amortised Cost

A financial asset is measured at amortised cost using effective interest rates if both of the following conditionsare met:

the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Company's cash and cash equivalents, trade and most other receivables fall into this category of financial instruments.

Financial assets at FVTPL

Financial assets at FVTPL include financial assets that either do not meet the criteria for amortised cost classification or are equity instruments held for trading or that meet certain conditions and are designed at FVTPL upon initial recognition. All derivative financial instruments also fall into this category. Assets in this category are measured at fair value with gains or losses recognised in profit and loss. The fair values of financial assets in this category are determined by reference to active market transactions or using a valuation technique where no active market exists.

Financial assets at FVOCI

FVOCI financial assets are either debt instruments that are managed under hold to collect and sell business model or are non – trading equity instruments that are designated to this category. FVOCI financial assets are measured at fair value. Gains and losses are recognised in Other Comprehensive Income, except for interest and dividend income and foreign exchange differences on monetary assets, which are recognised in statement of profit and loss.

Financial Liabilities

Initial recognition and measurement

All financial liabilities are initially recognised at Book value and in the case of loans and borrowings and payables, net of attributable transaction costs (example: Upfront processing fees).

The company's financial liabilities include trade and other payables, loan and borrowings including bank overdrafts and financial guarantee contracts.

Classification and subsequent measurement of financial liabilities

Financial liabilities are measured subsequently at amortised cost using the effective interest method, except for financial liabilities held for trading or designated at FVTPL, that are carried subsequently at fair value with gains or losses recognised in profit or loss. All derivate financial instruments are accounted for at FVTPL.

Notes forming part of Financial Statements for the year ended 31st March, 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

Note 2 : Property , Plant and Equipment & Intangible Assets

Particulars	Gross Block			Depreciation					Net Block	
	Cost as at 1st April 2025	Additions	Deletions / Adjust-ments	Cost as at 31 March 2026	As at 1st April 2025	Deprecia-tion for the period 3st December	Deletions / Adjust-ments	Total as at 31 March 2026	As at 31 March 2026	As at 31 March 2025
(A) Property,Plant & Equipment										
Land & Land Development	3,442.08	3,575.41	7,017.49	-	-	-	-	-	-	3,442.08
Building	15,771.60	-	15,771.60	(0.00)	1,210.92	2.74	1,213.66	(0.00)	0.00	14,560.68
Leasehold building ROU Asset	280.99	462.35	280.99	462.35	105.20	118.66	161.64	62.21	400.13	175.79
Plant & Machinery	1,877.52	676.73	-	2,554.26	256.95	209.73	-	466.68	2,087.58	1,621.43
Computer systems & Software	312.85	31.61	-	344.46	129.27	50.67	-	179.95	164.51	180.47
Furniture & Fittings	122.89	2.68	-	125.57	98.62	2.11	-	100.72	24.85	17.49
Vehicles	247.47	-	-	247.47	90.81	26.58	-	117.38	130.08	168.14
Test Equipment	66.18	0.30	-	66.48	54.46	1.45	-	55.91	10.57	9.25
Additions to Rented Building	-	-	-	-	-	-	-	-	-	-
Sub Total	22,121.59	4,749.08	23,070.09	3,800.58	1,946.24	411.93	1,375.31	982.86	2,817.72	20,175.35
(B) Intangible Assets										
Intellectual Property Rights										
Patents										
Sub Total	-	-		-	-	-	-	-	-	-
(C) Capital WIP										
Total	22121.59	4,749.08	23,070.09	3,437.69	1,946.24	411.93	1,375.31	982.86	2,871.72	20,175.35
Previous year figures	20,380.12	1,741.47	-	22,121.59	1,459.39	486.85	-	1,946.24	20,175.35	18,718.62

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 2 : Property, Plant and Equipment & Intangible Assets *(Contd.)*

Description	Property Plant and Equipment	Rights of Use Asset	Total
Gross Carrying Value			
As at March 31, 2025	21,840.59	280.99	22,121.59
ROU recognised on April 1, 2025	-	-	-
Reclassified on account of adoption of Ind As 116	-	-	-
Additions	4,286.74	462.35	4,749.08
Disposals	22,789.10	280.99	23,070.09
As at March 31st, 2026	3,338.24	462.35	3,800.58
Accumulated Depreciation		-	-
As at March 31, 2025	1,841.04	105.20	1,946.24
ROU recognised on April 1,2025		-	-
Reclasslfied on account of adoption of Ind AS 116			-
Charge for the year	293.27	118.66	411.93
Adjustment for disposal	-1,213.66	-161.64	-1,375.31
As at March 31, 2026	920.65	62.21	982.86
Net Block as at March 31, 2025	19,999.55	175.79	20,175.35
Net Block as at March 31, 2026	2,417.59	400.13	2,817.72

Note 3 : Financial Asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Investments in Equity Shares		
Investment Measured at Cost		
Subsidiary:		
Indorus Systems Private Limited	0.51	0.51
5,100 (PY: 5,100) Equity Shares		
Velapan Systems Private Limited	66.00	66.00
660,000 (PY: 660,000) equity shares of Rs. 10 each		
Sigma Advanced Systems UK LTD	0.12	-
100 equity shares of Rs. 118.5 each		
Associate:		
Extrovis AG	-	13,535.67
NIL (PY : 80,000) Equity shares		
Indrajaal Drone Defence India Pvt Ltd	835.00	835.00
2,43,480 (PY: 2,43,480) Equity Shares		
1,042 Compulsorily Convertible Preference Shares	49.96	-
Total	**951.59**	**14,437.18**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 3 : Financial Asset *(Contd.)*

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Aggregate Value of Quoted Investments	-	-
Aggregate Market Value of Quoted Investments	-	-
Aggregate Value of Unquoted Investments	951.59	14,437.18
Aggregate Provision for dimunition in the value of Investments	-	-

Note 4 : Loans

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Loans to Related parties (Considered Good- Unsecured)	27,721.79	-
Other Loans (Considered Good- Unsecured)	1,600.00	1,500.00
Total	**29,321.79**	**1,500.00**

Note 5 : Other Financial Assets

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Bank deposit for more than 12 months		525.00
Security Deposit	-	83.41
Total	**-**	**608.41**

Note 6 : Defered tax Asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
On account of depreciation	-	9.62
On account of Gratuity		42.72
Total	**-**	**52.35**

Deferred Tax asset as at 31st March, 2026 is recognized to the extent of Deferred tax liability arising out of temporary differences between accounting as per books and accounting as per IT Act, 1961. The balance Deferred Tax Asset has not been recognised conservatively on grounds of prudence.

Note 7 : Other Non Current asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Capital advances	3,487.23	1849.63
Other advances	-	
- Others- Gst-Paid under protest*	1,681.50	1681.50
Total	**5,168.73**	**3,531.13**

* The company has filed multiple written petitions before the Honourable High court of Telangana, in the ongoing dispute with the GST department, challenging notifications relating to taxation of Joint Development Agreement transactions. The company has paid Rs. 16.81 Crores under protest. The managment strongly believes that there is no GST liability on the said transactions and that there is merit in its court case/ WP and is hopeful of a positive outcome. The matter is subjudice.

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 8 : Inventories

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Raw materials	605.82	973.94
Work in Progress & Finished goods	1,043.73	985.21
Total	**1,649.55**	**1,959.15**

Note 9 : Trade Receivables

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Trade Receivables Considered Good Secured	-	-
Trade Receivables Considered Good Unsecured	14,260.46	5,903.56
Total	**14,260.46**	**5,903.56**

Ageing Schedule - FY 2025-26

Particulars	Outstanding for following periods from due date of receipt					
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed Trade Receivables – Considered good	12,835.47	956.15	468.84	-	-	14,260.46
Undisputed Trade Receivables – which have significant increase in credit risk	-	-	-	-	-	-
Undisputed Trade Receivables – Credit impaired	-	-	-	-	-	-
Disputed Trade Receivables – Considered good	-	-	-	-	-	-
Disputed Trade Receivables – which have significant increase in credit risk	-	-	-	-	-	-
Disputed Trade Receivables – Credit impaired	-	-	-	-	-	-
Total	**12,835.47**	**956.15**	**468.84**	**-**	**-**	**14,260.46**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 9 : Trade Receivables *(Contd.)*

Ageing Schedule - FY 2024-25

Particulars	Outstanding for following periods from due date of receipt					
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed Trade Receivables – Considered good	1,098.25	4,354.07	451.25	-		5,903.56
Undisputed Trade Receivables – which have significant increase in credit risk	-	-	-	-	-	-
Undisputed Trade Receivables – Credit impaired	-	-	-	-	-	-
Disputed Trade Receivables – Considered good	-	-	-	-	-	-
Disputed Trade Receivables – which have significant increase in credit risk	-	-	-	-	-	-
Disputed Trade Receivables – Credit impaired	-	-	-	-	-	-
TOTAL	1,098.25	4,354.07	451.25	-	-	5,903.56

Note 10 : Cash And Bank Balances

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Balances with Banks:		
- Current accounts	1132.88	946.98
- Fixed deposits	41.02	-
Cash on hand	0.41	0.25
Total	1,174.31	947.23

Note 11 : Bank Balances other than Cash & Cash Equivalents

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Fixed Deposits with bank	366.16	37.59
Total	366.16	37.59

Note 12 : Current Tax (Liabilities)/Asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Advance Tax (Net off Provision For Taxation)	-	1,062.33
Total	-	1,062.33

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 13 : Other Current Assets

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Advances other than Capital Advances		
(a) Security Deposits	38.07	142.98
(b) Advances to Related party	755.55	
(c) Other Advances		
- Suppliers/Trade	4,567.62	2,361.96
- Staff Advances	58.68	31.34
Others		
Prepaid Expenses	95.24	191.83
Accrued Interest Receivable	1,400.46	241.91
Balances with Government authorities	-	575.42
Total	**6,915.62**	**3,545.44**

Note 14 : Share Capital

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March, 2025
a) Authorised Capital		
25,00,00,000 Equity shares of Rs. 10 each	25,000.00	20,000.00
(PY: 20,00,00,000 Equity shares of Rs. 10 each)		
	25,000.00	**20,000.00**
Issued, Subscribed and Fully Paid up Capital		
17,62,39,705 Equity Shares of Rs. 10/- each, Fully paid up	17,623.97	7377.00
(PY:7,37,70,041 Equity shares of Rs.10/- each, fully paid up)		
	17,623.97	**7,377.00**

b) Reconciliation of number of shares outstanding at the beginning and end of reporting period

Particulars	Equity Shares As at 31 March 2026		Equity Shares As at 31 March 2025	
	Number	Amount	Number	Amount
Shares outstanding at the beginning of the year	7,37,70,041	7,377.00	7,37,70,041	7,377.00
Shares Issued during the year	10,24,69,664	10,246.97		
Shares outstanding at the end of the year	**17,62,39,705**	**17,623.97**	**7,37,70,041**	**7,377.00**

c) Rights and Preferences attached to equity shares

(i) Every shareholder is entitled to such rights as to attend and vote at the meeting of the shareholders, to receive dividends distributed and also has a right in the residual interest of the assets of the Company. Every shareholder is also entitled to right of inspection of documents as provided in the Companies Act, 2013.

(ii) There are no restrictions attached to equity shares.

d) Details of shareholders holding more than 5 % shares in the company

Particulars	As at 31 March 2026		As at 31 March 2025	
	No. of shares	%	No. of shares	%
CHINTALAPATI HOLDINGS PRIVATE LIMITED	8,16,17,788	46.31		
RAMANAGARAM ENTERPRISES PRIVATE LIMITED	2,58,73,115	14.68	2,58,73,115	35.07
HILLPARK EVENT MANAGEMENT	1,02,46,966	5.81		

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 14 : Share Capital *(Contd.)*

e) Shares held by Promoters at the end of the year.

Particulars	As at 31 March 2026		As at 31 March 2025		
	No. of shares	%	No. of shares	%	Change in %
Cheemarla Damodar Reddy	75,42,079	4.28%	-	-	100%
Ramanagram Enterprises Private Limited	2,58,73,115	14.68%	2,58,73,115	35.07%	(20.39%)
Chintalapati Holdings Private Limited	8,16,17,788	46.31%	-	-	100%
Hillpark Event Management LLP	1,02,46,966	5.81%	-	-	100%
Cheemarla Damodar Reddy (Trust)	2,37,000.00	0.13%	-	-	100%

d) Pursuant to the Scheme of Amalgamation sanctioned by the Hon'ble National Company Law Tribunal, Chennai Bench, vide Order dated December 16, 2025, and effective from December 31, 2025, the Board of Directors at its meeting held on January 16, 2026, allotted 10,24,69,664 fully paid-up equity shares of Rs. 10 each to the shareholders of Sigma Advanced Systems Private Limited without payment being received in cash. The shares were allotted in the swap ratio of 316 equity shares of the Company for every 100 equity shares held in Sigma Advanced Systems Private Limited (ratio of 3.16:1) based on the Record Date of January 14, 2026.

(e) For the period of five years immediately preceding the date as at which the Balance Sheet is prepared,the company has not bought back any shares nor issued any bonus shares.

Note 15 : Other Equity

(Amounts in Lakhs)

	Particulars	As at 31 March 2026	As at 31 March 2025
a)	**Securities premium***	-	250.66
	Add: Premium pursuant to the scheme		58,705.15
	Less: Netted off pursuant to the scheme	-	-58,955.81
	Closing balance	**-**	**-**
	Capital Reserve*	-6,655.51	5.59
	Less: Transfer to General Reserve		
	Less: Reserve created pursuant to the scheme	-	-65,616.90
	Add: netted off pursuant to the scheme	-	58,955.81
	Closing balance (Debit balance)	**-6,655.51**	**-6,655.51**
b	**Business Reconstruction Reserve**	21.38	21.38
	Less: Transferred to General reserve	-21.38	-
	Closing balance	**-**	**21.38**
d	**General Reserve**	2,546.75	2,546.75
	Add: Transfer from Revaluation Reserve	2,773.73	
	Add: Transfer from Business Reconstruction Reserve	21.38	
	Closing balance	**5,341.85**	**2,546.75**
e	**Retained earnings**		
	Opening balance	11,022.33	8,492.66
	Net Profit/ (Loss) for the year	20,062.91	2,529.67
	Closing balance	**31,085.24**	**11,022.33**
f	**Revaluation Reserve**	2,773.73	2,773.73
	Less: Transferred to General reserve	(2773.73)	
	Closing balance	**-**	**2,773.73**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 15 : Other Equity *(Contd.)*

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
g Other Comprehensive Income		
As per Last Balance Sheet	24.40	18.72
Add: Movement in OCI during the year (net)	13.29	5.68
Total Other Comprehensive Income	**37.70**	**24.40**
h Shares Pending allotment	10,246.97	10,246.97
Less: Movement during the year	(10246.97)	
Closing balance	-	10,246.97
Total Other Equity	**29,809.29**	**19,980.05**

*Pursuant to the Scheme, the balance in the securities premium has been netted off against capital reserve (debit) arising on the account of the Scheme and resultant figure has been presented under Capital reserve in line with applicable Indian Accounting standards.

Note 16 : Borrowings - Non Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Secured		
a) Term Loans:		
(i) from Banks	1.93	56.61
(ii) from Other Parties	-	13,665.01
Less : Current maturities of long term borrowings	(1.93)	(848.10)
Unsecured		
Loans from Related Party	4,396.72	-
Total	**4,396.72**	**12,873.52**

(Secured)

ICICI Car Loan

Primarly secured by the ICICI

Defaults - NIL

Borrowings from Banks and Financial institutions were used for the specific purpose for which it was taken.

Particulars	Terms of Repayment (in months)	Rate of Interest	No of O/S Instalments	Instalment Amount/ Principal amount (Rs. In Lakhs)	Starting Date	Outstanding
ICICI Car Loan	60.00	7.60%	1.00	1.94	10-05-2021	1.93

(Unsecured)

Description	Interest Rate	Frequency
Chintalapati Holdings Private Limited (O/s CY: 4,396.72 PY:NIL)	8.00%	Bullet Payment

Note 17 : Lease Liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Finance lease obligations	415.00	174.66
Less : Current maturities of finance lease obligations	(86.96)	(76.98)
Total	**328.04**	**97.67**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 17 : Lease Liabilities *(Contd.)*

The following table summarises the movement in lease liabilities: (Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Balance at the beginning	174.66	236.15
Additions	462.35	-
Interest expenses	44.57	11.84
Deletions	(119.35)	
Payment of lease liabilities	(147.22)	(73.32)
Balance at the end	**415.00**	**174.66**

Lease liabilities included in the balance sheet (Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Current	86.96	76.98
Non-current	328.04	97.67
Total	**415.00**	**174.66**

The following are the amounts recognised in statement of profit and loss (Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Depreciation on right-of-use assets	118.66	56.14
Interest expenses on lease liabilities	44.57	11.84
Total	**163.22**	**67.98**

Amounts recognised in statement of cash flows: (Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Payment of lease liabilities	(147.22)	(73.32)
Total	**(147.22)**	**(73.32)**

Note 18 : Other Financial Liability - Non Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Security Deposit - JDA	-	2,164.21
Deferred Premium Translation of financial Liabilities	-	71.26
Total	**-**	**2,235.47**

Note 19 : Provisions - Non Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for Employee Benfits	203.88	181.40
Total	**203.88**	**181.40**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 20 : Borrowings - Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Secured		
From banks:		
- Loans Repayable on Demand	2,227.52	889.89
Current Maturities of Long Term Borrowings (Note no: 16)	1.93	848.10
Unsecured		
Other Loans		
- Credit card	19.18	15.49
Total	**2,248.62**	**1,753.48**

Security Details

Exclusive charge on Current assets and Fixed deposit (Others).

Interest Rate is 9% per annum (Repo Rate + Spread) for CC account.

Corporate Guarantee has been provided by Promoter Group for the entire amount of loan borrowed.

Note 21 : Lease Liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Current maturities of finance lease obligations	86.96	76.98
Total	**86.96**	**76.98**

Note 22 : Trade Payables

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Total Outstanding dues of Micro Enterprises & Small Enterprises*	-	
Total Outstanding dues of Creditors other than Micro Enterprises & Small Enterprises	5,327.17	1,961.67
Total	**5,327.17**	**1,961.67**

*As per the information available with the company, there are no outstanding dues that are required to be furnished under Section 22 of Micro, Small and Medium Enterprise Development Act, 2006.

Ageing Schedule - FY 2025-26

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME					-
(ii) Others	4,714.54	387.55	225.08	-	5,327.17
(iii) Disputed dues - MSME					-
(iv) Disputed dues - Others					-
Total	**4,714.54**	**387.55**	**225.08**	**-**	**5,327.17**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 22 : Trade Payables *(Contd.)*

Ageing Schedule - FY 2024-25

Particulars	Outstanding for following periods from due date of payment				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME					-
(ii) Others	1,961.67				1,961.67
(iii) Disputed dues - MSME					-
(iv) Disputed dues - Others					-
Total	**1,961.67**	**-**	**-**	**-**	**1,961.67**

Note 23 : Other Financial Liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Interest Accrued and due on Borrowings	53.32	-
Deferred premium translation of Financial Liabilities	-	92.90
Total	**53.32**	**92.90**

Note 24 : Other current liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Statutory Dues Payable	-	333.16
Salary Payable	34.83	5,755.42
Other Payables	1,156.76	722.78
Advance from customers	217.84	246.90
Payable for expense	5.05	7.92
Total	**1,414.48**	**7,066.16**

Note 25 : Provisions

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for Employee Benfits	-	4.50
Provision for Outstanding Expenses	27.39	58.91
Total	**27.39**	**63.41**

Note 26 : Current tax Liabilities-(net)

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for Tax	1,106.10	-
Total	**1,106.10**	**-**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 27 : Revenue From Operations

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Revenue from sale of goods	14,699.80	10,714.65
Revenue from sale of services	1,064.37	20.95
Total	**15,764.16**	**10,735.60**

Note 28 : Other Income

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Interest Income on FDR	10.82	-
Interest Income - Security Deposit	0.11	-
Interest Income on Rent-Ind AS	3.79	1.70
Profit on Sale of Land & Building	18,463.74	-
Amortization Income - JDA Land	-	127.93
Profit on Sale of Extrovis	861.00	-
Rental Income	68.46	3,673.04
Interest	1,664.43	333.39
Discount received	-	0.17
Foreign exchange gain	1,806.43	19.67
Contract compensation income	36.00	-
Creditors and other balances written Back	28.81	1.15
Total	**22,943.58**	**4,157.03**

Note 29 : Materials Consumed

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Opening stock	973.94	520.10
Purchases	10,046.34	7,044.37
Jobwork and testing charges	36.83	64.04
Customs and clearance	0.27	2.56
Customs Duty	44.17	13.16
Consumables	2.47	1.19
Packing and callibration charges	0.06	1.97
Insurance related to stock	3.04	1.67
Factory Power & Fuel	15.90	16.26
Chamber Maintenance	2.33	0.91
Freight & Carriage Inward	24.74	15.35
	11,150.09	**7,681.57**
Less: Closing stock	605.82	973.94
Raw materials consumed	**10,544.27**	**6,707.63**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 30 : Changes in inventories

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Closing Stock of Work-in-Progress (A)	1,043.73	985.21
Opening Stock of Work-in-Progress (B)	985.21	1,521.21
(Increase)/Decrease in Stock (B-A)	**(58.52)**	**535.99**

Note 31 : Employee Benefits expense

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Salaries and Wages	937.92	777.91
Contribution to Provident Fund and other funds	41.65	25.60
Staff Welfare	13.36	10.37
Director remuneration	236.06	116.33
Gratuity	29.40	-
Insurance to employees	10.24	5.42
Total	**1,268.64**	**935.63**

Note 32 : Finance costs

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Interest expenses	-	
- Interest on Bank loan	-	1,959.71
- Interest on working capital Loans	74.71	-
- Interest on car Loan	0.92	-
- Interest on other loans	760.00	-
Amortization expenses	0.14	-
Bank Charges	44.81	14.34
Processing Fees	65.00	-
Interest on lease	44.57	11.84
Total	**990.14**	**1,985.90**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 33 : Other expenses

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Electricity Charges	9.55	1.56
Insurance Expenses	16.71	43.18
Travelling and conveyance	94.48	30.01
Legal and Professional charges	186.84	465.66
Rates and taxes	27.43	123.35
Rent	61.93	41.70
Repairs and Maintenance	97.48	109.95
Security charges	23.55	15.26
Communication costs	12.76	7.29
Advertisement & Business Development Expense	14.98	10.62
Printing and stationery	9.88	8.61
Audit fees (Excluding Taxes)	-	-
-For Statutory Audit	16.00	17.05
-For Tax Audit	-	0.45
-others	2.18	-
Sitting fees	25.25	14.50
Impairment Loss	635.67	-
Other Write off	802.20	0.62
Commission	10.51	-
Office & General Expenses	9.29	3.39
Miscellaneous expenses	59.69	40.45
Selling and distribution expense	-	43.15
Bad Debts	0.00	0.00
Loss on lease termination	18.20	-
CSR expenditure	18.07	28.02
Total	**2,152.64**	**1,004.82**

Note 34 : Earnings Per Share

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
(a) Basic and diluted earnings per share (Rs.)	11.38	1.44
(b) Earnings of company used as numerator in calculating basic and diluted earnings per share	20,062.91	2,529.67
(c) Weighted average number of equity shares used as the denominator in calculating basic earnings per share	17,62,39,664	17,62,39,664

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 35 :

(i) STATEMENT OF CONTINGENT LIABILITY

A. Contingent Liabilities

(Amount in Rs. Lakhs)

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Income Tax	41.65	23.05
Guarantees	6,132.55	6.08
Other money for which the company is contingently liable		
Total	**6,174.20**	**29.13**

B. Commitments

(Amount in Rs. Lakhs)

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Estimated amount of contracts remaining to be executed on capital account and not provided for		
Uncalled liability on shares and other investments partly paid		
Other commitments		
Total	**-**	**-**

(ii) Corporate Social Responsibility

Amount spent during the year

Sl. No.	Particulars	Paid	Yet to be paid
1	Construction/Acquisition of any asset	-	-
2	On purposes other than (1) above	18.07	-
	Total	**18.07**	**-**

Sl. No.	Particulars	Total (Rs. In Lakhs)
a.	The amount of shortfall at the end of the year out of the amount required to be spent by the Company during the year	NIL
b.	The total of previous years' shortfall amounts	NIL
c.	The reason for above shortfalls by way of a note	NA
d.	The nature of CSR activities undertaken by the Company	The company has donated to various funds towards upliftment of the poor,weak and needy

(iv) Expenditure in Foreign currency

(Amounts in Lakhs)

Sl. No.	Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
1	Purchase of materials	652.29	5,016.70
2	Professional fees	449.19	87.26
3	Travel cost/Advances	14.37	26.38
4.	Advances/Payments Against Equipments	291.39	1,832.86
	Total	**1407.23**	**6,963.20**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 36 : Related Party Transactions

A. List of Related Parties

I. Subsidiary Companies

Indorus Systems Private Limited

Velapan Systems Private Limited

Sigma Advanced Systems UK LTD

II. Associate

Extrovis AG

Indrajaal Drone Defence India Pvt Ltd

III. Others

a. Key Management Personnel

i. Sunil Kumar Kalidindi - Executive Director & CEO

ii. Shridhar Thathachary - Chief financial Officer

iii. Leona Ambuja - Director

iv. Kalyan Vijay Sivalenka - Independent Director

v. Suryanarayana Raju Nandyala - Independent Director

vi. Uma Garimella - Independent Director

vii. Raju Somashekhar Baggavalli - Independent Director

viii. Cheemarla Damodar Reddy - Whole time Director & Promotor

xi. Chintalapati Holding Private Limited - Promotor Group

x. Thakur Vishal Singh - Company Secretary and Compliance Officer

Notes forming part of Financial Statements for the year ended 31st March, 2026

Note 36: Related Party Transactions *(Contd.)*

Transaction with Related Parties during the Period March 2025-26

S. No	Name of the Party	Nature of Relationship	Investment Held	Sale of Investment	Corporate Guarantee Given to Subsidiary	Salary	Remuneration to directors	Director Sitting fees	Loan Given/ Loan Repaid	Loan Received	Advance Given	O/s Balance as on 31-3-2026
1	Sunil Kumar Kalidindi	Executive Director & CEO	-	-	-	-	72.66	-	-	-	-	-
	Previous Year 2024-25		-	-	-	-	72.16	-	-	-	-	-
2	Shridhar Thathachary	Chief Financial Officer	-	-	-	51.91	-	-	-	-	-	-
	Previous Year 2024-25		-	-	-	62.91	-	-	-	-	-	-
3	Manda Srivalli	Company Secretary	-	-	-	-	-	-	-	-	-	-
	Previous Year 2024-25		-	-	-	3.23	-	-	-	-	-	-
4	Thakur Vishal Singh	Company Secretary	-	-	-	14.48	-	-	-	-	-	-
	Previous Year 2024-25		-	-	-	8.44	-	-	-	-	-	-
5	Leona Ambuja	Professional Director	-	-	-	-	-	6.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
6	Kalyan Vijay Sivalenka	Independent Director	-	-	-	-	-	6.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
7	Suryanarayana Raju Nandyala	Independent Director	-	-	-	-	-	5.75	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
8	Uma Garimella	Independent Director	-	-	-	-	-	6.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
9	Raju Somashekhar Baggavalli	Independent Director	-	-	-	-	-	0.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
10	Cheemarla Damodar Reddy	Whole time Director & Promotor	-	-	-	-	93.68	-	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
11	Chintalapati Holding Private Limited	Promotor Group	-	-	-	-	-	-	12,103.28	16,500.00	-	4,450.03
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
12	Indorus Systems Private Limited	Subsidiary	0.51	-	-	-	-	-	-	-	-	-
	Previous Year 2024-25		0.51	-	-	-	-	-	-	-	-	-
13	Velapan Systems Private Limited	Wholly Owned Subsidiary	66.00	-	-	-	-	-	14,000.00	14,000.00	9,574.45	-
	Previous Year 2024-25		66.00	-	-	-	-	-	-	-	-	-
14	Sigma Advanced Systems UK LTD	Wholly Owned Subsidiary	0.12	-	6126.47	-	-	-	25,948.64	-	755.55	28,288.40
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
15	Extrovis AG	Associate	-	13,535.67	-	-	-	-	-	-	-	-
	Previous Year 2024-25		13,535.67	-	-	-	-	-	-	-	-	-
16	Indrajaal Drone Defence India Pvt Ltd	Associate	884.96	-	-	-	-	-	-	-	3,069.20	3,069.20
	Previous Year 2024-25		835.00	-	-	-	-	-	-	-	-	-
	Previous Year 2024-25		835.00	-	-	-	-	-	-	-	-	-

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 37 : Statement of Employee Benefit Expense - Gratuity

Gratuity - The Present value of obligation is determined based on actuarial valuation using the Projected Unit Credit Method. This method considers each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Interest cost: It is the increase in the Plan liability over the accounting period resulting from the operation of the actuarial assumption of the interest rate.

Current Service Cost: is the discounted present value of the benefits from the Plan's benefit formula attributable to the services rendered by employees during the accounting period.

Actuarial Gain or Loss: occurs when the experience of the Plan differs from that anticipated from the actuarial assumptions. It could also occur due to changes made in the actuarial assumptions.

(i) Reconciliation of opening and closing balance of gratuity obligations:

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Net Liability as at the beginning of the period	175.47	137.53
Net Expenses in P/L A/c	29.40	22.92
Net Expenses in OCI	(13.29)	17.38
Benefits Paid	(5.71)	(2.36)
Present Value of Gratuity Obligation (Closing)	**185.86**	**175.47**

(ii) Expenses recognised in Statement of Profit and Loss during the year:

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Interest Cost	12.19	9.86
Current Service Cost	14.62	13.06
Past Service Cost	2.59	-
Expected Return on Plan Assets	-	-
Curtailment Cost (Credit)	-	-
Settlement Cost (Credit)	-	-
Net Actuarial (gain) / loss	-	-
Total	**29.40**	**22.92**

(iii) Expenses recognised in Other Comprehensive Income during the year:

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Actuarial (Gains)/Losses on Obligation For the Period	(13.29)	17.38
Return on Plan Assets, Excluding Interest Income	-	
Change in Asset Ceiling	-	
Total	**(13.29)**	**17.38**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 37 : Statement of Employee Benefit Expense - Gratuity *(Contd.)*

(iv) Changes in Benefit Obligations:

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Opening Defined benefit Obligation	175.47	137.53
Interest Cost	12.19	9.86
Current service cost	14.62	13.06
Past service cost	2.59	-
Benefits paid	(5.71)	(2.36)
Actuarial loss/(gain) on obligation - Due to change in Financial Assumptions	(10.30)	0.10
Actuarial loss/(gain) on obligation - Due to change in Experience	(3.00)	17.28
Total	**185.86**	**175.47**

(v) Changes in Fair Value of Plan Assets

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Fair value of plan assets as at the beginning of the period	-	-
Actual return on plan assets	-	-
Contributions	-	-
Benefits paid	-	-
Fair value of plan assets as at the end of the period	-	-
Funded Status Surplus/(Deficit)	-	-
Expected return on assets	-	-
Excess of Actual over estimated return on Plan Assets	**-**	**-**

(vi) Actuarial assumptions:

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Rate of discounting	0.08	0.07
Salary Escalation	0.05	0.05
Mortality rate during employment Indian	Indian Assured Lives Mortality (2012-14)	Indian Assured Lives Mortality (2012-14)

The estimates of rate of escalation in salary considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market. The above information is certified by the actuary.

(vii) Sensitivity Analysis:

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Projected Benefit Obligation on Current Assumptions	185.86	30.02
Delta Effect of +1% Change in Rate of Discounting	-12.00	-1.27
Delta Effect of -1% Change in Rate of Discounting	14.02	1.39
Delta Effect of +1% Change in Rate of Withdrawal	3.06	-
Delta Effect of -1% Change in Rate of Withdrawal	-3.56	-
Delta Effect of +1% Change in Rate of Salary Increase	12.47	0.92
Delta Effect of -1% Change in Rate of Salary Increase	-10.80	-0.84

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 38 : Additional Regulatory Information:

(i) There are no Immovable properties whose title deeds are not held in the name of the Company.

(ii) The Company has not revalued its Property, Plant and Equipment during the reporting years.

(iii) Loans and Advances granted to Promoters, Directors, KMP and Related Parties:

There are no Loans and Advances in the nature of loans that are granted to promoters, directors, KMP's and the related parties either severally or jointly with any other person, that are repayable on demand or without specifying any terms or period of repayment.

(iv) There are no proceedings initiated or pending against the Parent for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988).

(v) The company has borrowing from the banks on the basis of security of current assets, and the quarterly returns or statements of current assets filed by the Company with the banks are in agreement with the books of accounts.

(vi) The company is not declared as wilful defaulter by any bank or financial institution or other lender.

(vii) The Company has not entered into any transactions with companies struck off under section 248 of the Companies Act, 2013.

(viii) There are no charges or satisfactions yet to be registered with the Registrar of Companies beyond the statutory period.

(ix) The company has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017.

(x) The Company has neither traded nor invested in Crypto currency or Virtual Currency during the financial year.

(xi) Pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013, the Scheme of Amalgamation of Sigma Advanced Systems Private Limited ("Transferor Company") with Megasoft Limited ("Transferee Company") and their respective shareholders and creditors was sanctioned by the Hon'ble National Company Law Tribunal, Chennai Bench, vide its Order dated December 16, 2025. The Company received the Certified True Copy of the said Order on December 24, 2025. The Scheme became effective on December 31, 2025, being the date on which the certified true copy of the NCLT Order was filed by both the Transferor Company and the Transferee Company with the Registrar of Companies, Chennai.The effect of the Scheme has been accounted for in the books of account of the Company in accordance with the Scheme and in accordance with the applicable Indian accounting standards prescribed under Section 133 of the Companies Act, 2013. There is no deviation from the applicable Indian accounting standards.

(xii) Utilisation of Borrowed funds and share premium:

A. The company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

(ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

B. The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the company shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

(ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 38 : Additional Regulatory Information: *(Contd.)*

Ratios

(Amount in Rs. Lakhs)

S. No	RATIOS	Current year Numerator (Rs.)	Current year Denominator (Rs.)	As at 31 March 2026	As at 31 March 2025
a.	Current Ratio Current Assets / Current liabilities	24,366.10	9,157.94	2.66	1.22
b.	Debt-Equity Ratio Total debt / Total Shareholder's Equity	6,645.34	47,433.26	0.14	0.53
c.	Debt Service Coverage Ratio EBITDA / (Interest + Principal repayments)	24,800.71	38,652.88	0.64	0.67
d.	Return on Equity Ratio (Net Profit After Taxes - Preference Dividend if any) / Average Shareholders Equity	20,062.91	37,395.15	54%	10%
e.	Inventory Turnover Ratio Cost of Goods Sold (or) Sales / Average Inventory	10,485.76	1,804.35	5.81	3.62
f.	Trade Receivables Turnover Ratio Sales / Average Trade Receivables	15,764.16	10,082.01	1.56	1.93
g.	Trade Payable Turnover Ratio Credit Purchases / Average Trade Payables	10,544.27	3,644.42	2.89	4.85
h.	Net Capital Turnover Ratio Sales / Average Working Capital	15,764.16	15,208.16	1.04	4.40
i.	Net Profit Ratio Net Profit / Total Sales	20,062.91	15,764.16	127.27%	23.56%
j.	Return on Capital Employed (EBIT / Capital Employed) * 100	24,388.78	51,829.97	47%	13%
k.	Return on Investment Net profit after tax/ Capital employed*100	20,062.91	51,829.97	38.71%	6.29%

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 38 : Additional Regulatory Information: *(Contd.)*

Variance Analysis

(Amount in Rs. Lakhs)

S. No	RATIOS	As at 31 March 2026	
		Variance	Reason for Variance
a.	Current Ratio Current Assets / Current liabilities	117.80%	This is due to increase in Trade receivable, cash & bank balances and other current assets in the current year
b.	Debt-Equity Ratio Total Outside Liabilities / Total Shareholder's Equity	(73.80%)	This decrease is due to repayment of borrowings during the year
c.	Debt Service Coverage Ratio EBITDA / (Interest + Principal)	(3.78%)	NA
d.	Return on Equity Ratio (Net Profit After Taxes - Preference Dividend if any) / / Average Shareholders fund	453.32%	This variance is due to Increase in Net profit during the year.
e.	Inventory Turnover Ratio Cost of Goods Sold (or) Sales / Average Inventory	60.47%	The variance is due to an increase in Cost of goods sold in the current year.
f.	Trade Receivables Turnover Ratio Credit Sales / Average Trade Receivables	(19.17%)	NA
g.	Trade Payable Turnover Ratio Credit Purchases / Average Trade Payables	(40.31%)	The variance is due to an increase in Trade payables in the current year.
h.	Net Capital Turnover Ratio Sales / Average Working Capital	(76.43%)	The variance is due to an increase in working capital in the current year.
i.	Net Profit Ratio Net Profit / Total Sales	440.11%	This variance is due to Increase in Net profit during the year.
j.	Return on Capital Employed (EBIT / Capital Employed) * 100	262.54%	This variance is due to Increase in Earnings before Interest & Tax during the year.
k.	Return on Investment Net profit after tax/ Capital employed*100	515.61%	This variance is due to Increase in Net profit during the year.

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 39 : Scheme of Amalgamation:

A The Company obtained an order dated 16th December, 2025 from the Hon'ble National Company Law Tribunal, Chennai Bench (NCLT) sanctioning the scheme of Amalgamation between Sigma Advanced Systems Private Limited (Transferor Company) and Megasoft Limited (Transferee Company) and their respective shareholders and creditors with the appointed date as 1 April 2024. The Company has applied the principles laid out in Ind AS 103 and accounted for the said merger wherein the figures pertaining to the previous year has been recast/restated to include the effect of the merger.

B Pursuant to scheme sanctioned by the NCLT, the name of the Company has been changed from Megasoft Limited to Sigma Advanced Systems Limited on 12th January 2026. Further, the change in name and stock exchange trading symbol to 'SIGMAADV' was approved by BSE Limited and the National Stock Exchange of India Limited with effect from February 9, 2026.

(b) The Company has divested its entire stake in Extrovis AG during the Year for an amount of Rs. 13,761 Lakhs

(c) Sale of Land:

During the year, the Company sold a land and building for a consideration of Rs. 40,039.17 lakhs. The land had a carrying value of Rs. 21,575.43 lakhs as at the date of sale, resulting in a profit of Rs. 18,463.74 lakhs, which has been recognised under "Other Income" in the Statement of Profit and Loss.

(d) Incorporation and Acquisition:

During the financial year, the Company incorporated a wholly-owned subsidiary in the United Kingdom, Sigma Advanced Systems UK Ltd, through which it acquired a 100% equity stake in Nasmyth Group Limited, UK, to expand its presence in the global aerospace and defence sector.

Note 40 : Leases

Information on leases as per Indian Accounting Standards (Ind As) 116 on 'Leases'

a) Lease Income

Company as a lessor

Other Income includes Rs 68.46 lakhs pertaining to Lease rentals received by the Company arising out of capitalization of a Property that had been given on Joint Development by the Company and refer note 39(c).

b) Lease expense

Company as a lessee

i. Future minimum lease payments

As at year end, the future minimum lease payments to be made under non-cancellable operating leases are as follows:

Particulars	31 March 2026	31 March 2025
Payable within one year	86.96	76.98
Payable between one and five years	328.04	97.67
Payable after five years		-
Total	**415.00**	**174.65**

ii. Amount recognized in profit or loss

Particulars	31 March 2026	31 March 2025
Lease expense - Minimum lease payments	163.22	67.98
Total	**163.22**	**67.98**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 40 : Leases *(Contd.)*

iii. Impact of adoption of Ind AS 116

Effective 1st April 2019, the company has adopted Ind AS 116 " Leases " and applied the standard to all lease contracts existing on 1St April 2019 according to the provisions of the standard.

On the transition date, the application of new accounting standard resulted in recognition of " Right of use asset" and corresponding "Lease Liability" to the extent of Rs. 214.82 Lakhs.

Particulars	31 March 2026	31 March 2025
Reclassified on account of adoption of Ind AS 116		
Opening Lease Liability	174.66	236.14
Additions (a)	462.35	-
Repayments (b)	147.22	73.32
Interest Expenses in Finance Cost (c)	44.57	11.84
Deletions (d)	(119.35)	-
Closing Lease Liability	415.00	174.66
Depreciation on Right of Use Assets (e)	118.66	56.14
Impact of adoption of Ind AS 116 in Profit and Loss account (d+b-a)	16.00	(5.35)

Particulars	31 March 2026	31 March 2025
Carrying value of Right of Use Assets	400.13	175.79

Note 41 : Assets Pledged as Security:

(Amounts in Lakhs)

Particulars	31 March 2026	31 March 2025
Non-current assets		
First Charge		
Non - Financial Assets		
Property, Plant and Equipment (Land & Building)	-	18,002.76
Vehicle	1.93	168.14
Total Non-current assets pledged as security	**1.93**	**18,170.91**
Current assets		
First Charge		
Financial assets		
Trade receivable	14,260.46	5,903.56
Cash and cash equivalents	1,174.31	947.23
Other bank balances	366.16	37.59
Inventories	1,649.55	1,959.15
Total Current assets pledged as security	**17,450.49**	**8,847.54**
Total assets pledged as security	**17,452.42**	**27,018.44**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 42 : Fair Value Measurements:

a) Financial Instruments by Category and their Fair Values:

Particulars	As at 31 March 2026		As at 31 March 2025	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets:				
Investment	951.59	951.59	14,437.18	14,437.18
Security Deposits	-	-	608.41	608.41
Trade Receivables	14,260.46	14,260.46	5,903.56	5,903.56
Cash and Cash Equivalents	1,174.31	1,174.31	947.23	947.23
Other Bank balances	366.16	366.16	37.59	37.59
Loans	29,321.79	29,321.79	1,500.00	1,500.00
Total Financial Assets	**46,074.33**	**46,074.33**	**23,433.96**	**23,433.96**
Financial Liabilities:				
Borrowings	6,645.34	6,645.34	14,627.00	14,627.00
Lease Liabilities	415.00	415.00	174.66	174.66
Trade Payables	5,327.17	5,327.17	1,961.67	1,961.67
Other Financial Liabilities	53.32	53.32	2,328.37	2,328.37
Total Financial Liabilities	**12,440.83**	**12,440.83**	**19,091.71**	**19,091.71**

b) Fair Value Hierarchy:

The Company has estimated all its financial assets and liabilities under Level 3 prescribed under the Indian Accounting Standards.

c) Valuation Techniques:

The discount rates considered is the borrowing rate charged by the lead lender of the Company after giving effect to the applicable tax rate.

The carrying amount of current financial assets and liabilities are considered to be the same as their fair values due to their short-term nature.

For financial assets and liabilities that are measured at fair value, the carrying amount is equal to their fair values.

Note 43 : Capital Management:

The Company monitors capital on the basis of total equity on periodic basis. Equity comprises of all components of equity including fair value impact and debt includes both long-term and short-term loans.

Particulars	As at 31 March 2026	As at 31 March 2025
Equity	47,433.26	27,357.05
Debt	6,645.34	14,627.00
Total	**54,078.59**	**41,984.06**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 44 : Income Taxes:

The major components of Income Tax expense for the years ended 31st March, 2026 and 31st March, 2025 are as under:

a) Income Tax recognized in Statement of Profit and Loss:

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Current Tax	3,283.38	717.90
Deferred Tax	52.35	(11.77)
Total	**3,335.73**	**706.13**

Deferred tax asset as at 31st March, 2026 is recognized to the extent of Deferred tax liability arising out of temporary differences between accounting as per books and accounting as per Income Tax Act, 1961.

b) Reconciliation of Tax expense and the accounting profit multiplied by the tax rate:

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Profit/(Loss) before tax	23,398.64	3,235.81
Tax on the above	5,888.97	814.39
Tax effect of amounts which are not deductible / (taxable) in calculating taxable income and adjustment of brought forward losses and tax on capital gain	(5,090.15)	(96.49)
Tax on capital gains	2,484.56	-
Income Tax expense	**3,283.38**	**717.90**

c) Tax assets / liabilities

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Opening tax (asset) / liability	(1,062.33)	(1,703.38)
Taxes Paid	(1,366.43)	200.00
Credit availed	(373.46)	1,366.27
Provisions and refunds including Adjustments	3,908.32	(925.22)
Closing tax (asset) / liability	**1,106.10**	**(1,062.33)**

d) Deferred Tax

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Deferred Tax Liability:		
On account of Depreciation differences	(208.35)	9.62
On account of Employee Benefits	-	-
Total Deferred Tax Liability	**(208.35)**	**9.62**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 44 : Income Taxes: *(Contd.)*

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Deferred Tax Asset:		
On account of Depreciation differences	-	-
On account of Employee Benefits	47.91	42.72
On account of Carried forward losses	329.30	-
Total Deferred Tax assets available	377.21	42.72
Recognition of Deferred Tax Asset / (Liability) (Net)*	-	52.35
Unused Deferred Tax asset (Not recognized)	168.86	-

Note 45 : Financial Risk Management:

The Company's business activities expose it to a variety of financial risks, namely liquidity risk, market risks and credit risk.

Risk	Exposure arising from	Measurement	Management
Credit Risk	Cash and cash equivalents, trade receivables and financial assets measured at amortized cost.	Ageing analysis	Diversification of bank deposits and LCs
Liquidity Risk	Borrowings and other liabilities	Rolling cash flow forecasts	Availability of committed credit lines and borrowing facilities
Market risk – foreign exchange	Recognized financial assets and liabilities not denominated in Indian rupee	Sensitivity analysis	Un hedged
Market risk – interest rate	Long-term borrowings at variable rates	Sensitivity analysis	Un hedged

a) Credit Risk:

The Company is exposed to credit risk, which is the risk that counterparty will default on its contractual obligation resulting in a financial loss to the Company. Credit risk arises from cash and cash equivalents, financial assets carried at amortized cost and deposits with banks and financial institutions, as well as credit exposures to trade customers including outstanding receivables.

i) Credit risk management

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

Trade Receivable

The Company closely monitors the credit-worthiness of the debtors and only sells goods to credit-worthy parties. The Company's internal systems are configured to define credit limits of customers, thereby limiting the credit risk to pre-calculated amounts.

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 45 : Financial Risk Management: *(Contd.)*

ii) Expected Credit Loss (ECL)

FY 2025-26

Particulars	0 -180 Days	180 - 365 Days	More than 365 Days	Total
Gross carrying amount	12,835.47	956.15	468.84	14,260.46
Expected credit loss provisioning	-	-	-	-
Carrying amount of Trade receivables (Net of Provisions)	12,835.47	956.15	468.84	14,260.46

FY 2024-25

Particulars	0 -180 Days	180 - 365 Days	More than 365 Days	Total
Gross carrying amount	1,098.25	4,354.07	451.25	5,903.56
Expected credit loss provisioning	-	-	-	-
Carrying amount of Trade receivables (Net of Provisions)	-	-	-	5,903.56

b) Liquidity risk:

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due and to close out market positions.

The Company's objective in relation to its existing operating business is to maintain sufficient funding to operate at an optimal level.

Maturities of Financial Liabilities:

31st March, 2026:

Financial Liabilities	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings	6,645.34	-	-	6,645.34
Lease Liabilities	86.96	328.04	-	415.00
Trade Payables	4,714.54	612.63	-	5,327.17
Other Financial Liabilities	53.32	-	-	53.32
Total Financial Liabilities	**11,500.16**	**940.67**	**-**	**12,440.83**

31st March, 2025:

Financial Liabilities	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings	14,627.00	-	-	14,627.00
Lease Liabilities	76.98	97.67	-	174.66
Trade Payables	1,961.67	-	-	1,961.67
Other Financial Liabilities	92.90	2,235.47	-	2,328.37
Total Financial Liabilities	**16,758.56**	**2,333.15**	**-**	**19,091.71**

Notes forming part of Financial Statements

for the year ended 31st March, 2026

Note 45 : Financial Risk Management: *(Contd.)*

c) Market Risk:

Market risk is the risk that the fair values of future cash flows of a financial instrument will fluctuate because of volatility of prices in the financial markets. Market risk can be further segregated as:

i) Foreign currency risk:

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure foreign currency risk in case of Trade and other payables.

ii) Interest rate risk:

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's main interest rate risk arises from short-term borrowings with variable rates, which expose the Company to cash flow interest rate risk. During March 31, 2026 the Company's borrowings at variable rate are denominated in Rupees. The Company's fixed rate borrowings are carried at amortized cost. They are therefore not subject to interest rate risk as defined in Ind AS -107, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

Interest rate risk exposure

The exposure of the Company's borrowing to interest rate changes at the end of the reporting period are as follows:

Particulars	As at 31 March 2026	As at 31 March 2025
Variable Rate Borrowings	2,227.52	13,640.74

Interest Sensitivity

Profit or loss is sensitive to higher/lower interest expense from borrowings as a result of changes in interest rates.

Particulars	Impact of Profit before tax	
Interest sensitivity	31 March 2026	31 March 2025
Interest cost – increase by 5% on existing Interest cost*	3.74	90.96
Interest cost – decrease by 5% on existing Interest cost*	-3.74	(90.96)

* Holding all other variables constant.

46. Previous year's figures have been regrouped/reclassified wherever necessary to conform to the current year's presentation. Pursuant to the Scheme of Amalgamation between Sigma Advanced Systems Private Limited (Transferor Company) and Megasoft Limited (Transferee Company), from an appointed date of April 1, 2024, the previous year's figures have been recast/restated to give effect to the merger. Accordingly, the previous year's figures may differ from the figures previously published by the Company and, to that extent, are not comparable.

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

Consolidated Financial Statements

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Independent Auditor's Report

To
The Members of
Sigma Advanced Systems Limited

Report on the Audit of the Consolidated Financial Statements

1. Opinion

We have audited the accompanying Consolidated Ind AS Financial Statements of SIGMA ADVANCED SYSTEMS LIMITED ("the Holding Company"), its Subsidiaries (collectively referred to as "the Group) and its Associate which comprise the Consolidated Balance Sheet as at 31st March 2026, and Consolidated Statement of Profit and Loss, the Consolidated Statement of Changes in Equity, the Consolidated Statement of Cash Flows and Notes to the Consolidated Ind AS Financial Statements for the year then ended, and a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated Ind AS Financial Statements give the information required by the Companies Act, 2013, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Company as at 31st March, 2026, and consolidated Profit and total comprehensive income, consolidated changes in equity and its consolidated cash flows for the year ended on that date.

2. Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Consolidated Ind AS Financial Statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

3. Emphasis of Matter

a. a. We draw attention to Note No. 9 of the Consolidated Financial Statements regarding the proceedings with the GST department and multiple Writ petitions filed by the company in that connection.

b. We draw attention to Note No. 41 (ix) and 42 (A) of the Consolidated Financial Statements regarding the scheme of amalgamation of Sigma Advanced Systems Private Limited (Transferror company) with Megasoft Limited (Transferee company).

Our opinion is not modified in respect of the above matters.

4. Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Ind AS Financial Statements of the current period. These matters were addressed in the context of our audit of the Consolidated Ind AS Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sl. No.	Key Audit Matter	How the Key Audit Matter was addressed in our audit
1	**Evaluation of uncertain tax positions:**	
	The Company has uncertain tax and legal positions including matters under dispute which involves significant judgment to determine the possible outcome of these disputes.	With respect to Evaluation of uncertain tax positions, we have undertaken audit procedures, which include the following: We obtained the list of legal cases filed by and on the Company. We obtained details of completed tax assessments and demands for the year ended 31st March, 2026 from the management. We also reviewed the Company's correspondences and appeal documents. We obtained status reports from the existing counsels handling each case. We have reviewed the GST related correspondences and the written petitions filed by the company. Ascertained whether the chances of crystallization of liability are probable/ possible/ remote. Ensured appropriate disclosure under Notes on accounts.
2	**Scheme of Arrangement:**	
	During the year ended March 31, 2026, the Scheme of Arrangement of Sigma Advanced Systems Private Limited (Transferor Company) with Megasoft Limited (Transferee Company, subsequently renamed as Sigma Advanced Systems Limited) and their respective shareholders and creditors under Sections 230 to 232 of the Companies Act, 2013, was sanctioned by the Hon'ble National Company Law Tribunal (NCLT), Chennai Bench, vide its Order dated December 16, 2025, and became effective on December 31, 2025. Due to the materiality of the transaction, complexity in valuation, share swap allotment, common control accounting treatment, and its pervasive impact on both the current and restated comparative financial statements, this transaction was identified as a Key Audit Matter.	With respect to Scheme of Arrangement, we have undertaken audit procedures, which include the following: We Reviewed the terms and conditions of the Scheme of Amalgamation, the certified true copy of the NCLT sanction order dated December 16, 2025, and verified statutory filings with the Registrar of Companies (ROC). We Verified the requisite corporate and regulatory approvals, including the Valuation Report issued by the Registered Valuer, Board and Shareholder resolutions, Stock Exchange approvals. We Audited and tested the amalgamation accounting entries, including the transfer and vesting of assets, liabilities, and reserves of the Transferor Company, and verified the restatement of comparative financial numbers from the Appointed Date (April 1, 2024). We Assessed the adequacy, completeness, and presentation of the related disclosures in the notes to the standalone financial statements in compliance with applicable Indian Accounting Standards (Ind AS) and Schedule III of the Companies Act, 2013.

5. Other Matters

i. The consolidated annual financial results include the audited financial results of subsidiary, whose financial statements reflect total Assets of Rs. 72,792.41 lakhs at 31st March 2026 and total revenues of Rs. 34,790.85 lakhs, total after tax net loss of Rs. 1,908.71 Lakhs and total comprehensive loss of Rs. 1,908.71 Lakhs for the year ended 31st March 2026, and net cash outflows of Rs. 461.47 Lakhs for the year ended on that date, as considered in the consolidated annual financial results, which have been audited by their respective independent auditors. One associate, whose financial statements include group share of profit of Rs 245,92 lakhs and Total Comprehensive profit of Rs. 295.03 lakhs for the year ended 31st March 2026 respectively, as considered in the statement, whose financial statements, other financial information have been audited by their respective independent auditors.

The independent auditor's report on financial statements of these entities have been furnished to us and our opinion on the consolidated annual financial results, in so far as it relates to the amounts and disclosures included in respect of these entities, is based solely on the report of such auditors and the procedures performed by us are as stated in paragraph above.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

ii. We did not audit the financial Statements pertaining to Sigma Advanced Systems Private Limited (Transferor Company), which has been merged with the Company pursuant to the Scheme of Amalgamation, for the year ended 31st March 2025, the financial effects of which have been included in the restated comparative figures presented in the accompanying Statement. These figures have been taken based on the annual audited financial statements for the year ended 31st March 2025, which were audited by another auditor who expressed an unmodified opinion thereon.

Accordingly, our Audit Opinion on the Statement, in so far as it relates to the restated comparative figures for the aforesaid periods pertaining to the Transferor Company, is based solely on such financial information, and we do not express any separate opinion on the financial Statements of the Transferor Company for the said period.

Our opinion is not modified with respect of above-mentioned matters.

6. Information Other than the Financial Statements and Auditor's Report thereon

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report to the Shareholder but does not include the Consolidated Ind AS Financial Statements and our auditor's report thereon. The Other information is expected to be made available to us after the date of this Auditor's Report.

Our opinion on the Consolidated Ind AS Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Ind AS Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Ind AS Financial Statements or our knowledge obtained in the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

When we read the remaining other information, which we will obtain after the date of auditor's report and if we conclude that there is material misstatement therein, we are required to communicate the matter to those charged with governance.

7. Management's Responsibility for the Consolidated Ind AS Financial Statements

The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation and presentation of these Consolidated Ind AS Financial Statements in terms of the requirements of the Companies Act, 2013, that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively

for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the Consolidated Ind AS Financial Statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are also responsible for overseeing the Company's financial reporting process of the Group.

8. Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Ind AS Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Ind AS Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Ind AS Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Ind AS Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Ind AS Financial Statements, including the disclosures, and whether the Consolidated Ind AS Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the consolidated financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the consolidated financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to

evaluate the effect of any identified misstatements in the consolidated financial statements.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Ind AS Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

9. Report on Other Legal and Regulatory Requirements

i. With respect to the matter specified in paragraphs Clause (xxi) of the Companies (Auditor's Report) Order, 2020 (the "Order") issued by the Central Government in terms of Section 143(11) of the Act, to be included in the Independent Auditor's Report, according to the information and explanations given to us, and based on the Independent Auditor's Reports issued by the subsidiaries' Auditors, included in the consolidated financial statements of the Company, to which reporting under the Order is applicable, we report that there are no qualifications or adverse remarks in these reports.

ii. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Ind AS Financial Statements.

   b. In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Ind AS Financial Statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

   c. The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the aforesaid Consolidated Ind AS Financial Statements.

   d. In our opinion, the aforesaid Consolidated Ind AS Financial Statements comply with the Indian Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015 as amended.

   e. On the basis of the written representations received from the Directors of the Holding Company as on 31st March, 2026, taken on record by the Board of Directors of the Holding Company, and the reports of the statutory auditors of its subsidiary company, none of the Directors in the Group companies is disqualified as on 31st March, 2026 from being appointed as a director in terms of Section 164 (2) of the Act.

   f. With respect to the adequacy of the internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate Report in "Annexure A."

   g. With respect to the matter to be included in the Auditors' Report under Section 197(16) of the Act, in our opinion and according to the information and explanations given to us, the remuneration paid by the holding Company to its Directors during the year is in accordance with the provisions of Section 197 of the Act.

   h. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

      i. The Consolidated Ind AS Financial Statements disclose the impact of pending litigation on the consolidated financial position of the Group - Refer Note No. 9 and 39 (iii) to the Consolidated Ind AS Financial Statements.

ii. The Group did not have any material foreseeable losses on long-term contracts including derivative contracts.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company, and its subsidiary companies.

iv. (a) The Holding company management has represented that, to the best of its knowledge and belief, as disclosed in the Note No. 41 (X) to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Group to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(b) The Holding company management has represented, that, to the best of its knowledge and belief, as disclosed in the Note No. 41 (X) to the accounts, no funds have been received by the Group from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

(c) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) of the Companies (Audit and Auditors) Rules, 2014 contain any material misstatement.

v. No dividend has been declared or paid during the year by the Group

vi. Based on our examination, which included test checks, and that performed by the respective auditors of the group and associates and which are companies incorporated in India whose financial statements have been audited under the Act the Group and associates have used accounting software for maintaining books of account for the financial year ended 31st March 2026 which have a feature of recording audit trail (edit log) facility and that has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of performing the procedures, we, and the respective auditors of such group and its associates, did not notice any instance of the audit trail feature being tampered with.

In our opinion, the Group & its Associates have preserved the audit trail as per the statutory requirements for record retention as specified under the proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014.

The reporting requirement under this clause is not applicable to subsidiary companies and associate companies incorporated outside India.

For N.C. Rajagopal & Co.,
Chartered Accountants
(Firm Regn No.: 003398S)

Arjun S
Partner
(Membership No.: 230448)
UDIN: 26230448NQLVQI2608

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Annexure – A to the Auditors' Report

On the Internal Financial Controls Under Clause (I) of Sub-Section 3 of Section 143 of the Companies Act, 2013 ("The Act")

In conjunction with our audit of the consolidated financial statements of the Group as of and for the year ended 31st March, 2026, we have audited the internal financial controls over financial reporting of Sigma Advanced Systems Limited (hereinafter referred to as "the Holding Company") and its subsidiaries and associate company, which are incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the of the Holding company and its subsidiaries, which are incorporated in India, are responsible for establishing and maintaining internal financial controls based on, "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI)". These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial control system over financial reporting and their operating effectiveness.

Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Ind AS financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that

1. Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
2. Provide reasonable assurance that transactions are recorded as necessary to permit preparation of Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
3. Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Ind AS financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur

and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Holding Company and its subsidiaries, which are companies incorporated in India, have, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2026, based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India".

Other Matters

Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting insofar as it relates to subsidiaries, which is a company incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India.

For N.C. Rajagopal & Co.,
Chartered Accountants
(Firm Regn No.: 003398S)

Arjun S
Partner
(Membership No.: 230448)
UDIN: 26230448NQLVQI2608

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Consolidated Balance Sheet as at 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

Particulars	Note No.	As at 31 March 2026	As at 31 March 2025
Assets			
Non-Current assets			
Property,Plant and Equipment	2	25,882.42	20,175.35
Capital work-in-progress	2	919.03	-
Investment property	3	387.43	-
Goodwill	4	4,982.50	0.46
Other Intangible assets	2	1,268.49	-
Financial Assets			
- Investments	5	1,049.09	7,455.38
- Loans	6	1,600.00	1,500.00
- Other Financial Assets	7	129.67	608.41
Deferred Tax Assets (Net)	8	0.11	52.47
Other Non Current Assets	9	5,168.73	3,531.13
Current Assets			
- Inventories	10	19,333.64	1,959.15
- Financial Assets			
- Trade Receivables	11	36,343.86	5,903.56
- Cash And Cash Equivalents	12	2,075.63	999.81
- Bank balances other than Cash and Cash Equivalents	13	366.16	37.59
Current Tax Assets (Net)	14	-	1,062.33
Other Current Assets	15	6,406.21	3,548.78
Total Assets		1,05,912.99	46,834.43
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	16	17,623.97	7,377.00
Other Equity	17	29,216.51	13,053.18
Non - Controlling interest		0.07	0.05
Total Equity		46,840.55	20,430.23
Non-Current Liabilities			
Financial Liabilities			
- Borrowings	18	10,678.45	12,873.52
- Lease Liabilities	19	2,688.65	97.67
- Other Financial Liabilities	20	-	2,235.47
Provisions	21	203.88	181.40
Current Liabilities			
Financial Liabilities			
- Borrowings Borrowings	22	19,360.45	1,753.48
- Lease Liabilities	23	439.30	76.98
Trade payables	24	19,282.46	1,962.24
Other financial liabilities	25	53.67	92.90
Other current liabilities	26	5,210.88	7,067.12
Provisions-Current	27	48.58	63.41
Current Tax Liabilities - (net)	28	1,106.10	-
Total liabilities		1,05,912.99	46,834.43

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

Consolidated Statement of Profit & Loss as at 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

Particulars	Note No.	As at 31 March 2026	As at 31 March 2025
Revenue from Operations	29	49,187.74	10,735.60
Other Income	30	29,580.43	4,222.79
		78,768.17	**14,958.39**
Expenses			
Cost of Materials consumed	31	21,159.72	6,707.63
Change in inventories of Finished goods and Work in progress	32	(2,680.44)	535.99
Employee benefits expense	33	14,467.25	935.63
Finance costs	34	1,971.93	1,985.95
Depreciation and amortisation expense	2	1,449.17	486.85
Other expenses	35	11,453.62	1,073.31
		47,821.25	**11,725.36**
Profit/(Loss) Before Share of profit/ (loss) of an Associate and exceptional items		**30,946.92**	**3,233.03**
Share of Profit / (Loss) of an Associate		245.92	(3,925.36)
Profit/(Loss) Before Exceptional Items and Tax		31,192.84	(692.34)
Exceptional Items			
a) Acquisition-related costs	32	(1,050.17)	-
Profit/(Loss) Before tax		**30,142.67**	**(692.34)**
Less: Tax expense			
Current tax		3,285.99	717.90
Deferred tax		52.37	(11.77)
Total tax expense		**3,338.35**	**706.13**
Profit/(Loss) after Tax		**26,804.31**	**(1,398.47)**
Other Comprehensive Income/(Loss)			
A Items that will not be reclassified to profit and loss			
i) Remeasurements of post employement benefit obligations		20.43	5.68
ii) Changes in foreign currency translation reserve		33.58	
B Items that will be reclassified to profit and loss			
i) Fair Value Changes in Equity Instruments through OCI			
Other Comprehensive Income for the year		**54.02**	**5.68**
Share of other comprehensive income from Associate		5.10	(702.36)
Total Comprehensive Income for the year		**26,863.43**	**(2,095.15)**
Net Profit attributable to			
Owners		26,804.29	(1,398.47)
Non Controlling Interest		0.02	-
Other Comprehensive Income for the year			
Owners		59.11	(696.68)
Non Controlling Interest		-	-
Total Comprehensive Income for the year			
Owners		26,863.41	(2,095.15)
Non Controlling Interest		0.02	-
Earnings per equity share (in Rs.)			
Basic	37	15.21	(0.79)
Diluted		15.21	(0.79)

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

Statement of Changes in Equity for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

A. Equity Share Capital

(i) Current Reporting Period

(Amounts in Lakhs)

Equity shares of Rs. 10 each, Issued, Subscribed and Paid up	Balance as at 1st April, 2025	Changes in equity Share Capital	Balance as at 31 March 2026
Equity Shares with Voting Rights	7,377.00	10,246.97	17,623.97
Total	7,377.00	10,246.97	17,623.97

(i) Previous Reporting Period

(Amounts in Lakhs)

Equity shares of Rs. 10 each, Issued, Subscribed and Paid up	Balance as at 1st April, 2024	Changes in equity Share Capital	Balance as at 31 March 2025
Equity Shares with Voting Rights	7,377.00	-	7,377.00
Total	7,377.00	-	7,377.00

B. Other Equity

(i) Current Reporting Period

(Amounts in Lakhs)

	Capital Reserve	Securities Premium	Business Reconstruction Reserve	General Reserve	Retained Earnings	Revaluation Surplus	Exchange differences on translating the financial statements of a foreign operation	Other items of Other Comprehensive Income	Shares Pending allotment	Total
Balance at the beginning of the current reporting period	-6,655.51	-	21.38	2,546.75	6,212.19	2,773.73	-1,414.38	-677.96	10,246.97	13,053.17
Total Comprehensive Income for the current year					26,804.29		-419.52	25.53		26,410.31
Transfer to General Reserve			-21.38	2,795.10		-2,773.73				-
Any other Change to be specified		-							-10,246.97	-10,246.97
Balance at the end of the current reporting period	-6,655.51	-	-	5,341.85	33,016.49	-	-1,833.90	-652.43	-	29,216.51

Statement of Changes in Equity for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

(i) Previous Reporting Period

(Amounts in Lakhs)

	Securities Premium	Capital reserve	Business Reconstruction Reserve	General Reserve	Retained Earnings	Revaluation Reserve	Exchange differences on translating the financial statements of a foreign operation	Other items of Other Comprehensive Income	Shares Pending allotment	Total
Balance at the beginning of the current reporting period	250.66	5.59	21.38	2,546.75	7,610.66	2,773.73	(1,414.38)	18.72	-	11,813.10
Changes in accounting policy or prior period errors										-
Total Comprehensive Income for the current year					(1,398.47)			(696.68)		(2,095.14)
Transfer to retained earnings										-
Add: pursuant to the scheme	58,705.15	(65,616.90)								(6,911.76)
Less: Netted off pursuant to the scheme	(58,955.81)	58,955.81								-
Any other Change to be specified									10,246.97	10,246.97
Balance at the end of the current reporting period	-	(6,655.51)	21.38	2,546.75	6,212.19	2,773.73	(1,414.38)	(677.96)	10,246.97	13,053.17

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
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Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS
(Formerly Megasoft Limited)

Consolidated Cash Flow Statement for the year ended 31st March 2026

(All amounts are in Lakhs of Indian rupees unless otherwise stated)

	Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
A	**Cash flow from Operating Activities**		
	Net Profit Before Tax	30,142.67	(692.33)
	Adjusted for:		
	Depreciation	1,449.17	486.85
	Interest Income	(366.07)	(361.23)
	Interest & Bank Charges	1,971.93	1,985.95
	Profit on sale of property, plant and equipment	(18,463.74)	
	Profit on sale of Extrovis (Associate)	(7,689.40)	
	Movement in Foreign Currency Transalation Reserve	(452.99)	
	Operating Profit Before Working Capital Changes	**6,591.57**	**1,419.24**
	Adjusted for:		
	Other Non-Current Assets	(976.82)	(2,830.93)
	Other Current Assets	(1,768.99)	(1,478.36)
	Inventories	(3,312.13)	82.15
	Bank Balances other than Cash & Cash Equivalents	(328.57)	106.74
	Trade Receivables and Other Assets	(12,198.21)	(707.35)
	Trade and other payables	(5,640.65)	5,418.74
	Other non current liabilities	(2,396.60)	65.66
	Lease Liabilities	240.34	(61.48)
	Cash Generated from operations	**(19,790.06)**	**2,014.42**
	Taxes paid :	(1,217.34)	(76.85)
	Net Cash from / (Used in) Operating Activities [A]	**(21,007.40)**	**1,937.56**
B	**Cash Flow from Investing activities**		
	Purchase of Property, Plant and Equipment	(5,976.96)	(1,741.47)
	Construction of Fixed Asset(CWIP)	(919.03)	
	Sale of Property, Plant and Equipment	40,158.52	
	Sale of Investments	14,017.04	3,925.36
	Loans Given	(100.00)	(500.00)
	Loans Repaid		(0.51)
	Interest Income	366.07	361.23
	Purchase consideration paid for acquisition, net of cash acquired	(19,713.63)	
	Net Cash from / (Used in) Investing Activities [B]	**27,832.01**	**2,044.61**
C	**Cash Flow from Financing activities**		
	Increase / (Decrease) on Borrowings	(3,776.85)	(3,023.57)
	Interest & Bank Charges	(1,971.93)	(1,985.95)
	Net Cash flow from/(Used in) Financing Activities [C]	**(5,748.78)**	**(5,009.51)**
	Net Cash Flows during the year {A+B+C}	**1,075.83**	**(1,027.34)**
	Cash & Cash Equivalents (Opening Balance)	**999.81**	**2,027.15**
	Cash & Cash Equivalents (Closing Balance)	**2075.64**	**999.81**

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 1A : Company information and Material accounting policies

a. Background

Sigma Advanced Systems Limited, a public limited company domiciled in India and incorporated under the provisions of the Companies Act, 1956, on 29 June 1999 and is registered office in Chennai. The company's shares are listed on BSE and NSE, in India

The following are the subsidiaries/Associates of the Company:

Name of the Subsidiary/Associate Companies	Country of Incorporation	% Holding
Sigma Advanced Systems UK Limited (Subsidiary)	UK	100%
Velapan Systems Private Limited (Subsidiary)	India	100%
Indorus Systems Pvt Ltd (Subsidiary)	India	51%
Indrajaal Drone Defence India Pvt Limited (Associate Company)	India	37.81%

b. Basis of Preparation

These Financial Statements have been prepared on accrual basis of accounting in accordance with Indian Accounting Standards (IND AS) as per the Companies (Indian Accounting Standards) Rules, 2015, as amended, notified under Section 133 of Companies Act, 2013, (the 'Act') and other relevant provisions of the Act.

Disclosures under IND AS are made only in respect of material items and in respect of the items that will be useful to the users of Financial Statements in making economic decisions.

c. Basis of Measurement

The Financial Statements have been prepared in Going concern basis and on an accrual method of accounting. Historical cost is used in preparation of Financial Statements except for the following items which are measured at Fair value:

i) Certain Financial assets and liabilities

ii) Net Defined benefit (Asset)/ Liability

d. Functional and Presentation currency

The Financial Statements are presented in Indian Rupees (INR), which is the Company's functional currency. All financial information presented in INR has been rounded to the nearest Lakhs, except as stated otherwise.

e. Use of estimates and management judgement

The preparation of Financial Statements in conformity with the accounting policies requires the management to make estimates and assumption considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year. The Management believes that the estimates used in preparation of the Financial Statements are prudent and reasonable. Future results could differ due to these estimates and the differences between the actual results and the estimates are recognised in the periods in which the results are known/materialize.

Note 1B : Material accounting policies

A Summary of significant accounting policies applied in the preparation of Financial Statements is given below. These accounting policies have been applied consistently to all the periods presented in the Financial Statements.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

a. Revenue Recognition

Revenue from software development on time and material basis is recognized based on software developed and billed to clients as per the terms of specific contracts. In the case of fixed-price contracts, revenue is recognized based on the milestones achieved as specified in the contracts or on the percentage of completion basis. Provision for estimated losses on incomplete contract is recorded in the period in which such losses become probable based on the current estimates. Revenue from product licenses and related revenue are recognized as follows:

- License fees, on delivery and subsequent milestone schedule as per the terms of the contract with the end use
- Product maintenance revenues, over the period of the maintenance contracts

b. Property, Plant and Equipment

i. Initial and Subsequent Recognition:

All items of Property, Plant and equipment (PPE) are measured at Historical cost, which includes capitalised borrowing cost less accumulated depreciation and impairment loss, if any.

Items of spare parts, standby equipment and servicing equipment which meet the definition of property, plant and equipment are capitalised. Other spare parts are carried as inventory and recognised in the Statement of Profit and Loss on consumption.

Where the cost of depreciable assets has undergone a change during the year due to increase/ decrease in long term liabilities on account of exchange fluctuation price adjustment, change in duties or similar factors, and the unamortized balance of such asset is charged off prospectively over the remaining useful life determined following the applicable accounting policies relating to depreciation/ amortization.

On transition to IND AS, the company has elected to adopt the cost model i.e., cost less accumulated depreciation for all of its Property, Plant and Equipment as at 1st April, 2016. Except for land which has been revalued to reflect the fair value.

The Property, Plant and equipment of the Company are physically verified in a phased manner to cover all the items of PPE over a period of three years, which in the Management's opinion, is reasonable having regard to the size of the Company and the nature of its assets. Property, Plant and Equipment are capitalized when the assets are ready for their intended use and when occupancy certificate is received in respect of immovable properties.

ii. Depreciation

Depreciation is recognised in Statement of Profit and Loss on a straight – line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

Depreciation on additions to/ deductions from property, plant and equipment during the year is charged on pro – rata basis from/ up to the month in which the asset is available for use/ disposed.

iii. Goodwill and Other Intangible Assets:

On transition to IND AS, the Company has elected to continue with the carrying value of all its intangible assets recognised as at 1st April, 2016, measured at previous GAAP, and use that carrying value as the deemed cost of such intangible assets.

Software which is not an integral part of related hardware, is treated as intangible asset and amortised over a period five years or its license period, whichever is less.

On Transition to IND AS the company has elected to continue with the carrying value of all intangible assets recognised as at 1st April, 2016 measured as per the previous GAAP and use the carrying value as deemed cost.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

iv) Capital work – in – progress:

The cost of self – constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to the location and condition necessary for it to be capable of operating in the manner intended by management and borrowing costs.

Expenses directly attributable to construction of property, plant and equipment incurred till they are ready for their intended use are identified and allocated on a systematic basis of the cost of related assets.

Unsettled liabilities for price variation/exchange rate variation in case of contracts are accounted for on estimated basis as per terms of the contracts.

v) Leases:

The company's lease assets primarily comprise of buildings. The company assesses whether a contract contains a lease at the inception of the contract. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

i) the contract involves the use of an identified asset

ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and

iii) the Company has the right to direct the use of the asset.

Transition

Effective April 1, 2019, the Company adopted Ind AS 116 "Leases" and applied the standard to all lease contracts existing on April 1, 2019 are accounted for as per the provisions of the standard. Consequently, the Company recorded the lease liability at the present value of the lease payments discounted at the incremental borrowing rate. Right of Use (ROU) assets have been recognized by the Company at an amount equal to the lease liability, adjusted for previously recognized prepaid or accrued lease payments.

c. Cash Flow Statement

Cash flow statement is prepared in accordance with the indirect method prescribed in IND AS 7 "Cash Flow Statement".

d. Prior Period Errors

Material prior period errors are corrected retrospectively by restating the comparative amounts for the prior periods presented in which the error occurred. If the error occurred before the earliest period presented, the opening balances of assets, liabilities, and equity for the earliest period presented, are restated.

e. Income Tax

Income tax expense comprises Current and Deferred tax. Current Tax expense is recognised in Statement of Profit and Loss except to the extent that it relates to items recognised directly in Other Comprehensive Income (OCI) or Equity, in which case it is recognised in OCI or Equity.

Current tax is the amount of tax payable on the taxable income for the year as determined in accordance with the applicable tax rates and the provisions of the Income Tax Act, 1961 and other applicable tax laws.

Deferred tax is measured using the tax rates and the tax laws enacted or substantively enacted as at the reporting date. Deferred tax liabilities are recognized for all timing differences.

Deferred tax assets are recognized for all temporary differences and unused tax losses only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses. Deferred tax assets and liabilities are offset if such items relate to taxes on income levied by the same governing tax laws and the Company has a legally enforceable right for such set off. Deferred tax assets are reviewed at each balance sheet date for their reliability.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Deferred Tax expense is recognised in Statement of Profit and Loss except to the extent that it relates to items recognised directly in Other Comprehensive Income (OCI) or Equity, in which case it is recognised in OCI or Equity.

f. Employee Benefits

Defined contribution plans: Contributions to defined contribution plans are recognized as expenses when employees have rendered services entitling them to such benefits.

Defined benefit plans: For defined benefit plans, the cost of providing benefits using the projected Unit Credit Method, with actuarial valuations being carried out at each Balance sheet date. Actuarial gains and losses are recognised in full in the other Comprehensive income for the period in which they occur. Past service cost both vested and unvested is recognised as expenses at the earlier of (a) when the plan amendment or curtailment occurs: and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the Balance Sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any assets resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

g. Foreign currency translation

The consolidated financial statements are prepared in Indian Rupees, which is the functional currency for Megasoft Limited. The translation of the functional currencies into the reporting currency is performed for assets and liabilities of the foreign subsidiary company's currency exchange rates in effect at the balance sheet date, for revenue, costs and expenses using average exchange rates prevailing during the reporting periods and for share capital, using the exchange rate at the date of the transaction. The resultant translation exchange gain/loss has been disclosed as "Foreign Currency Translation Reserve" under "Reserve & Surplus".

All income and expenditure transactions of the foreign branch during the year are included in these accounts at the average rate of exchange. Monetary assets and liabilities are translated at rates prevailing on the balance sheet date. Non-monetary assets and liabilities are translated at the rate prevailing on the date of the transaction. Depreciation is translated at the rates used for the transaction of the values of the assets on which depreciation is computed. Net gain/loss on foreign currency translation is recognized in the profit & loss Account.

In case of forward exchange contract or any other financial instruments that is in substance a forward exchange contract to hedge the foreign currency risk which is on account of firm commitment and / or is a highly probable forecast transaction, the premium or discount arising at the inception of the contract is amortized as expenses or income over the life of the contract.

Gain / Losses on settlement of transaction arising on cancelled or renewal of such a forward exchange contract are recognized as income or expenses for the period. In all other cases the gain or loss on contract is computed by multiplying the foreign currency amount of the forward exchange contract by the difference between the forward rate available at the reporting date for the remaining maturity of the contract and the contracted forward rate (or the forward rate last used to measure a gain or loss on that contract for an earlier period) is recognized in the profit or loss account for the period.

h. Borrowing Cost

Borrowing costs, allocated to and utilized for qualifying assets, pertaining to the period from commencement of activities relating to construction/development of the qualifying asset up to the date of capitalization of such asset is added to the cost of the assets. Borrowing costs include interest, amortization of ancillary costs incurred. Costs in connection with the borrowing of funds to the extent not directly related to the acquisition of qualifying assets are charged to the Statement of Profit and Loss over the tenure of the loan. Capitalization of borrowing costs is suspended and charged to the Statement of Profit and Loss during extended periods when active development activity on the qualifying assets is interrupted.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

i. Impairment of Non – Financial Assets

The carrying amount of Company's Non – financial Assets are reviewed at each reported date to determine whether there is an indication of impairment 'considering the provisions of IND AS 36 "Intangible Assets".

Impairment loss is recognised if the carrying amount of the assets or its Cash Generating Units (CGU) exceeds its estimated recoverable amount. Impairment losses are recognised in Profit and Loss. Impairment losses recognised in respect of CGUs are reduced from the carrying amounts of the assets of the CGU.

Non-Financial assets that suffered impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

An Impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the assets carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

j. Earnings per share

Basic earnings per share are computed by dividing the net profit/loss after tax attributable to the equity shareholders of the company by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the net profit/loss after tax attributable to the equity shareholders of the company as adjusted for dividend, interest and other charges to expense or income relating to the dilutive potential equity shares, by the weighted average number of equity shares considered for deriving basic earnings per share and the weighted average number of equity shares which could have been issued on the conversion of all dilutive potential equity shares.

k. Provisions and Contingent Liabilities

A provision is recognized when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made. Provisions (excluding retirement benefits) are not discounted to their present values

and are determined based on the best estimate required to settle the obligations at the Balance Sheet date. These are reviewed at each Balance Sheet date and adjusted to reflect the current best estimates. Contingent liabilities are not recognized in the Financial Statements and are disclosed in the Notes. A Contingent asset is neither recognized nor disclosed in the Financial Statements.

l. Business Combination

As part of the transition to IND AS, the company has decided to apply the IND AS 103, Business combinations, to only those business combinations that occurred on or after 1st April, 2015.

In respect of Business combinations, prior to 1st April, 2015, goodwill represents the amount recognised under the company's previous accounting framework under Indian GAAP and the same is tested annually for impairment.

m. Financial Instruments

All Financial Assets and Liabilities are recognised and measured initially at fair value adjusted by transaction cost, except for those carried at fair value through Profit or Loss which are measured initially at fair value. For the purpose of subsequent measurement, Financial Assets are classified into following categories upon initial recognition:

- Amortised cost
- Financial assets at fair value through profit or loss (FVTPL)
- Financial assets at fair value through Other Comprehensive Income (FVOCI)

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Financial assets

Amortised Cost

A financial asset is measured at amortised cost using effective interest rates if both of the following conditions are met:

a) the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and

b) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Company's cash and cash equivalents, trade and most other receivables fall into this category of financial instruments.

Financial assets at FVTPL

Financial assets at FVTPL include financial assets that either do not meet the criteria for amortised cost classification or are equity instruments held for trading or that meet certain conditions and are designed at FVTPL upon initial recognition. All derivative financial instruments also fall into this category. Assets in this category are measured at fair value with gains or losses recognised in profit and loss. The fair values of financial assets in this category are determined by reference to active market transactions or using a valuation technique where no active market exists.

Financial assets at FVOCI

FVOCI financial assets are either debt instruments that are managed under hold to collect and sell business model or are non – trading equity instruments that are designated to this category. FVOCI financial assets are measured at fair value. Gains and losses are recognised in Other Comprehensive Income, except for

interest and dividend income and foreign exchange differences on monetary assets, which are recognised in statement of profit and loss.

Financial Liabilities

Initial recognition and measurement

All financial liabilities are initially recognised at Book value and in the case of loans and borrowings and payables, net of attributable transaction costs (example: Upfront processing fees).

The company's financial liabilities include trade and other payables, loan and borrowings including bank overdrafts and financial guarantee contracts.

Classification and subsequent measurement of financial liabilities

Financial liabilities are measured subsequently at amortised cost using the effective interest method, except for financial liabilities held for trading or designated at FVTPL, that are carried subsequently at fair value with gains or losses recognised in profit or loss. All derivate financial instruments are accounted for at FVTPL.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 2 : Property , Plant and Equipment & Intangible Assets

Particulars	Gross Block						Depreciation					
	Cost as at 1st April 2025	Additions	Deletions / Adjustments	Amount of change due to revaluation	Others adjust-ments	Cost as at 31 March 2026	As at 1st April 2025	Depreciation for the period 3st December	Deletions / Adjustments	Total as at 31 March 2026	As at 31 March 2026	As at 31 March 2025
(A) Property,Plant & Equipment												
Land & Land Development	3,442.08	3,575.41	7,017.49			-	-			-	-	3,442.08
Building	15,771.60	11,956.53	15,771.60			11,956.53	1,210.92	528.03	(1,135.45)	603.50	11,353.03	14,560.68
Leasehold building ROU Asset	280.99	2,675.57	280.99			2,675.57	105.20	346.58	(309.25)	142.53	2,533.04	175.79
Plant & Machinery	1,877.52	11,494.55	190.00			13,182.07	256.95	408.60	1,528.01	2,193.57	10,988.50	1,620.57
Computer systems & Software	312.85	15.64				328.49	129.27	50.67	-	179.95	148.54	183.57
Furniture & Fittings	71.29	222.35				293.64	52.52	33.49	68.99	154.99	138.65	18.77
Vehicles	247.47	-				247.47	90.81	26.58		117.38	130.08	156.66
Test Equipment	66.18	673.72				739.91	54.46	48.68	51.68	154.82	585.08	11.72
Additions to Rented Building	51.60	-				51.60	46.10	-		46.10	5.50	5.50
Sub Total	22,121.59	30,613.77	23,260.09	-	-	29,475.27	1,946.24	1,442.63	203.98	3,592.85	25,882.42	20,175.35
(B) Intangible Assets												
Computer Software		1,578.66	4.43		96.02	1,670.26	-	6.53	395.23	401.77	1,268.49	-
Sub Total	-	1,578.66	4.43	-	96.02	1,670.26	-	6.53	395.23	401.77	1,268.49	-
(C) Capital WIP		919.03				919.03					919.03	
Total	22,121.59	33,111.46	23,260.09	-	96.02	32,064.56	1,946.24	1,449.16	599.21	3,994.62	28,069.94	20,175.35
Previous year figures	20,380.12	1,741.47	-	-	-	22,121.59	1,459.38	486.85	-	1,946.24	20,175.35	17,918.82

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 2 : Property, Plant and Equipment & Intangible Assets *(Contd.)*

Description	Property Plant and Equipment	Rights of Use Asset	Total
Gross Carrying Value			
As at March 31, 2025	21,840.60	280.99	22,121.59
ROU recognised on April 1, 2025	-	-	-
Reclassified on account of adoption of Ind As 116	-	-	-
Additions	27,938.20	2,675.57	30,613.77
Disposals	22,979.10	280.99	23,260.09
As at March 31st, 2026	26,799.70	2,675.57	29,475.27
Accumulated Depreciation		-	-
As at March 31, 2025	1,841.04	105.20	1,946.24
ROU recognised on April 1,2025		-	-
Reclasslfied on account of adoption of Ind AS 116			-
Charge for the year	1,096.05	346.58	1,442.63
Adjustment for disposal	513.23	-309.25	203.98
As at March 31, 2026	3,450.32	142.53	3,592.85
Net Block as at March 31, 2025	19,999.56	175.79	20,175.35
Net Block as at March 31, 2026	23,349.38	2,533.04	25,882.42

Summary of Depreciation charged in P & L account	
On account of ROU assets	346.58
On account of Others (incl. Building)	1,096.05

CWIP ageing schedule:

As at 31 March 2026

CWIP	Amount in CWIP for a period of			Total
	Less than 1 Year	1-2 Years	2-3 Years	
Projects in progress	919.03	-	-	919.03
Projects temporarily suspended	-	-	-	-
Total	919.03	-	-	919.03

Note 3 : Investment property

Reconciliation of carrying amount

Particulars	Building	Total
A. Cost or Deemed cost (Gross carrying amount)		
As at 31st March 2025	-	-
Additions	387.43	387.43
Disposals	-	-
As at 31 March 2026	387.43	387.43
B. Accumulated depreciation		
As at 31st March 2025	-	-
Additions	-	-
Disposals	-	-
As at 31 March 2026	-	-
C. Net carrying amount (A-B)		
As at 31 March 2026	387.43	387.43

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 4 : Goodwill

On 31 October 2025, the Company acquired 100% of the Ordinary Share Capital of Nasmyth Group Limited and its subsidiary undertakings for consideration of Rs. 20,770.82 Lakhs.

The business combination was accounted for using the acquisition method.

Acquisition of Nasmyth Group Limited and its subsidiary undertakings

Recognised amounts of identifiable assets acquired and liabilities assumed

Particulars	Book value	Fair value adjustments	Fair Value
A. Fixed Assets			
Tangible Assets	14,761	5,772	20,533
Right of Use Assets	2,213	-	2,213
Investment properties	414	(26)	387
Order Backlog	-	1,168	1,168
Other intangible assets	15	-	15
	17,403.32	**6,913.64**	**24,316.96**
B. Current Assets			
Stocks	14,062.37	-	14,062.37
Debtors	18242.09	-	18,242.09
Cash at bank and in hand	1057.19	-	1,057.19
Other Assets	1747.27	-	1,747.27
	35,108.92	**-**	**35,108.92**
Total Assets (A + B)	**52,512.24**	**6,913.64**	**59,425.88**
Borrowings	19,923.99	-	19,923.99
Lease Liabilities	2,417.31	-	2,417.31
Creditors	17,441.11	-	17,441.11
Other Liabilities	3,854.69	-	3,854.69
Total Liabilities	**43,637.10**	**-**	**43,637.10**
Total Identifiable net assets	**8,875.14**	**6,913.64**	**15,788.78**
Goodwill			4,982.04
Total purchase consideration			20,770.82
Consideration			
Cash			
Debt taken over			19,638.93
Agreed costs			1,131.89
Total purchase consideration			**20,770.82**
Debt Taken over			19,638.93
Agreed Costs			1,131.89
Total Purchase consideration			**20,770.82**

The goodwill arising on acquisition will be recognised in the Consolidated statement of comprehensive over its estimated usual economic life of 10 years.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 5 : Investments

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Investment in Equities:		
Investments in Equity Instruments at Cost		
Unquoted:		
Associate:		
Indrajaal Drone Defence India Pvt Ltd	999.13	835.00
2,43,480 (PY: 2,43,480) Equity Shares		
1,042 Compulsorily Convertible Preference Shares		
Share of profit or Loss	49.96	(86.89)
	1,049.09	748.11
Associate:		
Extrovis AG	-	11,248.10
((PY : 80,000) Equity shares of CHF 1 each)		
Share of profit or Loss		(4,540.83)
	-	6,707.26
Total	-	-
Total	1,049.09	7,455.38

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Aggregate Value of Quoted Investments	-	-
Aggregate Market Value of Quoted Investments	-	-
Aggregate Value of Unquoted Investments	1,049.09	7,455.38
Aggregate Provision for dimunition in the value of Investments	-	-

Note 6 : Loans

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Others-		
Loans Receivables Considered Good- Unsecured	1,600.00	1,500.00
Total	1,600.00	1,500.00

Note 7 : Financial Asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Bank deposit for more than 12 months (DSRA)	-	525.00
Security Deposits-(Unsecured, considered good)	129.67	83.41
Total	129.67	608.41

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 8 : Defered tax Asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
The balance comprises temporary differences attributable to:		
Business Loss	0.11	1.27
Provision for gratuity		41.58
Depcreciation		9.62
Total deferred tax assets/ (liabilities)	**0.11**	**52.47**

Movement in deferred tax assets / (liabilities)	Business Loss	Depreciation	Gratuity	Total
As at 31-03-2024				
Charged/(credited):				
to profit or loss				
to other comprehensive income				
As at 31-03-2025	1.27	9.62	41.58	42.85
Charged/(credited):				
to profit or loss	(1.16)	(9.62)	(41.58)	(42.74)
to other comprehensive income				
As at 31-03-2026	0.11	-	-	0.11

Note 9 : Other Non Current asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Capital advances	3,487.23	1,849.63
Other advances		
Others- GST paid under Protest*	1,681.50	1,681.50
Total	**5,168.73**	**3,531.13**

* The company has filed multiple writ petitions before the Honourable High Court of Telangana, in the ongoing dispute with the GST department, challenging notifications relating to taxation of Joint Development Agreement transactions. The company has paid Rs 16.81 crores under protest. The management strongly believes that there is no GST liability on the said transactions and that there is merit in its court case / WP and is hopeful of a positive outcome. The matter is subjudice.

Note 10 : Inventories

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Raw materials	3003.46	973.94
Work in Progress & Finished goods	16,330.18	985.21
Total	**19,333.64**	**1,959.15**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 11 : Trade Receivables

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Unsecured,Considered Good		
Debtors outstanding for a period Not exceeding six months	-	-
Debtors outstanding for a period exceeding six Months	36,343.86	5,903.56
Total	**36,343.86**	**5,903.56**

Trade receivables ageing schedule

As at 31 March 2026

Particulars	Unbilled	Not due	Outstanding for following periods from due date of payment					
			Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables – considered good	-	9,197.03	25,543.13	1,216.03	516.37	18.07	-	36,488.56
Undisputed trade receivables – which have significant increase in credit risk	-	-	-	-	-	-	-	-
Undisputed trade receivable – credit impaired	-	-	-	-	-	-	-	-
Disputed trade receivables – considered good	-	-	-	-	-	-	-	-
Disputed trade receivables – which have significant increase in credit risk	-	-	-	-	-	-	-	-
Disputed trade receivable – credit impaired	-	-	-	-	-	-	-	-
Total	**-**	**9,197.03**	**25,543.13**	**1,216.03**	**516.37**	**18.07**	**-**	**36,488.56**
Less: Loss allowance	-	-	-	-	144.70	-	-	144.70
Total		**9,197.03**	**25,543.13**	**1,216.03**	**371.67**	**18.07**	**(144.70)**	**36,343.86**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 11 : Trade Receivables *(Contd.)*

As at 31 March 2025

Particulars	Unbilled	Not due	Outstanding for following periods from due date of payment					
			Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables – considered good	-		1,098.25	4,354.07	451.25			5,903.56
Undisputed trade receivables – which have significant increase in credit risk	-	-	-	-	-	-	-	-
Undisputed trade receivable – credit impaired	-	-	-	-	-	-	-	-
Disputed trade receivables – considered good	-	-	-	-	-	-	-	-
Disputed trade receivables – which have significant increase in credit risk	-	-	-	-	-	-	-	-
Disputed trade receivable – credit impaired	-	-	-	-	-	-	-	-
Total	-	-	1,098.25	4,354.07	451.25	-	-	5,903.56
Less: Loss allowance								-
Total	**-**	**-**	**1,098.25**	**4,354.07**	**451.25**	**-**	**-**	**5,903.56**

Note 12 : Cash And Bank Balances

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
(A) Balances with Banks:		
- Current accounts	1,988.41	999.55
- Fixed Deposit with Maturity of Less than 3 months	86.80	
- Cash on hand	0.42	0.25
Total	**2,075.63**	**999.81**

Note 13 : Bank Balances other than Cash & Cash Equivalents

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Deposits held as Margin Money		
Balances with Bank- Fixed Deposit Having more than 3 and less than 12 months maturity	366.16	37.59
Total	**366.16**	**37.59**

Note 14 : Current Tax (Liabilities)/Asset

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Advance Tax (Net off Provision For Taxation)	-	1,062.33
Total	**-**	**1,062.33**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 15 : Other Current Assets

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Prepaid Expenses	1,145.16	191.83
Security Deposits	38.17	142.98
Accrued Interest Receivable	383.06	241.91
Balances with Government authorities	45.17	578.65
Other Advances		
- Suppliers/Trade	4,735.97	2,362.06
- Staff Advances	58.68	31.34
Total	**6,406.21**	**3,548.78**

Note 16 : Share Capital

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
a) Authorised Capital		
25,00,00,000 Equity shares of Rs. 10 each	25,000.00	20,000.00
(PY: 20,00,00,000 Equity shares of Rs. 10 each)		
	25,000.00	**20,000.00**
Issued, Subscribed and Fully Paid up Capital		
17,62,39,705 Equity Shares of Rs. 10/- each, Fully paid up	17,623.97	7377.00
(PY:7,37,70,041 Equity shares of Rs. 10/- each, fully paid up)		
	17,623.97	**7,377.00**

b) Reconciliation of number of shares outstanding at the beginning and end of reporting period

Particulars	Equity Shares As at 31 March 2026		Equity Shares As at 31 March 2025	
	Number	Amount	Number	Amount
Shares outstanding at the beginning of the year	7,37,70,041	7,377.00	7,37,70,041	7,377.00
Shares Issued during the year	10,24,69,664	10,246.97		
Shares outstanding at the end of the year	**17,62,39,705**	**17,623.97**	**7,37,70,041**	**7,377.00**

c) Rights and Preferences attached to equity shares

(i) Every shareholder is entitled to such rights as to attend and vote at the meeting of the shareholders, to receive dividends distributed and also has a right in the residual interest of the assets of the Company. Every shareholder is also entitled to right of inspection of documents as provided in the Companies Act, 2013.

(ii) There are no restrictions attached to equity shares.

d) Details of shareholders holding more than 5 % shares in the company

Particulars	As at 31 March 2026		As at 31 March 2025	
	No. of shares	%	No. of shares	%
CHINTALAPATI HOLDINGS PRIVATE LIMITED	8,16,17,788	46.31		
RAMANAGARAM ENTERPRISES PRIVATE LIMITED	2,58,73,115	14.68	2,58,73,115	35.07
HILLPARK EVENT MANAGEMENT	1,02,46,966	5.81		

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 16 : Share Capital *(Contd.)*

e) Shares held by Promoters at the end of the year.

Particulars	As at 31 March 2026		As at 31 March 2025		
	No. of shares	%	No. of shares	%	Change in %
Cheemarla Damodar Reddy	75,42,079	4.28%	-	-	100%
Ramanagram Enterprises Private Limited	2,58,73,115	14.68%	2,58,73,115	35.07%	(20.39)
Chintalapati Holdings Private Limited	8,16,17,788	46.31%	-	-	100%
Hillpark Event Management LLP	1,02,46,966	5.81%	-	-	100%
Cheemarla Damodar Reddy (Trust)	2,37,000.00	0.13%	-	-	100%

d) Pursuant to the Scheme of Amalgamation sanctioned by the Hon'ble National Company Law Tribunal, Chennai Bench, vide Order dated December 16, 2025, and effective from December 31, 2025, the Board of Directors at its meeting held on January 16, 2026, allotted 10,24,69,664 fully paid-up equity shares of Rs. 10 each to the shareholders of Sigma Advanced Systems Private Limited without payment being received in cash. The shares were allotted in the swap ratio of 316 equity shares of the Company for every 100 equity shares held in Sigma Advanced Systems Private Limited (ratio of 3.16:1) based on the Record Date of January 14, 2026.

(e) For the period of five years immediately preceding the date as at which the Balance Sheet is prepared,the company has not bought back any shares nor issued any bonus shares.

Note 17 : Other Equity

(Amounts in Lakhs)

Particulars		As at 31 March 2026	As at 31 March 2025
a	**Securities premium***	-	250.66
	Add: Premium pursuant to the scheme		58,705.15
	Less: Netted off pursuant to the scheme	-	-58,955.81
	Closing balance	**-**	**-**
b	**Capital Reserve***	(6,655.51)	5.59
	Less: Reserve created pursuant to the scheme	-	(65,616.90)
	Add: netted off pursuant to the scheme	-	58,955.81
	Closing balance (debit)	**(6,655.51)**	**(6,655.51)**
c	**Foreign Currency Translation Reserve**		
	Opening Balance	(1,414.38)	(1,414.38)
	Changes during the year	(419.52)	
	Closing balance	**(1,833.90)**	**(1,414.38)**
d	**Business Reconstruction Reserve**	21.38	21.38
	Less: Transferred to General Reserve	(21.38)	
	Closing balance	**-**	**21.38**
e	**General Reserve**	2,546.75	2,546.75
	Add: Transfer from Revaluation Reserve	2,773.73	
	Add: Transfer from Business reconstruction Reserve	21.38	
	Closing balance	**5,341.85**	**2,546.75**
f	**Retained Earnings**		
	Opening balance	6,212.20	7,610.66
	Net Profit/ (Loss) for the year	26,804.29	(1,398.47)
	Bonus Shares issued	-	-
	Closing balance	**33,016.49**	**6,212.19**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 17 : Other Equity *(Contd.)*

(Amounts in Lakhs)

Particulars		As at 31 March 2026	As at 31 March 2025
g	**Revaluation Reserve**		
	Opening balance	2,773.73	2,773.73
	Less: Transferred to General Reserve	(2,773.73)	-
	Closing balance	**-**	**2,773.73**
h	**Other Comprehensive Income**		
	As per Last Balance Sheet	(677.96)	18.72
	Add: Movement in OCI during the year (net)	25.53	(696.68)
	Total Other Comprehensive Income	**(652.43)**	**(677.96)**
i	**Shares Pending allotment Pursuant to merger**	10,246.97	10,246.97
	Less : Changes during the year	(10,246.97)	
	Total Share pending issuance	-	10,246.97
	Total	**29,216.51**	**13,053.16**

*Pursuant to the Scheme, the balance in the securities premium has been netted off against capital reserve (debit) arising on the account of the Scheme and resultant figure has been presented under Capital reserve in line with applicable Indian Accounting standards.

Note 18 : Borrowings

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Borrowings:		
Secured		
a) Term Loans:		
(i) from Banks	6,283.66	78.80
(ii) from Others	-	13,642.82
Less : Current maturities of long term borrowings	(1.93)	(848.10)
Unsecured		
a) Term Loans:		
(ii) from Others- Related party	4,396.72	-
Total	**10,678.45**	**12,873.52**

(Secured)

Terms of borrowings:

i Funding facility totalling of Rs. 6,281.74(in Lakhs) provided by Secure Trust Bank plc which are secured by fixed and floating charges over the assets of the Group.

ii ICICI Car loan- Refer note no:22

Deafults -Nil

UnSecured

Loan from Chithalapati Holdings Private Limited - O/s Balance-CY: 4396.72 lakhs PY : NIL Rate of Interest - 8% Frequency : Bullet Payment

Note 19 : Lease Liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Finance lease obligations (Ind AS)	2,775.60	174.66
Less : Current maturities of finance lease obligations	(86.96)	(76.98)
Total	**2,688.65**	**97.67**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 19 : Lease Liabilities *(Contd.)*

The following table summarises the movement in lease liabilities:

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Balance at the beginning	2,591.97	236.15
Additions	462.35	-
Interest expenses	126.85	11.84
Deletions	(119.35)	-
Payment of lease liabilities	175.50	(73.32)
Forex adjustment	(108.53)	-
Balance at the end	**3,128.79**	**174.66**
Lease liabilities included in the balance sheet		
Current	439.30	76.98
Non-current	2,688.65	97.67
Total	**3,127.95**	**174.66**

The following are the amounts recognised in statement of profit and loss

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Depreciation on right-of-use assets	290.14	56.14
Interest expenses on lease liabilities	126.85	11.84
Total	**416.98**	**67.98**

Amounts recognised in statement of cash flows:

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Payment of lease liabilities	175.50	73.32
Total	**175.50**	**73.32**

Note 20 : Other Financial Liability - Non Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Security Deposit-JDA	-	2,164.21
Deferred Premium Translation of financial Liabilities	-	71.26
Total	**-**	**2,235.47**

Note 21 : Provisions - Non Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for Employee Benefits	203.88	181.40
Total	**203.88**	**181.40**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 22 : Borrowings - Current

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Secured		
Current Maturities of Long Term Borrowings	1.93	848.10
Credit card	19.18	15.49
Add Cheque Issued But Not Presented for Investment	-	0.51
ICICI CC ac	2,227.52	889.38
Term loans	51.93	-
AR facility	17,059.91	-
Total	**19,360.45**	**1,753.48**

Current Maturities of Long Term Borrowings

(Secured)

ICICI Car Loan

Primarly secured by the ICICI

Defaults - NIL

Borrowings from Banks and Financial institutions were used for the specific purpose for which it was taken.

Particulars	
Terms of Repayment (in months)	60.00
Rate of Interest	7.60%
No of O/S Instalments	1.00
Instalment Amount/ Principal amount (Rs. In Lakhs)	1.94
Starting Date	10-05-2021
Outstanding	1.93

ICICI CC

Security Details

Exclusive charge on Current assets and Fixed deposit (Others).

Interest Rate is 9.00% per annum for CC account.

Note 23 : Lease Liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Current Maturities of Finance lease Obligations	439.30	76.98
Short term lease obligations		
Total	**439.30**	**76.98**

Note 24 : Trade Payables

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Total Outstanding dues of Micro Enterprises & Small Enterprises	0.25	0.45
Total Outstanding dues of Creditors other than Micro Enterprises & Small Enterprises	19,282.21	1,961.79
Total	**19,282.46**	**1,962.24**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 24 : Trade Payables *(Contd.)*

Ageing Schedule - FY 2025-26

Particulars	Outstanding for following periods from due date of payment					
	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME		0.25				0.25
(ii) Others	3,308.34	15,181.50	414.76	361.14	16.48	19,282.21
(iii) Disputed dues - MSME						-
(iv) Disputed dues - Others						-
Total	**3,308.34**	**15,181.75**	**414.76**	**361.14**	**16.48**	**19,282.46**

Ageing Schedule - FY 2024-25

Particulars	Outstanding for following periods from due date of payment					
	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME		0.45				0.45
(ii) Others	0.118	1,961.67				1,961.79
(iii) Disputed dues - MSME						-
(iv) Disputed dues - Others						-
Total	**0.12**	**1,962.12**	**-**	**-**	**-**	**1,962.24**

Note 25 : Other Financial Liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Interest Accrued and due on Borrowings	53.67	-
Deferred premium translation of Financial Liabilities	-	92.90
Total	**53.67**	**92.90**

Note 26 : Other current liabilities

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Statutory Dues Payable	1,959.19	317.57
Salary Payable	1,470.49	15.65
Other Payables	1,307.08	6,479.10
Advance from customers	217.84	246.89
Payable for expense	5.05	7.92
GRNI Accruals	251.23	-
Total	**5,210.88**	**7,067.12**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 27 : Provisions

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for Employee Benefits	20.66	4.50
Provision for Outstanding expenses	27.92	58.91
Total	**48.58**	**63.41**

Note 28 : Current tax Liabilities-(net)

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for Tax	1,106.10	-
Total	**1,106.10**	**-**

Note 29 : Revenue From Operations

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Revenue from sale of goods	47,977.48	10,714.65
Revenue from sale of services	1,064.37	20.95
Other operating revenues:	-	-
- Manufacturing scrap	144.89	-
Consulting Income	1.00	-
Total	**49,187.74**	**10,735.60**

Note 30 : Other Income

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Interest Income on Rent-Ind AS	3.90	1.70
Amortisation income		127.93
Interest income from fixed deposit	106.51	
Profit on Sale of Land & Building	18,731.88	1.15
Interest on income tax refund	0.16	0.00
Rental Income	494.03	3,673.04
Interest Received	259.56	361.23
Foreign exchange gain	1,786.77	57.59
Discount Received	-	0.17
Creditor Written Back	21.92	
Contract compensation income	36.00	
Profit on sale of mutual funds	286.16	
Miscellaneous income	164.13	
Profit on Sale of Extrovis (Associate)	7,689.40	-
Total	**29,580.43**	**4,222.79**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 31 : Materials Consumed

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Opening stock	2,371.78	520.10
Purchases	21,661.88	7,044.37
Jobwork and testing charges	36.83	64.04
Customs and clearance	0.27	2.56
Customs Duty	44.17	13.16
Consumables	2.47	1.19
Packing and callibration charges	0.06	1.97
Insurance related to stock	3.04	1.67
Factory Power & Fuel	15.90	16.26
Chamber Maintenance	2.33	0.91
Freight & Carriage Inward	24.74	15.35
	24,163.48	**7,681.57**
Less: Closing stock	3,003.75	973.94
Raw materials consumed	**21,159.72**	**6,707.63**

Note 32 : Changes in inventories

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Inventory at the end of the year		
Closing Stock of Work-in-Progress (A)	12,409.18	
Closing Stock of Finished goods (A)	3,921.00	985.21
Inventory at the beginning of the year	-	
Opening Stock of Work-in-Progress (B)	10,543.21	1,521.21
Opening Stock of Finished goods (B)	3,106.53	
	(2,680.44)	**536.00**

Note 33 : Employee Benefits expense

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Salaries and Wages	14,012.07	777.91
Contribution to Provident Fund and other funds	69.68	25.60
Staff Welfare	103.03	10.37
Director remuneration	236.06	116.33
Insurance to employees	10.24	5.42
Gratutity	46.11	
Compensated absences	(9.94)	
Total	**14,467.25**	**935.63**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 34 : Finance costs

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Interest expenses		
- Interest on working capital Loans	74.71	1,971.55
- Interest on Debt and borrowings	386.96	
- Interest on loan from related party	194.91	
- Interest on car loan	0.92	
- Interest on other loans	823.35	
Bank Charges	299.09	
Processing Fees	65.00	14.40
Interest on lease	126.85	
Amortization expenses	0.14	-
Total	**1,971.93**	**1,985.95**

Note 35 : Other expenses

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Power and fuel	1,096.93	
Electricity Charges	9.55	1.56
Contract labour charges	60.48	
Insurance Expenses	422.00	43.18
Travelling and conveyance	225.68	30.01
Legal and Professional charges	1026.49	492.87
Rates and taxes	334.04	123.45
Rent	485.37	44.58
Repairs and Maintenance	903.51	109.95
Repairs and Maintenance - Building	79.30	
Repairs and Maintenance - IT equipment	265.54	
Repairs and Maintenance - Others	5.86	
Security charges	202.51	15.26
Communication costs	79.19	7.29
Advertisement & Business Development Expense	97.19	10.62
Printing and stationery	37.59	8.61
Audit fees (Excluding Taxes)	-	
- For Statutory Audit	216.39	17.40
- For Tax Audit	-	0.45
- For Company law and other Taxation matters	2.18	-
- Filing fee	0.10	0.00
Sitting fees paid	25.25	14.50
Bank charges	0.02	0.62
(Gain)/Loss on discard of property, plant and equipment	303.80	-

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 35 : Other expenses *(Contd.)*

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Impairment Loss	635.67	-
Write Off of Other Items	795.96	-
CSR Expenditure	18.07	43.41
Commission	10.51	-
Miscellaneous expenses	162.95	21.39
Selling and distribution expense	-	43.15
Bad Debts	-	-
Interest on IT	-	-
Subscriptions	1.82	-
Transportation charges	-	-
Sub - contract expenses	3,648.60	-
Loss on lease termination	18.20	-
Exchange Loss on Foreign Exchange Transactions	102.41	37.92
Office and General Expense	46.26	3.39
Postage and Courier	-	-
Professional Tax	-	-
Recruitment cost	110.56	
Training	23.65	3.70
Total	**11,453.62**	**1,073.31**

36 Exceptional Items (Net)

Exceptional items are those which are considered for separate disclosure in the financial statements considering their size, nature or incidence. Such items included within the statement of profit and loss are detailed below:

During the year, the Company completed the acquisition of Nasmyth Group. In accordance with Ind AS 103 – Business Combinations, acquisition-related costs have been expensed in the Statement of Profit and Loss. These costs primarily include legal, advisory, and professional fees incurred to effect the business combination.

Details of Acquisition-related costs:		
a) Legal and professional fee	1,050.17	-
b) Advisory and consultancy charges		
c) Other related expenses		
Total	**1,050.17**	**-**

Note 37 : Earnings Per Share

(Amounts in Lakhs)

Particulars	As at 31 March 2026	As at 31 March 2025
Net Profit /(Loss) attributable to Equity Shareholders (A) (In Rs.)	2,68,04,31,336	(13,98,46,223)
Weighted average number of equity shares outstanding during the period (B) (In Nos.)	17,62,39,700	17,62,39,700
Basic & Diluted EPS (A/B) (in Rs.)	15.21	(0.79)

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 38 : Statement of Employee Benefit Expense - Gratuity

Gratuity - The Present value of obligation is determined based on actuarial valuation using the Projected Unit Credit Method. This method considers each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Interest cost: It is the increase in the Plan liability over the accounting period resulting from the operation of the actuarial assumption of the interest rate.

Current Service Cost: is the discounted present value of the benefits from the Plan's benefit formula attributable to the services rendered by employees during the accounting period.

Actuarial Gain or Loss: occurs when the experience of the Plan differs from that anticipated from the actuarial assumptions. It could also occur due to changes made in the actuarial assumptions.

(i) Reconciliation of opening and closing balance of gratuity obligations

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Net Liability as at the beginning of the period	198.61	137.53
Net Expenses in P/L A/c	46.11	22.92
Net Expenses in OCI	(34.02)	17.38
Benefits Paid	(5.71)	(2.36)
Present Value of Gratuity Obligation (Closing)	**204.98**	**175.47**

(ii) Expenses recognised in Statement of Profit and Loss during the year

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Interest Cost	13.68	9.86
Current Service Cost	29.84	13.06
Past Service Cost	2.59	-
Expected Return on Plan Assets	-	-
Curtailment Cost (Credit)	-	-
Settlement Cost (Credit)	-	-
Net Actuarial (gain) / loss	-	-
Total	**46.11**	**22.92**

(iii) Expenses recognised in Other Comprehensive Income during the year

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Actuarial (Gains)/Losses on Obligation For the Period	(34.02)	17.38
Return on Plan Assets, Excluding Interest Income	-	
Change in Asset Ceiling	-	
Total	**(34.02)**	**17.38**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 38 : Statement of Employee Benefit Expense - Gratuity *(Contd.)*

(iv) Changes in Benefit Obligations

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Opening Defined benefit Obligation	198.61	137.53
Interest Cost	13.68	9.86
Current service cost	29.84	13.06
Past service cost	2.59	-
Benefits paid	(19.30)	-2.36
Actuarial loss/(gain) on obligation - Due to change in Financial Assumptions	(17.44)	0.10
Actuarial loss/(gain) on obligation - Due to change in Experience	(3.00)	17.28
Total	**204.98**	**175.47**

(v) Changes in Fair Value of Plan Assets

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Fair value of plan assets as at the beginning of the period	-	-
Actual return on plan assets	-	-
Contributions	-	-
Benefits paid	-	-
Fair value of plan assets as at the end of the period	-	-
Funded Status Surplus/(Deficit)	-	-
Expected return on assets	-	-
Excess of Actual over estimated return on Plan Assets	**-**	**-**

(vi) Actuarial assumptions

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Rate of discounting	8.00%	7.02%
Salary Escalation	5.00%	5.00%
Mortality rate during employment Indian	Indian Assured Lives Mortality (2012-14)	Indian Assured Lives Mortality (2012-14)

The estimates of rate of escalation in salary considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors including supply and demand in the employment market. The above information is certified by the actuary.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 38 : Statement of Employee Benefit Expense - Gratuity *(Contd.)*

a) Plan Assets comprises of the following

Particulars	As at 31 March 2026	As at 31 March 2025
Gratuity Fund managed by LIC	-	-

b) Summary of actuarial assumptions

Financial assumptions at balance sheet date:

Particulars	For the year ended 31 March 2026
Discount rate	7%
Salary escalation rate	7%
Attrition rate	
Past Service 0 to 40	
Mortality Rate	Indian Assured Lives Mortality (2012-14)

Discount rate: The discount rate is based on the prevailing market yields of Indian government securities as at the balance sheet date for the estimated term of the obligations.

Salary escalation rate: The estimates of future salary increases considered takes into account the inflation, seniority, promotion and other relevant factors such as demand and supply in employment market etc.

Attrition Rate:The Group's best estimates of employee turnover in future (other than on account of retirement, death or disablement) determined considering various factors such as nature of business,retention policy, industry factors, past experience etc

Mortality Rate: Assumption regarding mortality are based on published statistics and mortality tables by Insurance Regulatory and Development Authority of India

c) Maturity profile of defined benefit obligation (valued on undiscounted basis)

Particulars	As at 31 March 2026
Year 1	0.96
Year 2	1.27
Year 3	1.77
Year 4	2.04
Year 5	2.10
Year 6 and Above	10.44

d) Sensitivity analysis

The change in present value of Defined Benefit Obligation for a change of 100 Basis Points from the assumed assumption is given below:

Particulars	For the year ended 31 March 2026
Defined Benefit Obligation without effect of projected salary growth	
Changes in defined benefit obligation due to:	
Discount rate	
- Increase by 0.5%	0.27
- Decrease by 0.5%	0.32

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 38 : Statement of Employee Benefit Expense - Gratuity *(Contd.)*

Particulars	For the year ended 31 March 2026
Salary escalation rate	
- Increase by 0.5%	0.25
- Decrease by 0.5%	0.24
Withdrawal rate	
- Increase by 10%	0.37
- Decrease by 10%	0.36

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

There are no changes in the methods and assumptions used in preparing the senitivity anslysis from the previous year.

e) Expected contribution

The expected contributions for defined benefit plan for the next financial year will be in line with the contribution for the current year and is expected by the Management to be Rs. 0 Lakhs.

f) The weighted average duration of the defined benefit plan obligation at the end of the reporting period is 12.09 years

ii) Compensated absences:

The accrual for unutilised leave is determined for the entire available leave balance standing to the credit of the employees at the year end limited to 45 days. The value of such leave balances that are eligible for carry forward, is determined by an actuarial valuation as at the end of the year and is charged to the standalone statement of profit and loss. The actual liability towards leave obligations as at 31 March 2026 is Rs. 1.54 lakhs. Expense recognised in the statement of profit and loss under employee benefit expense is Rs. (9.94) Lakhs."

Note 39 : Other Disclosures

Payment to Auditors

(Amounts in Lakhs)

Details	As at 31 March 2026	As at 31 March 2025
- For Statutory Audit	216.39	17.40
- For Tax Audit	-	0.45
- For Company law and other Taxation matters	2.18	-
- Filing fee	0.10	0.00
Total	**218.66**	**17.85**

Segmental Information

Basis for segmentation

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components, and for which discrete financial information is available. Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker ("CODM"). CODM of the Company is responsible for allocating resources and assessing performance of the operating segments and accordingly identified as the chief operating decision maker. Revenues, expenses, assets and liabilities, which are common to the enterprise as a whole and are not allocable to segments on a reasonable basis, have been treated as "unallocated revenues/ expenses/ assets/ liabilities", as the case may be. The Company has only one reportable segment i.e. Defence and Aerospace

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 39 : Other Disclosures *(Contd.)*

Further The geographical information analyses the Company's revenues and non-current assets by the Company's country of domicile (i.e. India) and other countries. In presenting the geographical information, segment revenue has been based on the geographic market, regardless of where the goods were produced and segment assets presentation is based on the geographical location of the assets.

Particulars	For the year ended 31 March 2026
India	15,765.16
Outside India	33,422.58
Total Revenue from operations	**49,187.74**
Segment assets	
India	33,426.81
Outside India	72,486.18
Total Assets	**1,05,912.99**

A. Contingent Liabilities

(Amount in Rs. Lakhs)

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Income Tax Claims	41.65	23.05
Guarantees	6,132.55	6.08
Total	**6,174.20**	**29.13**

B. Commitments

(Amount in Rs. Lakhs)

Particulars	For the year ended 31 March 2026	For the year ended 31 March 2025
Estimated amount of contracts remaining to be executed on capital account and not provided for		
Uncalled liability on shares and other investments partly paid		
Other commitments		
Total	-	-

Expenditure in Foreign currency

(Amounts in Lakhs)

Particulars	For the Year Ended 31 March 2026	For the Year Ended 31 March 2025
Purchase of materials	652.29	5,016.70
Professional fees	449.19	87.26
Travel cost/Advances	14.37	26.38
Advances/Payments Against Equipments	291.39	1,832.86
Total	**1,407.24**	**6,963.20**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 40 : Related Party Transactions

A. List of Related Parties

I. Associate

Extrovis AG

Indrajaal Drone Defence India Pvt Ltd

II. Others

a. Key Management Personnel

i. Sunil Kumar Kalidindi - Executive Director & CEO

ii. Shridhar Thathachary - Chief financial Officer

iii. Leona Ambuja - Director

iv. Kalyan Vijay Sivalenka - Independent Director

v. Suryanarayana Raju Nandyala - Independent Director

vi. Uma Garimella - Independent Director

vii. Raju Somashekhar Baggavalli - Independent Director

viii. Cheemarla Damodar Reddy - Whole time Director & Promotor

xi. Chintalapati Holding Private Limited - Promotor Group

x. Anjali - Director

xi. Sushil Kumar - Director

xii. Sanjay Pukalay - Director

xiii. John Rooney - Director

xiv. Jacqueline Storer - Director

xv. Thakur Vishal Singh - Company Secretary and Compliance Officer

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 40 : Related Party Transactions *(Contd.)*

Transaction with Related Parties during the Period March 2025-26

S. No	Name of the Party	Nature of Relationship	Investment Held	Sale of Investment	Corporate Guarantee Given to Subsidiary	Salary	Remuneration to directors	Director Sitting fees	Loan Given/ Loan Repaid	Loan Received	Advance Given	O/s Balance as on 31-3-2026
1	Sunil Kumar Kalidindi	Executive Director & CEO	-	-	-	-	72.66	-	-	-	-	-
	Previous Year 2024-25		-	-	-	-	72.16	-	-	-	-	-
2	Shridhar Thathachary	Chief financial Officer	-	-	-	51.91	-	-	-	-	-	-
	Previous Year 2024-25		-	-	-	62.91	-	-	-	-	-	-
3	Manda Srivalli	Company Secretary	-	-	-	-	-	-	-	-	-	-
	Previous Year 2024-25		-	-	-	3.23	-	-	-	-	-	-
4	Thakur Vishal singh	Company Secretary	-	-	-	14.48	-	-	-	-	-	-
	Previous Year 2024-25		-	-	-	8.44	-	-	-	-	-	-
5	Leona Ambuja	Professional Director	-	-	-	-	-	6.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
6	Kalyan Vijay Sivalenka	Independent Director	-	-	-	-	-	6.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
7	Suryanarayana Raju Nandyala	Independent Director	-	-	-	-	-	5.75	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
8	Uma Garimella	Independent Director	-	-	-	-	-	6.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 40 : Related Party Transactions *(Contd.)*

S. No	Name of the Party	Nature of Relationship	Investment Held	Sale of Investment	Corporate Guarantee Given to Subsidiary	Salary	Remuneration to directors	Director Sitting fees	Loan Given/ Loan Repaid	Loan Received	Advance Given	O/s Balance as on 31-3-2026
9	Raju Somashekhar Baggavalli	Independent Director	-	-	-	-	-	0.50	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
10	Cheemarla Damodar Reddy	Whole time Director & Promotor	-	-	-	-	93.68	-	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
11	Chintalapati Holding Private Limited	Promotor Group	-	-	-	-	-	-	12,103.28	16,500.00	-	4,450.03
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
12	John Rooney	Director	-	-	-	-	367.67	-	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
13	Jacqueline Storer	Director	-	-	-	-	140.58	-	-	-	-	-
	Previous Year 2024-25		-	-	-	-	-	-	-	-	-	-
14	Extrovis AG	Associate	-	13,535.67	-	-	-	-	-	-	-	-
	Previous Year 2024-25		13,535.67	-	-	-	-	-	-	-	-	-
15	Indrajaal Drone Defence India Pvt Ltd	Associate	835.00	-	-	-	-	-	-	-	3,069.20	3,069.20
	Previous Year 2024-25		835.00	-	-	-	-	-	-	-	-	-
16	Sigma Advanced Systems UK Limited	Wholly owned Subsidiary	-	-	6,126.47	-	-	-	-	-	-	-

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 41 : Additional Regulatory Information

(i) The Group has not revalued its Property, Plant and Equipment during the reporting years.

(ii) The Company has investment properties, and their fair values have been determined based on a valuation carried out by a Registered Valuer as defined under Rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017.

(ii) Loans and Advances granted to Promoters, Directors, KMP and Related Parties:

There are no Loans and Advances in the nature of loans that are granted to promoters, directors, KMP's and the related parties either severally or jointly with any other person, that are repayable on demand or without specifying any terms or period of repayment.

(iii) There are no proceedings initiated or pending against the Parent for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988).

(iv) The company has borrowing from the banks on the basis of security of current assets, and the quarterly returns or statements of current assets filed by the Company with the banks are in agreement with the books of accounts.

(v) The company is not declared as wilful defaulter by any bank or financial institution or other lender

(vi) The Company has not entered into any transactions with companies struck off under section 248 of the Companies Act, 2013.

(vii) The company has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017.

(viii) The Company has neither traded nor invested in Crypto currency or Virtual Currency during the financial year.

(ix) Pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013, the Scheme of Amalgamation of Sigma Advanced Systems Private Limited ("Transferor Company") with Megasoft Limited ("Transferee Company") and their respective shareholders and creditors was sanctioned by the Hon'ble National Company Law Tribunal, Chennai Bench, vide its Order dated December 16, 2025. The Company received the Certified True Copy of the said Order on December 24, 2025. The Scheme became effective on December 31, 2025, being the date on which the certified true copy of the NCLT Order was filed by both the Transferor Company and the Transferee Company with the Registrar of Companies, Chennai.The effect of the Scheme has been accounted for in the books of account of the Company in accordance with the Scheme and in accordance with the applicable Indian accounting standards prescribed under Section 133 of the Companies Act, 2013. There is no deviation from the applicable Indian accounting standards

(x) Utilisation of Borrowed funds and share premium:

A. The company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

(ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

B. The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the company shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

(ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

42 (a) Scheme of Amalgamation:

A The Company obtained an order dated 16th December, 2025 from the Hon'ble National Company Law Tribunal, Chennai Bench (NCLT) sanctioning the scheme of Amalgamation between Sigma Advanced Systems Private Limited (Transferor Company) and Megasoft Limited (Transferee Company) and their respective shareholders and creditors with the appointed date as 1st April, 2024. The Company has applied the principles laid out in Ind AS 103 (Business Combinations of Entities Under Common Control) and accounted for the said merger using the pooling of interest method, wherein all assets, liabilities, and reserves of the Transferor Company have been recorded at their respective carrying values and the figures pertaining to the previous year have been recast/restated to include the effect of the merger from the Appointed Date. Pursuant to the scheme sanctioned by the Hon'ble NCLT, the share swap ratio was set at 316 fully paid-up equity shares of face value Rs. 10 each of the Transferee Company for every 100 equity shares of face value Rs. 10 each held in the Transferor Company. Accordingly, the Company issued and allotted 10,24,69,664 equity shares of face value Rs. 10 each, fully paid-up, to the eligible shareholders of the Transferor Company on 16th January 2026.

B Pursuant to scheme sanctioned by the NCLT, the name of the Company has been changed from Megasoft Limited to Sigma Advanced Systems Limited on 12th January 2026. Further, the change in name and stock exchange trading symbol to 'SIGMAADV' was approved by BSE Limited and the National Stock Exchange of India Limited with effect from February 9, 2026.

(b) The Company has divested its entire stake in Extrovis AG during the Year for an amount of Rs. 13,761 Lakhs

(c) Sale of Land:

During the year, the Company sold land and building for a consideration of Rs. 40,039.17 lakhs. The land had a carrying value of Rs. 21,575.43 lakhs as at the date of sale, resulting in a profit of Rs. 18,463.74 lakhs, which has been recognised under “Other Income” in the Statement of Profit and Loss."

(d) Incorporation and Acquisition:

During the financial year, the Company incorporated a wholly-owned subsidiary in the United Kingdom, Sigma Advanced Systems UK Ltd, through which it acquired a 100% equity stake in Nasmyth Group Limited, UK, to expand its its presence in the global aerospace and defence sector.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

43 A. Information regarding subsidiaries, associates and joint ventures included in the consolidated financial statements for the year ended March 31, 2026:

S. No	Name of the entity in the Group	Net Assets		Share in profit or loss		Share in other comprehensive income		Share in total comprehensive income	
		As % of consolidated net assets	Amount	As % of Consolidated profit or loss	Amount	As % of consolidated OCI	Amount	As % of total comprehensive income	Amount
1	**Parent:**								
	Sigma Advanced Systems Ltd	98%	45,706.28	95.08%	25,486.42	79.30%	46.88	95.05%	25,533.31
2	**Subsidiary:**								
	Indian:								
	Velapan Systems Private Limited	0%	-136.88	-0.72%	(191.81)	0%	-	-0.71%	-191.81
	Indorus Systems Private Limited	0%	0.09	0.00%	0.04	0%	-	0%	0.04
	Foreign:								
	Sigma Advanced Systems UK LTD	3%	1,270.98	4.71%	1,263.72	12.08%	7.14	4.73%	1,270.86
3	**Associate:**								
	Indrajaal Drone Defence India Pvt Ltd	0%	-	0.92%	245.92	8.62%	5.10	0.93%	251.01
4	**Non-Controlling Interest:**								
	Subsidiary	0%	0.07	0%	0.02	0%	-	0%	0.02
	TOTAL	**100%**	**46,840.55**	**100%**	**26,804.31**	**100%**	**59.11**	**100%**	**26,863.43**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

B. Information regarding subsidiaries, associates and joint ventures included in the consolidated financial statements for the year ended March 31, 2025:

S. No	Name of the entity in the Group	Net Assets		Share in profit or loss		Share in other comprehensive income		Share in total comprehensive income	
		As % of consolidated net assets	Amount	As % of Consolidated profit or loss	Amount	As % of consolidated OCI	Amount	As % of total comprehensive income	Amount
1	**Parent:**								
	Sigma Advanced Systems Ltd	100%	20,375.19	-181%	2,529.67	-1%	5.68	-121%	2,535.35
2	**Subsidiary:**								
	Indian:								
	Velapan Systems Private Limited	0%	54.93	0%	(2.78)	0%	-	0%	(2.78)
	Indorus Systems Private Limited	0%	0.05	0%		0%	-	0%	-
	Foreign:								
	Sigma Advanced Systems UK LTD	0%	-	0%		0%	-	0%	-
3	**Associate:**								
	Indrajaal Drone Defence India Pvt Ltd	0%	-	281%	(3,925.36)	101%	(702.36)	221%	(4,627.72)
4	**Non-Controlling Interest:**								
	Subsidiary	0%	0.05	0%		0%	-	0%	-
	TOTAL	100%	20,430.22	100%	(1,398.47)	100%	(696.68)	100%	(2,095.15)

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 44 : Leases

Information on leases as per Indian Accounting Standards (Ind As) 116 on 'Leases'

a) Lease Income

Company as a lessor

Other Income includes Rs. 494.03 lakhs pertaining to Lease rentals received by the Company arising out of capitalization of a Property that had been given on Joint Development by the Company and refer note 42(c).

b) Lease expense

Company as a lessee

i. Future minimum lease payments

As at year end, the future minimum lease payments to be made under non-cancellable operating leases are as follows:

Particulars	31 March 2026	31 March 2025
Payable within one year	439.30	76.98
Payable between one and five years	2,688.65	97.67
Payable after five years		-
Total	3,127.95	174.66

ii. Amount recognized in profit or loss

Particulars	31 March 2026	31 March 2025
Lease expense - Minimum lease payments	473.43	67.98
Total	473.43	67.98

iii. Impact of adoption of Ind AS 116

Effective 1st April 2019, the company has adopted Ind AS 116 " Leases " and applied the standard to all lease contracts existing on 1St April 2019 according to the provisions of the standard.

On the transition date, the application of new accounting standard resulted in recognition of " Right of use asset" and corresponding "Lease Liability" to the extent of Rs. 214.82 Lakhs.

Particulars	31 March 2026	31 March 2025
Reclassified on account of adoption of Ind AS 116		
Opening Lease Liability	2,591.97	2,653.45
Additions (a)	2,879.66	-
Repayments (b)	175.50	73.32
Interest Expenses in Finance Cost (c)	126.85	11.84
Deletions (d)	(119.35)	-
Forex Adjustments (e)	(109.37)	
Closing Lease Liability	5,545.26	2,591.97
Depreciation on Right of Use Assets (e)	346.58	56.14
Impact of adoption of Ind AS 116 in Profit and Loss account (d+b-a)	297.93	(5.35)

Particulars	31 March 2026	31 March 2025
Carrying value of Right of Use Assets	2,533.04	175.79

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 45 : Assets Pledged as Security:

(Amounts in Lakhs)

Particulars	31 March 2026	31 March 2025
Non-current assets		
First Charge		
Non - Financial Assets		
Property, Plant and Equipment (Land & Building)	20,931.79	18,002.76
Vehicle	1.93	168.14
Total Non-current assets pledged as security	**20,933.72**	**18,170.91**
Current assets		
First Charge		
Financial assets		
Trade receivable	14,260.46	5,903.56
Cash and cash equivalents	1,174.31	999.81
Other bank balances	366.16	37.59
Inventories	1,649.55	1,959.15
Total Current assets pledged as security	**17,450.48**	**8,900.12**
Total assets pledged as security	**38,384.20**	**27,071.02**

Note 46 : Fair Value Measurements:

a) Financial Instruments by Category and their Fair Values:

Particulars	As at 31 March 2026		As at 31 March 2025	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets:				
Investment	1,049.09	1,049.09	7,455.38	7,455.38
Security Deposits	129.67	129.67	608.41	608.41
Trade Receivables	36,343.86	36,343.86	5,903.56	5,903.56
Cash and Cash Equivalents	2,075.64	2,075.64	999.81	999.81
Other Bank balances	366.16	366.16	37.59	37.59
Loans	1,600.00	1,600.00	1,500.00	1,500.00
Total Financial Assets	**41,564.43**	**41,564.43**	**16,504.75**	**16,504.75**
Financial Liabilities:				
Borrowings	30,038.90	30,038.90	14,627.00	14,627.00
Lease Liabilities	2,688.65	2,688.65	97.67	97.67
Trade Payables	19,282.46	19,282.46	1,962.24	1,962.24
Other Financial Liabilities	53.67	53.67	2,328.37	2,328.37
Total Financial Liabilities	**52,063.68**	**52,063.68**	**19,015.29**	**19,015.29**

b) Fair Value Hierarchy:

The Company has estimated all its financial assets and liabilities under Level 3 prescribed under the Indian Accounting Standards.

c) Valuation Techniques:

The discount rates considered is the borrowing rate charged by the lead lender of the Company after giving effect to the applicable tax rate.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 46 : Fair Value Measurements: *(Contd.)*

The carrying amount of current financial assets and liabilities are considered to be the same as their fair values due to their short-term nature.

For financial assets and liabilities that are measured at fair value, the carrying amount is equal to their fair values.

Note 47 : Capital Management:

The Company monitors capital on the basis of total equity on periodic basis. Equity comprises of all components of equity including fair value impact and debt includes both long-term and short-term loans.

Particulars	As at 31 March 2026	As at 31 March 2025
Equity	46,840.55	20,430.23
Debt	30,038.90	14,627.00
Total	**76,879.45**	**35,057.23**

Note 48 : Income Taxes:

The major components of Income Tax expense for the years ended 31st March, 2026 and 31st March, 2025 are as under:

a) Income Tax recognized in Statement of Profit and Loss:

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Current Tax	3,285.99	717.90
Deferred Tax	52.37	(11.77)
Total	**3,338.35**	**706.13**

Deferred tax asset as at 31st March, 2026 is recognized to the extent of Deferred tax liability arising out of temporary differences between accounting as per books and accounting as per Income Tax Act, 1961.

b) Reconciliation of Tax expense and the accounting profit multiplied by the tax rate:

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Profit/(Loss) before tax	**30,946.93**	**3,233.02**
Tax on the above	7,788.72	813.69
Tax effect of amounts which are not deductible / (taxable) in calculating taxable income and adjustment of brought forward losses	(6,987.29)	(95.79)
Tax on capital gains	2,484.56	-
Income Tax expense	**3,285.99**	**717.90**

c) Tax assets / liabilities

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Opening tax (asset) / liability	(1,062.33)	(1,703.38)
Taxes Paid	(1,366.43)	200.00
Credit availed	(373.46)	1,366.27
Provisions and refunds including Adjustments	3,908.32	(925.22)
Closing tax (asset) / liability	**1,106.10**	**(1,062.33)**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 48 : Income Taxes: *(Contd.)*

d) Deferred Tax

Amount in Lakhs

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Deferred Tax Liability:		
On account of Depreciation differences	(208.35)	-
On account of Employee Benefits	-	-
Total Deferred Tax Liability	**(208.35)**	**-**
Deferred Tax Asset:		
On account of Depreciation differences	-	9.62
On account of Employee Benefits	47.91	42.72
On account of Carried forward losses	329.30	0.13
Total Deferred Tax assets available	**377.21**	**52.47**
Recognition of Deferred Tax Asset / (Liability) (Net)	**-**	**52.47**
Unused Deferred Tax asset (Not recognized)	**168.86**	**-**

Note 49 : Financial Risk Management:

The Company's business activities expose it to a variety of financial risks, namely liquidity risk, market risks and credit risk.

Risk	Exposure arising from	Measurement	Management
Credit Risk	Cash and cash equivalents, trade receivables and financial assets measured at amortized cost.	Ageing analysis	Diversification of bank deposits and LCs
Liquidity Risk	Borrowings and other liabilities	Rolling cash flow forecasts	Availability of committed credit lines and borrowing facilities
Market risk – foreign exchange	Recognized financial assets and liabilities not denominated in Indian rupee	Sensitivity analysis	Un hedged
Market risk – interest rate	Long-term borrowings at variable rates	Sensitivity analysis	Un hedged

a) Credit Risk:

The Company is exposed to credit risk, which is the risk that counterparty will default on its contractual obligation resulting in a financial loss to the Company. Credit risk arises from cash and cash equivalents, financial assets carried at amortized cost and deposits with banks and financial institutions, as well as credit exposures to trade customers including outstanding receivables.

i) Credit risk management

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

Trade Receivable

The Company closely monitors the credit-worthiness of the debtors and only sells goods to credit-worthy parties. The Company's internal systems are configured to define credit limits of customers, thereby limiting the credit risk to pre-calculated amounts.

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 49 : Financial Risk Management: *(Contd.)*

ii) Expected Credit Loss (ECL)

FY 2025-26

Particulars	0 -180 Days	180 - 365 Days	More than 365 Days	Total
Gross carrying amount	34,740.16	1,216.03	387.67	36,343.87
Expected credit loss provisioning	-	-	-	-
Carrying amount of Trade receivables (Net of Provisions)	34,740.16	1,216.03	387.67	36,343.87

FY 2024-25

Particulars	0 -180 Days	180 - 365 Days	More than 365 Days	Total
Gross carrying amount	1,098.25	4,354.07	451.25	5,903.56
Expected credit loss provisioning	-	-	-	-
Carrying amount of Trade receivables (Net of Provisions)	-	-	-	5,903.56

b) Liquidity risk:

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due and to close out market positions.

The Company's objective in relation to its existing operating business is to maintain sufficient funding to operate at an optimal level.

Maturities of Financial Liabilities:

31st March, 2026:

Financial Liabilities	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings	19,360.45	10,678.45	-	30,038.90
Lease Liabilities	439.30	2,688.65	-	3,127.95
Trade Payables	18,490.08	792.38	-	19,282.46
Other Financial Liabilities	53.67	-	-	53.67
Total Financial Liabilities	**38,343.51**	**14,159.48**	**-**	**52,502.99**

31st March, 2025:

Financial Liabilities	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings	1,753.48	12,873.52	-	14,627.00
Lease Liabilities	76.98	97.67	-	174.66
Trade Payables	1,962.24	-	-	1,962.24
Other Financial Liabilities	92.90	2,235.47	-	2,328.37
Total Financial Liabilities	**3,885.61**	**15,206.67**	**-**	**19,092.28**

Notes forming part of Consolidated Financial Statements

for the year ended 31st March, 2026

Note 49 : Financial Risk Management: *(Contd.)*

c) Market Risk:

Market risk is the risk that the fair values of future cash flows of a financial instrument will fluctuate because of volatility of prices in the financial markets. Market risk can be further segregated as:

i) Foreign currency risk:

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure foreign currency risk in case of Trade and other payables.

ii) Interest rate risk:

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's main interest rate risk arises from short-term borrowings with variable rates, which expose the Company to cash flow interest rate risk. During March 31, 2026 the Company's borrowings at variable rate are denominated in Rupees. The Company's fixed rate borrowings are carried at amortized cost. They are therefore not subject to interest rate risk as defined in Ind AS -107, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

Interest rate risk exposure

The exposure of the Company's borrowing to interest rate changes at the end of the reporting period are as follows:

Particulars	As at 31 March 2026	As at 31 March 2025
Variable Rate Borrowings	8,511.18	13,640.74

Interest Sensitivity

Profit or loss is sensitive to higher/lower interest expense from borrowings as a result of changes in interest rates.

Particulars	Impact of Profit before tax	
Interest sensitivity	31 March 2026	31 March 2025
Interest cost – increase by 5% on existing Interest cost*	23.08	98.58
Interest cost – decrease by 5% on existing Interest cost*	(23.08)	(98.58)

* Holding all other variables constant.

50. Previous year's figures have been regrouped/reclassified wherever necessary to conform to the current year's presentation. Pursuant to the Scheme of Amalgamation between Sigma Advanced Systems Private Limited (Transferor Company) and Megasoft Limited (Transferee Company), from an appointed date of April 1, 2024, the previous year's figures have been recast/restated to give effect to the merger. Accordingly, the previous year's figures may differ from the figures previously published by the Company and, to that extent, are not comparable.

For and on behalf of the Board of Directors of
SIGMA ADVANCED SYSTEMS LIMITED

As per our report of even date attached
For N.C. Rajagopal & CO
Chartered Accountants
FRN: 003398S

Sunil Kumar Kalidindi
Executive Director & CEO
DIN: 02344343

Kalyan Vijay Sivalenka
Independent Director
DIN: 06404449

Arjun S
Partner
Membership No: 230448

Shridhar Thathachary
Chief Financial Officer

Krishna Chaitanya S
Company Secretary

Place: Chennai
Date: 25-05-2026

SIGMA ADVANCED SYSTEMS LIMITED

(FORMERLY MEGASOFT LIMITED)
CIN: L24100TN1999PLC0427320
Registered Office Address: No.43/1 (# 129 to # 140), Prestige Palladium,
8th Floor, Greams Road, Nungambakkam, Chennai, 600006, Tamil Nadu, India
https://sigmaadvsys.com

Notice of the 26th Annual General Meeting

Notice is hereby given that the 26th Annual General Meeting (AGM) of the Members of SIGMA ADVANCED SYSTEMS LIMITED (FORMERLY MEGASOFT LIMITED) will be held on Wednesday, 30th September 2026, at 10.00 A.M. IST through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM") to transact the following businesses:

Ordinary Business:

1. Adoption of Financial Statements

To receive, consider and adopt:

i) The Audited Financial Statements of the Company for the year ended March 31, 2026, the report of the Auditors thereon and the Directors' Report.

ii) The Audited Consolidated Financial Statements of the Company for the year ended March 31, 2026 and the report of the Auditors thereon.

2. Re-appointment of Director

To consider and if thought fit, to pass, the following resolution as Ordinary Resolution:

To appoint a Director in place of Mr. Sunil Kumar Kalidindi (DIN- 02344343), who retires by rotation and, being eligible, offers himself for re-appointment.

By order of the Board of Directors
For **SIGMA ADVANCED SYSTEMS LIMITED**
(Formerly Megasoft Limited)

Sd/-
Sunil Kumar Kalidindi
(DIN: 02344343)
Executive Director & CEO

Place: Hyderabad
Date: 8th September 2026

NOTES:

1. The Ministry of Corporate Affairs (MCA) vide Circular No. 14/2020 dated April 8, 2020, Circular No. 20/2020 dated May 05, 2020, Circular No. 2/2022 dated May 05,2022, Circular No. 10/2022 and Circular No. 11/2022 dated December 28,2022, Circular No. 02/2021 dated January, 13, 2021 and General Circular No. 09/2023 dated September 25, 2023 and General Circular No. 09/2024 dated September 19, 2024 and General Circular No. 03/2025 dated September 22, 2025 issued by the Ministry of Corporate Affairs (MCA Circulars) and Securities and Exchange Board of India (SEBI) vide Circular No. SEBI/HO/CFD/CMD1/CIR/P/2020/79 dated May 12, 2020 Circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 9, 2020, Circular No. SEBI/HO/CFD/CMD2/CIR/P/2021/11 dated January, 15, 2021 , Circular No. SEBI/HO/DDHS/ DDHS_Div2/P/CIR/2022/079 dated June 03, 2022 and SEBI/HO/ CFD/PoD-2/P/CIR/2023/4 dated January 5, 2023, SEBI Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2023/167 dated October 07, 2023, SEBI and SEBI Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2024/133 dated October 03, 2024 had permitted Companies to conduct Annual General Meeting (AGM) through video conferencing (VC) or Other Audio Visual Means (OAVM), without the physical presence of the members at common venue. In compliance with the above circulars and applicable provisions of Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the 26th AGM of the Company is being convened and conducted through VC/ OAVM. The deemed venue of the AGM shall be the Registered Office of the Company.
2. Pursuant to the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 (as amended), and MCA Circulars the Company is providing facility of remote e-voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with Central Depository Services (India) Limited (CDSL) for facilitating voting through electronic means, as the authorized e-Voting's agency. The facility of casting votes by a member using remote e-voting as well as the e-voting system on the date of the AGM will be provided by CDSL.
3. A statement pursuant to Section 102(1) of the Companies Act, 2013 relating to certain ordinary business and the special businesses to be transacted at the 26th AGM is annexed hereto. All documents referred to in the accompanying Notice and the Explanatory Statement shall be available for inspection electronically. Members seeking to inspect such documents can send an email to investors@sigmaadvsys.com
4. Since the 26th AGM is being held through VC/ OAVM, the route map of the venue of the Meeting is not annexed to this Notice.
5. As per the provisions under the MCA Circulars, Members attending the 26th AGM through VC/ OAVM shall be counted for the purpose of reckoning the quorum under Section 103 of the Companies Act, 2013.The Company has appointed Mr. M. Damodaran, Managing Partner of M/s M. Damodaran & Associates LLP, (COP 5081) Practicing Company Secretaries, to act as the Scrutinizer, to scrutinize the e-voting process in a fair and transparent manner.
6. Pursuant to MCA Circular No. 14/2020 dated April 08, 2020, Circular No. 2/2022 dated May 05,2022 and Circular No. SEBI/HO/DDHS/DDHS_Div2/P/CIR/2022/079 dated June 03, 2022, the facility to appoint proxy to attend and cast vote for the members is not available for this AGM. However, in pursuance of Section 112 and Section 113 of the Companies Act, 2013, representatives of the members such as the President of India or the Governor of a State or body corporate can attend the AGM through VC/OAVM and cast their votes through e-voting.
7. The Scrutinizer will, after the conclusion of e-voting at the Meeting, scrutinize the votes cast at the Meeting and votes cast through remote e-voting, make a consolidated Scrutinizer's Report and submit the same to the Chairman. The result of e-voting will be declared within Two Working days of the conclusion of the Meeting and the same, along with the consolidated scrutinizer's Report will be placed on the website of the company https://sigmaadvsys.com and on the website of CDSL at https://evoting.india.com. The results will simultaneously be communicated to the stock exchanges.
8. The Members, whose names appear in the Register of Members/list of Beneficial Owners as on 23 September 2026, being the cut-off date, are entitled to vote on the Resolutions set forth in this Notice. The voting right of Members shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date. A person who is not a Member as on the cut-off date should treat this Notice of AGM for information purpose only.
9. Members may note that pursuant to the General Circular No. 20/2020 dated May 5, 2020 Circular No. 2/2022 dated May 05,2022 issued by the MCA and and Circular No. SEBI/HO/DDHS/DDHS_ Div2/P/CIR/2022/079 dated June 03, 2022 issued by SEBI, the Company has enabled a process for the limited purpose of receiving the Company's Annual Report and Notice for the Annual General Meeting (including remote e-voting instructions) electronically, and

Members may temporarily update their email address by sending email at investor@cameoindia.com.

10. After due verification and receipt of email address updation request, the Company will send the annual report at your registered email address.
11. You can also update your mobile number and e-mail id in the user profile details of the folio which may be used for sending further communication(s).
12. Members who are holding shares in physical form in identical order of names in more than one folio are requested to send to the Company or its Registrar and Share Transfer Agent the details of such folios together with the share certificates for consolidating their holding in one folio. The share certificates will be returned to the Members after making requisite changes, thereon. Members are requested to use the share transfer form SH-4 for this purpose.
13. In accordance with the proviso to Regulation 40(1) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, effective from April 1, 2019, transfers of securities of the Company shall not be processed unless the securities are held in the dematerialized form with a depository. Accordingly, members holding equity shares in physical form are urged to have their shares dematerialized so as to be able to freely transfer them and participate in corporate actions.
14. Non-resident Indian members are requested to inform about the following immediately to the Company or its Registrar and Share Transfer Agent or the concerned Depository Participant, as the case may be:
    a) the change in the residential status on return to India for permanent settlement, and
    b) the particulars of the NRE account with a Bank in India, if not furnished earlier.
15. Members holding shares in single name and physical form are advised to make nomination in respect of their shareholding in the Company. The Nomination Form SH-13 prescribed by the Government can be obtained from the Registrar and Share Transfer Agent or the Secretarial Department of the Company at its registered office.
16. The following documents will be available for inspection by the Members electronically during the 26th AGM: Register of Directors and Key Managerial Personnel and their shareholding, and the Register of Contracts or Arrangements in which the Directors are interested, maintained under the Companies Act, 2013. Members seeking to inspect such documents can send an email to investors@sigmaadvsys.com.
17. In case of any queries regarding the Annual Report, the Members may write to investors@sigmaadvsys.com to receive an email response.
18. The Members can join the AGM in the VC/OAVM mode 1 hour before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available to at least 1000 members on a first come first served basis. This will not include large members (members holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.
19. In line with the Ministry of Corporate Affairs (MCA) Circular No. 17/2020 dated April 13, 2020, the Notice calling the AGM has been uploaded on the website of the Company at https://sigmaadvsys.com. The Notice can also be accessed from the websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively. The AGM Notice is also disseminated on the website of CDSL (agency for providing the Remote e-Voting facility and e-voting system during the AGM) i.e. www.evotingindia.com.

I. DISPATCH OF ANNUAL REPORT THROUGH ELECTRONIC MODE:

1. In compliance with the MCA Circulars and SEBI Circulars aforementioned the notice of the 26th AGM along with the Annual Report 2025-26 are being sent only by electronic mode to those Members whose e-mail addresses are registered with the Company/ Depositories. Members may please note that this Notice and Annual Report 2025-26 will also be available on the Company's website at https://sigmaadvsys.com/reports/ websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively.
2. Members who have not registered their e-mail address are requested to register the same in respect of shares held in electronic form with the Depository through their Depository Participant(s) and in respect of shares held in physical form by writing to the Company's Registrar and Share Transfer Agent, Cameo Corporate Services Limited, Subramanian Building" No.1 Club House Road Chennai-600002, Tamilnadu at investor@cameoindia.com

CDSL e-Voting System – For e-voting and Joining Virtual meetings.

1. The general meetings of the companies shall be conducted as per the guidelines issued by the Ministry of Corporate Affairs (MCA) vide Circular No.

14/2020 dated April 8, 2020, Circular No.17/2020 dated April 13, 2020 and Circular No. 20/2020 dated May 05, 2020 and General Circular No. 09/2023 dated September 25, 2023 and General Circular No. 09/2024 dated September 19, 2024 and General Circular No. 03/2025 dated September 22, 2025 issued by the Ministry of Corporate Affairs and SEBI Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2023/167 dated October 07, 2023 and SEBI Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2024/133 dated October 03, 2024. The forthcoming AGM will thus be held through through video conferencing (VC) or other audio-visual means (OAVM). Hence, Members can attend and participate in the ensuing AGM through VC/OAVM.

2. Pursuant to the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 (as amended), and MCA Circulars dated April 08, 2020, April 13, 2020 and May 05, 2020 the Company is providing facility of remote e-voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with Central Depository Services (India) Limited (CDSL) for facilitating voting through electronic means, as the authorized e-Voting's agency. The facility of casting votes by a member using remote e-voting as well as the e-voting system on the date of the AGM will be provided by CDSL.

3. The Members can join the AGM in the VC/OAVM mode 1 hour before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available to atleast 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the GM without restriction on account of first come first served basis.

4. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of ascertaining the quorum under Section 103 of the Companies Act, 2013.

5. Pursuant to MCA Circular No. 14/2020 dated April 08, 2020, the facility to appoint proxy to attend and cast vote for the members is not available for this AGM. However, in pursuance of Section 112 and Section 113 of the Companies Act, 2013, representatives of the members such as the President of India or the Governor of a State or body corporate can attend the AGM through VC/OAVM and cast their votes through e-voting.

6. In line with the Ministry of Corporate Affairs (MCA) Circular No. 17/2020 dated April 13, 2020, the Notice calling the AGM has been uploaded on the website of the Company at https://sigmaadvsys.com. The Notice can also be accessed from the websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively. The AGM Notice is also disseminated on the website of CDSL (agency for providing the Remote e-Voting facility and e-voting system during the AGM) i.e. www.evotingindia.com.

7. The AGM has been convened through VC/OAVM in compliance with applicable provisions of the Companies Act, 2013 read with MCA Circular No. 14/2020 dated April 8, 2020 and MCA Circular No. 17/2020 dated April 13, 2020 and MCA Circular No. 20/2020 dated May 05, 2020.

8. In continuation to this Ministry's General Circular No. 20/2020 dated 05.05.2020, General Circular No. 02/2022 dated 05.05.2022 and General Circular No. 10/2022 dated 28.12.2022, General Circular No. 09/2024 dated September 19, 2024 from and after due examination, it has been decided to allow companies to conduct their AGMs through VC or OAVM in accordance with the requirements laid down in Para 3 and Para 4 of the General Circular No. 20/2020 dated 05.05.2020.

THE INSTRUCTIONS OF SHAREHOLDERS FOR E-VOTING AND JOINING VIRTUAL MEETINGS ARE AS UNDER:

Step 1 : Access through Depositories CDSL/NSDL e-Voting system in case of individual shareholders holding shares in demat mode.

Step 2 : Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

i) The voting period begins on Saturday, 26th September 2026 from 9:00 a.m. (IST) and ends on Tuesday, 29th September 2026 at 5:00 p.m. (IST). During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of 23rd September 2026 may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.

ii) Shareholders who have already voted prior to the meeting date would not be entitled to vote at the meeting venue.

iii) Pursuant to **SEBI Circular No. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated 09.12.2020,** under Regulation 44 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, listed entities are required to provide remote e-voting facility to its shareholders, in respect of all shareholders' resolutions. However, it has been observed that the participation by the public non-institutional shareholders/retail shareholders is at a negligible level.

Currently, there are multiple e-voting service providers (ESPs) providing e-voting facility to listed entities in India. This necessitates registration on various ESPs and maintenance of multiple user IDs and passwords by the shareholders.

In order to increase the efficiency of the voting process, pursuant to a public consultation, it has been decided to enable e-voting to all the demat account holders, by way of a single login credential, through their demat accounts/ websites of Depositories/ Depository Participants. Demat account holders would be able to cast their vote without having to register again with the ESPs, thereby, not only facilitating seamless authentication but also enhancing ease and convenience of participating in e-voting process.

i) In terms of SEBI circular no. **SEBI/HO/CFD/CMD/CIR/P/2020/242** dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Pursuant to abovesaid SEBI Circular, Login method for e-Voting and joining virtual meetings **for Individual shareholders holding securities in Demat mode CDSL/NSDL** is given below:

Key audit matters	How our audit addressed the key audit matter
Individual Shareholders holding securities in Demat mode with **CDSL Depository**	Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login to Easi / Easiest are requested to visit cdsl website www.cdslindia.com and click on login icon & New System Myeasi Tab. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. If the user is not registered for Easi/Easiest, option to register is available at cdsl website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www. cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders holding securities in demat mode with **NSDL Depository**	If you are already registered for NSDL IDeAS facility, please visit the e-Services website of NSDL. Open web browser by typing the following URL: https://eservices.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Services is launched, click on the "Beneficial Owner" icon under "Login" which is available under 'IDeAS' section. A new screen will open. You will have to enter your User ID and Password. After successful authentication, you will be able to see e-Voting services.

Key audit matters	How our audit addressed the key audit matter
	Click on "Access to e-Voting" under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. If the user is not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "Register Online for IDeAS "Portal or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen- digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting
Individual Shareholders (holding securities in demat mode) login through their **Depository Participants (DP)**	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. After Successful login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. CDSL and NSDL

Login type	Helpdesk details
Individual Shareholders holding securities in Demat mode with **CDSL**	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk. evoting@cdslindia.com or contact at toll free no. 1800 21 09911
Individual Shareholders holding securities in Demat mode with **NSDL**	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl. co.in or call at : 022 - 4886 7000 and 022 - 2499 7000

Individual Shareholders holding securities in Demat mode with NSDL Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl. co.in or call at : 022 - 4886 7000 and 022 - 2499 7000

Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

i) Login method for e-Voting and joining virtual meetings for **Physical shareholders and shareholders other than individual holding in Demat form.**

1. The shareholders should log on to the e-voting website www.evotingindia.com.
2. Click on "Shareholders" module.
3. Now enter your User ID
   a) For CDSL: 16 digits beneficiary ID,
   b) For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
   c) Shareholders holding shares in Physical Form should enter Folio Number registered with the Company.
4. Next enter the Image Verification as displayed and Click on Login.
5. If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier e-voting of any company, then your existing password is to be used.
6. If you are a first-time user follow the steps given below:

	For Physical shareholders and other than individual shareholders holding shares in Demat.
PAN	Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) ▪ Shareholders who have not updated their PAN with the Company/Depository Participant are requested to use the sequence number sent by Company/ RTA or contact Company/RTA.
Dividend Bank Details **OR** Date of Birth (DOB)	Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login. ▪ If both the details are not recorded with the depository or company, please enter the member id / folio number in the Dividend Bank details field.

ii) After entering these details appropriately, click on "SUBMIT" tab.

iii) Shareholders holding shares in physical form will then directly reach the Company selection screen. However, shareholders holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

iv) For shareholders holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.

v) Click on the EVSN for the relevant Sigma Advanced Sysytems Limited on which you choose to vote.

vi) On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.

vii) Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.

viii) After selecting the resolution, you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.

ix) Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.

x) You can also take a print of the votes cast by clicking on "Click here to print" option on the Voting page.

xi) If a demat account holder has forgotten the login password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.

xii) There is also an optional provision to upload BR/ POA if any uploaded, which will be made available to scrutinizer for verification.

xiii) Additional Facility for Non – Individual Shareholders and Custodians –For Remote Voting only.

- ❖ Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodians are re- quired to log on to www.evotingindia.com and register themselves in the "Corporates" module.
- ❖ A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
- ❖ After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
- ❖ The list of accounts linked in the login will be mapped automatically & can be delink in case of any wrong mapping.
- ❖ It is Mandatory that, a scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.
- ❖ Alternatively, Non-Individual shareholders are required mandatory to send the relevant Board Resolution/ Authority letter etc. together with attested specimen signature of the duly authorized signatory who are authorized to vote, to the Scrutinizer and to the Company at the email address viz; investors@sigmaadvsys.com (designated email address by company), if they have voted from individual tab & not uploaded same in the CDSL e-voting system for the scrutinizer to verify the same.

INSTRUCTIONS FOR SHAREHOLDERS ATTENDING THE AGM/EGM THROUGH VC/OAVM & E-VOTING DURING MEETING ARE AS UNDER:

1. The procedure for attending meeting & e-Voting on the day of the AGM is same as the instructions mentioned above for e-voting.
2. The link for VC/OAVM to attend meeting will be available where the EVSN of Company will be displayed after successful login as per the instructions mentioned above for e-voting.
3. Shareholders who have voted through Remote e-Voting will be eligible to attend the meeting. However, they will not be eligible to vote at the AGM.
4. Shareholders are encouraged to join the Meeting through Laptops / IPads for better experience.
5. Further shareholders will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
6. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
7. Shareholders who would like to express their views/ask questions during the meeting may register themselves as a speaker by sending their request in advance atleast **7 days prior to meeting** mentioning their name, demat account number/folio number, email id, mobile number at (company email id). The shareholders who do not wish to speak during the AGM but have queries may send their queries in advance **7 days prior to meeting** mentioning their name, demat account number/folio number, email id, mobile number at (company email id). These queries will be replied to by the company suitably by email.
8. Those shareholders who have registered themselves as a speaker will only be allowed to express their views/ask questions during the meeting.
9. Only those shareholders, who are present in the AGM/EGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system available during the EGM/AGM.
10. If any Votes are cast by the shareholders through the e-voting available during the EGM/AGM and if the same shareholders have not participated in the meeting through VC/OAVM facility, then the votes cast by such shareholders may be considered invalid as the facility of e-voting during the meeting is available only to the shareholders attending the meeting.

PROCESS FOR THOSE SHAREHOLDERS WHOSE EMAIL/MOBILE NO. ARE NOT REGISTERED WITH THE COMPANY/ DEPOSITORIES.

1. For Physical shareholders- please provide necessary details like Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) by email to **Company/RTA email id.**
2. For Demat shareholders -, Please update your email id & mobile no. with your respective **Depository Participant (DP)**
3. For Individual Demat shareholders – Please update your email id & mobile no. with your respective Depository Participant (DP) which is

mandatory while e-Voting & joining virtual meetings through Depository.

If you have any queries or issues regarding attending AGM & e-Voting from the CDSL e-Voting System, you can write an email to helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 21 09911

All grievances connected with the facility for voting by electronic means may be addressed to Mr. Rakesh Dalvi, Sr. Manager, (CDSL,) Central Depository Services (India) Limited, A Wing, 25th Floor, Marathon Futurex, Mafatlal Mill Compounds, N M Joshi Marg, Lower Parel (East), Mumbai - 400013 or send an email to helpdesk.evoting@cdslindia.com or call toll free no. 1800 21 09911

Additional information on Director(s) seeking appointment/re-appointment in the Annual General Meeting as required under sub-regulation 3 of Regulation 36 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and para 1.2.5 of Secretarial Standard-2 as Issued by the Institute of Company Secretaries of India

S No.	Particulars	Details
1.	Name of Director	Mr. Sunil Kumar Kalidindi
2.	DIN	02344343
3.	Date of Birth	28/10/1983
4.	Age	43
5.	Qualifications	Bachelor's degree in Engineering from PSG College of Engineering, Coimbatore and obtained a master's degree in Management from University of Leicester (UK) and a Master's degree in Finance from London Business School
6.	Brief resume of the Director	Mr. Sunil Kumar Kalidindi, 40 years, has bachelor's degree in Engineering from PSG College of Engineering, Coimbatore and obtained a master's degree in Management from University of Leicester (UK) and a Master's degree in Finance from London Business School. Since December 2021, he is heading Megasoft Limited, a publicly listed company on NSE and BSE, as it's Executive Director & CEO. As an ED & CEO he is the Chairperson of the Megasoft Board. The Company's current focus areas are Aerospace and Defence. Megasoft Limited is also in the process of acquiring a few companies in the above domains so as to become a key player in this sector by leveraging it's technical expertise, innovative capabilities and strategic partnerships. He is responsible for the operations of the Company and also for evolving and providing Leadership to the Company's Strategy and growth organically and inorganically.
7.	Expertise in specific functional areas	He brings in extensive strategic leadership experience to the Company's operations.
8.	Details of remuneration / Sitting fee sought to be paid	The last drawn remuneration was Rs. 72.16 Lakhs for the FY 2025-26.
9.	Shareholding in the Company as on the date of the Notice (including shareholding as a beneficial owner)	Nil
10.	Directorships in listed Companies and other directorships	S No. / Name of the Company i) Indrajaal Drone Defence India Private Limited

S No.	Particulars	Details
11.	Listed entities from which the Director has resigned from Directorship in last 3 (three) years	Not Applicable
12.	Number of Board meetings attended during FY 2025-26.	11/12
13.	Inter-se relationship with other Directors and Key Managerial Personnel of the Company	He is not related to any of the Directors or Key Managerial Personnel of the Company.
14.	Chairman / Members of the Committee of the Board of Sigma Advanced Systems Limited	Member of the Stakeholders' Relationship Committee
15.	Names of listed entities in which the person also holds the directorship and the membership of Committees of the board	Nil



Registered Office

No.43/1(#129 to #140), Prestige Palladium,
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